



Wiley Trading



Hedge Fund Masters

**How Top Hedge Fund Traders Set Goals,
Overcome Barriers, and Achieve Peak Performance**

ARI KIEV



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Published by John Wiley & Sons, Inc., Hoboken, New Jersey.

Published simultaneously in Canada.

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Library of Congress Cataloging-in-Publication Data:

Kiev, Ari.

Hedge fund masters : how top hedge fund traders set goals, overcome barriers, and achieve peak performance / Ari Kiev.

p. cm.—(Wiley trading series)

ISBN-13 978-0-471-72416-2 (cloth)

ISBN-10 0-471-72416-5 (cloth)

1. Hedge funds. 2. Investment analysis. 3. Floor traders (Finance). I. Title.

II. Series.

HG4530.K54 2005

332.64'5—dc22

2004025804

Printed in the United States of America.

10 9 8 7 6 5 4 3 2 1

*For Phyllis,
with all my love and appreciation*

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Preface

Why do some good traders never become great ones? After 12 years of studying the subject, I have come to believe it is generally because the merely good traders don't have concrete goals. Or, if they do have goals, they become anxious and stressed as they approach their goals, and thus function less efficiently. Moreover, few traders seem to have any concept of the skills needed to master psychological obstacles and to develop strategies for winning that would sustain them in the face of the uncertainty and unpredictability of the markets.

My first book on this subject, *Trading to Win: The Psychology of Mastering the Markets* (Wiley, 1998), presented a step-by-step, goal-oriented program for building the mental and emotional stamina needed not just to win but also to win on an unprecedented level. A second book, *Trading in the Zone: Maximizing Performance with Focus and Discipline* (Wiley, 2001), examined specific techniques for achieving and sustaining peak performance levels by entering into the zone—a focused state of concentration and goal directedness. And my third book on this subject, *The Psychology of Risk* (Wiley, 2002), presented further exploration in the psychology of trading to win, focusing in particular on the appetite for risk taking, on ways of modulating and managing risk, and on some of the pathological patterns of risk taking that often incapacitate traders.

This present book, *Hedge Fund Masters*, is a continuation of and elaboration on these concepts and a further exploration of the parameters of high performance, including those in relation to leadership and the empowerment of others. It delves into the creation of a masterful culture where high standards of excellence, the measurement of performance, and the capacity for transforming yourself and those around you become a critical part of the conversation.

Because I believe that mastery results from a dialogue about mastery, I have again included many of my conversations with traders in order to convey the importance of participating in a challenging dialogue that is continually seeking to push the envelope. This type of dialogue leads traders to explore issues that they may never before have considered relevant to their trading performance, they do this in order to develop a

more advanced level of play. In the course of these dialogues, much is uncovered about what is possible and the kinds of miracles that traders can produce by changing their thinking and relinquishing certain assumptions they have about the world—assumptions that may be limiting their efforts and achievements.

In my experiences with traders, I have encountered many who were eager to have this dialogue, some who were resistant to it, and some who avoided it at all costs. Some traders believe that they have all the answers—they don't want to look too closely at their own trading, and they prefer to continue doing what they have always done. These traders also provide lessons for you—lessons on the obstacles to mastery—because mastery ultimately involves a willingness to explore the unknown.

Most of the traders with whom I have dealt work for hedge funds, an environment that is psychologically taxing. There are no easy structures to ensure profitability as there are at a bank or a mutual fund. The hedge fund requires you to work on yourself, which requires different kinds of adjustment and, of course, sets the stage for the development of mastery—helping you to set goals, to commit to goals, then to reverse engineer your efforts so that you do what is needed to reach your goals. Ultimately, in order to become a master, you must understand yourself. You are the instrument of success, and you must read your own emotional and psychological signals as well as those of others in the game. The purpose of this book is to help you develop and refine these and many other mastery skills.

As in my previous books, I have deliberately disguised the names of companies because I have been more interested in focusing on trading strategies than on the specifics of particular companies. I have also disguised the identities of traders to protect their privacy and to focus on the generic principles to be extracted from their experiences.

ACKNOWLEDGMENTS

Many people have helped in the development of this book: I want to thank the various hedge fund managers who have provided me with a unique opportunity to explore in depth the interface between trading and psychology. I am grateful to the various traders who have shared their perspectives with me, as well as those who read and commented on portions of this manuscript. I especially want to thank Tricia Brown for her help in organizing an enormous amount of interview material and her patience in working with me to edit several versions of the original manuscript—this was not an easy task. Grace Lichtenstein helped me in the later stages of

fine-tuning the manuscript and preparing it for publication. She was always available for me and was particularly good at helping me to edit the dialogues included in this book. Marsha Crawford deserves thanks for her extra effort in working around the clock to prepare clean typescripts through the various stages of manuscript preparation.

Everyone needs someone in their life who, like Churchill, reminds you to “never, never, never give up.” My wife, Phyllis, does that for me in a big way, and I am forever grateful to her for her continued support and encouragement throughout all phases of this project.

ARI KIEV

New York, New York
April 2005

Introduction

Contrary to popular belief, the greatest achievements do not result from the kind of rousing pep talks associated with Knute Rockne and Vince Lombardi, but from a calming approach that relaxes the performer. Indeed, complex activities are best performed with only a moderate amount of emotional arousal. Of course, too much relaxation can also cause a problem. The greatest achievements result from the capacity to control the focus and the direction of attention. That is as true of traders as it is of quarterbacks.

When compared to ordinary traders, top-performing traders are both bolder and more composed, as well as more tough-minded, self-assertive, self-confident, venturesome, self-assured, and uninhibited. Some of their confidence comes from a greater ability to concentrate, to visualize, and to become centered in the course of events.

Top traders are able to tune out distractions and to focus on one thing at a time. They do this by having an overarching principle or strategy that informs their trading. Such an organizing principle may be as simple as the decision “to keep looking for ways to make money” or as complex as the concept of “buying the best companies and selling the worst companies.” That overarching concept or vision helps them to set priorities and to establish and stick to goals. Top traders also have a greater capacity to visualize events in advance and to prepare themselves to respond to the changing environment of the markets. Finally, they have a greater capacity for centering—finding a balanced place within themselves from which to process both internal and external information.

These skills enable top traders to bring their resources to bear on the tasks at hand in order to do whatever is necessary to achieve record-breaking performances. Beyond the maximization of performance, these psychological skills enable the master trader to endure high levels of ten-

sion; to monitor and control his or her anxiety, and to overcome the obstacles of anxiety, fear, self-doubt, and insecurity that interfere with goal achievement.

Given all the how-to books and the vast array of knowledge that exist regarding success and the development of champions in all different areas, you might think this book will outline a perfect trading strategy, a copy of the master trader's routine, skills, or style. You may think that it is possible to learn mastery by imitating the steps of someone else. Nothing could be further from the truth.

Rather, I hope this book will help you to learn the principles used by master traders so you can achieve your goals and access the unique genius that lies within you. You will discover how to:

- Maintain a balance between too little and too much emotion.
- Concentrate your energy, attention, and drive on specific targets and actions.
- Find the right amount of intensity and effort so you don't burn out or lose your motivation.
- Psyche yourself up.
- Let go of the controls and allow your intuitive processes to function automatically.

In addition, this book will help you to develop faith and trust in an image of a positive outcome.

Success in life, as in trading, requires the ability to let go of inhibitions about winning and losing. In fact, the ability to overcome various learned inhibitions is one of the major characteristics differentiating successful traders from mediocre ones. Because an "empty mind" produces the best performance, it is my desire to help you to learn how to relinquish all thoughts of winning and losing and to learn how to reduce anxiety. I want to show you how to control or to eliminate the depressive response to performing poorly, which can seriously impair energy, drive, motivation, and the capacity to concentrate under stress. I'll also suggest a variety of psychological exercises to maintain motivation, concentration, endurance, and performance under stressful circumstances.

By learning how to create mental images of success, you will be able to overcome any fears of success or inhibition about letting out all the stops. Equally important, you will learn how to adopt this attitude in a relaxed way so that the goal does not become an obsession. You will learn a series of tasks through which you can achieve all the necessary components of the skill required in a particular activity and thus accomplish all that you set out to do.

My goal in writing this book is to help you develop the right attitude

and techniques for tapping your mental potential; building self-confidence; and developing skills in mental imagery, visualization, relaxation, and psychological endurance. With an understanding of how the mental machinery works, you can discard negative self-concepts that support mediocrity and the status quo. You can develop a positive self-concept directed toward accomplishment and increase your trading potential.

The essential tool of mastery is the Socratic-like dialogue that keeps searching for the cutting edge of concepts and practice. This is the essential method that I rely on in my coaching work with traders and portfolio managers. Therefore, I rely heavily on dialogues to illustrate my own methodology as well as to elucidate some of the principles of trading mastery that have emerged in the course of my work with traders.

Some of what makes this work exciting can only be deduced by reading between the lines in these dialogues to pick up on some of the subtle, emotional undertones that are realized in the course of these conversations. No two traders seem to respond in the same way even to the same event; therefore, no two dialogues are ever the same. I have tried to reconstruct examples of dialogues that illustrate some of the generic principles on which I have expanded my discussion of trading mastery.

Because the development of mastery begins with an inquiry into the actual processes in which traders are engaged, you will sometimes hear them resist and hear me confront that resistance. This is intentional—I provoke their resistance to help them realize how much they are locked into fixed ways of seeing things. Once they can relinquish such judgmental attitudes, they are free to discover the amazing opportunities in a market that is constantly changing and offering occasions for creating extraordinary results.

While reading through these conversations, you may find specific concepts useful in your own trading. But beyond this, I hope that you will appreciate the struggles that these traders have gone through in the course of these conversations, where I challenge them and thereby encourage them to stretch themselves in pursuit of enhanced performance.

PART ONE

What Is Mastery?

CHAPTER ONE

Defining Mastery

What is mastery? Webster defines *mastery* as the possession of a skill or technique that implies freedom from flaws or imperfections; or skill or knowledge in a subject that makes one a master in that subject. Mastery is having supreme proficiency in a particular activity. In this book, I expand the use of the term *mastery* to describe that degree of competence at which the individual is willing and able to take responsibility for the outcome of his or her efforts, even in environments where the individual does not control all of the forces, such as the markets.

THE PSYCHOLOGY OF MASTERY

I view mastery as a strategy for effective living as well as trading. It is a strategy that lets you tap your hidden potential by taking on challenges over and above the mundane or ordinary. By understanding the psychological underpinnings of mastery and the obstacles that you have to overcome in your efforts to obtain it, you are actually working toward your greater vision.

Ultimately mastery is about adaptation, not just about learning a specific set of skills. This kind of adaptation requires willingness to face and to conquer internal psychological issues, fears, and uncertainty. A master trader learns to adapt to changing requirements of the marketplace as well as to deal with the psychological factors underlying the development and maintenance of mastery.

Elements of adaptation include developing flexibility, learning new methodologies, creating support structures, encouraging the use of coaching, building teamwork, and finding new ways of doing things. While there are certain intellectual, genetic, and personality factors that contribute to the development of mastery, ultimately whether an individual develops mastery depends on his motivation, desire, and willingness to be coached. Mastery is a matter of attitude and, beyond that, the development of the power of your mental potential. Mastery is ultimately about creating a new world outside of your habitual or automatic responses, which are based on your past experiences, on what you learned as a child, or on how your culture has defined your existence. Mastery is about letting the future define your actions in the present and living out of a declared vision. It also involves a willingness to embrace the unknown.

One trader, who was beginning to embrace the principles of mastery, described this view of mastery to me: "It is useful not to get too distracted by the mind traps that others tell you about in helping you to line up your portfolio. The more critical thing to do is to decide what you are inclined to do, what you are going to do, and what it is that is interfering with the implementation of your plan."

Case Study on the Need for Mastery

Clearly, it is easier to maintain mastery if you do not put yourself in jeopardy and do not add pressure by having a negative performance. So, in an effort to adapt to new or changing markets, you must realize that change itself can throw you off balance and stir up additional problems for yourself.

The principles in this book point to the fact that you develop mastery by action. The very act of focusing on the development of mastery as a psychological approach to performance moves the spotlight away from yourself and encourages you to focus on the steps needed to reach your goal. It also encourages you to see, for example, how you may be misreading or misinterpreting events. It prompts you to take responsibility for your results and to consider how you are currently (although unwittingly) inviting the results you are getting, even though they are not what you say you want.

An interesting example of this was illustrated by Derek, a new portfolio manager who wanted to switch strategies. He was attempting to adjust to working in a hedge fund that emphasized the short-term, catalyst-driven model of trading, rather than the long-term, fundamentalist, buy-and-hold approach that he had learned at a previous hedge fund. While no

one had expressly encouraged the strategy change, he was caught up in the moment and in the pull of a faster-moving culture where people sought to produce short-term results and capitalize on the intraday volatility of the markets rather than ride out the volatility and suffer the pain of temporary drawdowns.

The following conversation from early 2002 illustrates the adjustments that a trader needs to make so that he can reduce distractions and stay true to the strategy that he had developed over the years—a strategy that would ultimately produce the greatest results for him. I include this conversation by way of emphasizing that mastery is a practice of excellence that requires honesty, consciousness, choice, and a willingness to take responsibility for what you produce.

Derek: This market has been so incredibly volatile ever since I started. You buy something, and the next day it's down twenty percent. Well, maybe I should be less short-term oriented. At my previous hedge fund, I spent seventy-five percent of the time trying to understand the story on the fundamentals and maybe twenty-five percent of my time trading. In the past several weeks I have spent seventy-five percent of my time trying to figure out the market and twenty to twenty-five percent of my time doing the fundamentals. I am down a little bit. So I have to get the P&L [profit and loss] in a positive direction to get the momentum behind me. Once I start doing better I will start feeling more confident and get back to playing my game.

Kiev: You are losing money in longer-term positions where the prices are going down, but you believe in the eventual recovery of your stocks? Have you reviewed your historical performance?

D: I just did this from February because I was very curious. I thought I did okay on some of my longer-term holdings, and I looked at where I lost money. So, I think these are the top ten losers where I lost money.

I was under pressure to perform, and I sort of took shots. You can afford to do that when you're up a lot. When you are up fifteen, twenty, and thirty million bucks, you can take shots with these things. But these weren't my ideas. I didn't spend a lot of time doing work on them.

D: So, you're losing more when you play other people's stuff.

D: Yes. I should be doing even fewer trades.

K: You should be making more money in your winners than you are losing in your losers.

D: Which isn't happening. I lost a million and a half bucks, which means I am doing too much trading.

- K:** Are you holding your losers too long and not holding your winners long enough?
- D:** It is possible, but this market is getting incredibly volatile.
- K:** What would mastery be for you?
- D:** Less trades and more conviction, like XYZ Corp. when I was shorting it. I only made six thousand dollars on it. If I held on to that short position, I would have made two hundred thousand.
- K:** You got out too fast?
- D:** I got out too fast. I think that is what happens when you start losing money. You feel pressure on yourself to cut your losses and to make money.
- K:** Is it possible that you are cutting the winners?
- D:** You never know what is a winner and what is a loser.
- K:** If you knew more about the company, wouldn't you know enough to stay in it?
- D:** I think that is right.
- K:** You don't have the confidence in your work or the conviction in your positions that would enable you to do it.
- D:** On the long side, I think that is right. So, on the long side I have to stick to it. One computer company I owned was a loser here and was down two and a half bucks the other day on some kind of rumor. I bought two hundred thousand shares. It was a seven percent position. It was twenty-one, and it could go to twenty. I mean anything could happen. It could go to nineteen. I felt like this was it. I mean I have to take my shots. I am here to buy these things when everyone else hates them. I knew the fundamentals. Then it bounced up two bucks, and I sold some stock, which is fine.
- So I am trying to build more longs that I have the conviction in and then trying to get a little more conviction on the short side. For the moment, I'm covering shorts that go against me because I don't have conviction. I feel better, but I haven't made any money. Yet, it's good to feel better when I have stopped losing lots of money. I am only down about a million.
- K:** How much are you running?
- D:** A hundred million, but I haven't taken up the capacity yet. I am taking about forty of it because I have been taking baby steps. I wanted to get a P&L behind me so I can take some shots on stuff. I feel like I am getting there. I am not there yet, but I feel better about my process.
- K:** Do you have some longs you could be bigger in?
- D:** I have one seven-and-a-half-dollar stock, which is a long, and I am making it bigger.

K: What percentage?

D: At this point, it is a four or five percent position. I am going to take that to a seven or eight percent position. I think it's maybe a ten-dollar stock this month. You have to feel pretty good about it. It's eight. It's a twenty-five percent move.

I felt good about it last month. In a down Nasdaq tape, I made money in it. It was my number-one idea last month. To me it's a shame that I only made that much money on it. I should have owned more stock. In a year, I want to reduce these small losers where I just kind of get in and out, and I am not really sure what I am doing. I think I am getting there. I am being much more selective in what I am going to do.

K: It seems to me you have a lot more positions.

D: These are all my active positions now. These are from the month of February. My active positions right now are quite small. I want to have more conviction in my ideas.

K: So, about this seven-and-a-half-dollar stock. Do you really think it's a good one?

D: I want to step it up. It is so much easier when you have P&L behind you. At my last hedge fund, I always had a positive P&L. Even this year when I left, I had a positive P&L for January. I don't want to be negative. So, one of the differences for me has been the psychological effect of having a negative P&L. I have to get over that. I am not here to get back to breakeven. I am here to get up to twenty, thirty, forty million bucks. I understand that I need to be stepping up. I am trying to react to that. I think I am going to get there.

K: It sounds as if you are preoccupied and not playing your game. You are really concerned about your P&L. But I am saying, "Do what you do. The P&L will take care of itself."

With too much concern about P&L, you are going to start buying stuff you don't know. You're going to start playing like an amateur if you let the emotion get in the way and you get too tense. If you are really concerned with P&L, then the perfect thing for you to do is what you already know how to do.

D: That is my thing—to make money in a down market. I feel like I, more than anyone else, can find stocks that are off the beaten path, things where I can get involved in what I know better. I can react to my game. I am trying to do more with that.

K: That method that will produce results.

D: Absolutely. It's proven that it will. I feel like I am getting there.

Derek's trading is clearly being influenced by his belief that he must build a cushion before he can start taking more risk. This is good risk

management; but from the angle I am pursuing, it is reflective of a cautious Life Principle that is keeping him from reaching his ultimate capability. (I'll talk in detail about Life Principles a bit later in the book.) By continuously challenging his views, I am trying to get him to think more proactively about what is possible, to gather confidence from his own prior performance, and to not be too distracted by concerns about making the right impression in a new shop.

Derek needs to rethink his current approach and to get back to basics. To handle his drawdown, he needs to get smaller in positions where he lacks catalysts or conviction based on fundamentals. He doesn't need to hold anything long term unless he has an edge; and he needs to balance his portfolio so that by being hedged, he will take out market risk. In this way he can reconcile his long-term approach with his preoccupation with P&L and the shorter-term trading approach of the new hedge fund environment.

Just like Derek, many traders need to realize that true mastery is about being totally present in the now and totally engaged in the current activity.

Mastery is a set of skills and exercises that enables you to become more fully absorbed in the processes of your life and work, not to obtain power or prestige but to maximize your performance. It involves asking the kinds of questions to produce a level of expertise that produces extraordinary results.

FORMULATING A VISION

One of the first ideas essential to the development of mastery is the creation of a concrete goal around which to frame your trading activities. Although this may not always seem to fit the particular trading styles of all traders, it is my firm belief that it is the essential first step to mastery; and even some of the most diehard buy-and-hold value investors (who tend to have long-term general objectives for the stocks that they hold) have, over time, come to recognize the power of setting specific goals.

Once you are focused on goal setting and the development of trading mastery, you will be able to get outside yourself and begin to draft a blueprint for greater success. By creating achievable goals, you can escape the trap of self-cycling trading errors that intensify losses rather than reduce them.

Case Study on Making Commitments

I like to meet periodically with traders in a group setting because I find that this kind of dynamic facilitates the conversation of mastery and provides an opportunity for traders to learn from each other. In the group setting, there is a greater chance of creating the momentum that comes from a shared vision and the inspiration of the leader. When traders get together to discuss what is expected from their groups, each trader talks about his goals and what the individual strategy will be. This dialogue is important since it creates a sense of group cohesiveness. The leader plays a role of catalyst, gadfly, and inspirational source.

I have this particular dialogue periodically with groups of traders. It shows through a psychologically driven conversation, how I prod traders to declare their goals publicly. I have been having these types of conversations for the past 12 years, and many of the traders know the “drill.” They understand that the request for making a public declaration of goals for the year is not frivolous, it is a statement of intention to which they will be held.

The purpose of this discussion is to make the traders more aware of their need for flexibility and adaptability and for paying attention to the demands of the market. It keeps them conscious of the goals and of the need to keep digging deeper into themselves for the confidence and strength to produce outsized results. It is based on the view that each trader has the potential for greatness or excellence within himself. Therefore, I ask what each trader can promise to do in the long term and what he will do in the shorter term time frame to make this happen.

In order to reach mastery, traders are challenged to think deeply about what they want to accomplish during the coming year. They have to consider what actions they are willing to commit in order that they can make their goal really happen. They are asked not only about a number, but also about specific strategies:

- How are they going to control their losses?
- How are they going to maximize profitability by sizing their positions commensurate with their goals.
- What will they do this year that they didn't do last year?
- What new procedures will they put in place to ensure their results?

This excerpt illustrates this kind of dialogue, the kind that helps set the stage for performance goals and encourages traders and portfolio managers to think about developing a strategy to help them realize the vision:

Kiev: Give me an idea of what you are going to do differently this year to reach your goals?

Fred: The way we plan on getting to our goal is primarily to have ten ideas and make three million dollars in each idea over the next twelve months. We will supplement that with trading calls.

K: How are you going to find those ten ideas? What's going to change from what you did last year? What are you going to do to ensure that you are going to be able to produce these results?

F: We don't have a problem making the profits. Our problem has been managing risk on the losses. So, we are going to put a much shorter leash on those problems. We are going to watch our drawdown and monitor that much more closely than we have in the past: ten percent stop loss, that kind of thing.

K: I think it is good that you are recognizing your weaknesses. I would put in a bit more time thinking about your strengths, in particular learning to size your positions. You want to get in the habit of getting bigger in your winners. Ultimately, that is an important component of mastery.

F: Got it.

K: How about you Ric?

Ric: Last year we came close to our goal. So, we weren't too bad. This year, I am increasing the number. I expect to get the market share gains. We are going to use more capital.

K: How about you, Phil?

Phil: I am going to get to my goal by using more capital and getting a little bigger. I went through last year's numbers, and the batting average was good. I just have to do it more consistently and more often.

K: What was your batting average?

P: It was just the number of winners versus losers. I didn't have a lot of big losers, just a lot of winners where I could have made more money if I were bigger.

K: What is it going to take to get bigger in those? What mental adjustments do you have to make to do that?

P: Just do it.

K: Double the size or make them fifty percent bigger?

P: Thirty or forty percent bigger.

K: How about you, Jim?

Jim: Our goal was to use all of our capital. I think we came in above that. Our goal this year is to use almost twice as much capital.

K: Any change in your strategy?

J: I think I can size my positions better and scale into the positions more appropriately. I think I can be twice as big in any of the posi-

tions that I am in. They are more liquid. We can also use more discipline, more stop losses. We have a pretty solid team in place.

K: And you Dan?

Dan: We have to get outside of our comfort zone a little bit and take it up to the next level. In order to do that, I think we need to surround ourselves with the best people we can find. Right now, we are in the midst of hiring some first-rate, top-notch analysts who are going to help us deploy more capital. We are hoping to create more of a dialogue with other accounts in the firm so that there is greater information flow between accounts, thereby maximizing the leverage that we all get from information sharing. There is a tremendous amount of synergy that can be created by connecting the flow of information. One idea affects many derivatives.

K: Sean? What's your plan for the year?

Sean: I plan to do five million a month. I have given some responsibilities to a guy who is doing analytical work with us. He will manage the money a little bit. I also want to get out on the road a lot more. I am in the process of looking for an assistant research person. I am going to speak to the companies a lot more. All the incentive is there. It's just a question of whether it's the right guys or not. It will be sink or swim for us.

K: That's another thing. A lot of guys in the firm are hiring analysts. What are the expectations of these people? What are the expectations between the trader and the analyst? My experience is that there is tension in that relationship. Invariably, the analyst thinks he is the reason why the account is making the money. But the trader sees himself as the one who is managing the risk, which is the more difficult function and one which ultimately accounts for the results. Both roles are very important. So, communication and honesty between the analyst and the trader are critical to reaching your goals. There has to be some effort put into managing each other's expectations and being truthful. People need to know where they stand without holding back. What's your target, Stan?

Stan: I will shoot for ten million this year. I just have to get bigger.

K: That sounds reasonable. The importance of the goal is to create the stimulus for doing the kind of work that is necessary to produce that result, managing your downside risk so that you don't get into a hole and sizing your positions commensurate with your goals.

K: Jake?

J: Our goal is forty million. I am excited about the year. I have two analysts. I mean financials are a big part of the S&P [Standard & Poor's]. We have evened the bench a little bit. I think we are going to get very

involved in deeper research. If we put real money to work instead of trying to trade and chase stories, we are going to be able to make a lot more money.

K: What do you need to do differently this year, Jake?

J: We are going to limit our losses and stop being stubborn.

K: There is a difference between being stubborn and being protective. It is subtle, but there is a difference.

J: I am trying to get bigger, and we are trying to push each other.

K: Tony?

Tony: I am on a good track from last year. I somehow have to figure out how to do a better job with my analyst, Don. We are going to segregate some of his longer-term ideas.

K: Is Don in charge of that?

T: Somewhat. We are going to try to start with a new structure, but there are a lot of things that fall through the cracks.

K: What does that mean, “fall through the cracks?”

T: I am having a hard time getting conviction. I think a lot of it is just lack of catalysts. There are a lot of movements in stocks if only we could size our positions in terms of our conviction.

K: This is a critical aspect of trading. To get bigger you need conviction, which you develop from confidence in the work—in particular, confidence in your variant view. A catalyst will help your timing and increase the probability that your variant view will be assimilated by the marketplace. With a variant view and a catalyst, you can make inferences about prices being too low.

If you recognize this early enough, you can bet bigger and profit as the stock price moves to a more reasonable one. The same holds true on the short side.

Mastery allows you to increase the concentration of your positions because of conviction and a catalyst that increases the probability of being correct. One caveat in all of this: Watch out for false conviction in believing that you have an edge because you have done the same work as someone else. Remember, mastery is ultimately dependent on original work.

It is hard to get conviction when there is no additional perspective or what Steinhardt called “the variant perception,” something to give you some advantage over the rest of the world. To get this, you need to do more digging to find reasons to buy the stock for the short-term gain in profits. The smart trader looks to his analysts for these kinds of ideas. He is always weighing the reliability and the validity of these ideas based on the source, the assessment, the analysis, correlated analyses, and other indexes, in order to increase the likelihood of correct choices.

All that being said, it is useful for you to consider how you are going to develop conviction.

T: I don't know that yet. I don't know that it will change.

K: Don, how is that going?

Don: It's good. We are setting up a bunch of meetings with what we think are the best newspaper analysts and trying to get the specific data points that can work as catalysts. There is not a great market cap there either, but it's not bad. It's probably about fifteen billion dollars or so.

K: Marshall?

Marshall: We are going to reach our goal by minimizing some of our losses. I think we have a pretty good team in place. I spent the past six months just trying to make sure that everyone understands the role he plays. Now we have the infrastructure to achieve seventy-five-plus million.

Will: I think that one thing we are going to do this year is try and get two trades right that we didn't get right last year. What we have done is put two or three guys doing primary research, and we just focus on those people all year long.

K: Any ideas how you are going to use more capital?

W: I am putting a log together every day to make sure that I am focused on how much money I am using, how much each position is going to be.

K: Does that help? If so, how does it help?

W: When you write it down every day and visually look at it, and it's a three million dollar position that should be a five million dollar position, you have to do what you have to do to get it up to five million. I am going to review once a week, just to make sure they are not walking.

K: Do you find that you put it outside yourself?

W: Yeah.

Jerry: I guess I will use the same amount of money. You know, cutting the losers and not being as stubborn and learning the groups and learning how they trade best.

This is one of the more powerful discussions that I regularly have with traders. The objective is to get them to publicly share their objectives and their strategies for reaching them. It's to help them to tweak these in terms of their past experiences and greatest strengths.

Like them, you have to understand how you may be getting in your own way in the implementation of your plans. This discussion also underscores the power and the significance of individual trading styles because much of my inquiry moves in the direction of encouraging you

to think of the individual steps you need to take in line with your talent and style.

There are several values inherent in a multitrader setting. It gives traders a chance to hear how other traders are struggling with the same psychological barriers, therefore giving them the very positive feeling that they are not alone in the face of uncertainties in the marketplace. It also provides a supportive setting in which people can gingerly step forward and promise extraordinary results without being ridiculed.

This conversation is continued throughout the year in order to keep traders conscious of their goals and their strategies and of how to adapt to the markets when those strategies aren't working. Such in-depth conferences are necessary to maintain an attitude toward mastery as a way of approaching work that requires continual self-examination and adjustment when things aren't working. It is not formulaic talk that you can adapt wholesale. Rather, it is intended to inspire any team to develop its own visions, remaining actively engaged in the process throughout a trading season.

ENHANCING THE PROCESS

Trading mastery is not a cookie-cutter type of profession where you can learn a few rules and then implement them. It is ultimately about taking a leap of faith and stepping into the abyss of uncertainty. You need to be ready to commit to an outsized goal and to then do what it takes by way of work, analysis, coaching, asking for help, and other things, to be able to stay on top of the goal in the face of difficulties that cannot be predicted at the time of the initial conversation. It is like taking a course in sailing and then being thrust immediately out to sea in the midst of a storm. You must be able to tack, come about, make minute course changes according to the circumstances that you encounter.

If you are going to attempt to reach the shores of mastery, you must be more focused on navigating the trade waters than on whether you'll be hailed as a hero afterward. You'll know you are approaching mastery when you:

- Are able to endure high levels of tension.
- Are able to monitor your anxiety and control it.
- Are comfortable about expressing aggression and being venturesome, bold, self-assured, and uninhibited.
- Are realistic about your abilities.

- Can overcome obstacles of fear, self-doubt, and lack of confidence when they interfere with accomplishment of the goal.
- Are able to tune out distractions and focus on one thing at a time.
- Can establish and stick to goals and set priorities, and have the capacity to mentally visualize the trade so as to formulate a game plan to respond to events.
- Feel in balance within yourself with immediate awareness or controlled spontaneity.
- Rely on a minimization of defensiveness, such as rationalization, concealment, blocking, and “passing the buck.”

What are the techniques you can follow to help function in the world in the same way as the master traders have developed? You must identify lacking in your armamentarium of techniques and the bad habits on which you rely. Simply put, you'll need a self-awareness that allows you to change. The specific steps each person follows on this path to mastery are unique, depending on the ways in which he is already inclined to trade.

Case Study on Becoming a Master Trader

Staying focused isn't easy in a busy trading desk where there are multiple decisions to make, a lot of activity, and changing crosscurrents. Irwin is one trader who recognizes that he is easily distracted and addicted to the noise. He allows himself to get off his target when the activity around him interferes with his concentration.

While the ultimate algorithms on which a master trader relies are encoded in his own mental computer, there are things the trader does that others can imitate. That's why, as I tell Irwin, it is useful to think about modeling yourself after a master trader. I'm not suggesting that you copy his exact style, but that you try to understand what it is he is doing that contributes to his masterful component skills. In this conversation with Irwin, I talk about both what he needs to do and what he can learn by watching one of the master traders.

Irwin: I have to learn to let go when I make a decision. I have to conquer the fear that happens when I go for something, to keep my goal in mind and not let others influence me. The road to the destination doesn't necessarily go straight. Even when others are going crazy, the master trader stays focused on the target. He knows where he is

looking to go and is not afraid of the noise in between. I have to learn to clear out the noise by doing a bit of what he is doing.

I want to have confidence in what I am doing. I can't be afraid. I have to let the noise not distract me. Like yesterday, I was short a large energy company. I knew it was going to zero. I covered the bonds. I was short 4.5 million of bonds. I was tired, and I was afraid they would pop. There was no upside. I said, "If they go up, I'll short more. There's no way it's going up. I have to find a place to short it." I had the conviction, but I covered some of it.

Kiev: What were you experiencing?

- I:** Boredom and the end of the year. So, I decided to close out the trade. I felt like stretching for another ten points; but for a half million dollars, it was a bit greedy. It wasn't a bad thing, but it wasn't the best decision.
- K:** The key to mastery is to identify what you are experiencing at the moment you are losing your focus and getting off your game. What made you do what you did? Did you stop being masterful? What is it that you need to focus on in order to reestablish mastery in the trading process? You have to learn to do it, not simply to understand it.
- I:** Sometimes people do things reflexively as opposed to thoughtfully. If I can analyze what went right and wrong in a situation, I see the points of light. That is what I need to be able to do to get bigger when it is happening. If I see a mistake, I need to contain it and not get scared by the noise. I have to take these trades when I see them and not wait so long that I miss them.
- K:** You have to trust your conviction based on your analysis and then recognize the movement of the price action and where you can get in on a trade rather than wait until it drops to your preferred price. If it drops, perhaps you can buy more of it.
- I:** If I take a mark because it drops after I buy it, I am sorry. I have to get into the trade based on what I know. I have to be there and not try to buy the bottom.
- K:** Listening to others allows you to rationalize your inaction.
- I:** It's an excuse. Most people like to talk about their obstacles.
- K:** Trade independently of the obstacles.
- I:** Learn to work around them?
- K:** You don't have to worry so much about the obstacles if you are focused on the target. Make a decision. If it's wrong, don't obsess. Act. There is a computer in your brain that can compute more than your rational mind can compute. Rationally, you decide on the target and then take in the data and allow the computer to compute. You have to take action. If it is wrong, you take another action. It is a

series of actions. You get paid for taking action. Too many people blame the situation instead of recognizing that they can choose and can take action. They blame others or the market or the difficulties of the market. You only mess yourself up. You are the only obstacle. You are uncomfortable when you lose money. Before the big situation, you see it and don't react. Remember the feeling. It's uncertainty. Make a decision even if it is not as big as before. Mastery means replacing this lack of clarity with confidence. The interesting thing is that you cannot provide a formula for someone. This is intellectual.

- I:** You have to handle your emotions. If you want to play in this world, you have to understand that it will maximize craziness. You have to stay focused, and you can't second-guess what you should have done. You have to keep moving. A master sees something happening, and he starts buying and keeps buying as long as he has the conviction that it is appropriate to buy. He develops conviction in an idea and the belief that the stock is going to go a certain distance. Even if it does not appear to be rational at the time, he puts his head down and moves forward full speed ahead.
- K:** There is often no time to think. It is a question of being prepared, having a game plan, having an ability to react to market movements. It is like tennis. You have to know where your racquet is and keep your eye on the ball and then maximize your performance by playing intuitively.
- I:** It is reflexive. Whatever you do may not be right initially, but you are playing for a specific result. A master trader sees the V bottom, and he keeps buying even when it goes down because he has conviction it is turning up. With more data, his conviction level also increases, giving him more confidence about playing when others are beginning to get scared because the price may have dropped as they got into a position. You can't be hesitant. Yesterday, he said, "Sell." If it's wrong today, he'll say to buy it back. He is always moving.
- K:** We are talking about emotional intelligence. That is a critical component of mastery.
- I:** I can take pain if I think I am right. That gives me intellectual reward later on. Hopefully, I can minimize the pain. I am sometimes too early. I understand the master trader's philosophy. Why be in there if you can get it going the other way? You taught me to learn from that discomfort.
- K:** There's no reason to escape.
- I:** The feeling is not an obstacle. It is a built-in message that is giving you a direction of what to do. You are telling people to ride out their discomfort. Can you use pattern recognition? Can you use your feel-

ings to give you some indication that something must be done? I want to be more objective. If one of my shorts goes down or one of my longs goes up, I have a tendency to want to take a profit.

K: Do you have a target?

I: I have to develop one.

K: It will make a big difference in how you trade.

I: The absolute number that I want is so big that I am reluctant to commit to it. I don't want to get screwed by setting too big a target.

K: That is a Life Principle or cultural myth about setting a goal. What I am hearing you say is that you believe that you will be taken advantage of. So, instead of stretching and playing better under pressure, you hold back. You erroneously think that you won't stretch or go for it until you have assurances from others. In fact, there is only the game, and the task is to play the game full out and let go of your own erroneous notions about what might happen to you. Holding back can only hurt you.

Play fully and discover the satisfaction that comes from doing so. You will learn what it takes to give all that you can. You will benefit and blossom, and eventually you will know that you have the capacity. If others know it as well and reward you, fine. But you are better off not playing for the rewards that you can get from others, because that tends to make you dependent on them.

You spend your entire life trying not to get screwed, and this avoidance in the end is what screws you because it takes you out of the game. This is only one of a number of Life Principles that keep you from being as fully engaged in your life and trading as you can be.

I: The absolute number is high. At the end of the day, if I have accumulated thirty to fifty million dollars, by the time I am forty, I can be running a billion-dollar fund. If I have a 40 percent year, I will become wealthy beyond my wildest dreams. It pays not to get too obsessive about the specific amounts each year. In an absolute sense, it is a terrific number.

Next year will be a better year. I have had a longer-term progression. If I can keep looking forward, I can keep pushing through. It is high performance. It is not a straight line. You have the joys of winning. You also have the emotional downside. This is what it takes to compete at this level.

K: Remember, the key is to look at what you have to do to get to the next level.

There are many lessons that can be extracted from the dialogue with Irwin. One is the importance of consciously avoiding distractions and

staying focused on your own objectives and strategy for reaching them. This entails a willingness to pay attention to what is going on with you emotionally and what is getting you off track.

A second lesson is putting more credence in your own work product and beginning to build confidence in your own efforts and, if necessary, expanding your efforts to build greater confidence. It is also important to notice your emotional responses and to not get sidetracked by becoming overly emotional and self-critical. By using the goal as a roadmap to what to do, you won't become a prisoner of your own internal thought processes and interpretations. And, of course, as the conversation suggests, there is always value in modeling yourself after traders who have developed mastery after working on these themes for many years.

One bedrock tenet of mastery is that you create your world, that you are responsible for the results that you produce. To do this, you must understand goal setting and review the inhibitions that keep you from realizing your objectives. You must develop various skills that will help you to stay on target as you move toward your objectives and develop greater mastery.

When you recognize these skills, you, as an ordinary person, can begin to produce extraordinary results. To do this, you have to keep inventing yourself in line with your goals and results. You enter into a dynamic process where you learn from the efforts you make and keep moving forward toward the development of mastery.

STAYING TOTALLY PRESENT

To express your vision from within your creative self, you need to let go of your concerns moment by moment and to stop trying to manage the future. You should focus only on what you can do in the next moment. Having set the goal in the future, focus on the here and now in steps that have been defined by the target. Most of all, you should start from emptiness, without preconceptions or concerns about the future. Stay totally present to the moment before you, and, in time (much to your amazement), you will find yourself in the process of actualizing yourself—becoming what you have set out to become.

When you are practicing mastery, you are always seeking to bring more of yourself to the present moment by relinquishing or revising long-standing Life Principles and seeing reality through the framework of a newly invented prism or vision expressed in terms of specific, concrete goals that you choose to pursue. You are pushing the envelope, recreating yourself along the way, so as to be able to tap into more of yourself. You

change your responses to events by reframing the events, seeing them from a new perspective and becoming more counterintuitive. In this way, you learn to respond to events in new ways, not automatically as in the past. This act of choosing to be totally present can require traders to reframe their thoughts and actions in a variety of ways.

For one trader, Dick, this meant learning to take his profits, to cut his losses, and to play a more proactive game, rather than watching his profits dwindle while holding on to positions for long-term reasons. For another portfolio manager, Derek, reframing required him to stop trying to become a day trader like the other guys in a new firm he had joined. He needed to turn off his daily P&L from his screen so that he could focus more attention on the longer-term game. Additionally, he consciously decided to stop talking to some of the other traders with whom he had been exchanging information in the past because they were leading him to do consensus trades in a market already crowded with hedge fund traders.

Still another trader, Mannie, was having a hard time in a difficult market and was anxiously chasing after trades trying to reconcile them with his technical chart patterns. By speculating on technical moves and general macro themes about sector rotations in an effort to catch the intraday volatility, he was tending to get in at high prices and out at low prices and was losing a lot of money. For him, reframing required that he slow down the rapidity of his trades, narrow his sector focus, and spend a bit more time getting a fundamental edge by talking to sector analysts who were trading the same stocks as he had been.

The value of trading fully in this present moment is that you, like these traders, can see how much of your trading is a reflection of your unconscious inclination to resist being as fully engaged in the opportunities available to you as is possible. Of course, when you do this you come face-to-face with your own resistance as well as with the resistance of others.

This pattern of drift and unconscious resistance was demonstrated repeatedly by one brilliant analyst who, after encountering a \$10 million drawdown in the early months of 2002, was willing to confide that his “stock picking had been good” but that he had “gotten too confident about our positions and failed to change our high-water mark.” He continued, “We need to use trailing stops so that we lock in profits as we progress in our positions and don’t retain the original high-water mark so that we move back to a break-even position when the stocks turn. As hard as it is to admit that we need to do this, if we don’t, we are going to continue to give back the profits we make. We have to respect the volatility of the marketplace.”

True mastery functions in the realm of what you are doing now. You banish the word *impossible* from your vocabulary. As a trader, you must commit to producing results in a marketplace that is unpredictable. You must learn to make probable bets in line with the amount of work you have done. It is an endeavor that benefits very much from emotional maturity, self-knowledge, and self-control.

BEING AN INDIVIDUAL

While there is always knowledge to be gained from examining the success and failure of others, there is no ideal way to perform a specific trade, just as there is no ideal way to paint a picture or write a symphony. It is difficult to model yourself after other people because there is no ideal biomechanical form for making a successful trade. In the higher reaches of any pursuit, the biomechanics of performance are specific for each individual and each trade. Although there are a number of good strategies, the critical element is adhering to a strategy you've constructed to fit your personal style. One of the mistakes traders make is copying other styles whole hog and then not understanding why the copied strategies don't work for them. The problem generally is that they don't understand some of the subtle issues critical for the mastery of any strategy and often don't have a comprehensive view of their own strategy and what they have to do to adhere to it.

Of course, while there is no one formula for success, you will find there are a number of common denominators that master traders all share and that can be learned. One is the skill of self-observation—the ability to stand outside oneself and allow the “perfect trader” within to function naturally and freely. The more comfortable you are, the more subtle your own moves can be so that you can learn to respond and react to events with minimal efforts rather than with excessive or strained efforts that can easily tax your energy and strength. This requires careful monitoring of your mental state so that you can react and move calmly in the face of competition, failure, or stress. The more you can learn to control the direction of your attention, the more effective you will be in controlling your actions and your performance.

The master trader recognizes that when things aren't working, it is invariably because he has failed to follow his basic strategy. Mastery is about continuity, staying in touch with your discipline and adapting as well as you can to changes in the market when that is possible.

Review your positions. Slow down. Take a deep breath. Approach

things more gently. Then the answers will appear. Stop trying to find the answer. It is already in place. You need to relax in order to see it.

Lane, an experienced trader at a successful hedge fund, compared his experiences in karate with achieving this relaxed and masterful mindset. "In karate, there is a concept of 'Take action and leave no trace behind.' The quicker you react, the better off you are. Then you can get into the next moment. You really have to be able to take action. If you're wrong, you are wrong and move on. I try to get myself in that same frame of mind in the morning. It helps me to relax and stay attentive. I like to come into the trade in that mental state—the way it was when it really was clicking rather than waiting until I get into that state.

"Everyone has some experience such as karate where they [*sic*] have learned to relax and get centered and be at one with an activity. Ideally, I want to be prepared by entering into this state of mind before I start trading so that while I am trading, I can focus on the tasks at hand and not be distracted by the incessant conversation in my head, which is a source of distraction."

Another trader described a conversation in which he compared master traders to Bill Gates. In his opinion, there are two key characteristics that make them better than their competition. The first is their intensity. No matter how much money they make, they never stop wanting to win. The second is their ego or the lack of it. They maintain complete objectivity. They refrain from emotional attachment to their actions.

Mastery is a process in a culture where excellence is encouraged, expected, and facilitated by having traders continually examine their own performances and set their own standards and then have them held to the standards and the results they have committed themselves to achieving. You have it within yourself to create significant results. With a little inspiration, encouragement, and support of the processes of mastery, it is possible to develop an organization that can also produce significant results.

In effect, the principles of mastery apply a template of efficiency and effectiveness to activities in which you are already engaged. The critical thing is to be able to focus more energy on the task at hand and to find ways in which you are not as fully engaged in the task because of other considerations.

The goal—the objective that you are pursuing—is setting up the frame of reference for your actions. It is not the end in and of itself. The objective is to bring more of yourself to bear on the task. To do this requires that you stop thinking about the goal once you have figured out what it is that you must do to accomplish the task.

This is what I mean by coming from nothingness. You focus on the size of positions necessary to create a portfolio that will enable you to

reach your target numbers. You focus on the tasks before you in order to accomplish your goals. There is no other agenda. There is no explaining how to do something. There is only doing it. You have to empty yourself of ego, self-concerns, self-doubts, and other hindrances to performance in order to execute the tasks in terms of the blueprint or the design of the task. That is the essence of mastery.

CHAPTER TWO

Developing the Vision

If you are like most people, you probably have never really pushed yourself physically and mentally—to the limits of your capabilities. You have reached a certain level of achievement, and maybe you have become complacent, rationalizing the level you have achieved with one or more of the reigning cultural myths about setting limits on achievement or not pushing too hard lest you burn out.

Maybe you also accept the notion that those who are more successful have “natural ability” and are “special” rather than acknowledge the simple fact that champions are generally people who work harder, fail more often, and bounce back more often than most others.

Indeed, a self-fulfilling prophecy seems to operate here: Those who expect to do well work harder, so they do well. Those who don't expect to do well don't put in the effort, and thus they don't make it at all. In fact, a review of your attitudes about your potential may uncover the fact that you have not maximized the talents that you have.

What's behind this common shortcoming? Let me begin by telling you a story. Years ago, when I was studying for my boards in psychiatry, my neurology professor, Geoffrey Osler, began a lecture about the brain that I'll never forget. He started with a diagram of a single cell. Each week he added more nerve cells until he had built a spinal cord and a brain, complete with cerebrum, cerebellum, and the various specialized lobes, including the all-important frontal lobes. The frontal lobes, he noted, were designed for the integration of information, perception, and conceptualization. This last function enabled the physically weak *Homo sapiens*, our primitive ancestors, to capitalize on large memory banks of information

about past events, to prepare themselves for the future, and to develop coping strategies that made it possible for them to adapt to a complex, often dangerous environment.

The problem with human beings, Osler said, was that the frontal lobes often ceased to function as an adaptation organ and instead “fell in love with themselves.” This, in turn, led humankind to become preoccupied with its “magical” and “divine” powers, unable to adequately assess and deal with the real world.

I can still see him pointing to those problematic frontal lobes and talking about how they stopped working. It is this counterproductive property that so often accounts for much of the subpar performance human beings experience.

Why? Because efforts to protect against anxiety and fear, which you learn early in life, lead to habits of thought and behavior that grow rigid. As an adult, you don’t always adapt to the changing world. You are left with a fixed set of response patterns that I call the “Life Principle” which keeps you from seeing the world, or reality, as it is. It is like a balm that was soothing at one time, but that has hardened. It no longer does the job.

The Life Principle ignores your own contributions to the events of your life. It allows you to project blame onto others and nudges you to search for magical formulas and easy answers to solve your problems.

I’m sure you are eager to start up the hill toward mastery. But you can’t make this particular trip successfully without knowing what makes that mountain so tough. That’s why I want to go into a bit of detail about what the Life Principle is made of and why it requires so much work to surmount.

WHAT IS YOUR LIFE PRINCIPLE?

Formed early in life in response to the influence of parents and teachers, the Life Principle is a set of beliefs and responses around which you have organized your life.

From early childhood, approval and punishment become critical parameters in each child’s adjustment to family and society. From these experiences, you learn to behave in a socially acceptable way that covers up all kinds of feelings. To avoid rejection, criticism, and other painful experiences, you adopt a Life Principle. You learn to conduct yourself in a manner that buries feelings of fear, shame, guilt, anxiety, and embarrassment about “bad” things—unacceptable things you had done or negative feelings you did not want to share with others. You begin to act acceptably—being “good,” not making mistakes, fitting in, taking it slow, not taking risks.

As you grow up, you personalize these traits to encompass the values of the world handed down by your parents. They are often the source of beliefs such as “men are this way, and women are that way,” or “boys don’t cry,” or “you can’t trust people; you’ve got to do it yourself.” All those things color the way you see the world. You have been living out these patterns and perspectives ever since.

HOW LIFE PRINCIPLES WORK

Are Life Principles dysfunctional? Yes and no. They help make the world predictable and give it a sense of order. They help us adapt to a variety of circumstances without having to invent a new set of responses to every event. In this sense, Life Principles can be said to help with adaptation.

Some of the things you believe you are—since you developed your image of being the person you think you are—may be praiseworthy attributes, such as “I am kind,” “I am thoughtful,” “I am generous.”

Therefore, I’m not saying Life Principles are dysfunctional, *per se*. But they all are constricting. These patterns keep alive the original, underlying fear every child has felt. And every time you try to break out of these patterns, you experience that old anxiety. Result? You keep trying to do what is necessary to conform to that Life Principle. It’s an unconscious way you protect yourself from unpleasant and frightening life experiences and from judgmental attitudes of significant people in your life.

That Life Principle was valuable to your childhood self. But it is more than a lifelong psychological defense system. It is an operating manual for behavior that encompasses your philosophy of life, your personality, and your social image of yourself. As you age, it mushrooms into the basic ingredient of your self-concept. It’s a fundamental set of theories you have about yourself and the world.

Early training has to do with learning to control yourself and to behave properly. This makes sense. It enables you to get a handle on your emotions and to learn proper habits of thought and conduct so you can function effectively in society. Often, though, the lessons are learned too well. The patterns begin to dominate behavior and limit self-expression. The need to manage your feelings leads to repressing them. They then percolate below the surface as your “hidden” or “secret” self, covered by an outer layer or social persona of being calm, cool, and collected.

One of the most persistent fears in adulthood is that these emotions will be revealed and be inconsistent with the public image you have learned to display. The need to appear to be in control reinforces the suppression of feelings.

Stressful childhood events, such as criticism from parents about behavior, trigger uncomfortable feelings. It is only natural for a child to adopt defense mechanisms to fight those feelings. Those defenses, when linked with various attitudes, beliefs, and behaviors, are at the core of the Life Principle. The problem is that such patterns take up permanent residence in your personality and stay in place throughout life, even when they no longer serve an adaptive purpose. Your early experiences and the responses to them are imbedded in your memory and function like internalized land mines, detonating conditioned responses of fear and anxiety in a variety of circumstances.

The Life Principle dominates the way you relate to the world. As a result of it, very little happens to you that represents a direct interaction between your “self” and your experience. All experiences are filtered through the Life Principle. To put it another way, all current experiences are built on past ones. Relating to events through this filter, you interpret events in terms of your preconceptions, not in terms of the actual experiences themselves. The Life Principle is a template for you.

It's hard to let go of that template if you don't know it is there. Sometimes, it's hard even when you are able to identify it. Sweeping aside that template would be a bit like floating into the swift current of a river without a life vest. The first time you floated in a river, you wore a life vest because you didn't know how to swim. With a buoyant life vest snugly strapped around you, you could float and feel safe. Now, you know how to swim. But jumping into the river without that familiar buoyancy device means letting go of a familiar way of dealing with the world and can bring many dormant anxieties to the surface.

Among the most potent emotional elements of the Life Principle is sexuality. By raising you in terms of their concept of what was desirable, your parents may have conveyed to you that there was something wrong with sexual feelings. That part of your personality might never have been allowed full expression. In my psychiatric practice, I observed that in numerous adults anxiety stems from an unsuccessful attempt to keep unexpressed emotionality (and sexuality) under control so that they could act like the dutiful child they believed their parents wanted.

As you grew up, a lot of your behavior was labeled as undesirable or as dangerous, especially sexual drives. As a child, you believed these “bad” things had to be controlled, or else you would be disciplined. These drives then became part of what I have called the “secret” self: a suppressed layer of impulses, thoughts, and desires that you learned to keep hidden.

As an adult, you, like so many people, may have expanded these notions and now believe that all emotions should be controlled. Their unwanted appearance tends to trigger anxiety about being punished. You

thus become increasingly defensive, and the pressure to express these feelings and thoughts is intensified.

Much of your life consists of relating to events in terms of your early concepts, interpretations, or defenses. Early on, you adopted concepts such as being good, not making mistakes, fitting in, taking it slow, avoiding risks. You wore those concepts like you wear your most comfortable jeans, except they are now more like an outfit of invisible armor. You put the armor on to avoid fear, criticism, rejection. You expected it to protect you, and you have been living out those perspectives ever since. But at the same time, that armor restricts your freedom to be fully engaged in the reality before you. You are not aware that it keeps your original anxiety chained around you; so every time you try to break out of that armor, you get frightened. This anxiety, in turn, leads you to keep trying to do what's necessary to conform to those Life Principles, to slip back behind that invisible shield.

The power to change anxiety based on a Life Principle strikes most vividly when you try to set your life on a new course. I strongly believe that if you appreciate these mental factors at work behind the scenes, as it were, in your current adult world of trading, you will be able to approach your work with a new awareness and a new-found strength. By becoming aware of Life Principles, you can start to overcome those constraining, inaccurate ideas carried over from childhood and to discover new paths that will boost your performance, motivation, and overall results far beyond your wildest dreams. In essence, you can learn new ways to focus on what you can control—your own behavior.

Very little will change unless you question and reframe those underlying Life Principles, such as the need to be safe and to avoid failure at all cost. When you are nervous about what may happen, you constantly live in a state of paralysis. You are more terrified by the prospect of the fear than by the fear itself.

It's time to challenge the idea that you have to behave a certain way in order to succeed. It's time to challenge many defensive, self-limiting notions of who you are.

Imagine the layers of your personality as a walnut, with its core of meat wrapped in a sheath of membrane and packaged in a hard shell. That outer shell is your defense system, your "social self," the side you present to the world, it is in part who you *think* you are. The second layer is an illusory one, it is the sum of undesirable qualities that you suppress. The core is your spiritual being, the source of your hidden potential. This is your real self, which doesn't get nurtured since it is not in touch with experience. You need to pump yourself up with a genuine sense of confidence or self-esteem that should come as the result of your successes.

I have delved into the Life Principle in detail to help you distinguish between your public image—the socially acceptable way you have of presenting yourself—and your real, inner core. Your Life Principle governs your perceptions and influences what you see. It acts as a fun-house mirror, skewing your view of the world. What appears disturbing to you is nothing more than a reflection of your Life Principle. If you become aware of its distortions, and you will be able to tell which meanings you attach to the world because of your Life Principle. They will be distinct from the facts you'll distinguish without the baggage of the past.

The truth is, the events of the world are neutral. The only meaning they have is what you attribute to them. If you accept your world as being without meaning, and view your thoughts also without meaning, you can begin to experience the world as it really is. To put it in abstract terms, the world you see doesn't exist. You created it with your thoughts. All those things you are nervous about don't exist either. What you *think* you see is produced in your mind by those early life experiences. By grasping the idea of the Life Principle, you have begun to discard your self-imposed limits. Now, your aim is a simple one: to live in the present.

To become a master, you must live from your core. That is where your hidden potential, your creative energies, your personal power reside. If you strip yourself of the past, you can learn to trust your intrinsic worth, the inherent value of your instincts.

At the center, all human beings share a capacity for compassion and love, courage and abundance. This center is the source of all the qualities that differentiate you from other species. Get in touch with it, and release a tremendous sense of your potential.

VISION: THE FIRST STEP

As I noted in the preceding chapter, in order to tap this enormous potential residing inside you, it is essential to commit to a larger vision. With a larger framework of understanding, you can begin to define specific objectives; develop specific strategies for trading, and then calculate specific algorithms for assessing data, testing your hypotheses, and making decisions in a changing environment.

Most people are reluctant to define a vision and commit to it because it sometimes seems impossible or even scary. They believe they cannot do so without any certainty of the outcome. They are afraid to fail. I believe that in order to become a master, you must, as Arnold Schwarzenegger said, “*dare* to fail.” That becomes possible when you formulate a vision and then do everything in your power to make it happen. This book is

going to show you how to define your own concept for approaching the market—your own vision—and then how to take responsibility for making it happen.

Vision allows you to deal with uncertainty. It gives you conviction in the face of an unpredictable universe. This is the realm of mastery—functioning without certainty based on nothing but commitment to the vision.

The purpose of choosing a vision is to establish a set of standards or objectives around which to measure your performance. When I use the word *vision*, I don't mean just a bigger P in your P&L (profit and loss) but a willingness to examine what isn't working—to recognize how unconsciously you are approaching things and how tolerant you have become of mediocrity because you are not looking at the results and measuring your performance against them.

Originating in the deepest levels of your being, your unique vision is what you want for the future. It is your passion, your dream, what you really want to do with your trading, the results you want to achieve, how you see yourself.

Traders must learn to step into the abyss and risk themselves. Indeed, this is the key to mastery. You must take the steps before there is certainty or even confidence, trusting that the results will invariably evolve after you step into the unknown.

CREATING A NEW PERSPECTIVE

Achievement relates to the simple yet often understated fact that you can infuse enormous energy into all of your efforts through the mental machinery that you control. Your brain is continually generating thoughts in association with visual images that lead in turn to action. To the extent that you can choose the images you think about, you can increase the purpose and the energy of your actions. By selecting powerful images, you can motivate yourself in the direction of your choice. You can choose a more powerful or successful self-image. Moreover, by controlling your thoughts, you can concentrate your attention on visual images relating to the task you have selected.

Remember what I said a little earlier about the images that have been programmed into your mind since childhood? As you consciously select new ideas for yourself, the mind will function in terms of these new images. Precisely how your mind displaces old images with new ones is unclear, but there is ample evidence that you can introduce new concepts repeatedly until the new concept is added to the old and is able to influence your repertoire of responses. You can then selectively choose to act

in terms of this new self-concept. Repetition, practice, and visualization contribute to the development of a new self-concept built around mastery.

In other words, in the very process of inquiring about mastery, you learn certain critical distinctions about mastery that enable you to begin trading at new levels of performance.

A vital component in formulating your vision is making the distinction between the creative, centered state of mind that supports a positive vision of an abundant future and the, judgmental, monarchical mind that governs your life in terms of competition, domination, and an overriding sense of scarcity. Typically, the Life Principle that governs most traders pertains to envy of others, winning versus losing, self-criticism, and all kinds of things that keep traders at odds with the world. Most traders harp on limiting factors and on the reasons why they are not likely to succeed. They care too much about not losing, and they care far too much about winning and dominating others. They always see themselves as battling the next guy for ideas and data. These factors explain why many traders believe they are “losers,” even when their P&Ls show they are winning.

Most traders are coming from the Life Principle of scarcity, which focuses on the limitations they have, on the difficulties in the marketplace, on the problems they are facing in the market, on the economy, and on other factors that make trading so difficult. They are quick to pick up on data that suggest things are not going to be good, on the “fact” that others are having difficulty, and on their conviction that they are likely to continue to have difficulty as well. These are the limiting and self-critical voices that keep people from seeing the possibility of an expanded vision.

The alternative to this (and what I am suggesting by getting people to commit to a vision) is that there is a world of possibility out there, a world of abundance that is beyond the limiting voices of your traditional way of seeing things. This is a world beyond the conventional one. It is an approach that recognizes that you can create the world by defining it in terms of your vision for the future. This is the world of mastery.

Case Study on Visualizing and Realizing a Goal

Ted, a macroeconomic trader of currencies and bonds, is having trouble because he is not taking his profits. He watches his trades go up and then go down so he loses what profits he has made. I suggested that he start using a daily goal as a lens through which to make short-term trading decisions. This dialogue is a good one to illustrate the importance of taking profits as the behavioral result of visualizing a goal and then realizing it. It illustrates the type of conversation that I frequently have with traders in coaching them to build their performance around specific goals. This is the cornerstone

of mastery—training yourself in the context of trading, taking measurable steps and adopting new behaviors that can help you realize your goals.

Kiev: What's your objective? If you have a goal, then the value of the goal is that it governs your decision making in the course of a day.

Ted: As opposed to being right, the goal is to make money. I think I have got to be right.

K: That's a trap. So, you use the goal for risk management purposes. Do you use it for profit-taking purposes and so on? What is your goal?

T: Ten million.

K: About fifty thousand a day? So, when you make fifty, do you take it off?

T: Well, that's my goal, but I didn't have that in my mind.

K: I understand, but it's like playing baseball. You know you have to get a certain number of runs in an inning in order to have more points than the other team. So every time you have a chance to score, you score.

T: I agree.

K: Is that something you have to learn to think about or be reminded of in your trading?

T: Yeah.

K: That may be the answer. If you knew fifty thousand was your goal, then at fifty thousand you might have . . .

T: I would have taken profit off the last day.

K: If fifty thousand is your goal, it doesn't hurt to have that as an increment. So you play for fifty. But what if you could make five hundred? Well, that's fine. If you make five hundred, you make five hundred. But if you have made five hundred and you start to lose it, take it off.

T: I think my goals are wrong. The goal has got to be to make money and not hold on so tightly to the conviction about being right. I would rather have the cash in the bank.

K: What were you doing in the past? Was being right more important?

T: I was being right, and then a function of being right was having a lot of money.

K: You want to set a target that is feasible, and every time you do it take some more.

T: If I put a sticker up and say fifty grand is my objective . . . ?

K: Play in terms of fifty-grand increments until you really know confidently every day that you can make fifty. Then if you are consistently doing that, try to make a hundred. The usual problem is that somebody makes ten. Then, he makes a hundred and fifty. Then, he makes forty, and he loses two hundred. He is all over the place, and he keeps thinking that he is a two-hundred-thousand-dollar guy when he is not.

He is giving it back, and he is not consistently performing. You want to really learn what you can do. Then you can adjust the size. The consistency is the hard part, figuring out what you have to do in terms of managing the risk and also taking the profit.

T: What about keeping fifty percent always and moving the stop up or something like a trailing stop, to try not to give stuff back that I have made?

K: I think that would be a good idea.

T: What about the fear of being stopped out on random noise and then missing a bigger move?

K: The key is to manage the risk and not think about potential missed opportunities. You're reluctant to manage this position because you think there is going to be a bigger opportunity. So you never really make the fifty. You're looking for the two hundred, and you are not a two-hundred player yet. When you get to be a two-hundred player, you will have bigger sizes.

I think moving the stop is a good idea if that is going to ensure that you take the profit and keep your losses down. You're playing for potential profits as opposed to real profits. That's why there is a little reluctance sometimes to do this. It's a better way of managing. Do you feel uncomfortable about moving the stop?

T: Yeah.

K: Let's say you made two hundred thousand dollars, and then you moved the stop up there.

T: Do I move it immediately as it starts? Do I move it after a certain price goal?

K: I would keep moving it as you keep making the profit. You want to keep locking in your profit. The game is about profit.

The dialogue with Ted illuminates a common problem among traders—the desire to be right taking precedence over the desire to be profitable. Designing a strategy in terms of the goal helps you identify this inclination and helps you reframe your approach so that you can trade with more psychological freedom. The goal also helps to set up targets for profit taking so that at the point you reach your target number you are reminded to take profits and not get so caught up in the euphoria of the moment that you stay in a trade out of greed when you should be exiting. Trading in terms of a larger vision, relaxing and letting the vision draw you into the future, is different from setting the goal and worrying about reaching it or defining yourself in terms of your P&L.

The master trader sets the goal first, then defines what is needed every day to move toward the goal. He surrenders to the process and allows the vision to pull him forward, toward the realization of the goal, without being

attached to it. He uses his goal as a guide or a blueprint, rather than as something that he desperately must reach.

The master trader approaches the marketplace with a sense of abundance. He knows there are opportunities in the market, and he constructs his trading strategy with a positive expectation of the outcome, without getting hung up on his immediate results, knowing that over time 60 percent of his decisions will be right.

USING THE VISION AS A POSITIVE TOOL

The concept of formulating a vision is based on the principle that what happens in the world happens because of your preexisting assumptions of the world. What has happened until now has been based on certain *unconscious* assumptions you have about the world. The lesson of mastery is that you have the power to consciously *choose* your assumptions, and thus ultimately create your results.

If things have not worked out for you up to this point, it is okay. You can change your assumptions—from scarcity to abundance, from powerlessness to power. Recognizing this basic principle, you can begin now to develop trading mastery. Change how you see the world, and create an alternative to the world—a world based on your own vision.

I am not going to kid you and say this is easy. It is not. You have to become more self-aware of your approaches to the markets and begin to allow your vision of the future to influence your actions. You will have to reprogram your very thoughts. Starting now, today, you need to think of your objectives in positive terms—in terms of actually accomplishing the task.

Case Study on Using the Goal as a Positive Force

Goal setting is the first step toward mastery. It frames the actions that you can take to tap into your potential, and it helps you to consider what more you need to do to accomplish your objectives. The “goal” conversation is critical for establishing a vision, concentrating on the strategy, and then implementing the plan of action. It is illustrated by the following conversation with Blake, a commodity trader who (until recently) had never approached trading with specific goals and was initially somewhat resistant to the idea.

Like many other experienced traders, Blake balked at the idea of setting goals because he believed they would increase the mechanical nature

of his trading and stifle his creativity. But over time, he began to realize how valuable they were in helping him to manage his risk (especially when he was in drawdown) and to help keep losses down. In fact, he found that setting a goal helped him to gain *more* control over his actions and his portfolio.

Blake: I am still focusing on negative days, to stop them from rolling over. It's like being an alcoholic. You can't have even one little drink. If I find my positions moving away and I am in danger of not having a shot of reaching the number, then I have to cut the position aggressively to mitigate it. There was a day where I had one hundred fifty lots. The markets went against me. I said, "It's just one hundred fifty lots." One hundred and fifty thousand dollars later, I realized I should have stuck to the game plan. If I had had a bigger position, I would have had a smaller loss. I would have moved more aggressively.

I have to try to stay focused. I have to stick with it. I can't minimize losses. Instead of closing out my position, I just sort of got cavalier about the whole thing. I am now beginning to get harder on myself. That one hundred fifty thousand dollar loss, because I didn't stick to the game plan, was more bothersome than it ever would have been.

Kiev: You said the goal was good for keeping your losses down.

B: Usually. If you wait for a bounce to get out, it doesn't happen.

K: You've got to pay attention to what the market is telling you and not be too invested in being right or get too attached to your original view.

B: You can tell when it is happening. You are frozen, tense, sitting at the screen in disbelief. If I were a risk manager, I wouldn't look at numbers as much as I would look at people. If they look like deer in the headlights, you know they are in trouble. I am working in a new language now. I could see that if I broke the rules, I could lose money very rapidly.

K: It is hard to right the ship when you are losing.

B: You take it personally. If you stay within the new language of the goal, you have a greater sense of control. You are going to do the things that will protect you so that you live to fight another day and have that creative experience. Initiating trades is a creative experience.

K: Why is it so hard to learn from positive experiences? Is it because the market keeps changing? Because the numbers keep changing?

B: If you are searching for the end result, it is hard to get there. When it is working, it is almost like magic. In fact, a lot of trading is like basketball. It is fluid. You are on your game. When you are off your game, you try too hard. You ignore the fact that it isn't easy. You get cavalier or push too hard. You grab the ball too much. You have to know when

you are in the zone. I don't like to concentrate too much when I am winning. I like to let the creative process take over.

- K:** When do you press the bets? Since a small percentage of bets will make up most of the profits, you have to press it when it is working.
- B:** You also need to apply these rules. A lot of people, including myself, feel like pressing the bets is taking off all the safeties. I have to be careful in sizing up positions. When we up the game, most of us forget to apply the same rules. All of a sudden, we throw caution to the wind. The worst thing that can happen is to do that and win. Then you think you are better than you are. You will think you are acting correctly, and you are not. There is something about raising volumes to a larger size; it shouldn't be harder to apply the same risk management standards.
- K:** Once you consistently make the number, you then can size it.
- B:** You say this, and it throws me off. I don't think you can consistently make a number. You can consistently be in *contention* to make that number. Your losses would show you are in control of that. Your losses won't be so outlandish that you can wonder how you could have made it. If I am trying to make fifty thousand dollars per day, and I have a million-dollar loss, it doesn't make sense.
- K:** Over time your average P&L should be close to your goal. This makes sense if your average P&L is fifty thousand dollars and if one day you have a million-dollar loss.
- B:** It has to be related to your goals. If you are too disciplined in managing your losses, you may tend not to use all your capital, since you probably cannot play it too big. For every solution, there is a plus and a minus.
- K:** If you consistently make the numbers, you can allow yourself to lose a bit more to make a bit more. To the extent that you can do that, you can tweak your size. You don't try to kill it. You try to build a cushion so you can play bigger.
- B:** I can have losses that are related to the gains. Over time, your gains should be bigger than your losses.
- K:** You can try to make the number every day.
- B:** But you can't let your risk run away from you.
- K:** The primary thing is not to control the losses but to go after the number, not to pursue the avoidance of losses.
- B:** My heart is not into this positive thing. It's a lot of work, but I see the value of it. At first, I had profits. The test is whether it works when things are going well. You have to go through some violent bad markets where you are wrong and it is violently moving against you. What do you do in those circumstances? In practice, it pushed me out of some positions early on. I didn't get out with a hundred-thousand-

dollar loss. There is value in knowing you are out early in the day. It wasn't working. You get out. I didn't feel depressed or beaten up.

There is a lot of value in managing your business that way. In your heart, you know whether you are controlling the process. Being in the game is another way of saying you are controlling the process. You are there. You are going for the ball. You are proactive. The bad side of trading is to allow the game to take you. You don't know why it's not working. You hunker down. You hope for the best. You are scowling. Eventually you are pushed to your pain threshold, and you are useless. Being proactive is better. As a trader, it gives you a lot more confidence that you can control the process whether you are right or wrong.

- K:** The key statistic is that 3 percent of the trades account for 100 percent of the profits. This means that when you are right, you press the bet. When you are wrong, you cut it right away.
- B:** Everyone knows you should cut losses. It's not that I don't know the goal. The question is how to conduct myself to consistently be in line with the goal. This process—retooling your inner dynamics so that they are in line with my stated goals—that is the hard part. That is what has taken so long.
- K:** Can you expand on that?
- B:** I know I'm supposed to ride gains and cut losses. The problem is when I start thinking about that. If I went into a trade and cut the losses, it soon turns around and goes positive. It seems like I would whittle my way into a zero P&L, that I wouldn't be able to take advantage of the up move. I would be scared.
- K:** Do you see it differently now?
- B:** Yes, I do. It is very subtle.
- K:** There is an internal struggle in you to learn the short-term catalyst-driven model of trading that is goal directed and where there is a conscious effort to cut losses and build on winners. It takes perseverance in being willing to participate in the coaching process and a willingness to recognize that the ultimate stopping point is your own psychological resistance. When you recognize this, you can begin to make the internal moves that will be translated into positive P&L.

The solution involves conscious goals, regular diary keeping so as to be able to review the process and some of the attempts made to anticipate events and to mentally rehearse how the game will be played in contrast to how it is usually played. So trading mastery will have more information about trading analytics, more detail on how trades can be reviewed, what a portfolio might look like, the kinds of ideas that people ought to find and the kinds of perspective that will

provide variant perception to the traders as well as ways of monitoring performance.

- B:** It is all starting to shift for me. I walk in feeling very differently. I look at it from a very positive viewpoint as opposed to a defensive measure, using this method to contain losses. You need to be dedicated to this positive approach of having a goal. Intuitively, it has to be a daily goal. You have to say, "I am here to make X number of dollars." If I am doing that, I am in sync with the markets in some way. I cannot get so obsessive about that number that I won't let things run. I start looking at things creatively. This doesn't interfere with the creative process. That is the mysterious, wonderful thing about this activity. You move toward the goal. If you are moving easily to it, then you probably need to increase.
- K:** That is mastery. That is your gut instinct. If you weren't too judgmental, self-critical, such a perfectionist, or self-doubting, if your mind wasn't getting in the way, your mental computer knows how to do it.
- B:** I feel like I am doing that. I want to raise the number.
- K:** Are you using a dimension of yourself that was dormant before?
- B:** It's not easier, but it is more satisfying at the end of the day.
- K:** It sounds like you are learning to be more nimble.
- B:** *Nimble* is a code word for something more systematic. I am coming into the same space everyday. The game will vary each day. You will feel different, but you can come in and know the space. Your job is not just to show up but to find a way to shine. Suddenly you start to experience it in a different way. It is really tuning into the process as it is happening. This is what you need to get going, getting in sync with your space.
- K:** Having the number provides a lens through which to make adjustments in size.
- B:** It is all internal. Before, I didn't have that. Sometimes you have the conviction, but you do smaller amounts.
- K:** Here you are refining things through the dynamics of the goal. Once you get this down, you can multiply the numbers.
- B:** I couldn't trust myself before. This allows me to trust myself. It provides the discipline.
- K:** What's different about your trading now?
- B:** I have made it more systematic by adding the goal. The goal becomes the focus.
- K:** Are you saying that the goal improves your focus?
- B:** It is making me more systematic, and I am becoming a believer. I have found that you miss many opportunities by doing it ad hoc.
- I am concerned that I have a tendency to take big losses as well

as get good gains. I want to make sure when it is hard to do it that I am still executing in good faith. I want to keep managing the numbers. When it works, it is fun. When you are losing and have to reduce your positions, that is when it is difficult; and I have to make sure that I am doing that in line with the goals, that I am using the goals to manage my risk.

I think if the system proves over time that it keeps your losses from growing, and it doesn't stunt your creativity, then it is good. I made three hundred thousand dollars the first few days. My down side was no longer minus fifty thousand dollars but was plus fifty thousand dollars. If it is working, take some risk. If it is losing, get out. If it is working, get out incrementally. Take some profit and ride some profit up. Start scaling out in the positive direction instead of running it to the top and getting out at the top. At the start of the day, I think, "Is this a winning position?" It's okay to say, "I don't know," and to liquidate and go to zero. This is a new way of thinking. This is getting ingrained in me now.

K: You have to measure your thoughts against reality. That is the creative tension. To the extent you have a goal that you can design, you create or superimpose this on the uncertainty of the market and create more certainty. The goal is the only thing you have control over, since you don't control the markets. It is giving you more internal stability. It's a gyroscope enabling you to deal with massive amounts of information.

If you change your assumptions (that is, your Life Principle), you, too, can begin to trade from a position of confidence. You can begin to find data in the world that supports your vision and then do the things in your trading that you may not ordinarily be inclined to do. You can develop your potential by beginning to focus your efforts on selected goals that you have visually imagined.

The dialogue with Blake underscores how Life Principles govern the results achieved. Blake minimized the significance of the size of his position when he had "only" 150 lots; he ignored his strategy and failed to move as aggressively as he should have to avert a loss. Only after the loss did he recognize the importance of focus and not minimizing his losses.

The dialogue underscores the value of defining a goal as a new Life Principle on which to build your trading strategy. It is also an example of the dynamic and introspective nature of the dialogue for mastery; by engaging in this kind of conversation, you gain greater self-awareness of the steps you need to take to develop mastery.

ESTABLISHING A VISION

When you regularly visualize explicit images of a particular goal, you re-program your “subconscious.” Thus, a real task is to establish your vision and then to focus on the immediate steps in front of you. By imagining your vision, you can train your mind to enhance your performance. Slowly but surely you will be able to *act* in terms of the mental image you have created, especially if you focus on important elements of the act and eliminate those unrelated to your goal.

Traders who have vague goals set up almost impossible tasks for themselves, since they are never clear about what they want or what they have to do. The more concrete the goal, the more specific the steps that can be formulated to realize the goal.

A concrete goal is important to provide a suitable, pursuable target and to give you the kind of performance measure you need to keep improving your trading until you realize your objectives. By contrast, a vague goal of “doing as well as I can” or “as well as the market will allow” allows you to avoid making critical decisions that you need to realize specific results. It allows you to avoid looking closely at what you are doing. This was the case with one trader I knew who kept rationalizing his failures as “okay” given the value of his fundamental methodology, which he adhered to even when it wasn’t producing the results that he wanted. It wasn’t until he gave up his emotional investment in his perspective that he was able to adjust to a new flexibility necessary to produce the desired results.

Once you have defined a concrete goal, it is useful to make a plan to reach your goal within an equally concrete amount of time. Putting a time frame in place increases concentration and forces you to examine what must be done day by day to produce the result.

Consider the steps that must be taken to realize your goal. Are they all there? Is there anything missing? What are some of the worst-case scenarios that need to be considered so that you can plan for all eventualities?

Unfortunately, traders often set goals in terms of constricted boundaries about what is possible. They argue that given the unpredictable nature of the markets, it is impossible to promise a result and then think in terms of what is needed to make that happen. They are convinced that the market limits them and that they can only succeed if the market works in a certain way.

At first, you, too, may be insecure. Maybe you are reluctant to accept the idea that only by committing to a number will you be able to produce it. This was true for one trader named Kyle who believed he could do \$25,000 a day but was unwilling to promise the result and in effect was

doing less than \$1,000 a day. He needed to promise a *specific* result that was doable in order to begin to learn the impact of committing to or promising a result. Once he was able to do \$5,000 a day, he rapidly progressed to \$10,000 a day, and in six months he had moved to \$25,000 per day on the average.

His experience demonstrated that whatever the number, he could not reach it consistently without declaring his commitment and then doing whatever it took to produce that number. This meant banishing limitations from his mind and thinking in concrete terms about what positive steps it would take (imagining he had unlimited resources) to create the results that he wanted. You can wrap your mind around the same kind of thinking.

Case Study on Setting Goals

It is not enough to simply *state* an objective. It is critical to calculate how you plan to achieve that objective, taking into consideration the numbers, the size of positions, and the kinds of risk management rules to follow. The next case illustrates the application of the goal-setting principle to the issue of sizing a portfolio, and it underscores the kind of thought process required. This dialogue is an illustration of the thinking that is essential for planning a strategy in line with principles of mastery. Pay particular attention to how willing Max is to question his assumptions and consider the psychological obstacles that may be hampering his flexibility.

Max: I plan to make twenty-five million dollars next year. I know I can do that with one hundred fifty million to two hundred million of capital, especially with a few long-term positions.

Kiev: How are you going to do that? You are thinking about making all the money in one big position held over an extended period of time. What if you were to make your profit in a number of positions? Would that be a better way of managing the risk? Don't you need more ideas at a greater velocity so that you can manage the numbers and stay within the defined parameters about how big you can get in any one position?

There is a natural conflict between trading in and out of positions and trying to scale into bigger size in order to ensure obtaining certain results. If you run more capital with consistent performance, you will create more absolute returns or at the very least the same good returns. The goal determines how to refine your strategy and figure out what it will take.

- M:** Does failure to achieve the goal put you in a more uncomfortable position?
- K:** Failure to achieve the goal is a humbling experience. It is a wake-up call to focus a little bit more. In that sense, not reaching the goal has some value, just as reaching the goal can be problematic at times if it creates too much euphoria and hubris and gets you out of your game.
- M:** What do you do once you have reached your goal?
- K:** Good question. I think you have to create another goal. In fact, as you get closer to the goal, it makes sense to start formulating your next goal so that as you are approaching your goals, you sustain a sense of momentum.
- M:** Don't use the calendar to dictate the process, but use your goals to do so. We got to our goal at the end of the calendar. I came in this morning with a vengeance. I realized that we have to make twenty-five million dollars next year and get better aligned from day one. We had zero time to reflect. But shouldn't there be some level of satisfaction?
- K:** I think you can savor your success over time as you start to gear up for the next event. You can always reflect on it. You don't have to celebrate today. You can celebrate periodically while you get set for the next event. You can use your positive experiences to build your own sense of self and confidence.
- M:** You want to remember good trades. You want to be in the right mindset of success.
- K:** That will give you the confidence to take on greater challenges. You raise the level of challenge and competition for yourself. You probably want more challenge than less.
-

The dialogue with Max touches on some of the critical issues of goal setting and managing yourself as you approach and reach your goals. It shows a number of generic psychological issues associated with goal setting over and above defining specific trading strategies. In effect, the goal defines the context in which you function. It is not something to be pursued in order to feel complete or fulfilled for having reached the goal, although you may experience such feelings. Rather, it is about creating a frame of reference for all of your activities, and it must continually be restated and redefined when and if you reach the goal. In fact, the moment you pursue the goal to feel complete by virtue of obtaining it, you are creating the conditions for feeling incomplete, whether you reach the goal or not. The goal defines the parameters of your trading and is essential to trading success, but it is not an end in itself.

Once you decide that the vision will become the fundamental or overriding force in your trading life, try to start with goals that represent a stretch for you and are at the same time achievable. A goal needs to be sufficiently challenging so that you are always ready to consider whether you are acting consistently with it, but are not so overwhelmed by it that you feel inadequate. Remember, the principle purpose of a vision is to help you focus more intensely in the present moment.

HOW OLD LIFE PRINCIPLES SHOW UP IN TRADING

As I explained earlier in this chapter, how you interpret things is a direct result of an old, often outmoded Life Principle—those beliefs from earlier in your life. This Life Principle makes things seem more stable, but it also fosters repetitive “interpretations” of the world. In the case of markets, an old Life Principle sometimes makes it hard to adjust to changing circumstances and the flow of events. Your old views block you from dealing as creatively with reality as is possible.

Therefore, much of your trouble with the markets may stem from your interpretation of it, rather than from the reality of it. You don’t see reality as it is; you see what you believe. Such an interpretation of events leads to reactive decisions that prevent you from dealing effectively with events, create stress, and produce maladaptive responses ranging from overtrading to total withdrawal from trading. For example, if you are accustomed to thinking of yourself in terms of certain old images, you may not be totally absorbed in the action currently before you. Excessive concern with self-image and self-importance can interfere with the clarity of mind you need for maximum concentration. Paying too much attention to your own ego or the opinions of others can divert your attention, fostering avoidance or hesitation. It can stir up excessive ambitions. All of this feeds your anxiety and makes you tense.

Even when you talk to others, you may be seeking confirmation of your own beliefs, not objective appraisal of the facts. Always consider the extent to which you are being influenced in your trading by your interpretations, beliefs, past failures, and justifications rather than by a decision to create results in terms of a positive vision. This is the challenge of mastery, which is ultimately about seeing reality through the prism of truth rather than through your longstanding belief systems.

Life Principles function like blinders. They help you avoid the facts. The more you understand your Life Principles, the more you can begin to see how subjective they are and the easier it will be for you to develop the

objectivity to stand back and create a new view that allows you to trade in a more powerful way.

CONQUERING CREATIVE FRUSTRATION

The pivotal attitude needed for mastery is commitment—choosing a vision and then taking action consistent with the vision. The trouble is, this means leaving certainty behind and stepping into the gap that yawns between where you are and where you have determined you want to be.

Getting traders to embrace the unknown is both crucial and tricky. Picture the cartoon character Road Runner running full tilt beyond the lip of a cliff; the bird gets to the opposite cliff only if he does not stop to look down at the abyss beneath him. While you as a creative trader may yearn for clarity in the face of uncertainty, you probably rarely find it. The nature of markets is that they are uncertain. It takes persistence and hard work to maintain your equilibrium and to stay on target toward your goals in the face of such uncertainty. Sometimes, you may sense enormous tension and a desire to insulate yourself from your experiences. My view is that you can gain considerable strength from *allowing* yourself to experience the tension. I call it “living in the gap.”

To become a master trader is to live with the uncertainty of how things will turn out and to keep creating the future by functioning in terms of the powerful images of your vision. As long as you can be involved moment by moment in the opportunities before you, you won't plunge into the abyss like Road Runner. The critical step is overcoming the instinct for self-preservation, which inhibits action. To achieve mastery, it is necessary to become totally focused on the event, with no reservations or fears of anything untoward happening.

By promising to achieve a specific goal, you climb the first foothill in your quest to conquer your own personal Everest. The promise makes it possible to realize your vision. It means you are giving yourself permission to begin to act in the realm of the impossible, to create all kinds of possibilities. In that one promise, you begin to abandon self-doubt and the need for approval. You announce that you plan to act in the world in terms of your own dreams. This way of being in the world lets loose huge reserves of energy and creates enormous possibilities. Yet none of this can be envisioned until you take the first step forward in pursuit of a goal with no guarantee of the outcome.

I am not suggesting that you should stand in front of the mirror and repeat the phrase, “I can leap tall buildings in a single bound” 50 times each

morning. While you can substitute powerful and positive images for the old negative ones, I don't advocate the formulaic use of positive statements as a way of self-actualization. Such repetitive assertions eventually become automatic, too. These incessant demands can be just as brutalizing as the automatic self-doubts you have been lugging around for years.

However, most of the time you use your energy to reexperience the past. You shift to a more flexible perspective once you make a serious effort to identify your automatic thinking. By making a pact with yourself to propel your thoughts forward, rather than allowing that tyrannical little voice to dictate to you from the past, you can begin to concentrate more fully on what is before you in the present.

Mastery is not as simple as repeating positive statements—it is doing rigorous work. Your mind is a station for receiving and integrating information just as your eyes are sensory devices for receiving visual information. Although the mind works best when it is open to present experience, the nature of the mind is such that it is always generating thoughts from memory that intrude on the basic processes of receiving and integrating new material. Given a chance, your mind will confuse past and present, leading you to misinterpret its signals. You must break this cycle by becoming aware of the recurrent thoughts generated inside your brain and reminding yourself that they don't have any intrinsic meaning. With practice, you can differentiate between the past and the present functions, thus multiplying your capacity to concentrate on the here and now.

You can substitute new and powerful visual images of your choosing. Armed with those images, you can train your attention on tasks that you found impossible to believe beforehand. Once you discover that you can influence events by shifting from automatic thoughts to selected ones, not only can you commit to your new objectives, but you can live by your resolve.

I should reiterate here that there is a danger in being so focused on trading success that you don't trust yourself to engage in the step-by-step processes that are necessary for producing that result. The fundamental principle I speak of is engagement in the immediate present. If you focus solely on a number, you're concentrating on the wrong thing and are likely to become frustrated. What I'm urging you to do is to focus on the *actions* that you can take immediately, all the while keeping the end result in mind.

Once you have a vision, you set in motion a whole train of events based on nothing but your decision to act. In this way, you carve out an opening for action simply by committing, with no certainty about the outcome, only a sense of what it is that you are going to do and what it is that you want to happen. Your life can be forever changed by the mere fact that you have

committed to it. What's important is the pledge, not the result. The commitment creates the setting in which your life can occur.

JUMP OUT OF THAT PLANE

Commitment to mastery is like skydiving: Having jumped out of an airplane, the situation you find yourself in—free-falling through the air and parachuting to earth—becomes the new context that defines the quality of your experience. Once in the air, you must manage your fall, along with the opening of the parachute and the landing you make. These tasks require intense concentration, which becomes the principle source of your concerns while you are falling.

A parachute jump is a great metaphor for my concept of living in the gap. It directs the skydiver's attention and provides an enormous sense of being very present in the "now." When it comes to trading, the important issue is similar to skydiving: You must pay attention to the context. Having made the commitment to jump, the skydiver has no alternative but to manage the flight through the air. In your case, the context is the market; it governs your responses and influences your actions.

Let me continue with the analogy of jumping out of a plane. You say you'll do it, and you do it. The experience comes after you have jumped. Your next actions result from this context you have created. They certainly are not random. You've jumped; now you deal with the free fall, your parachute, your landing. It's the same with managing your trading from this new perspective. Jump in, then manage whatever the market throws at you. You create your trading career as you go along, in line with the context you design. You are tapping your hidden potential in ways you couldn't possibly have imagined before you committed yourself to your vision.

Case Study on Consciously Expanding Your Game

I challenge traders to examine the cutting edge of their activity to help them to become more conscious of what they need to do to expand their game. I am always asking what more they can do to increase their level of conviction, to size their positions and reduce their losses. If or when their strategy is no longer working, what dropped out of their routine? Those questions serve as spurs to greater self-examination. The more the cutting edge is explored, the more conscious traders become of the steps they must take to improve their profitability.

The following dialogue with Earl, an intense portfolio manager (PM),

illustrates some of the elements he needs to mentally prepare for the new steps he must take to move his game forward.

Kiev: What do you have to do in your own game to be able to play at the level of mastery? How would you increase your capacity to tolerate greater risk and uncertainty so that you can be more creative?

Earl: I think I am always frustrated. I just go by statistics. I had one hundred and forty up days and forty down days. Yet, I am always miserable. I should be happy some of the days. My average up day is three hundred and fifty and down day is two hundred and ninety.

K: That is a good win/loss ratio. With those numbers you ought to be able to use twice as much capital.

E: I agree, but then why am I always miserable?

K: What do you think?

E: I think it's because I am always comparing myself to everybody else. I always feel like an idiot. I say to myself, "I am up one hundred and forty days. I am up more than I am down." If I would align myself with other people instead of fighting them every step of the way, I would make a fortune.

K: What happens when you look at a stock? Are you frustrated by the fact that the fundamentals are negative even though the market trend is positive?

E: Things are getting better because people feel better and are starting to invest. The Fed has succeeded in creating a positive spiraling effect so that the changes in fiscal stimulus have had a positive effect on expectancy. Everything is now working in the positive direction. Most traders are still bearish and not experiencing that they are wrong.

K: Are you getting frustrated with the lack of long ideas that you are getting from your analysts?

E: I get emotional. I am blaming my analysts for my inability to be as long as I would like to be. I want to be right. I want to prove all the others wrong for staying short! But I am afraid to go too long lest my analysts prove me wrong and I am embarrassed. I am emotionally insecure. I need to be bigger and better than everyone else. I have been frustrated because I wasn't differentiating myself from others.

K: Does that frustration add to your creative drive?

E: I become competitive. Sometimes I can channel that frustration into winning, but often I find it debilitating.

K: In what way?

E: Frustration. I can't get to where I want to be. To some extent, I got sucked into something and became too emotional about it. Some of it is driven by the market and some by myself and how I respond to losing.

This conversation with Earl showed how even a top-level PM can use guidance in dealing with the unknown. He had to learn to separate his strategy from his emotions. He was willing to understand how psychological theories influence his trading, but he was frustrated, an emotion that was tied up with his reaction to the attitudes of others. A reluctance to pursue higher levels of achievement stems quite naturally from a fear of the unknown, as well as from the acceptance of prevailing myths that reinforce mediocrity.

As I keep suggesting in this discussion, you can reduce the impact of a negative self-image or an attitude of defeatism by focusing on positive performance images and continually tracking and owning your emotional responses. There is nothing judgmental going on here. All the negativity and self-restricting attitudes are viewed as data to be used. Earl would do well to put aside his negative thinking about himself and others now that he has identified it. Eventually, I suggested positive imagery exercises, which you'll learn about in Chapter 5.

My approach—and what I recommend to you—is to encourage traders not to let fear stop them and not to be stopped by their Life Principles. You, like Earl, would benefit by grabbing the reins and taking responsibility for creating your own vision. Acknowledge yourself. You will never get what you didn't get in the past. You will get what you think about, and since you can choose that, you can begin to draft a powerful image for yourself of positive results.

With a modicum of self-reflection, you can redefine the way in which you look at negative experiences. You will see that the whole chain of events, reactions, interpretations, and decisions in the moments of reactivity are linked to your Life Principle, which have you locked into repeating, over and over, the ways you respond to the markets. In Earl's case, his Life Principle is "I'm cynical, competitive, frustrated." It's great that he can articulate it, but he will take a giant leap forward when he stops justifying it, sees it as holding him back, and consciously adopts a viewpoint stripped of outdated emotional values.

Can you reframe all points of your trading in terms of a vision of mastery? If you promise yourself you will and make even a small adjustment now to get on the escalator, as it were, you can significantly raise the level of your game. That's how you liberate yourself from the internally created vicious circles of the past so that you can begin to approach the markets as a master does.

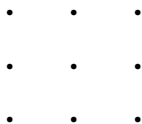
I know it isn't easy. Consciously choosing the result and then trading in terms of it is counterintuitive. Such a step requires that you renounce the more comfortable and habitual ways of the past, where you function on automatic pilot. Operating from what feels right because you have basically been conditioned from early in your life to function this way is familiar and doesn't entail any stretching.

Mastery is a stretch. You can learn to make a decision, to take charge, and to control your destiny by choosing your vision and living in terms of it, rather than by being resigned to a sense of dependence on others or on the market. The master recognizes this, projects on to the market what he wants, and simultaneously recognizes that the market not only is random but has a force of its own that he must ascertain and respect.

THINKING OUTSIDE THE “NINE DOTS”

Most of us live our lives in the realm of what we know and what we know we don't know. But there is a level of mastery pertaining to what we don't know about a realm of power and extraordinary results that you discover when you step outside the conventional way of thinking. This happens when you start acting in the world in terms of a new frame of reference, thinking outside the “nine dots.”

Many of you may already be familiar with the nine-dot puzzle; but for those of you who are not, I'm including it for reference. The object is to connect the nine dots with four straight lines *without taking your pen from the paper*.



If you are like the majority of people, you will struggle with this task. In fact, you will make every effort to connect the dots inside the space of the outer dots—as if they constituted an outer limit. Basically, you will consider the nine dots to be a box, but no box really exists. The answer to the puzzle is in thinking “outside the dots.” (For solution see page 67 at the end of this chapter.)

As long as you view the dots as a box, you will be confined to that space and unable to complete the puzzle. However, when you learn to look beyond your limiting perception, you make the connection, gaining a greater sense of accomplishment and confidence.

That same sense of accomplishment grows when you create a new vision or concept and then engage in the activities associated with it. The issue is not so much to realize the vision as it is to use the vision as a template for making decisions that are consistent with it. Such a lens releases you from the past. It allows you to live your life in terms of conscious choices.

You see what you are biologically wired and socialized to perceive. You see what is already on your mental maps, based on your biology and early life conditioning. What you see in the marketplace depends on the distinctions with which you approach it. When you recognize this, it becomes possible to expand what you see by expanding the number of distinctions that you have about the marketplace. This is the value of reviewing your performance and expanding your list of possibilities.

A good example of this kind of thinking can be found in the routine questions mentioned by some of the portfolio managers in dialogues throughout this book. They articulate how to understand analyses of companies better. By continuing to conceive new distinctions and knowing the kinds of questions to keep asking, they increase the possibility of finding things in the marketplace that an ordinary trader might not find. Of course, they have put in huge amounts of preparation time, and they have dug deeply into the data-point trough to find those rewarding nuggets.

The distinctions are limitless. It is possible to measure how analysts perform. You can measure their calls, find out whom they are calling, and discover what questions they routinely ask so that the quality of information improves and gets standardized to ensure that the good work is repeated. This is what I mean by creating new distinctions that didn't exist before, rather than simply assuming that everyone knows what to do.

As you yourself expand the distinctions and types of questions that you are prepared to ask, you will begin to find new opportunities that you couldn't have foreseen. This is the power of faith, that something will happen if you keep focused with intention on the vision and then do what it takes to bring it to fruition—without being distracted by too much feedback from the “critical” or “judgmental” part of your mind.

Case Study on Thinking Creatively

Commitment to the result is the critical lever because it provides a lens through which traders can examine their behavior to determine whether they are doing all that is necessary. It forces them to examine their decisions and to understand how their motivational patterns interfere with their ability to succeed.

Listen to this dialogue with Aaron, a long-term, fundamental-value investor who was learning to become a shorter-term, catalyst-driven trader, taking advantage of the intraday volatility in the markets. In this discussion, we talk about using a goal to help him trade a mobile phone manufacturer more creatively, in line with his targets. He does not want to allow himself to become too complacent or too euphoric.

Kiev: Are you committed to the goal? Are you doing what it takes to meet your goals? Do you calculate what your profit will be at the start of the day?

Aaron: I do that. I think about what I should do. It's an interesting conundrum in terms of targets.

K: The goal defines some of the parameters of your trading and forces you to do things to bring your performance up to the level of your goal, even when it is uncomfortable to do so. This means taking an "as if" approach to the future, allowing the goal to determine how you approach your trading. You have to take a leap of faith to be able to declare the result before you have figured out how you are going to get there.

A: Last year my goal was to make twenty-five million dollars or two million a month. On forty million dollars of buying power, that is five percent a month on my underlying capital. I decided to shoot for three percent a month once we got up to speed. That's the soft number in my mind. The mistake I kept making was that I would get to three percent very quickly, early in the month, and then allow myself to press it forward and then end up going to five percent and then down to two percent. So, I made the number in theory, and three percent was the high water mark, and I then went back to flat. Instead of taking my profits when I reached my target, I got carried away, pressed the bet, and gave back a lot. I lost sight of the goal. The challenge is how to realize my gains.

K: What happened?

A: I would make my three percent two weeks into the month and then become emotionally attached to the position. Then I would want to really go for it, believing I could make up a lot of ground at that point.

K: Do you change your approach at that point?

A: That's a good question. Do I get lazy on my stocks? Do I become greedy and stop looking at the stocks in the right way? I make that mistake consistently.

K: You want to examine what you are doing at the point that you reach your number. You may actually be changing your game.

A: The model forces you to stay in tune with your game.

K: If you adhere to the model, then you have to consider that you may have been committed at the beginning of the month but then lost your commitment in the middle of the month when you reached your objective. What would have happened if you had stopped trading every time you reached your monthly target?

A: I would have been up a lot of money.

K: When you make your number, you never say to yourself, "I have reached my goal"?

A: *Never!*

K: That was strong.

A: I am revealing my mistake. I take this very personally. There are moments where I am emotional about the fundamentals. Sometimes that allows me as an analyst to think outside the box and to say no. It is not this little thing. This is one of the hardest tensions to balance—to hit the goal and purge the ego, but also to be out there on the edge, thinking outside the box.

K: Here's the challenge: catch yourself when you are thinking that way so that you can stand back from it. Recognize that the ego satisfaction is not what trading is about. At that moment, concentrate on the objectives. What you know about the company will help you in that game, but you have to recognize when your euphoria or your greed may keep you from being as flexible as you can be in adapting to the markets.

A: It is one important tool that allows me to have insight.

K: Right. But trading is a more complex task that requires not only analytical tools but also a willingness to maximize results. This is why I encourage you to promise the result so that you take the goal seriously. Do what it takes to get to the number rather than allowing your emotions to get you too caught up in pursuing more profit at a time when you don't have additional information to allow you to keep staying in the position for another increment of three million.

A: Let's focus on the event. What am I doing when I get to my number? If I see that number go up one and then go back, what should I do? Should I liquidate?

K: What's your target now?

A: To make three million dollars in a month.

K: Can you bank your profit and then start again and make another three million? In this way, you make it a realized gain. Additionally, what if you divide the calendar and start the month over in the middle, as if it is a new month? Psychologically this may be very liberating.

A: A realized versus an unrealized gain is not a good distinction. It would have to be the sum total of the positions in your portfolio that have allowed you to generate three million. You would have to close out those positions and start out with new positions that could find you an incremental three million. Take this cell phone manufacturer. It starts at forty and goes to thirty. That's part of my P&L. I think it is worth twenty, but it won't necessarily go there. I stay with the position. I take a little bit of profit, and then it goes back forty to thirty back to thirty-five, and I am stuck in it. It means taking that portfolio and throwing it out or taking those positions and moving them to the off-bet position and coming up with fresh stuff.

- K:** That is one possibility. What are you doing in the next part of the month? Are you getting to produce the incremental number?
- A:** I guess I don't do that. I keep the three million as a minimal number, and I say the upside is infinite. Let's compare this to Michael Jordan. If he plans to score thirty points a game and gets there in the first quarter, do you bench him? Do you ask him to change his game or to go for another thirty?
- K:** Another thirty. You have made three million. To make the next three, you don't want to lose two?
- A:** Now you are playing defensively.
- K:** How did you get to the first three million?
- A:** I saw stocks, events, and risk rewards.
- K:** When you make three, you say it is not enough and want to make more, and you are applying a different approach at that point. If you make three million in the first two weeks, then something happens. At the start of the next month, you go back to what you were doing at the beginning of the month. What is the difference in your approach to stocks when you are beginning the month and when you have reached your target?
- A:** I should be capping my upside again—setting an incremental goal and incremental risk/reward. Five months ago, we were in the hole. That is an easy state to work in. I take my risk/reward profile and skew it better. I tolerate losers much, much less. I have nothing to lose emotionally. I am more objective. I work much better. I feel better doing things less wrong than doing things more right. Going into the next month, I see myself as break-even, which means I don't want to see myself going into the red, which forces me not to tolerate losses or drawdowns. When I think I am playing with the house profits, I tend to be more relaxed, if not complacent.

When Jim and I were in Spain and went to play blackjack, you could see the differences in investment style. I am always pressing once I make money. Jim is always taking money off the table. When I have huge string runs, I'll come back even or slightly up, whereas he is harvesting money in his pocket. He ended up buying dinner.

I work better in a defensive position. I need to see myself as flat once I get to three. I haven't been doing that. I consistently make money up to the target, and then I stop doing that. I guess I need to set a new goal when I reach the target and not start pressing my bets. I guess that means doing the work at that point that is similar to the work I had done at the beginning of the month.

- K:** My view would be that you learn to make three million a month consistently and then move your targets higher. Very few people make ten million one year and then go to fifty million in the following year.

The advances have to be incremental, since the psychology and emotions associated with larger drawdowns and larger profits are likely to be the factors that interfere with the productivity of the traders. Are you making the number because you set down that number as a target? Can you change your results by committing to a larger number? By virtue of committing to a number, it has power.

A: You have to be sensitive to the fact that if you put a higher number out there, you are going to take more risk.

K: I take the view that you make three and then lose two, not because of the amount of capital but because of your psychology. If you establish the number and play in terms of the number, then you can adjust the risk incrementally. The issue is to make three the first two weeks, then make another three per week.

A: Hopefully that will help me.

K: To develop mastery, you must learn how to handle your emotions. You say you are an analyst, but are you an analyst in the middle of the month when you are up three million dollars, or are you an emotionally driven trader who is caught up in greed and in the eagerness to maximize your profitability? I think that passion is operating there. That is not the analytic hat. What is operating in the middle of the month is greed.

Do the number consistently for a number of months until you are certain you know how to make three million a month. Master the art of setting the goal and making the goal, then you can increase the number. The light will go on when you see the relationship between what you promise to do and what you do do. If you do promise it and then make the adjustments in line with the promise, you can do incredible things. How you see the goal is powerful.

A: The simple answer is that a goal forces you to do something by any means necessary. I am no longer just a fundamentalist. If I need technical work, I will use that. If trading makes it happen, I will use that to get me to the goal. If the market is going up, I am not going to be vitriolic and ideological. This goal-oriented approach to mastery will force me to accommodate and coalesce, to learn new things and to be open, to be more objective. It should hopefully lead me to be less greedy. If I change on the outside, I will change on the inside. The market is about this. It is about consciousness.

K: You become responsible for what you do.

This conversation is a useful way of highlighting many principles of mastery including setting a new goal once the first is achieved, making sure that your strategy and the quality of work continue and do not drop when you reach your goal. It also includes not giving into the euphoria of

success, but maintaining diligence and focus when you are succeeding to build consistency.

This dialogue underscores how important it is for traders to observe continually their own behavior and trading so that their emotional responses don't interfere with their objectives. Here again, it is critical that the trader is honest enough to be able to examine his own behavior and see how he has veered from the path to the goal. This conversation generally must be repeated over and over until the trader begins to learn how to self-correct whenever he veers from his strategy.

Again, mastery is about thinking outside the box, creating a larger framework in which to connect the dots. Once you see this solution, you begin to see that you can look at data in new and original ways. You invent the vision and then find a way of trading in terms of the vision, and in this way you invent the results. The critical concept of mastery is recognizing that you invent your own trading world, that you are responsible for the results, and that to the extent that you create a vision of results and then superimpose this on the marketplace, you can begin to figure out what is needed and how to produce the results that you want.

LETTING GO OF RESULTS

With all this talk of results, it is important to now address the issue of *relinquishing* results. It may sound contradictory to what I have just explained, but it is not.

Mastery should be pursued not for ulterior purposes but for its own sake. So, while you are using results as a lens through which to focus more intensely in the present, it is best not to become attached to results and not to manage the future or manipulate situations to produce results.

As much as you define the arena of activity in terms of results, you cannot get caught up in them. That can increase your level of anxiety and bring to bear pressures that distract you from the actions you must take in the present. Periodically glance at the results to see whether you are on target and keep course-correcting, but do not become so attached to results that they interfere with your total absorption in the task at hand. All of this is easier said than done. Let your actions be governed by the result, but let go of the result. Just take action. Keep repeating it. Gradually, something will emerge from your actions that will be a reflection of the objective you were seeking but without trying to seek it. This sounds paradoxical, but it is the only way to enter fully into the next moment.

Motivation is a delicate thing. Too vigorous a pursuit of a goal may

lead to unnecessary competition, which can keep you from realizing your fullest potential. Accomplishment occurs most often by concentrating on the goal before you. But if you become overly ambitious, you may spend too much time thinking about results and not get involved in the trade itself, thereby missing the ultimate objective. Mastery is about taking appropriate action in the present in line with your vision, trading from the context of the vision, and doing what it takes consistent with the vision—not so much scurrying frantically to reach the result. The emotional distress that comes from seeing how far away you are from the result should be turned into energy for being in the gap—that place between where you are and where you will be once you reach your vision.

The key to mastery is to determine what you want and then to take action commensurate with it, focusing on the *actions* rather than on the *results*. The results only tell you whether you took the appropriate actions and, if not, what actions you need to take in the future.

Case Study on Taking Responsibility for Your Actions

Mastery develops slowly and requires a conscious effort on the part of the trader to take responsibility for his results by defining his goals and then doing what it takes to reach the goal while paradoxically at the same time relinquishing concern about it. This is ultimate mastery—to have a goal so as to help you determine what your strategy is and what you need to do each day to realize it, at the same time as you are able to let go of all attachment to the result.

The following continuing dialogue with Blake offers insight into how to use goals to keep losses down and what it takes to trade in terms of specific goals without being overly attached to the goal itself. Listen to the changes in Blake's approach over time. While he thinks goals may limit his upside on positive days, he recognizes the value of the goal as defining parameters for managing risk on the down side.

Blake: What's nice is that anybody can be on the right side of a market move if you can start getting some sense of consistency. You are stepping off into the unknown every day. Yet, it seems if you put some work habits together, you let your mind roam free and use its creative side. Of course, that obviously will end up giving you greater confidence in what you are doing. Then you should be able to take the risk.

Kiev: How is this different from what you were doing before? Did you not have work habits? Or did you have them, but you didn't let your mind roam free? What are the distinctions there? To me, mastery

involves a work ethic, discipline, a method, and, at the same time, a willingness to be open to the markets.

B: I think it's the method. If you have survived in trading for a number of years, you are likely to have a discipline and a methodology. What has been missing for me is mastery and letting my mind roam free.

K: What are you doing differently now that you weren't doing before?

B: I think my methodology was not as consistent as it is now. It started with the conversation we had about setting up the P&L objective. You know, trying to impose some sense of a daily P&L. You don't want to be so rigid that you end up focusing on this sort of daily number and then, when the big opportunity comes along, you are not really set up for the big move because you are always focused on that little daily number that you are trying to make.

So what's the point of the daily number? Is it just going to hold you back at that time when you need to go for the gusto? You have to be willing to lose some real money. There are no ninety/ten trades out there.

I come at it from a different angle—that you can't let your losses build up. You can't be complacent. What I am trying to do now is I am forcing myself to cut the position if it's really starting to roll to the point where I will never, even if it turns around, make this number. It gives me a way to do that without sort of saying, "I am such a terrible, awful, ridiculous person. Why am I here?"

K: You are using the goal as a lens through which to see things from a new perspective.

B: It's almost like fine-tuning. My biggest challenge is not to let the losses run. I can make money, but I can lose it the same way I make it.

K: You weren't paying much attention to that before?

B: I think what I was doing is going into a process of questioning. So the good thing about the methodology might be that it will free you from having that conversation with yourself. I don't care if I am right or wrong. The market is just rolling past me. Those are the rules of the game, and it's just rolling past me. I have to act. It may very well be that I get nowhere near the goal. I may not get into plus territory. The real goal is to keep myself in the game so that I am not moving so far from that number that at the end of the day I end up with this great loss. The goal in itself isn't really important. It's just important to have a goal and work around it.

K: The goal provides a context, a frame. This is the frame in which you trade. You are using that to position yourself here. Yeah, it's nice to make a goal, but it's not about making the goal. It's about the goal defining what you have to do here to survive or to even get to the goal. It helps you make decisions here.

- B:** My negative feeling about this goal is to actually take it so literally, literally in the sense that you are really in the business of trying to make twenty-five or fifty thousand dollars a day on a regular basis. That's not really what it's all about.
- K:** You *are* trying to make twenty-five to fifty thousand on a daily basis, but it's not what's it's *all* about. It's a paradox.
- B:** You need the goal in order to get beyond the goal.
- K:** You need the goal, but then you have to let go of the goal.
- B:** Only when it's working for you. It's interesting. Like anything else, there is a cost involved in that. You tend to be somewhat shorter-term focused, event focused. You tend to put events down as if you put a bet on the table and then take it off as soon as it looks like the wheel is not going to go in your favor.
- K:** Now, from a risk management point of view, is this a better methodology?
- B:** I actually like it. I am feeling, as I said, a sense of some consistency—maybe it's not the consistency of the results, but the consistency of the methodology.
- K:** This is important. A great book to read is *Zen in the Art of Archery* (Vintage, 1999), by Eugene Herrigel, who studied archery with a master in Japan for five years. At the end of his time in Japan, he realized that he didn't even have to look at the target since it wasn't about hitting the target. He can hit the target with his eyes closed. It's all about being in the right position internally and allowing the arrow to be released from the pull-back position without putting any consciousness on the release of the arrow. You let go of the arrow, and it surprises you. It goes without anything impinging on the arrow to misdirect it.

This is how to really be in the markets, to be unattached. I think that's what you are talking about. You have the goal, and you use it in terms of that concept—getting out of the losses and lining up to make profits. Then maybe you can make even more incredible profits because you are there when it's happening. How have you been able to have big profits by following the methodology?

- B:** Basically, this methodology protects me from myself, from overinvolvement in my loss. I am much more likely to ride my gains. I have a system to help me manage my losses.
- K:** To reduce the losses.
- B:** This methodology keeps me from getting too upset about losses, because in the end I know I am not going to be afraid of myself. When I am having a big game, I know it's on a run, and I am there. What is my decision on getting out without letting it roll back in my face?
- K:** Use the goal. What's your goal?

- B:** That's sort of what I am doing if I have shot past the goal. I have two goals. I have one goal starting the day. On any particular day, I should be able to make fifty thousand dollars. If I have zoomed through that and really past it, like between fifty and a hundred thousand, the goal is still fifty. So if it starts rolling back, I start getting out of stuff. I don't have a trailing stop; but if I go storming up, I will say "Okay, I only now want to go back to a hundred."
- K:** So you put a stop in. What would you have done in the past?
- B:** One of two things: If I had a series of losses recently, then I would just cut my gains. Or if I had been doing well recently, I would get into this euphoric state that I could do no wrong.
- K:** Then you would hold it as it went down?
- B:** Yeah, then my two-hundred-thousand-dollar a day becomes a hundred-thousand-dollar loss that can still happen. I could have very easily done it without ever intervening to try and hold on to that money. The goal itself isn't the issue. The issue is you have a big rise, and it starts turning back on you. Are you prepared to intervene to try to hold a good chunk of that gain or some part of that gain? Are you really committed to doing that? As soon as it starts going, and it looks like that goal is threatened, you are going to be intervening. As long as you're intervening, genuinely intervening to reach that goal over time, you will be fine, because it all goes back to what we have to do. We have to ride gains and cut losses.
- K:** Sometimes you want to notice that greed is getting in the way of the goal. Again, here the goal offers objectivity independently of your own emotions. That's the value of it.
- B:** I think everybody will have a somewhat different trading style. The key thing is staying committed to managing your book to keep yourself with the potential—the very realistic potential—of getting to the goal in the first place. Once you go past the goal, have an approach that means that you are not going to let yourself go back through the goal easily without intervening to try to stop that.
- K:** What do you do when you reach the goal? Do you ever think of setting another goal?
- B:** I don't know. I am not sure how methodical you want to be on this. At some point, when you know you are right and you have gone for it and it's working, you also want to let your creative side take over. This is like your reward for being so disciplined. Let the creative side take over. You may get up here, and you may want to increase your risk; but what I am trying to do now is keep in mind that I am not going to let this thing roll back. It will send me back into negative territory.
- K:** So maybe you need to put a stop in there. First, you want to protect

the gains. Second, you may want to consider another target as opposed to being in total free fall.

B: When I am right, I don't want to turn my million-dollar day into a two-hundred-thousand-dollar-day because I am just overly focused on it. I know if I let my creative approach go, there are days when it will run.

K: What are you going to do at the end of that day?

B: I have to make an assessment. I know what is basically in my heart. I feel like this thing has run and will continue to run, or is it very fifty-fifty or even worse than that. Then again I say, "Look, I have to try to make at least fifty thousand dollars." If I come in and I have made a million dollars, but I am now down three hundred because the markets are just so volatile, any turn will be a vicious turn. Do I really still want to hold that position, or do I want to basically cut it down now? If it doesn't turn around, reinstate it again very quickly. That's what I have been doing. So, I think I am already internalizing this. I just have to be honest with myself.

There are several lessons to be learned from this powerful dialogue. First, it is apparent that it is not enough to do well and then assume that you have accomplished something just because you are more successful. It is critical to identify what is different today from what happened in the past so that you can take even more responsibility for your actions in the future. Blake admitted that now that he has become more consistent, it has made a difference in his trading.

This dialogue also underscores the importance of trading in the context of a vision—where you use the vision as a lens to determine what actions to take—without becoming attached to your results. Your results simply mean you are committed to your vision and doing what it takes to make it come true. In effect, you learn to let go of the goal once you have established it and to focus more on what is necessary to produce the results day by day. Once you take responsibility, you can begin to do things with your trading that you never imagined you could do. All your complaints about the market—about the lack of data, about the weakness of the fundamental analyses you are getting from your team—these complaints are the result of the way you established your strategy. When you accept that you are responsible for all these results, you can design trading strategies that are aligned with your stated objectives.

Mastery helps you to stop trying to control the future and to simply step into the next moment. The goal is a context to help you discover yourself by following the path of least resistance. Make the calls. Stop struggling. Separate actions from results. Don't fold results into actions such that you hesitate in your actions because you are uncertain about whether

the results will be forthcoming. Just let the results act as the guide to the actions. Measure your results, but refine the approach.

Do not collapse your results into your identity. Don't get egotistical about good results, and don't belittle yourself because you haven't produced results. Focus on the challenge. Figure out what is needed and wanted, and then figure out a way of handling the issues. The purpose of mastery is to express yourself fully, not so much to "get something."

HOW TO THINK ABOUT THIS NEW APPROACH

Mastery involves recognizing the limitations of your Life Principle, or your preconceptions about the world, and how these perceptions color your experience, create stress for you, and limit your expansiveness. By recognizing these limits, you can make new assumptions about the world and devise a new framework for trading that sets the stage for you to produce extraordinary opportunities and results.

If you believe you're going to win, your chances of winning are far greater than if you have any doubts about it. The more you can think positively and focus on the likelihood of achieving the goal you've set, the more likely it is you'll work toward this, pursue it, and relax so that all your resources can be applied to the event itself.

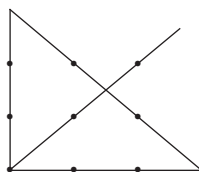
Sometimes it's the fear of committing yourself to winning that keeps you from committing to an objective. You fear that you may have to explain yourself if you don't win, so you are better off not trying. In fact, you certainly will have to explain yourself if you don't try, whether you win or lose. It makes far more sense to commit yourself to the objective and not worry about the embarrassment of not winning. Often those with an ambivalent attitude are really only preparing a rationalization or excuse while they are reinforcing the notion that they are not going to succeed.

If you undertake these practices, you will soon discover that it takes a certain amount of faith to begin to see the world in a different way. It is not more rational, and it does not come from doing more work; but it involves seeing things through a new filter, the filter of your vision toward which you gear your trading. Mastery is a metaconcept—a new perspective on reality that allows you to approach trades and market circumstances as new opportunities. You can learn how to restructure certain old patterns and how to develop new ways of looking at things. You will be able to reframe events and apply other interpretations to them. You will see anxiety and distress as reflective of increased tension and increased opportunity and adjust your game to this new reality.

Once you learn to see reality through this lens of mastery and vision,

you will be able to adapt to the market rather than to react emotionally to the swings in the marketplace. Your challenge then will be to get a sense of how the market is moving in order to apply your methodology and get bigger in stocks that are moving in the direction in which the market is moving.

Essentially, you can restructure the existing patterns that currently restrict your activity. You can become aware of the processing of data by your mind so that you will have greater control over the processes and your trading performance.



PART TWO

How Do You Get There?

CHAPTER THREE

Planning a Strategy

Let me tell you an inspiring sports story to start off my thoughts on *strategy*: A few years ago, I was consulted by Gary, the coach of a promising young athlete. Gary wasn't sure whether the youngster, a figure skater, should go all out for the gold medal in an upcoming international competition or should hold back and plan to return to win another time. "Go for the gold," I urged him. "There is no substitute for total commitment to the best possible outcome."

I'm not an expert in figure skating, but what I was saying to Gary was to make the gold medal the vision, not to plan for a half-hearted effort to protect his skater from the chance of failure. Once he did that, he needed to devise a step-by-step strategy to make it happen.

Gary listened. He mapped out a plan that included technical improvements (a triple Lutz–triple toe loop combination), as well as personality enhancements (he suggested a new open manner to replace the skater's rigid, "ice queen" demeanor). Gary jotted down the element that the skater needed to practice daily. He also orchestrated smiles into the skater's dance choreography. During practice, he got the skater laughing, loosening her up.

This is the way you prepare to win any gold medal—in trading or in figure skating. Gary's plan and the skater's preparation didn't guarantee the gold; but they had a vision; organized a strategy, and then played all out to make it happen. Your first step toward mastery is formulating and committing to a vision, the next stage is organizing a strategy for realizing it. This second stage requires you to map out an action plan for the steps that

are necessary to realize your objectives. In this phase, you uncover and discover a lot of things you are unfamiliar with. Here, there is a lot of input with little output. I should also caution you that the setting generates a certain amount of frustration and requires significant concentration on critical tasks.

In this chapter, I examine some of the basic principles of strategy development and then look more closely at creating a psychological state of cognitive dissonance in order to develop original ideas (or what has been called the variant perception) to give you an edge or advantage. Your first job is to be willing to keep asking questions to uncover what you don't know about what you don't know. Questioning elucidates new areas for trading success, which are as far from being formulaic as anything can be in the trading arena. You are also going to have to stay focused on the task at hand, to not be distracted by what others are doing or by your own emotional responses to successes or failures—all of which can become major obstacles to success.

LAYING THE FOUNDATION

In the early planning stage of mastery development, things tend to be characterized by low momentum. For example, when a firm is building a team of analysts but hasn't yet figured out how to capitalize on the flow of data in terms of sizing the positions, determining the appropriate length of time to hold positions, or making sure that the data is being processed correctly, there is much effort made with relatively little output. This is typical of the beginning of any project. The early labor sets the stage for greater outputs that will come later from concentrated effort associated with implementing critical processes, building the team, developing a strategy consistent with results, establishing time lines, and measuring performance.

The master trader knows the value of gaining a wealth of data and then putting the pieces together. He has learned to take the necessary steps with that data input to reach his goal. This means taking the data and then figuring out what else needs to be collected and what analysis performed to reach the goal.

What must be added or deleted from this strategy to give you the additional perspective? What can you do to check on the quality of the your data, to triangulate various data points with other relevant pieces that fit into your general thesis? There are no simple answers.

Data provides support for conviction and the confidence to stay in positions. Therefore, it becomes important to consider how you assess the

data. As you advance toward mastery, you must understand a number of things about this process that you might not ordinarily consider.

The value of data degrades over time. What is important today becomes less important tomorrow because events change and the meaning of the data changes as it is disseminated to the world. It gives you less and less of a variant perception as more people understand what you understand and as your thesis becomes common knowledge. Others are able to make the same trade, making for crowded trades.

In this regard, despite conventional wisdom that puts greater value on long-term perspectives, short-term data may be more accurate than longer-term data because many more factors can influence the quality of the data over time and change the significance.

In reassessing the quality of your analysis, it may be helpful to consider the following list of questions:

- Do others know what you know?
- How relevant is your data to how the stock price will move?
- Is the data obsolete?
- When will the data become part of the consensus?
- Is there more data to be gathered? If so, what other incremental data is available that will enable you to add to your trade or make the decision to get out of a trade?
- Has the stock been reevaluated by sell-side companies?

These and other questions are asked by the astute trader and his team of analysts assessing what is changing and what else could happen. But of course, the answers emerge in the process of analysis, and they are never the same. Different elements make sense at different times—as the market is a dynamic process where the relevance of data keeps changing over time.

As one trader said, “Trading mastery requires that we have a goal, be willing to put ourselves in an uncomfortable situation, and taking the first step into the unknown. What can we add to our process so as to be able to add to our database? How do we enhance our procedures? We keep trying to create a process to help optimize profitability. To do this we have to constantly ask ourselves: What is the biggest roadblock?”

The value of setting a goal is to help you see what you must add to your present efforts so that they are consistent with your stated objectives. If you have more capital, you may need to increase the size of your team or leverage off more information sources in order to increase the size of your positions while maintaining the same rate of return, you will need more high-conviction ideas to put on more risk and to be able to experi-

ence greater volatility than you may be accustomed to. That's going to demand some adjusting for you.

Case Study on Initial Issues of Strategy Planning

The following dialogue with a new portfolio manager explores issues that are critical in the initial stages of mastery development: formulating ideas, developing a calendar, vetting ideas, and sizing positions in terms of the results being sought.

In this discussion, we are talking about capitalizing on Peter's analytics, the catalysts, and his ability to track the movement of the stocks so as to achieve his portfolio goals. As can be seen, Peter is somewhat resistant about setting the goals "too high" and risking greater volatility.

Kiev: Maybe you should keep a diary and track how big you were and how much you made. You need to consider how much you *want* to make.

You might say, "Okay, I have got seventy-five thousand, and I am going to add another twenty-five thousand and see what I make." I am trying to make X. What did I make? Now the next time you are going to trade and you have the option to do the same trade, consider where you made three points. Maybe you want to have a hundred and fifty thousand shares.

You want to keep documenting it because a year from now, two years from now, three years from now, you will be able to go back and see your own history and your own footprints. Then you will be able to review what you need to modify in your approach. The more you monitor your own trading, the more conscious you will become about what you are doing, and the more you can modify and expand it. If you just keep trading, you might naturally get bigger, but you won't be as conscious about what you are doing. Recording your progress is the ultimate way of mastering the game.

Peter: It's finding a system that works for you on an intellectual level and just getting better at that.

K: Consider what is missing or what dropped out of your approach. Keep asking what it is that you are not employing in this system. It's very easy to assume that you are employing all that you can when in fact you are not. So, you want to keep building the model of your own system.

P: That's one of the things that I have always felt has been a strength. I tend to be very good at absorbing principles from other people and

synthesizing them. I can go back to when I was very young and first got interested in the business. I wanted to read these books about different styles and take components from them. I can't think of enough instances where I have been following the markets so I can use them as data points to track. The flip side of that is there are just so many data points that it is overwhelming to track. The experience factor is a huge card.

- K:** Keep building and documenting *your* experiences so that you can learn from them. Modify what you are doing based on what you are learning. Monitor how you are changing in the process. This is a conscious approach to mastery, rather than simply trading and unconsciously adhering to the same basic habitual patterns and reinforcement of what you already know.

The thing about experience is that while most people say that they have had thirty years of experience or twenty years of experience, they really haven't had that much experience. You may have experience, but you are not conscious all the time. I think that you can use your intellect to be conscious not only about the data, but also about your own performance and tracking so that you can expand what you are doing. If you trade for thirty years, the notebook about your trading should have more wisdom and pearls in it than if you had been trading for twenty years.

- P:** Can you list the items that you think I should keep track of in a diary? I don't want to solely include what I think would be the elements to the game that I want to refine over time.
- K:** The biggest questions to ask are: "What's your goal?" and "Where are you currently in regards to reaching your goal?" What's missing between where you are and where you want to be? You need to fill in the answers. The more you can fill those in, the more likely you are to get there. When you fail to reach your goal, consider these questions, "What dropped out?" and "What changed?"

Once you get to your goal, you want to expand the goal and ask yourself, "What's missing?" That is a very powerful question, but it may have a very simple answer. The more you can monitor your own performance and keep adding things, the better your performance will be.

- P:** We have talked about being flexible. In one sense, you are really advocating having a system, sticking with that system, tweaking it, and trying to constantly optimize it. The system is really having the vision of a result and then doing what it takes to produce the results.
- K:** How you're producing the result is really up to you. The basics are defining a strategy and assessing whether it is working. Are you mak-

ing your hundred thousand or your two hundred thousand per day that you have defined as your target? If not, what do you need to do in order to reach the results you have outlined? The strategy is results driven. The details are up to you.

The more you can track what you are doing, the better you will be able to stay aligned with your targets. The natural tendency is to try to minimize the discomfort and to withdraw from focusing on a specific target. In my view, master traders are extraordinarily successful because they keep trading in terms of defined targets.

Design your strategy and portfolio size in terms of profit targets. Be clear about these targets, even if it is difficult to acknowledge what they are. Notice your resistance to setting up targets.

- P:** Setting up a daily target kills me. I have a goal, and we have talked about it. It's a million dollars a month. Do I sit there and determine how much I am making on every position? I don't think about it like that. I think about it in terms of, "I am going to make fifteen or twenty percent over time." I have a view on what I think the risk/reward is.
- K:** Are you reaching your target?
- P:** Yeah, on successful trades. On the ones that I am wrong, I don't. In one stock I am in, I am coming up a little short. I am not using as much capital as I should be.
- K:** The questions I would have then are, "What do you need to do so as not to come up short?" and "How are you excusing yourself for coming up short?"
- P:** I am not playing it as aggressively as I could be. I feel like I have made progress on managing the downside because I felt that coming into this I have always been able to find winners. I have been managing the downside well. I have been pretty disappointed because I am down more than two hundred fifty thousand for the month in that position, just cutting it and moving on.
- K:** What's between you and making the million?
- P:** I think it requires making bigger bets more often. I think my batting average has been good. Here is a perfect example: This morning we came in long into this stock, and it was down, and the market was up. They had an announcement, and I thought it was pretty positive. So, I bought five thousand shares. I was long twenty-five thousand. I just didn't feel like getting overly aggressive.
- K:** Does that characterize the way in which you have been trading recently, which has resulted in the fact that you are falling short of the million? Are you not getting as big as you can when you have an edge? Are you set up to make a million for the month?
- P:** A million for the month is an aggressive number for the amount of

capital allocated to my team. I have known that from the beginning. For the style I am running, it's a big target. That's like a fifty or sixty percent return. I am running a fundamental fund. That's a big number. Am I disappointed that I am not getting to a million? Yeah, because I would like to be, and I think I can, and it's a good goal.

K: But are you committed to the goal? Are you doing what you need to do to make the number?

P: I think so. I think I am getting big in the names that I need to be in. I am running the number of names that I want.

K: If you looked back, what more could you have done that would have gotten you to the million? It may be that you have to get a little bit bigger and a little bit more aggressive in a few positions.

P: If I do that, I increase the volatility; and what I learned this week is that when people get too volatile, they have capital pulled from them.

K: Do you think that is an unrealistic goal then? Is there any other way of doing it?

P: I think it can be done. I think I constantly try to get better.

K: "Better" means what?

P: Better means finding better ideas. If I look at my portfolio, there are probably ten ideas that I really like. The other thirty are okay to marginal, but I have to have a portfolio to manage risk. I can't have have ten ideas. That's part of the reason why I am getting other people to help develop ideas and do the research. Instead of having ten good ideas, I can have thirty good ideas.

K: Do you understand where I am coming from? If you set a million dollars as your goal and your portfolio doesn't have a million dollars in it in terms of the size of your positions and the probabilities of reaching certain profit targets over a specified period of time, you may want to get bigger in the ones that you are really sure about, get out of the ones that are weak or that you no longer have conviction in (especially where the risk/reward is less favorable than it was when you started), and take a little more risk.

Maybe you have to do little bit more work—understand the catalyst a little bit better. That's the reason for setting the goal. You can say, "I think I could make the million, but I would have to take more risk, and I am not sure I want to take more risk. So, I am deciding this month not to play in terms of the goal." But it is good to acknowledge when you do this and to take responsibility for making that decision.

I am really not suggesting how big your goals ought to be or how you go about making the money. I am simply suggesting what comes into play when you commit to the result. You have to look more

closely at what you need to do to be able to perform in terms of the goals you have set. You may have to take more risk and experience more volatility. If that doesn't work for you, then perhaps you have to do more work to raise your conviction about your choices.

The purpose of this discussion is to shed light on the way you are approaching your trading and to help you to take more responsibility for your results. You have to do something that enables you to take that chance.

- P:** It's a very much a dare-to-fail type of mentality. You push yourself to get into an uncomfortable situation where you are reaching for a goal that you know is difficult to obtain.
- K:** I would call it a dare-to-succeed approach. Try to maximize your control over the likelihood of succeeding. Do you have an idea that really looks like a sure thing, an idea in which you have a lot of confidence?
- P:** Yeah, and that idea is absolutely as big as I can get now. That's how I trade anyway. I am looking for a reason to get bigger and trying to adjust exposure for that.
- K:** Maybe the goal is too big. What's a goal; that you know you can produce?
- P:** It's five hundred thousand, and that's fine: but I really want to get to a million. I am committed to it.
- K:** Are you willing to take the risk that you need, to play it like you are committed? You're saying you are committed to it, but you are reluctant to expose yourself to more volatility because you might have your capital cut. Making a million won't just happen because you say it. It will happen only if you do it.

If you are reluctant to do it, then maybe you ought to start with a number that you really are very confident you can do. Then you can prove to yourself that if you say five hundred thousand, you can do five hundred thousand. When you know how to do five hundred thousand, you can go for seven fifty hundred thousand.

Your business will scale as your confidence increases, just as when you can swim in the five-feet-deep water, you can move to the seven-feet-deep water. If you can handle X amount of volatility, you can then try even more volatility.

- P:** I feel like I am working as hard as I ever worked. I am as committed to this as I have ever been. I am working two hours a night at home. I definitely feel like I am putting in my effort.
- K:** In terms of what it takes to make a million, how are you hesitating?
- P:** I think the answer is that I need more quality ideas. I don't know how to do that overnight. It takes me three days to generate what I think is a quality idea. How do I get from ten to twenty or thirty? I think that

one answer is just having people help me with the research and addressing that.

K: So what's the number you know you can make?

P: On fifty million capital, I know I can make twenty percent. So that would be ten million dollars for the year. It would be eight hundred twenty five thousand dollars a month.

K: That's doable?

P: I have been doing that but using a lot less than fifty percent of my capital. I think I have averaged thirty percent of capital.

K: If you use fifty percent, you can maybe make eight hundred thousand?

P: Yeah.

K: Then maybe that's a more reasonable goal. It doesn't sound like you are playing for the million. This isn't about an X size to produce frustration. It's really to help you learn to trade what you need in order to reach your goal. Do you understand the relevance of a commitment to the goal?

P: Yeah. What I need to figure out is a system to track my progress over time. It's just understanding what you are consistently missing and what you are consistently making.

K: True, but you are saying the reason you are not producing your goal of a million is because you really don't want to take the volatility. So what's missing is comfort with increased volatility. What can you do to correct for that? That's the purpose of this dialogue.

It's not that making a million is particularly virtuous. The purpose of the million is simply to assess what you need to do to get to it. There is value in setting a goal that relates not to what your fantasy is but to the way in which you are playing. If you don't want to change the goal, what are you willing to change in the way you have structured this that would enable you to get to a million? In other words you know how to make five hundred thousand, what do you need to change to make a million?

As noted in this dialogue, a large part of strategy development is asking the right questions, and perhaps the most potent (and yet most simple) question is, "What is missing?"

What is missing from your preparation, from your performance, from your understanding of the complex strings of data that are being presented by the analysts? What is it that you can find that no one else knows but that will ultimately become important to people on the Street?

You must search for holes in your strategy in order to uncover not only your own potential but also the potential in the marketplace. In this sense,

mastery is an attitude as well as a series of processes that can help reveal extraordinary possibilities in yourself and your approach to trading. I am not suggesting that there is a magic formula for trading mastery. In fact, the answers are never the same for two different traders or even the same for two different trades. Rather, the lessons of mastery are to search for what's missing in *your* strategy or the contradictions in *your* approach in order to unearth what it will take to produce positive trading results and experiences.

DIGGING DEEPER

Mastery results from a combination of skills that you are born with, skills that you learn, and the work that you are willing to put in to acquire it. Maintaining the kind of commitment required to build mastery involves digging deeper, creating ideas, and building a network of support.

What does the master trader do when he is trading? He prepares his list of stocks to trade over the weekend and then during the course of the week keeps following these stocks as they trade, checking the actual action against his background studies, so that he has an explanation as to why things are trading the way they are or as to why things are running counter to his expectations. The master trader examines and considers the fundamentals, but he is looking for something more: He is looking for the dynamic, what this means for the stock.

Case Study on Mining Data

So how can you go beyond the conventional steps you are currently taking to get more data and to create a process that generates original ideas? What must you ask of companies and of your analysts to get to the cutting edge? What do you know that others don't know? How long does data last before their originality decays?

To explore these issues, I have included an extended conversation I had with a portfolio manager in which we explored the theme of creating new perspectives to support an expanded vision of results. I tried to encourage him to go beyond his conventional way of analyzing companies and to find new ways of mining data so as to make the process more structured and efficient and to discover things way before others so that he would be ahead of the curve. We were talking about exploring new vistas for examining things about his trades and his companies that might bring new perspectives to light.

Kiev: You are in a comfort zone. What would it take to go beyond it? What would it take to double what you are doing? What would happen if you made a million in your target? What's missing now from your efforts?

Mort: Assuming the same amount of capital, it's about getting that sensation I feel more frequently when I look at ideas that I know we're very big in and made a lot of money in. I love that sensation.

K: Is that sensation a new one?

M: I have always had it. It's a sensation of making three quarters of a million dollars on one position.

K: Do you know how to get to that zone or that realm?

M: I feel like I look at positions here and feel very confident that I am going to experience that sensation with them. I can look at it and say, "I have done the work here, and I know how this is going to play out. I am confident in my work. Let's make this a big bet."

K: How often does that happen?

M: Two times a month. What we are talking about ultimately boils down to not being as aggressive as I know that I have been in the past.

K: In certain ideas?

M: In ideas and in my style. It's not that I am afraid to take risk. I am afraid to have days where I am up four hundred grand and then down four hundred grand. I don't want to see that level of volatility because I don't want to get a call from the risk manager that I need to take down exposure. Politically, you need to have the decision makers have confidence in what you do. Yet you want to make the big bet.

K: Then are you playing less than full out?

M: I am saying four hundred grand, because I think relative to the size of portfolio that I am running now, that would be a fair amount. Those types of daily swings would be very big. I can't do that day after day, because I can't just develop the ideas quick enough.

K: If you say that right now you are doing it two days a month, how many days could you do it in a month?

M: If I could do it twice a week that would be great. That is going to require more focus and eliminating activities that aren't central.

K: When you are in that place, somehow or other you are seeing things with greater clarity?

M: Yes. I use the analogy of seeing certain movies. It's like you can watch the first twenty minutes and know how it's going to end. The level of emotional thought that goes in after the work has been done is pretty low. Here is the path. As long as you don't deviate greatly, you know where you are ultimately going to end.

K: So, what would it take to be there more often?

- M:** That's what I call the velocity of ideas—how many good thoughts I can have.
- K:** Again, this is functioning at the level of what you don't know about what you don't know. Some of the things you see when you're in that state you couldn't have anticipated. You couldn't have known you were going to see what you were seeing. Is that fair to say? You are seeing something beyond what you already know about the stock and beyond what you don't know. Is there some dimension of reality that all of a sudden appears when you're in that zone that you couldn't have anticipated?
- M:** I guess that would be when you get a data point that totally deviates from what you thought.
- K:** Somehow or other, you are saying that things seem really clear, like in a movie where you recognize the plot unfolding. You are seeing something beyond the raw data points. You are seeing a thesis unfold. You are seeing a piece of reality that some ordinary person looking at the same data might not be able to see and that you couldn't have known you would see.
- M:** I couldn't have known I would see it when I first started looking at it. If I looked at a name and I saw it, I wouldn't have known until after I did the work what were going to be the data points that would outline the movie that I would write.
- K:** Do you see the movie based on the data points, or do you see the movie based on the coalescence of factors that suddenly gives you a new insight or enables you to see a new configuration of the data that you couldn't see or anticipate at first?
- M:** The movie is the conclusion of the data—the facts for sure.
- K:** Is there anything special about what you're seeing? Does something emerge from your assessment of the data that is more than you might have had going into the trade?
- M:** Yes. As you do the work and you get more data, you get more confidence, and it affects the size. Here is an event that no one else is looking for and people aren't trading. I am ahead of the curve. It hasn't played out yet. I am anticipating something because I am anticipating the ending. I get enough in the middle of the movie to recognize how it will end.
- K:** Somehow or other, that's the realm that we are looking for.
- M:** I ask a lot of questions. Before a conference call, I prepare questions to ask the management team. I have seven or eight questions. I don't know which of these will ultimately lead to the critical data points. I figure these are important questions. How do I know that? Well, experience has taught me. If there is an investment idea out of this, it's because I am going to learn something from one of these questions

and just pursue it and dig into it. How do I find out more questions about the same issue that I am not asking? That can increase my batting average and give me more?

- K:** The critical thing when you are searching for ideas and data is to develop a template of questions that covers a broad range of issues and that creates a large enough net to catch original ideas, shifts in sentiment, changes in corporate strategy, failures in the numbers, and the like. While the ultimate results may be serendipitous, it is possible to begin to expand your methodology so as to increase the likelihood of finding original and variant perceptions so that you can trade on them before the rest of the Street.
- M:** That's what I am hoping to do—to be able to reverse engineer the questions that I should be asking, to learn new questions to ask.
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The preceding dialogue with Mort underscores a number of critical themes of mastery including:

- The importance of reviewing trades to see why you lost or made money so that you can learn from your trading experiences and understand the elements of your strategy that need to be repeated, modified, or improved on.
- Learning more about what you don't know about what you don't know—pushing the envelope in order to learn things about trading that you never knew before, by virtue of stepping out in new directions and discovering new things about yourself and the trading world—in a sense learning what you can from entering into the zone of discomfort.
- Discovering what it is like when you are trading in the zone, where you are experiencing a heightened sense of mastery from trading in an expanded realm of possibility.
- Developing the capacity for a visual imagery rehearsal of new trading scenarios even before the trade has taken place.

Beyond this, the master trader listens for the amount of conviction in the voice of his analysts as well as other traders. He is interested in how much the analysts have assessed the color on Wall Street—what the sell-side analysts are saying and planning to recommend. He reads the conviction of the call. He has his strategy in advance of events and then plays the stock based on his expectations. If stocks don't move as he expected, he shifts his strategy. But always there is a strategy in advance—one that he keeps adjusting as new data is presented.

In other words, the master trader does the work necessary to reach the goal he has set. He isn't afraid to dig deeper to discover the unknown factors that will give him the edge that he needs. And he keeps moving.

HANDLING COGNITIVE DISSONANCE

While discovering new data is imperative to developing a successful strategy, it often leads to a psychological state of cognitive dissonance. It is wise to become familiar with this state; it is part and parcel of mastery. *Cognitive dissonance* refers to the discomfort felt at a discrepancy between what you already know or believe and new information or interpretations that you have discovered. Cognitive dissonance often occurs when you are given data that challenges what you previously believed, where your cognitive functions are confused by conflicting bits of data. The difficulty of reconciling two different viewpoints creates this state of discomfort.

When we experience, identify, understand, and embrace cognitive dissonance, we can actually become more open to new perspectives. A certain amount of dissonance is helpful in the interaction between trading coach and trader in teaching mastery in order to drive an intellectual wedge between the trader's current beliefs and "reality."

Once an idea is originated that is outside consensus, it starts to work its way into consensus. That power of rationalization takes ideas outside of consensus and gradually finds justification for them so that ideas soon become known to many people and are easier to tolerate and accept. This is why the value of data degrades over time. The more people rationalize their insights, the more they reduce the sense of cognitive dissonance. Therefore, over time, more people become involved in the process. This forces people to invest in an idea.

The master trader is aware of this dynamic, and he stands outside it. He makes money as he sees the cognitive dissonance work. He watches the curve of cognitive dissonance. He is unsettled. He doesn't have to participate. But he recognizes how other people are convincing themselves to get into a position for the wrong reasons. He has many analysts and portfolio managers around him who provide him with ideas. But more than that, they are providing him with a perspective on how others are playing the game. Sometimes this influences him, and he has to free himself from this influence.

Case Study on Looking for Cognitive Dissonance

Dealing effectively with cognitive dissonance involves a number of things, including the ability to dig deeper into data, to decide what constitutes a good idea, to build a network of ideas, and to develop a variant perception so as to get a better handle on inconsistencies and other changes that

may have an impact on stock prices. Most important, it is critical to assess ideas daily in the context of market action and market sentiment because the actionability of ideas changes daily, depending on a variety of factors. The changing value of ideas was brought home to me in a conversation with several technology analysts/portfolio managers.

In this dialogue, we talk about the analysts' thought process for evaluating stocks, paying particular attention to their methodology, which allows them to look for original ideas before these ideas reach the level of consensus. This methodology clearly demonstrates the kinds of support that analysts and portfolio managers rely on to push the envelope on ideas. It suggests how to become more comfortable dealing in the realm of not knowing what you don't know.

The dialogue suggests that when you have a method, you can tolerate cognitive dissonance better. This conversation is also useful in outlining some of the kinds of themes that good analysts look for in screening companies, suggesting that the process is far more complicated than what most ordinary investors usually consider.

Kiev: Do you look at a company and assess the fundamentals, the business model, the earnings potential, and the growth potential?

John: Everything that can change value.

K: Is that based on where the market is and what the sentiment is at the time?

J: The quality of your idea.

K: How do you know a good idea is going to vary from week to week? Does it depend on what filters you apply to the market?

J: It's a dynamic assessment. You can't do it in a vacuum. You can't do it with a textbook. You have to see it through the lens of the market, and so the market feel enables you to process this data.

It's hard. It's a scale equation. It's very hard for assessments, and I know how to do it. You have to specialize. It's very diversified. Somebody has to do the research and become a genius in the name. Somebody has to sit here and watch the screen all day.

K: Give me some of the characteristics of a good idea.

J: It varies from day to day. Ideas are dynamic, and their actionability changes from day to day depending on the market and what else is going on in the markets and in the world. So, the trader has to keep adapting and reviewing his ideas in the context in which things are changing.

K: So, it's a dynamic process of trying to understand the specific company story in the context of the market?

J: Exactly.

K: How uncomfortable is this?

J: Very, since you are looking for unconventional ideas and don't have the support of the consensus.

Gabe: I would agree with that.

K: How much do you rely on your interaction with other analysts to exchange ideas so that you can leverage their data and perspective as well?

G: They may know more about one story than I do, but I probably know more about another story than they do. It's my opinion that every analyst has a handful of companies that they own. They know everything about what's going on and so forth. What I try and do is figure out the companies that I know best. That's really a matter of being honest with yourself and asking, "Do you really know what's going on, or are you just telling yourself you do?"

What I try to do is figure out who else knows certain companies? Who has an edge in other companies? I talk to a friend on the West Coast about one semiconductor company because I know this person has an edge. So I don't necessarily have to do the work. I can rely on this person. I try to figure out who has the edge on the sell side or the buy side and try to match that up with what I know.

K: Again, is this something that anybody can do? Can an amateur investor do the same kind of work, or would he not have the resources to do it?

G: I think it's a matter of effort, what you put into it. You have to build the contacts in the mid-level of a company to give you a full picture as to what's going on. I think anybody can do it, but it takes work.

K: What's an example of a good idea?

G: I think it's a matter of trying to figure out something that is unique or different that the market is unaware of. It's going to be actionable factors that have an impact on a stock, something that the market doesn't realize, doesn't know yet.

K: This is the variant perception. When it does come out, it will have an impact. It's knowing something early on that is likely to have an impact on the action of the stock. Then when the world finally knows, they will get behind it.

G: Right. Think of it as more of something that the Street is unaware of.

K: You would know because you had talked to the company.

G: Yes, because I would have talked to people at the company or one of their resellers or suppliers. For instance, consider if they signed a really funky deal with one of their resellers, stretching to make things meet.

K: So that might be a good short idea.

- G:** Yeah. Their job is never to reveal any weaknesses. You know, “We have the best products.” You should know if they really do or don’t. They are going to say they do. You should know the competition. If three companies are in the same space, who has the highest win rate? They all will say they do. So, relying on those guys is not always the best. If you do talk to them on a regular basis, you may be able to gauge a slight change.
- K:** You would need to know to talk to the company but also to get a sense of what the sell side is saying.
- G:** Right, and what the Street thinks as well.
- K:** Do you think you have to understand the technology itself?
- G:** I think that’s less important than trying to figure out a basic business problem.
- K:** Another component in developing mastery and the variant perception relates to the velocity of ideas being produced. Some traders think that what differentiates one trader from another is the emphasis on ideas. What do you think differentiates mastery from ordinary, plain-vanilla trading?
- Marty:** The velocity of the ideas. One kind of mastery is the ability to just get in and out of things and always have a backlog of good ideas. The master trader puts on an idea. If it is not working or he doesn’t like the way it’s acting, then “Boom,” it’s gone. He can move to something else because he has got someone who has generated an idea there that works great. He can rotate, because he has always got his buys and sells and the level of conviction in the ideas. That is a huge edge. At a longer-term fund, you put this one on and wait six months.
- K:** So it’s the quantity?
- M:** Yeah, and the master trader can just turn his portfolio over when he needs to so he can find new things.
- K:** What would be the characteristics of a good idea from a generic point of view? What do you look for so that you know it’s a good idea when you see it?
- M:** The preferable thing is an edge. Edge is either some piece of research or data that you have done that’s not widely disseminated or widely understood by everyone else, something that will have an impact on the stock. If you come in and you have a piece of data that you know is important to other people, then you have an edge. When you know that they don’t know it, then that’s an edge. Then that will be one pillar of a good idea.

What I have always described as a good idea is to know the business fundamentals. Let’s say it’s a short; then you will be looking for:

- Minimal organic revenue growth.
- Peaking/Plateauing/Declining industry trends.
- Low/Declining return on equity (ROE).
- Poor quality of earnings.
- Poor cash flow/minimal cash flow generation.
- Aggressive consensus expectations.
- High or increasing leverage.

You know when you want to get in the position and when you want to get out. Our business is about capital allocation. When I can do an earnings model and generally get a feel for the company, that gives me confidence to get invested or short it. If it's a company I am having trouble modeling because the financial statements are messed up, that should also be a warning sign to me. It probably means that everyone else is having trouble, which means no one is really clear about what's going on.

K: Everyone says you need good ideas and an edge, or variant perception. What are the elements of that? How do you know when you know it, and how do you get there? Because somewhere after this whole process, you are going to start seeing things that you never imagined existed. If you just do this systematically, there is going to be a result that will be extraordinary.

M: I like to have independent data points I can track. This is one of the great things that I stress. I don't want to listen to what management is telling me because they might be behind the curve; so I ask the question, "Can I find independent data points to corroborate or counter the story they are telling the Street?" That might be industry data. That might be data from consultants. That might be data from commodity pricing, like the micron chips, etc., upgrade or downgrade, because that can act as a catalyst for sentiment. Are potential earnings going down or earnings going up?

K: What about emotions?

M: Manage the emotions. Don't get caught up in the moment. Have a game plan beforehand. With businesses, it's so prone to being like a roller coaster. Some days you feel like the top of the world. Some days you feel bad. That's par for the course. You know everyone has that.

K: On the days that you feel good, when you have just done something really outstanding, do you change your trade after that or do you slip? Do you become more complacent?

M: I find, with me, the days that I do really well, I will categorize the experience of how I feel. What was the trade? I just go through it again.

I have gotten more focused because I just want that much more. If I can make three hundred thousand on this, how do I set up to make half a million? I don't have one big trade and then say, "Okay, I want to cut my exposure and turn it in for the month."

K: Do you have a big trade and then start relaxing, as opposed to picking these up?

M: I keep focused. I think one of the things that I need to work on for the next year is that on the days that I tend to have a big trade, and I know that I want to get out of the position, I tend to spend too much time watching and looking for spots to get out. So, I wind up making a lot of money that day, but not really getting a lot done. I just think that next year I need to have more confidence in terms that this is the price that I want to be out at, and I don't have to worry about it anymore.

I think one of the things that I have learned is that I need to have a couple of big positions on to keep me focused. If I do that, I am in the zone. It's when I have a bunch of little bets going on that I tend to just sort of let things slide. Then I am not really focused. I have to force myself to take what I think is my best idea and make it a big one. Because you know even if I am wrong on that, I am not on the rest of the portfolio.

Clearly, there are a number of ways of approaching the market, as suggested by these several traders. Also important, there is considerable attention paid by a burgeoning master trader such as Marty to the issues of emotionality, learning from his experiences and trying to continually tweak his approach so that he is always seeking to elevate his game. As Marty points out, the master trader is struggling with the market fluctuations all the time and trying to maximize his profitability by reducing his losses. This is not a pleasant experience and he suffers internally when he has made a "stupid" mistake by buying something that is going down.

Mastery is a combination of learning to read into the meaning of the distress, or cognitive dissonance, and using it creatively to do more work, to find more substantiation for positions, and to maneuver around various positions, including buying and selling of Standard & Poor's futures to hedge out the market risk. It also means getting out of positions, taking small losses and waiting patiently for the opportune moment to return to the trade.

The person who puts too much emphasis on intellect and certainty, such as is found in fundamental analyses, and not enough emphasis on intuition and reading the movements of the market is likely to have problems. The master trader finds a balance between all the conflicting forces

that might influence his decisions. Mastery is equivalent to faith, the ability to blend intellect and instinct to ride out uncertainty.

A master can nullify himself the most. He is the one whose ego is least involved in assessing the nature of reality. He is the one who acts independently of his own arrogance about his knowledge of the companies and his pride in past performance. He is confident but puts in the work to the point where he is as prepared as he can be. He is able to understand the world better, since he is seeing it as clearly as is possible (without seeing it through the distorted lens of his own sense of self-importance). He has heightened sensitivity to the nature of the human condition and to the nature of the markets. The master views the market and stock prices as an embodiment of what everyone else believes about a stock, but he maintains an indifferent attitude toward the meaning of the stock price. He is attached neither to the price of a stock nor to his own emotions regarding it.

DEVELOPING A VARIANT PERCEPTION

This leads to another dimension of mastery, one that has already been mentioned but not yet explained—*variant perception*. Variant perception is a unique view of a stock—one that runs counter to the perception of the majority of investors—that you have developed as a result of discovering something about that stock or company that no one else yet knows. For example, let's say everyone believes a certain stock is valued at 25. However, you have dug deeper and believe that the company's numbers aren't going to be as good as expected and the stock is likely to go down. You then have support for your variant perception and can start to short the stock at 25, with the expectation that you can cover or buy it back when it hits its low number of, say, 20 and pocket the difference. You will have crafted this strategy before everyone else realizes the stock is going down and starts doing the same thing. So, the variant perception allows you to act before others find out about the failed contracts and start reacting themselves.

Dealing with the unknown causes discomfort, and the herd tends not to trade this way. Most people tend to follow the consensus trade and do what everyone else is doing. The master trader is trying to act contrary to the crowd. He knows something in advance of everyone by dint of better analysis or better understanding of companies.

The master trader is ahead of the herd and has purged himself of the need to be comfortable. He can tolerate the dissonance and get actionable data before everyone else.

Case Study I on Developing a Variant Perception

Much of my work with traders involves encouraging them to enter into the realm of the unknown in order to develop new patterns of thought. The objective of coaching is to get them to look at data and ideas with fresh eyes so they make connections that were not visible to them before.

The following dialogue exemplifies how I try to help traders to think outside the box in order to develop a variant perception. Much emphasis is devoted to challenging them to differentiate their ideas from the consensus view. I try to help them to get comfortable with being ahead of the crowd, to assess the relevance of their ideas to the actionability of the trade, and to size their positions commensurate with their conviction.

Kiev: If you set a big enough target, you are forced to raise your level of conviction so as to take a bigger position. Committing to a result forces you to look to see what's missing from your current procedure in order to produce that result. Another way of putting it is that if you start by accepting the premise that there is an X factor out there that you need to uncover, you are more likely to uncover it.

What we're talking about is discovering something that you didn't know existed before by asking questions about what's different. Why did this trade work? Why did this trade not work? What more could you have known so you would have been better prepared to be bigger?

This process begins by deciding to seek a level of mastery in trading. This then involves finding avenues that you currently don't see.

So, how are you going to find them? What more could you have known? What's missing from your thesis? What data is missing that would give you greater clarity, certainty, and conviction about how to trade this?

Tom: I am trying to think from a fundamental perspective. I need to ask questions that I haven't asked before, and the reason I probably haven't asked about them before is that I didn't think the answers would be useful for what I do. One thing to do is to step back and consider what would have been more useful in instances where I have been right or wrong.

K: Each situation may be a little bit different. It's really building up a reservoir of data about why things happened the way they did. When considering a past trade, think about the reasons why it went the way it went. What didn't you have? What work didn't you do that could have given you those reasons? For example, in reading today's *New York Times* about yesterday's trading, you would say, "Yesterday this

stock went up two points because of this announcement.” It’s worth cataloging that.

How many announcements could you have gotten that would have helped you make today’s trade bigger or would have prepared you for it? Was there something else that happened? You keep expanding your database. It doesn’t even have to be from your own experience. You can have it by cataloging real world events that retrospectively look like a real explanation.

- T:** Or review events where I didn’t think there was anything important, and something important did happen.
- K:** The tendency is to have today’s events occur, get the result, and then go on to the next trade without learning from the experience. The more you can learn from the experience—whether it’s yours or somebody else’s—the more you can build that template of data and ideas. The more you understand the subtleties and the distinctions, the more you can assess what you know about this company and compare it with new data and ask additional questions.
- T:** The tendency is to assume that the X factor is the market. How many times do you hear that? The trade would have worked, but the market went against me.
- K:** The key is to look more closely into the market to determine what those X factors were that might have been tracked so that you would have had a better handle on the stock and its movement.
- T:** I see your point about searching for some explanation as to why it happened. I think that if you blame the market in general, without identifying the specific factors that caused the movement, you probably didn’t have enough data to have a high conviction for being in the trade to begin with. If you had a reason, then you could say, “Okay that reason was wrong.”
- K:** The variant perception is the idea that’s going to change the way the world sees it. That change will depend on the market and the sentiment and other factors. What was a short last week may not be a short this week. The next consideration is to devise a methodology that will keep getting you those differentiated ideas to develop a variant perception.
- T:** The first thing we look at is valuation. Then we consider whether this is trading cheaply or expensively, and then we can do it on a more macro bet.
- K:** Does this formulation always work?
- T:** It does, but you just don’t know when.
- K:** It eventually does.
- T:** Yeah. It just could be the timing issue. It could be two weeks or two

months. So, if I get in too soon, I can get hurt even though I think it's going up here. If I get in too soon, I am stopped from implementing the trade.

K: How can you improve your timing?

T: I can wait. The extreme is a better place to enter the trade. That's what I have to be patient for.

K: It still could go lower?

T: It still could go lower. It is an extreme, and that's what I need.

K: If you could wait and then get in at the bottom?

T: I would take no pain and just set sail.

K: The methodology works, but you can't quite time it. You can improve the timing by waiting till it's at an extreme bottom or top. What keeps you from doing that? Impatience?

T: Yes. I feel like I am going to miss it. I would rather have something than nothing and not miss it.

K: Or you could have a lot of capital, and you could take the pain?

T: I am going to be honest with you. When I have an idea, I think I am the only guy on the planet who has the idea, and I tend to get very big, very quickly rather than wait methodically to scale into it.

K: You are assuming people are figuring it out faster than they actually are. You don't appreciate that it takes the market a lot longer?

T: It's possibly because of the way I was trained—to assume you are the last one to know this data, regardless of how good your sources are. That's the assumption that I go under.

This conversation with Tom, an experienced analyst who is learning to become a portfolio manager, is illuminating because it underscores issues in finding the variant perception and then implementing it. One important thing Tom brings up is the question of timing. He needs to learn to implement his ideas in a profitable way and not be so impatient; otherwise, he gets into a trade too soon—before the variant perception has begun to be accepted by the Street and is starting to impact the price of the stock.

The master trader tries to get his timing right. He seeks a catalyst to give him the variant perception that will enable him to maximize this profitability by trading at the right time and for the right size. Is he comfortable? Not at all, for several reasons. To begin with, he knows that the best and most original ideas produce a great sense of discomfort because they are outside the consensus. He welcomes this discomfort. He also knows that he is going to be unhappy for a while until his idea starts materializing and coming true. If he doesn't get it right, he remains miserable but has gotten accustomed to riding out the discomfort knowing that it is linked to ultimate success. He is upset with himself if he misses an opportunity or

does not get the timely data or a sense of conviction from his analysts so that he can leverage that data. He handles this distress by being totally engaged in the process and in tune with the markets.

After all, finding the variant perception is not always easy. Everyone wants to look like he knows. No one wants to admit that he doesn't know. To find the variant perception, you need to do more work; and this requires exploring the unknown and experiencing the discomfort of cognitive dissonance of choosing ideas that are beyond consensus. To function in this realm requires some ability to admit ignorance, to deal with uncertainty, to have a scientific or exploratory attitude, and to go beyond the herd.

Because the development of a variant perception creates anxiety, most traders need time and some coaching to be encouraged to think this way. Some very smart and intellectually gifted people have a hard time thinking this way because it involves a willingness to be a contrarian and to see things early before others see them, without having the sense of support that comes from the consensus view.

The markets can be frustrating. Sometimes fundamentals are crucial in moving stocks. At other times macroevents, such as the World Trade Center bombing, the war in Afghanistan, or the war in Iraq, are moving stocks; and fundamentals count for very little. Trying to get a handle on a moving target can be aggravating. It is particularly annoying when the data being presented are off the mark, superficial, and irrelevant to understanding the dynamic process of price movement, albeit factually accurate. Even more frustrating is that the trader is not always aware of this process and what it is that he is looking for. Ordinary traders are often even more oblivious to the factors that move the market.

While you are searching for a handle on a particular market, you are likely to be intensely involved in your trading and very much emotionally affected by what is going on, including the permutations and oscillations of the market volatility, especially in a difficult tape. While others often capitulate and get out of their positions because they cannot stand the pain, act in the face of too much uncertainty, or deal with the internal tension associated with the rising market, you must be able to stay in the game despite your frustration.

Case Study II on Developing a Variant Perception

The true master is able to conceive an original idea at the cutting edge of data, which differs from consensus, even when it is uncomfortable to do so. You need to have confidence in your ability to think originally and in

nonconventional terms. This is the hallmark of creative thinking and ultimately is translatable into successful trades. Listen as another trader, Ethan, describes his take on variant perception.

Ethan: In order to make money, you have to be able to ask what is wrong with what everyone is telling you. You have to consider where the conventional thinking is incorrect. This takes thoughtfulness and perception. You have to be able to be critical and to say something is wrong.

Kiev: Would you call that variant perception?

E: Yes.

K: Can you explain clearly the variant perception concept?

E: It's having a unique piece of data, an edge so to speak, that gives you a differentiated view. For example, everyone says, "The sky is blue."

You say, "The sky doesn't stay blue forever. It turns gray."

They ask, "How do you know it turns gray?"

"It turns gray every night."

"Oh, we think it will always be blue. When will the sky turn gray?"

You reply, "The sky turns gray at 6:00."

So, now I can short this sky at 5:50 because I know that at 6:00, everyone that was going to say blue is now gray.

K: What is so hard about getting the variant perception that makes it masterful to be able to do it?

E: Most people are consensus thinkers.

K: They're afraid to think originally.

E: If a company's stocks are going up, they think it must be great. The variant perception is the ability to recognize that a prominent company is really bad. It's a bad business, and the ideas that it pushes on Wall Street don't fly. There is always a variant perception, for example, our view of a big energy company that failed. We made a lot of money in that. We were right on that. What was the variant perception there?

K: You said you didn't trust the company.

E: Why didn't we trust it?

K: You didn't trust the accounting. You didn't trust the business model, and the whole world did. What does a master trader do in these difficult times of a bear market?

E: He is prepared; he has a plan. He has a reason for why he does stuff. He's not just sitting there winging it around because there is no volatility. That's why I am doing the work. We have to get aggressive and go out and do the work. There are people that understand companies. The way you make money is you do the work and try to un-

derstand more about the companies you are trading. You go home and spend three hours preparing. You are constantly on the phone digging for ideas. You ask questions such as, “Why can I own the hospitals? Why can I own tech?” You get the input. What has happened in this today? Is this negative? Is it positive? You know what you are looking for. You know why A over B versus C over D. You don’t just wing it.

K: Do people have to change internally in order to adopt this approach?

E: The most amazing thing about being a master trader is flexibility and a good work ethic. The master trader is committed and vision driven. Ordinary traders may make a lot of money, but if it’s boring, then it’s the markets fault. They will go home. The master trader will sit there and try to find a new way to make money.

K: Do you think it’s a matter of motivation, or is it a matter of character?

E: It’s a matter of motivation and organization. This is one of the critical components of mastery—organization of knowledge, motivation, focus and the like. Many ordinary traders, especially in difficult markets or in periods of drawdown, lose their focus, and their organization and get away from the basic strategy of cutting their losses and adding to or expanding on their winners. Organization is a matter of knowledge. It’s a matter of desire.

K: These other guys, who are not true masters, want to make money. I can’t imagine that they don’t. Are they afraid? Are they reluctant? Do they believe they couldn’t understand the variant perception model or find it if they tried?

E: I think they take the easy way out. It’s easier to wait for the call. In a sense, they don’t know where to start, so they don’t start. It’s like, why don’t you write a paper in college? You don’t write a paper because you are afraid. You don’t know how to start to write the paper. So instead of just writing something and editing, you sit there and obsess about writing the paper. So they go, “I don’t know how to call the company. I don’t know how to read a First Call.” Then they get into a rut, and then it becomes habit. They go, “It’s not me. It’s the market.” The master goes, “It’s absolute. It’s not relative. There is no excuse. Find the opportunities.”

K: Is it that they don’t understand that there is a process that is available to all of them?

E: There is an impediment that keeps them from doing the work.

K: To be a master trader, you have to be willing to do the work.

E: Master traders work hard. It’s commitment to a goal, commitment to preparation.

K: So mastery is about work ethic, innovation, looking for the cutting

edge; about a willingness to take chances, to review what you have done, and to keep reinventing yourself to adapt to changing circumstances.

- E:** Master traders go back and forth looking for this differential between the reality and the noise.
 - K:** The reality is the current price, and the noise is what people are saying about it.
 - E:** The master trader is looking for what he thinks is the most powerful thesis for the moment. He is continually vetting data and perspective from people who are approaching the same companies with different perspectives.
 - K:** So he is very dependent on being able to read the different perspectives of the other traders? Can this sometimes be problematic for him?
 - E:** The master looks to other people to initiate positions. He is looking at different styles and, in effect, is playing the different people in the room as well as friends and colleagues at other firms. He watches these people, and they give him insight to how the world looks.
 - K:** So one form of mastery is to surround yourself with talented people, encourage them to play their game, and then observe what they are experiencing. Watching them trade provides insight into what parts of the market are working and what styles are working. The master knows who the long players are. He knows the guys who will capitulate. In fact, this is a critical part of his overall trading strategy. It provides significant psychological input into his trading.
 - E:** For example, everyone has been negative on a stock because the fundamentals are negative, but the market trend is going in a positive direction. Your variant perception is that on the margin, the fundamentals are not worse. Everyone acts in a certain way, justifying their positions by rationalization, and then all of a sudden they are wrong. The master trader sees that.
 - K:** Variant perception is having a view of the market that is different from that of other people and trading on the basis of that.
-

In this dialogue, you see the importance of trying to differentiate between reality and perception. The master trader is always trying to figure out the value of a company, as well as the Street's perception of the value of that company, so he can trade the difference between the real value and the perceived value. Sometimes the Street perceives a stock as being more valuable than it really is, and the master trader seeks to take advantage of this mispricing or misperception by buying the stock as long as the Street (the sell-side analysts and brokerage firms) perceives it is positive. He gets

out of the trade when certain news or figures about earnings come out, demonstrating that the company is losing value and is really less valuable than the Street perceived it to be. From his analysis, knowing that the company is having problems, he can begin to short the stock as the price of the stock drops.

The key to this approach is not being attached to the story about a company or to your analysis of it. The master trader is more interested in the market's perception of a company than in its real value since he wants to trade the stock as a short or long based on the chances he has of gaining profits. He may also be interested in holding some stocks over the long haul when their value may increase or decrease. But this is generally reserved for a longer-term investment account rather than a trading account.

The ability to perceive these distinctions is a characteristic of mastery and is a key to high performance. When an individual is under stress, is not doing well, or has lost confidence, it is more difficult to do this kind of intellectual arbitrage. Then there is a tendency to play it safe—to buy into consensus thinking and to look for views that foster a greater sense of security.

To construct this kind of consciousness, you have to acquire tools to help expand your ability to take risk. Lenny, a retail portfolio manager, had this to say about the kinds of data that he routinely tracks. This is data he keeps over and above the fundamental assessment of companies; and it is designed in part to measure sentiment, market activity, and the thought processes of others who are involved in the trading game. He keeps track of:

- Ticker symbol and stock price.
- Classification of the position (core position, longer-term time horizon).
- Value play.
- Upside price target.
- Earnings multiples.
- Peer group average multiple.
- Catalyst.
- Last time he spoke to the company.
- Last time he checked the channel (e.g., distributors, customers, subscribers, etc.).
- Next time the company is speaking in public.
- Number of strong buys on the Street, and the number of neutral ratings to find the sell-side consensus, anticipated inflection points, and comments.

"Then I also have a daily sheet—symbol, catalyst, consensus, bias," Lenny said. "This is to find out where the rest of the Street is, all the

guys who are doing what I do. I want to know what they are thinking. If everyone is a long, then consensus bias is a long. Idea frequency—every time someone hits me with an instant message, every time I hear from the sell-side salesman—I mark it on a daily basis. Then I find out how crowded the trade is, and then I have event expectation, the anticipated action, and comments. These are the types of things you need to do to control the risk in a portfolio. You have to be proactive to find methods for measuring the anticipated profitability of a trade, when the herd is all playing a similar game.

“Soon I have some perspective on what others are thinking and can get a feel for how crowded the trade is and then determine whether to play consensus or play opposite to consensus. I can figure out the whole world is thinking short. So what is a greater risk? Either they are right, or it is a herd mentality and everyone is packed in the short, and when the news comes out, if it is not as bad as it has to be, the stock will go up. That is the way the world is positioned. It’s like a contrarian’s barometer.”

These are the kinds of concerns that should be relevant to you in order to get an edge in a crowded marketplace. The most important lesson here is to play your own game. Monitor your own performance. Once you know what you are inclined to do, you can correct for that; so it is important to track your own style and your own issues to identify these patterns. This is a very practical, powerful way to create mastery. Keep asking what ingredients you bring to the game. While there may be *a* right way, the best thing you can do is to discover and develop *your* right way.

Ordinary traders, especially those who rely on the tape or on the opinions of others rather than on original thoughts, are not likely to have variant perceptions. Part of the ability to have variant perception is intellectual; but part of it is the capacity to stand outside the crowd, to observe the crowd, to develop a unique perspective, and to have confidence in your ability to think in nonconventional terms, which is the hallmark of this kind of creative thinking.

MEASURING YOUR RESULTS

Mastery involves learning to trust your instincts, so as to cut your losses and not get too attached to your ideas or positions. One way to nurture this ability is to measure your results and track your performance.

Ask yourself how long it will take for a trade to come to fruition; how many trades you will need to reach your goal, and whether you are following your strategy.

Measuring results has value beyond simply reviewing the results of trades. It serves to raise your consciousness about factors influencing your

trading. It helps you understand the power you have over your moods and emotions, so that as you follow your strategy, you will not be excessively governed by an egotistical need to be right. Measuring results is a way of mentally logging your successes in order to build confidence and momentum and to learn from your failures.

Case Study on Measuring Results to Modify Your Strategy

One reason to measure your results is to see what you must modify in your trading to reach them. Be relentless in reviewing what is working and not working. Don't become too invested in your methodology.

Especially where the markets are changing, you might be forced change your approach in order to maintain your profitability. You can then modify your trading style in order to reduce the potential for losses and to increase the potential for profitability.

This dialogue continues the discussion I had with with Aaron, the long-term value investor first mentioned in Chapter 2, and shows how valuable such an inquiry can be.

Kiev: How have things been going?

Aaron: Right now, I am being emotional. I made more than twenty percent on my wireless company. My idea on it now is becoming part of the consensus, but I see an event coming. Momentum is going my way. The market has turned. It has only pulled back a little. Should I take my profits, or should I move on? The goal says you made your twenty percent, move on. The question is whether I would buy the stock fresh today.

K: Where are you in relation to your monthly target?

A: We are up a couple million bucks for the month. The question then at this point is, "Is this stock going to help me get the next million dollars?" I think it is a good workhorse. It is at 24. I think it should get to 30.

K: How's that?

A: The market has rolled over a bit. It has had a great run. I can buy it back lower. I am always asking these questions.

K: This is the middle of the month. How would you handle it if it were the beginning of the month and you had to get to another three million?

A: I would still have to think about the fundamentals and the price relative to where I got into it. At the beginning of the month the stock was twenty-one. I think it could be thirty by the end of the month. If it will

be thirty, I will leave the last two dollars to someone else. Twenty-eight is where I would start selling stock. We gapped up today at twenty-four, and now it has backed off a little. This stock is up twenty percent in two weeks. It is a large position for us. The question is how much more of the move do I have and how do I decide on the right size position to take.

K: The question is how much you want to get from it for the second two million for the month.

A: How do I assess that? What am I trying to assess?

K: What do you know about it that will help you in your decision?

A: Do I know anything incremental to where I was in the beginning of the month? Do I have to upgrade the story?

K: Do you know anything that is going to move the stock in the weeks ahead?

A: I don't know any more than I did at the beginning of the month. But I thought then that it would go to thirty.

K: That story is still true?

A: Yes. The market understands it. I don't think it completely understands it because the stock is not at thirty yet. Maybe I have to be honest and say that the market doesn't think it is worth thirty, but that it is twenty-four.

K: Can you call around?

A: We do. We try to find an edge in our ideas; but because our ideas tend to be early, we can be more than one step ahead of the market. You want to be ahead but not too much ahead, since then you think the market hasn't seen what you know yet and hasn't factored the data into the price, and the stock gets overbought or oversold. The market sees that the company is possibly going to make good guidance for the next quarter. It didn't see this two weeks ago. It now sees that there is a chance that average selling price is better. The market is translating that into an earnings number, which is way too low. The question is now that they have seen two of the three things that we noted at the beginning of the month, the third thing being the most important, when are they going to see that?

K: If it doesn't move up, can you get out.

A: Yes.

K: What's your emotional take on it? Now that you are up, are you being less thoughtful? Did you have more data points at the beginning of the month?

A: I had more proprietary data points at the beginning of the month.

K: Are there more to get?

A: We are constantly upgrading the ideas.

- K:** What would you do if it were the beginning of the month? You are saying that you knew something two weeks ago.
- A:** We knew three things that the market didn't know. Now I know one thing that the market doesn't know. Is that enough?
- K:** You were more confident when you knew three things?
- A:** Wouldn't you be?
- K:** Can't you find additional things?
- A:** I am trying. Two more things? Can I upgrade the story? The stock prices sometimes make the most money when the stock goes from two. You now discover more. It becomes a better buy now that you have discovered more data about it. It is wrong to take profits just because it has appreciated in value. The stock has appreciated, but there is still more to go. But let's circle back. That's how I feel about all my stocks. It gets me into trouble. They go to three million very quickly, and I still feel there is more to go.
- K:** This is the fundamental bias that keeps the analyst in the trade longer than he ought to be. At that point, have you done more work to justify holding it for another two weeks?
- A:** What more work is there to do? If you think a stock is twenty, and it is worth thirty and two of the three data points that will get it to thirty have happened, what more work can you do? If all the shoes have dropped and it is at twenty-four, I won't argue with the market.
- K:** At this point do you typically not do more work?
- A:** I become complacent.
- K:** You know something. You are still ahead of the market. You weren't content with that kind of assessment at the beginning of the month.
- A:** That's fair.
- K:** What if you were just coming into it today?
- A:** I try to think about that on a daily basis. I would buy it today.
- K:** Would you buy that much?
- A:** That's another question. I have five million of that position.
- K:** Is there anything better to put your money into to make the next three million? You really need another million to make this month. If you put that frame around your stocks, where are you going to make another million dollars?
-

This dialogue shows how I am continually trying to push the trader to consider what is lacking, what more he could have done, by way of getting him to keep discovering new things about the companies he is trading so that he is more empowered to size his positions bigger and put on more risk or, conversely, to reduce his risk if he doesn't have the support for his views.

One of the values of this interaction is that it forces the trader to consider how he may be withholding energy from his efforts or becoming complacent because of his recent successes and how this emotional response may explain why he has stopped following his strategy. There is no room in this discussion for tolerating smugness or complacency because it is about maintaining a level of consciousness regarding performance that only serves to add intensity and focus to the performance.

True mastery comes from doing what it takes to trade at the most advanced level you can. While skill is important here, forcefulness in presenting your own ideas and then doing the work necessary to support what you want to do is more effective.

In all this, you need to keep monitoring your results so you know whether your efforts remain aligned with your goals.

CONCENTRATING ON YOUR STRATEGY

Thoughts are continuously flitting through your mind and distracting you, but it is possible to maintain concentration by letting go of the notion that you are equivalent to your thoughts. Yes, Descartes said, “*Cogito ergo sum*” [I think therefore I am]; *but you are not your thoughts*. Once you make this distinction, you can gain greater control over your thoughts and program a desirable state of concentration.

Although it is critical to measure your own performance and to track your progress over time so that you can keep examining what more you need to do to improve, you should be aware of the danger of using your tracking to compare yourself to others, believing that if your results are not as good as someone else’s, then they are not as valuable, or that if they are better, then you are somehow superior. The value in measuring your performance is not so much for comparison as it is for providing you with benchmarks about your own progress.

CULTIVATING CONCENTRATION

The best way to develop mastery is focusing on the risks before you in the present moment, spending less time obsessing about past events and worrying about future events. To the extent that you become absorbed in the details of the tasks in front of you, you will reduce any inclination you may have to stir up more anxiety for yourself.

Concentration is a practical skill that you can cultivate. It leads to several benefits including:

- Focus on strengths.
- Reduction of impulsive efforts to change things that are irrelevant.
- Reduced efforts to react to events as if the opposite of what exists will provide the correct answer to a situation.
- Reduced efforts to change what can't be changed.
- Reduction of games without ends (repetitive responses that keep problems alive), which are designed to change things in accordance with other people's perspectives or fixed scenarios to which you may be habitually hooked.

If you become too preoccupied with failure or success, try to reestablish your concentration on the next steps needed in your strategy. Successful performance will occur more often when you are not thinking about the outcome but are devoting your energy to the strategy.

Another factor to consider when following your strategy is that as the quality of your performance improves, your actions may become automatic and your performance may decline. You can correct for this by increasing the challenge or the level of the tasks or competition you have selected. Maximum performance occurs where you are motivated to concentrate but neither bored by minimally challenging tasks nor overwhelmed by too difficult a task.

You can maximize concentration by focusing on events before you that are relevant to your goals, by directing your attention to what you are doing right now, in the present, and by asking yourself how it feels. If, for example, you are focusing on events about to happen in the very near future, you can strategize about your responses to those events. How you perceive these events and how you deal with them are critical. Consider whether you become lax or whether you increase your focus. Are you willing to face up to the consequences of events when things don't turn out the way you want? Are you doing anything to bring about certain events the way they occur?

Why Strategy Matters in Both the Short Term and the Long Term

The only thing over which you have control in the market is the methodology, the strategy, that you bring into the market place. You have to keep figuring out how you are going to get something out of a market on days it is going every which way. Consider the kind of discipline you can impose on what you are doing, based on the results you are seeking. This works whether you are day trading or running a long-term, value-oriented portfolio.

The master trader prepares a spreadsheet of anticipated results before

the year starts. Although he can't predict the future, he can start developing a strategy consistent with his goals. Then, as time passes, he adjusts his strategy in terms of what the market is really giving him.

So, how do you know what you are going to make? You don't, but you play it as if you do. That's the only way you are going to get there. The strategy comes out of the decision to commit to a specific outcome.

A successful year is going to entail a certain number of successful months or weeks or days. Setting your target and planning your strategy determine it all. Unless you proactively and consciously pursue the number and what it takes to reach that number, you won't get there. Human nature being what it is, it's not inclined to reach past the comfort zone.

Staying on target requires concentrating on the strategy you have outlined. Too often, traders rely on data they get from the tape or on the phone each day, rather than preparing the night before and on the weekends, building a team of analysts who can dig deeper, and taking other steps to prepare for a variety of eventualities that often cannot be accurately predicted.

So you have to prepare and keep searching to discover what more you can do, how much more data you can find that will help you adjust to changing market circumstances. If you only accept the givens and give up the "impossible dream," you may be more comfortable, but you will not realize your vision.

CHAPTER FOUR

Learning to Center

The man who holds the all-time professional baseball record for career home runs is not Hank Aaron but Sadaharu Oh, who hit an incredible 868 homers in his 22 years playing in Japan. He had a lifetime batting average of .301, and he won the Triple Crown twice—leading his own league in home runs, batting average, and runs batted in. Yet in his first two years with the Tokyo Giants, he struggled mightily with a hitch in his swing. He was close to becoming a permanent benchwarmer when he found a master instructor, whose suggestions would have confounded the likes of Ted Williams. The master's advice was for Oh to discover his “ki”—his center—as the cornerstone in a program aimed at improving his swing. Oh's master added Eastern mental and martial arts disciplines to batting practice; and it wasn't long before the young slugger blossomed.

The centered state of mind is a key quality possessed by the master trader. That means it is a feeling that you, too, want to develop as part of your mental approach to trading. Centeredness sets the stage for you to disconnect your present thinking from powerful past images or preconceived notions and to examine issues in a new light. When you enter the centered state, you unplug yourself from material, external objectives and from distracting internal drives, which act as obstacles to spiritual freedom. As inward as this sounds, centering is also extremely useful in high-pressure situations such as trading, which require immediate action and the suspension of conventional thinking.

Being able to give yourself to an activity in a totally aware and yet relaxed way is the ultimate mental state for enhanced trading performance. In

this heightened state of mind, new bits of data are seen afresh for the first time, and stimuli that are ordinarily ignored or blocked can be incorporated into your actions. In the centering process, you first detach yourself from rational thought and from the world outside you. Then you approach activities from a new, intuitive frame of reference. Your expanded sensory awareness heightens the intensity of your experience, facilitates calm, restores energy, and fosters the use of visual imagery techniques.

In the centered state, you relax yourself internally and use data from the stock tape, company balance sheet, and e-mails from analysts as prods that guide you toward fast yet flowing decisions.

The capacity to be centered in the present so you can concentrate fully on the job at hand requires skill in entering what amounts to a trancelike state. Like Zen monks, you move through progressive degrees of concentration, withdrawing from the world and growing increasingly introspective.

But if you think this sounds like taking a nap, think again. By turning your perceptual systems to inward rather than outward events, you maximize that receptive state of mind generally described as being “clear,” “still,” “free,” “empty,” or “euphoric.” You are permitting your brain to enter the “alpha state,” where the slowed electrical rhythms in the visual centers of the brain reflect decreased attention to the external environment.

The slow, alpha brain wave patterns are associated with a slowing of time. In the alpha state, you have the capacity to perceive minute details. The slower the brain wave pattern, the more information you can process and the more accurately you can respond to the activity in which you are engaged.

The center has been identified as the *ki* or the *hara* in Japanese, the *tan t'ien* in Chinese, and as the *chakra* for the Yogis. It is both the center of gravity and a psychological center that serves as a calming sense of psychological and physical orientation. Therefore, you can view centeredness as a way of finding your balance so as to orient yourself to activity and performance. Obviously, it worked brilliantly for Sadaharu Oh . . . and it works for master traders as well.

The centered state is a meditative state of the brain through which you turn off your consciousness of the external world by intense focusing on a visual image or a mantra. This kind of activity helps augment consciousness of what you are doing and helps stick to your discipline, whether it is hitting a 90-mile-an-hour fastball or trading stocks in New Zealand.

One of the main benefits of centering is that it calms your mind and enables you to see things as they are without projecting negative images onto them. Moreover, it reduces misinterpretations and allows you to form more accurate feedback. At this point, it should be evident that centeredness is worthwhile to anyone, in any culture; in your trading life, it is a trait that can help make you the equivalent of a contender for the Triple Crown.

UNDERSTANDING THE RELAXATION RESPONSE

Relaxation is one of the most useful skill set to learn in order to get into the centered state so as to reduce the tension brought on by the high-stress nature of trading. Also, it can help to minimize the associated reliance on defense mechanisms like obsessive thoughts or compulsive rituals that sometimes are triggered by stress. If you can learn to relax, you will find it possible to dispel anxiety before it develops and becomes overwhelming. Relaxation slows down your autonomic nervous system and allows you to permit the anxiety to pass without reacting defensively. Indeed, it is impossible to be anxious and relaxed at the same time.

Once you learn the principles and techniques of relaxation, you can induce a relaxed state of mind and body. What is more, you can learn how to bring about this tension-free state of mind and body in minutes, whenever you are exposed to stress and are about to become too anxious. The more you practice relaxation, the more readily you can enter into the centered state when you are engaged in complex, stress-producing activities such as trading. In fact, relaxation will enhance your capacity to formulate strategies for processing information and will enable you to adapt to the changing circumstances and challenges of the marketplace.

LEARNING TO RELAX

A useful technique for heightening concentration and decreasing tension involves focusing on your breathing. By learning to flow with your breathing, you can get close to reaching a layer of pure stillness within, one that is comprised of pure energy and maximum potential.

At the end of this chapter, I describe a technique that can place you in this relaxed state. Practice it regularly; and, over time, you will begin to tap hidden strengths within yourself, especially the creative and synthesizing properties of your mind. You can practice relaxation when sitting in a chair or by lying on the floor. Although you don't want to be so comfortable that you fall asleep, it is good to close your eyes to reduce incoming visual stimuli.

Relaxation also can be induced by progressive muscle relaxation, in which you first tense and then relax each muscle group of your body, moving progressively (from your forehead to your toes, or vice versa). Relaxation can be achieved by visualization techniques in which you imagine yourself in a quiet and relaxed scene. It can also be done, as I previously suggested, by a combination of such techniques. Whatever method you choose, you will find over time that you can rapidly and readily enter into

the centered state whenever it is necessary to eliminate anxiety or to handle a stressful situation more effectively. You might even make a copy of these instructions to carry with you. Like so many others who get into the habit of consciously entering a relaxed state, you'll enjoy these moments and feel good enough that you'll be able to incorporate the exercise into your life whenever you need to.

Here is how one trader describes his use of yoga to relax and center.

I have been doing yoga to stretch my mind. I think it helps me do everything better. It centers me a little bit more. It helps me let go of stuff a little bit easier. I have been thinking about doing it before trading. I think it would help over the long haul. Maybe my mind would be fresher. Yoga gets me to a spot where I can block out everything else. Because I am so focused, I can center. A lot of this has to do with stretching. It's kind of like you get in touch with your body, more in tune to what's going on. All of a sudden I can get right into that place, that zone. I feel like I don't worry about anything. I am not nervous about anything. I just hit the ball and go to the next round.

Other centering techniques may be used as well: by focusing on praying, visualizing a story, listening to the sounds of nature, or movement of the body in dance and physical exercises.

Case Study on Learning to Relax and Center

The common element in all forms of centering is the active narrowing of awareness to a single focus. You eliminate all thoughts except the object of focus and the process itself to block out awareness of extraneous activity. The more you can narrow your attention to a specific act, the more force you can bring to your actions. Ideally, this will produce a state of single-mindedness wherein your mind will be "empty" and you will experience a sense of euphoria. In this dialogue, I discuss the benefits of relaxation techniques with one trader who has been hesitant to pursue this means of assistance in the past.

Kiev: Did you ever do any kind of centering exercise?

Jacob: Never. I try to do it, but I don't stay with the thought very long. I have a problem with my visualization. I can think about it, but I can't stay at the place long enough to relax.

K: Can you keep coming back to the place?

J: My mind wanders.

K: Your mind is inclined to wander, which is why you have to keep prac-

ting until it becomes second nature. What you want to do is to take ten minutes every morning to just meditate and relax, imagining yourself at the beach, imagining yourself in a calm state. Imagine that you have two hundred thousand shares. You are going to go to two hundred fifty thousand. In this other one, you have one hundred thousand shares; and you have to go to one hundred fifty thousand. Just keep practicing over and over in your mind.

J: Okay. I am getting very eager to try this.

K: Right now? Talking about it?

J: Yeah.

K: Practice getting into a calm state and keep bringing yourself back to that state. You keep imagining that you have two hundred thousand shares. You are going to add fifty thousand more. Practice doing it in your mind before you even come to work. Stay centered and calm as you increase it, presuming you have done the work and those are justifiable positions. Keep calming yourself down and staying centered and relaxed, particularly when the positions are working. Do not let your own anxiety throw you out of the game.

J: I am totally confident about that.

K: Practice calming or centering yourself on a daily basis.

J: That really makes sense.

K: It's worth doing every day. When you find yourself getting anxious, you need to say, "Well, this will only take five minutes," and just get centered. You can practice in your mind and learn how to calm yourself down when you get anxious.

Getting into a centered state of mind through daily relaxation exercises is remarkably effective in goal-oriented activities, such as trading. As Jacob comments in this dialogue, just thinking about doing this begins to create a sense of anticipation about the process that can enhance performance. The feeling of relaxation facilitated by centering will help you recall past positive performance. It will assist the visual imagery process and increase your sense of confidence, allowing you to reexperience positive past experiences and prepare for future ones. In this way, you can optimize your results. Doing this will get you involved in the here and now and will enable you to intensify the amount of effort you give to a task without dissipating too much energy.

The value of a goal is in setting the direction and providing a stimulus or external motivation to your trading. The purpose of centering is to facilitate the steps necessary for realizing that goal.

Furthermore, all of this encompasses the idea of allowing things to happen, rather than forcing them or making them happen. The centered way is ultimately the easiest way, since it recognizes the necessity of giving

up control or trying to make things happen. To accomplish real ends, you have to let go of your ego; and this takes some practice in centering and mindfulness.

BECOMING NONATTACHED, OR LEARNING TO LET GO

Nonattachment does not mean detachment or withdrawal, but participation in the situation without prejudice and without imposing orderliness on the situation. It is being totally present-centered. To be nonattached, you should try to become centered in the action and consciously disinterested in the outcome. The more involved you become in the trade, the less worried you are about the outcome and the more gracefully you handle both winning and losing.

Centering bolsters objectivity. It allows you to keep moving and adjusting, never getting too attached to a particular point of view, always staying present and involved in the now without becoming overly attached to your positions. As one promising portfolio manager explains,

The master trader has an innate sense for what works and what doesn't work. He knows how not to fight, and he knows how to let things happen. He sees something happening and doesn't try to intellectually question it. He understands that if it makes sense, he should go with it. If it doesn't make sense, he doesn't go with it. The mastery is in his objectivity.

While he is good at avoiding problems, you've got to see how he handles days that look incredibly ugly. He doesn't end up with massive losses because he figures out what to do to make it back. He either buys more or sells what he needs to and moves it around to the point where he minimizes his loss, which then allows him to get back in the game so he doesn't get offset or pushed.

He is objective and emotionally stable. He is like a soldier who doesn't get nervous in battle. He can see clearly and knows what he needs to do. It's as if he has peripheral vision and can anticipate situations. Like a professional quarterback, he sees the field in front of him and sees the action unfolding.

As Ethan notes, nonattachment is a significant step to take in the process of becoming centered and involves giving up your preoccupation with trying to manage things too rigidly and precisely. This is not too different from the experience in bobsledding, where the critical issue is to

allow the sled, as much as possible, to come down the run on the most natural course. The driver's task is not to steer the bobsled but rather to make adjustments so as to maintain the speed of the sled. If he steers too much, the driver will overcompensate, create too much unnecessary movement, and move the sled off the most natural fall line reducing the speed of the sled. The driver's task is to maximize the performance of the sled by making a minimum of overt effort to steer it, letting the natural pull of gravity work to accelerate the speed of the sled down the bobsled-run.

This applies to trading as well. As I mentioned in the Chapter 3, while the goal or vision is essential to developing a plan by which to trade, to maximize performance you must relinquish your preoccupation with the goals you have established. In effect, you must give yourself entirely to the activity. Too much focus on the past or on the future can increase the discomfort and dissatisfaction experienced in the situation. When it is time for you to accomplish what you set out to do, you will accomplish it. The important thing is not to try to control the events, the past, or the future. This can take away from the experience.

Case Study on Centering to Overcome Discomfort

Given the desirability of relinquishing attachment to the goal, an additional dimension of centering is to become aware of the processes of your own thinking—to stand back and observe the flow of your own thoughts and to recognize their rhythm and intensity, the feelings associated with them, and your capacity to shift your thoughts. You can, in essence, be conscious of your consciousness and, therefore, be aware of whether you are focusing on a specific task appropriately. I discussed this issue with Mike, a young portfolio manager.

Mike: It's never comfortable when your portfolio is morphing to bigger size.

Kiev: What is the discomfort?

M: The discomfort is in knowing which positions to increase and which ones to hold for a better time to increase.

K: Tell me about your discomfort. Can you describe your experience?

M: I have a tendency to second-guess myself. A lot of times, I tend to add to things that haven't been working because I still have confidence in them, rather than adding to things that have been working. I think I am ultimately creating more value longer term by doing this.

K: Any other signs of discomfort?

M: I am worrying, overthinking about positions, micromanaging.

K: How do you handle that?

M: I calm myself and collect my thoughts.

K: Do you view the worrying as a signal that it's time to get more confirmation of your ideas so as to go to the next step?

M: One of the things that I have taken away just from our talks has been that negative energy and negative thoughts hurt productivity. I need to consider what to do to counter that. It's necessary to worry. It's necessary to feel uncomfortable and to go through that cycle. I can get better at seeing and anticipating when I am going to worry. I don't think I can avoid that cycle, but I can truncate it just by being more proactive.

K: You don't want to actually stop getting anxious or stop worrying because when you do that, you are probably not at the cutting edge. So you don't even want to abort it, you just want to channel it or recognize it as an indicator so you can use it.

M: The person that is too calm or too cavalier or too much in denial doesn't feel any pain. They get in big trouble. You have to use the pain rather than squelch it, by going back and rechecking the work. Is that a good way to channel the discomfort?

K: Absolutely. It's taking advantage of the discomfort, not eliminating it. The master trader is never free of discomfort. He uses it as a stimulus to see what more needs to be done or what kind of additional support he needs. As long as you keep setting the bar higher, you are going to keep experiencing discomfort. The question is how do you master that? You do whatever it takes to play at this level. You don't want to dampen the sensitivity. You don't want to run from it either. You don't want to withdraw because of it. You want to master it, use it. It's a very useful tool.

M: So what do I do if I have discomfort because I don't feel like I have as many ideas as I want. Because I feel like my level of quality ideas is shrinking? That's always a discomfort that I have. If things work, I have to find something else to replace them. That's sort of my greatest discomfort in the business. Where do I go to find the next idea? If I am having trouble generating things, the first thing I do is call around to people and say, "What looks interesting to you? What have you heard from the ideas at meetings?" If I don't get anything that really piques my interest there, I will call the sell side. If I don't get anything interesting there, I try to take a step back and revisit macroviews and then work that way. I am not comfortable using the approach that some people use where they can just cycle through ideas, but the time frame is much shorter. I don't enjoy that. I am not going to build toward that.

K: It sounds like you are putting structures and procedures in place to keep generating more ideas of the quality that you want.

- M:** I did well in school. I felt like I was a successful student. I knew exactly what I needed to do well in class. It didn't matter if it was Italian, math, or science. I knew what I needed to go through as a student to get good grades, sometimes without even learning so much. What I am still searching for is that same type of structure here. There are a lot more variables here. Are there variables that I just need to ignore, or do I need to go out and learn those even better and focus on those? Can I succeed without necessarily understanding a lot of these variables that I know are out there? I have no idea.
- K:** You mean using more techniques such as technical analysis or macro-economic data?
- M:** Yes.
- K:** One way to judge is to consider to what extent you are able to reach your target using your current methodology. Are you adjusting as necessary?
- M:** In school, the universe was defined.
- K:** You are dealing with the unknown to some extent.
- M:** In the past, we have talked about recognizing when you don't know what you don't know.
- K:** The more you prepare, the more you are going to find something that you didn't even know you knew. That may be what makes the difference. I think there is something that's created by the organization over and above what the simple data looks like. If you ask the right questions consistently for every idea, you're going to have three derivative ideas. Then if you have a long view and a short view, you now have six ideas for every idea that you had. Then if you have a long-term and a short-term trading horizon or holding pattern, you now can multiply them much further. So, by your methodology, you are probably multiplying your ideas.

You ought to keep a notebook of your experiences so as to keep compiling more information about the validity of your theses. Your experiments may just not work on one occasion. It may work two years from now. The stars may align themselves in the same way. You may see some of the same patterns. The more you can draw on that in your mind or on paper, the more you are going to gain from your experiences.

The market keeps changing, but you keep learning more about the way the markets work. The markets that you will see the rest of your life will be seen through the lens that you are bringing to the market today. That's going to be what will give you the most powerful lever. What you see is really in your mind. It has nothing to do with what's going on out there. It doesn't seem to be about the stock. The stock is really almost secondary. In other words you need to know

certain things in order to feel comfortable about putting a position on. It doesn't matter what the stock is.

This is a model dialogue that I often have because it challenges the trader to stretch consistent with the goals he has set, to keep developing a strategy from the goal backward, using the goal to help him decide what more he needs to do. In the process, he rides out the inevitable discomfort associated with being at the cutting edge and recognizes it as that realm where he is likely to encounter things he never imagined he would learn. Trading from the perspective of mastery offers countless opportunities for entering this realm and discovering hidden potential to produce results far greater than what might have been imagined previously.

If you ask yourself some of these questions as pertains to your own trading (which I have regularly suggested throughout this book), you will soon find yourself trading from the perspective of mastery and discovering that you can develop extraordinary results for yourself as your trading skill and approach to trading improve.

Remember, difficulties develop from an excessive preoccupation with results, the failure to experience the present, and the failure to allow things to unfold. To avoid the overattachment to results, you have to learn that problems develop from excessive effort. Centering provides a means of coping with these seemingly "reasonable" inclinations that are consistent with cultural values and that emphasize perseverance and going the extra mile.

Through centering, you can become aware of the fact that less effort is likely to lead to better performance. Trying to concentrate on your next move is different from concentrating on factors such as inexperience, fatigue, increased stress, reduced skill, and the like—all of which will hamper your efforts to concentrate naturally and spontaneously.

The key to centering is to allow your previous efforts to flow through you. The master trader has a game plan before he wakes up; he has prepared the night before. Make your preparation, and then use it to move swiftly and decisively, without too much extraneous thought.

Find the moment of perfection when all systems are working. Although it's very hard to keep functioning at this level, it is the ultimate expression of centering. As you perfect your approach and the task becomes more and more challenging, you bring more of yourself into play until you are totally absorbed in the process.

Sue Ann Sandusky, formerly a world champion in the small-rifle competition, described the moment of perfection to me this way: "It's an instance when you feel totally utilized. Everything is completely engaged in the activity. . . . I feel totally engaged, intellectually and physically, like every corner of me is being used to do this."

To make the most of your performance, it is necessary for you to turn off the competing activity of consciousness in order to become aware of internal processes. This will center you and increase the energy you can bring to your trades.

PUTTING CENTERING INTO PRACTICE

Centering is a means of maximizing the sensory input of data and the central processing of information by a reduction of tension-producing activity that may actually interfere with performance. In centering, you function in such a way as to amplify the knowledge and skills that already exist in your mind but that tend not to operate when you are too actively striving to bring about results. A sculptor can often “see” the image that he wants to create in a block of marble. When he begins his work, he then simply chips away everything that doesn’t “belong,” leaving the finished product behind. So it is when you are centered—you allow knowledge to develop, and you pare away obstacles to the inner knowledge that you already have.

This is not to suggest that you don’t consider the outcome or the results. You do, but only insofar as you have some mental image of the outcome. You don’t press too hard for it. As long as the image can help you to focus on the process, it has value.

To learn how to center, you must distinguish between your automatic self-doubting and inhibiting thoughts and the creative thinking wherein you invent a vision. You must define specific results related to your vision and then begin to take action consistent with it, independent of your self-doubts and superstitions.

You can shift your perspective and in so doing begin to change the way you perceive and respond to events. You can begin to live in terms of a concept based in the world, not based on your own internal programming from childhood or subsequent traumatic events.

Learning to center is part of the mastery process. Ask yourself the following questions to begin:

- What are you unwilling to relinquish?
Do you hold on to past beliefs and superstitions so as to avoid anxiety?
Are you afraid to ask for what you want?
Are you afraid that involvement with people will deplete you?
Do you believe that others will reject you if you pursue a larger vision for yourself?

- What thoughts keep you from living your vision?
Are you attached to an incorrect notion about yourself?
Do you think you are a “nice” person, and do you use this as a rationalization to remain passive?
Do you believe that you are “special,” and does this keep you from taking some ordinary actions so as to define yourself?
- What stands in the way of pursuing your objectives?
What excuses do you use when you don’t reach your objectives?

How often do you retreat to automatic thoughts, such as “I don’t really care what happens,” “I’m too big for this,” “I’m too important a person,” “I don’t need to do this,” “I don’t want to look foolish?” (The thoughts you have when faced with resistance or with challenges are very likely the thoughts that keep alive your fears and self-doubts.)

Understand how your belief about what will happen (based on your past experience) can actually color your appreciation of reality and your participation in a variety of situations. On the basis of what you think will happen, you decided long ago to avoid certain situations. I am proposing that you can invent an entirely new concept about your experiences that will alter your perception, your expectations, and, ultimately, your experiences.

The more you can speak your vision and commit to what you speak, the more you will become what you speak. Here, it is important to be as clear as you can be and to learn to observe when you are holding back for fear of the reactions or the resistance of others. The more you can speak your truth, the more liberated you will become. Do not be afraid to speak your truth. Don’t be dominated by your fears of what you imagine other people’s arguments are. Be clear about your vision, and you will slowly begin to move toward it.

Case Study on Centering to Share Your Vision

Centering becomes a critical set of mental exercises that help implement a powerful concept of a firm and its direction and that can help provide a framework for developing many aspects of the organization. In the following dialogue, I talk to a hedge fund manager about empowering himself and his team. Here, the task is to create a larger vision for the firm and then implement the vision among his analysts and traders. It is a powerful example of how, by centering and detaching himself from the day-to-day process of

trading, one hedge fund manager is better able to manage his firm and improve the specific quality of its results.

In this discussion, it becomes clear that the hedge fund manager understands the principles but is reluctant to share them with others for fear of being wrong. This is precisely the moment where he needs to be coached past his stopping point.

Beryl: When I am centered and take the emotions out of our game plan, it's a lot better than when my emotions are in it. It's taken me seven years to discover this technique. In effect, the firm is a better day-to-day place when I am not here because I seem to be doing too much micromanaging when I am here.

Kiev: What makes you say that?

B: I was away at Disney World for a little over two weeks from the end of April to the beginning of May. That's when it struck me. Then I went up to my college for a two-week summer review, where I did an interesting exercise. They were mailing the P&L [profit and loss] of the winners and losers every fifteen minutes. I kept a journal of what I thought I should be doing. I didn't tell these guys. I really wrote down six things, five of which were wrong. Five were sort of emotional reactions to the winners and the losers, and what these guys did was absolutely perfect.

K: You never told them what you had done?

B: No, I never told them. It sort of struck me that the firm is better when my emotions aren't here. So I have to keep myself out of the day-to-day. I told you about Michael Lewis's book *Money Ball* (Norton, 2003). The thing that struck me about that book is how Billy Beane, the Oakland Athletic's general manager, never watches the baseball games. He just has a handheld that tells him the score, but he never watches the game. It takes his emotions out of the decision making.

K: What is pushing you to keep doing it? Is it some notion about leadership that you had, that as a leader this is what you should be doing? Do you think this is what a good fund manager does?

B: It's habit. It's selective memory. You remember that great one that you did, and you don't want it to ever get away from you again. You forget about all the bad ones you did.

K: You may be better as a visionary than as a day-to-day manager. How about visiting companies? Is that something you could do?

B: We talked a lot about that, too. To meet the companies messes me up. I develop relationships fairly easy with people. That's a good thing half of the time and a bad thing half the time. When I make contact with companies; I feel I understand their companies, and then I get too in-

volved in the tape action, holding on when I should be getting out of positions.

- K:** Sometimes your emotions get in the way. But your macro-outlook, the way you think you should be looking at things, is helpful to the whole firm. I think that is the most helpful thing that you bring to the team, telling them how they should be looking at the things they are looking at. So, what's your real objective?
- B:** To combine the short-term trading with the long-term investment. I have been working on this for years now. I think the secret is to trade with a game plan around our investment process, as opposed to trying to find trades all the time.
- K:** A game plan in terms of all the contingencies?
- B:** It's looking at the stocks in the sectors and portfolio and determining how we want to be positioned—how we want to be positioned versus certain market reactions, what levels we're looking at, and how we want to be positioned within those levels.
- K:** What is the piece you have to stop doing?
- B:** Personally, if I just stay away and not get involved, everything works fine.
- K:** Just give them some parameters and then coach them?
- B:** Yeah, it's much easier. It has taken some time, but they're good at executing what I want at this time.
- K:** How do you feel about that?
- B:** To me, it was a relief.
- K:** What does it tell you about what you set up? I mean, you may have created a structure that was fine but felt obliged to carry it all on your shoulders.
- B:** To think clearly is a luxury that most people don't have.
- K:** You have the ability to think clearly—not to be a packhorse.
- B:** I think that's right.
- K:** You want people to do what they have to do in order to produce their results. You have to keep them in line. If getting the results means keeping yourself from being involved in the day-to-day trading, then you need somebody around to keep you from doing what you are inclined to do, because you are addicted to trading.
- You need people to manage you, to help you accomplish what your goals are for the larger organization, including keeping you from doing things that get you too involved in trading.
- B:** I agree.
- K:** You have to recognize the need for this kind of support and use that as leverage to push you. Along the same lines as preparing the strategy and creating a team that supports you in staying out of the trading sit-

uation, you need to share the vision of the firm so that everyone has a concept of how the firm is moving.

This is very important. You have to share your vision with the firm. The power is in the idea. That's where it all is.

B: I think I realize that.

K: All you have to do is start envisioning where you see this fund in five years or ten years. Just spend your time thinking about that, and the rest will unfold. Pick out the number, define the strategy, and orchestrate it. Stop worrying about what will happen. When you start defining the vision, things will start appearing that you could never have imagined would appear. To the extent that you can really think it through, somebody will appear with the very thing that you were thinking about. It's not about making it happen. It's not about forcing it. The power is in the idea.

B: I understand what you are saying.

K: Get centered and focus on the vision. The rest will happen. The hardest thing so far was creating this hedge fund. The question is, now that you have created this oceangoing vessel, how much have you continued to build a vision on top of the original vision as opposed to getting in the boiler room and shoveling coal?

B: It's sort of what we're talking about in terms of the portfolio.

K: Isn't that what you've been spending more time on?

B: That's exactly what I am trying to do. We did have a sloppy mess for a while. I had to step back and realize it was all sloppy and put it back together the way it was originally designed. I mean it's still the same exact firm, the same vision that I had three years ago when I thought about doing this.

K: Somehow or other you got it going. The powerful question to ask yourself now is how much have you stayed in the realm of creating the vision once you put it together?

B: Not enough.

K: Concentrating on the vision in the centered state of mind ought to account for ninety-eight percent of your time.

B: The key here is empowering people to do what they can do, what they have the freedom to do, which is, for example, to get bigger, to have a broader sense of what they can accomplish by promising the results and then delivering on those promises.

K: You create the vision and get everybody to share in the vision. Then you see where they are relative to the vision and keep reviewing it. It's not a question of pushing them. It's saying, "Okay. This is where we're going. Are you on board? If so, what are you going to do to produce that number?"

- B:** You know, the team doesn't really know about the vision. I never really sit down and talk about that with them. It's odd because I am keeping the most important people in the dark.
- K:** Sharing the vision can have an extraordinary impact on your organization.
- B:** I understand.
- K:** In a sense, you are not maximizing your natural ability to inspire the people who need it the most. Once a week, you need to sit down and talk about where you are heading and where you are at and what you need to do to correct course or to power up the machinery. That's what people want. You are not really tapping yourself and getting them to tap you. You're not tapping into their capacity. Who knows what you can do when you share your excitement and get in touch with their emotional centers? You don't want to suppress the emotion. You want to use it for the larger purpose. When you start believing it, they will hear it in your voice and will want to get on board. Then the game changes because you've allowed in the power of the vision.
- B:** I think it makes a tremendous amount of sense.
- K:** We are not talking about going home and doing a calculus problem. We are talking about what comes most naturally to you, the sweet spot. That's not work. It wouldn't be a problem for you to get into the vision game.
- B:** I have this fear that every time I get to the vision game, the execution falls apart. To really have a vision, the execution has to happen. So every time in my career I start to think about these great things, something starts to blow up.
- K:** There is extraordinary power in the vision. It's so easy to get caught up in competition and negativity. You have to find people who are really like-minded.
- B:** You know, I think it's probably just my fear that somebody is going to say that we can't do it or I'm crazy to think it. You know, I am kind of afraid to push or share because I am afraid somebody is going to push back.
- K:** I understand that, but what do you think it does to the vision?
- B:** I think it dilutes it. In other words, instead of thinking I am going to carry all the trades on my back, I am thinking that I am going to carry the whole vision. Then it's a piece to the puzzle.
- K:** You are holding on to the resistance because you are afraid it's going to come from within. So you are not only carrying the vision, you're carrying the resistance. You're going to get a range of responses.
- B:** You told me a long time ago it's what you don't know you don't know. That's where your limit is. That's what Socrates' whole philosophy

was. You don't know what you don't know. The answer is to start off by saying, "I know nothing." Then go about proving you know nothing by learning and thinking everything you can.

It was very powerful for me when we were starting this fund. I said, "I am going to go raise a few million dollars." Then what did I do? I did a hundred-something marketing meetings and hundreds more after that, and we ended up with hundreds of millions of dollars. That was the last exercise that I had getting people involved in the vision. I had a bunch of guys working for free fifteen to sixteen hours in midtown Manhattan to make sure all the marketing stuff got done and all the people got their money in; and, you know, all the investors got what they needed because they all had this vision. They worked for free in a hot, smelly office for no kind of monetary compensation. There was some psychic compensation. They saw what was possible. I never wavered from it.

Now, I am hiding. I have nineteen people working in a more spacious, possibly cramped, and sometimes smelly office, and they don't know what we're working for. They think we're working for our P&L everyday. That's really not what we're working for at all.

- K:** If you share the vision of running five billion in four years with these guys, I would bet you raise it and run it before four years. I will say less than three. Put the number down and share the number; you will be there. It's that powerful. Go for it! You have already proven you can do it. So, you have already proven the concept. If you can own the concept, you can produce it. I am saying five billion is no different than four hundred million. It really isn't. There aren't that many more zeros.
- B:** No, just one. That's right.
- K:** Is this scaring you or exciting you?
- B:** The really interesting part is we haven't even begun to explore what gets me scared. I mean five billion doesn't scare me. It's just a number we can achieve.
- K:** In two years?
- B:** That's scary!
- K:** You can raise the number or reduce the amount of time to reach the goal. You can do it in a lot of different ways. You want to have it exciting but not too scary. Just have a meeting and tell everybody where you want to be in four years and periodically remind them.
- B:** I am going to have that meeting this week.
- K:** It's arrogant not to play the game like that. It's arrogant in the sense that you are acting as if you have all the time in the world. You are assuming that you have the next thirty years to do it. But when are you getting in the game? It's like you have this God-given ability to play the

game, and you are holding back in that sense. Who are you to hold back? That's ego. I'll do it my way. I will do it slowly. I will do it so nobody knows I am doing it. Those are a bunch of egotistical reasons as opposed to just doing it.

This case study is a dramatic illustration of the power of getting centered, creating a vision, and then sharing the vision with the people around you to get the support that you need to implement the steps needed to realize the vision. It emphasizes recognizing the power of the vision and the power of sharing it with people in your organization so that they, too, can become involved in the larger purposes for which the organization was created. When people have purpose and meaning behind their activities, they become energized way more than they do by simply getting involved in producing profits.

But to share the deepest recesses of your soul is to risk ridicule or rejection by the naysayers. It means taking the risk of hearing from others the doubts that you may be harboring yourself. The more you let the vision see the light of day, the more powerful the idea becomes and the more empowered you and others are likely to be as you move toward the kind of mastery that can embolden your organization and your life.

The more centered you are, the more capable you are of having this dialogue and applying it to various facets of your own efforts—whether in terms of your organization, in terms of managing your portfolio, or in terms of your daily trading routines. But, as can be seen in this dialogue, centering is a complex process that requires considerable self-examination and inquiry. It requires a willingness to face up to resistance to the vision, to the possibility of negative reactions to it, and ultimately to the power of faith in the possibility of living out of the vision.

EXERCISE ONE: THE RELAXATION RESPONSE

1. Start by focusing on your breathing. Observe your natural inhalation and exhalation. Get in tune with the natural rhythms of your body. Follow your breathing and notice how the air goes in and out effortlessly by itself, almost as if the air is doing the breathing, and you are the passive recipient.
2. Next, allow the muscles throughout your body to relax. You can do this best by tensing and then relaxing your muscles. Once you become familiar with this, you will be able to relax your muscles right away without tensing them.

3. Picture a scene by the beach or along a mountain stream. See yourself in a relaxed state of mind enjoying the sounds and smells and the sensations of air wafting over you as you lie or sit at the beach or by the mountain stream.
4. In this state of mind, it is difficult to be anxious. To test this, induce a relaxed state and then begin to think of a situation that troubles you. Think of a situation in which you typically experience panic. Notice how your breathing speeds up and how your muscles tense when you visualize this distressing image. Now, focus back on the relaxed and pleasant scene. Notice how your muscles loosen and your breathing slows down.

CHAPTER FIVE

Visualizing Success

On the frigid plateau of Tibet, certain holy men have practiced for centuries an occult art known as *tummo*, or the art of the “inner fire.” This art involves intense and prolonged meditation, breathing exercises, and, last but not least, the creation in the mind of a visual image of fire. When a Tibetan religious master is doing *tummo*, many travelers have attested that by summoning up this purely mental, visual heat, he is able to withstand the devastating cold of the Himalayan passes dressed in nothing more than a simple cotton robe and sandals.

Some masters, to show off before their disciples, have them lay dripping wet cloths on their naked backs to demonstrate the forces of the inner fire. Many previously skeptical Western observers have reported seeing holy men dry dozens of these wet cloths with the “imaginary” inner heat of their own bodies.

Even if these accounts are exaggerations, they tell us something very interesting about the powers of mind over matter, and they illustrate clearly the effectiveness of visualization as a technique for making remarkable physical achievements. You may not particularly want to dry cloths on your back in subzero weather; but, whatever your goal, you can profit from the example of the Tibetan masters who, by creating a mental image of success, bring that success about.

By deciding what to think about, you can not only modify your feelings and attitudes but even change events. From my years of observation, I know that visual imagery rehearsal—mentally rehearsing the relevant elements of a performance until you have developed the correct “feel” for the coming event—can be a very effective way of programming yourself for success.

USING VISUALIZATION

Visualizing a goal is an enormously powerful means of enhancing your trading experience and developing mastery. Experience is governed by thoughts, especially by those thoughts that occur in association with strong visual images. These images that occur continuously in both waking and sleeping states motivate action whether you want them to or not. In following daily routines—getting dressed, having breakfast, commuting to work—you are acting according to powerful preprogrammed visual images.

To understand the impact of visual images in the way you structure your day, think of the sudden discomfort you feel at an unexpected break in your daily routine—when the car or bus stalls or when you run into someone you haven't seen in a while. Your inner pattern of visual images is disrupted, which in itself serves to provoke anxiety.

Because you can learn how to choose the images you think about, you can also improve the purpose and the energy of your actions simply by infusing your thoughts with strong visual images of what you want to happen. By deciding what to think about you, not only can you modify your feelings and attitudes, but you can even change events.

Therefore, visual imagery rehearsal techniques can empower you to produce incredible results by way of preparing for a variety of eventualities in the market. The techniques can be especially useful in helping you to tolerate some of the uncomfortable emotions evoked in the course of a trade.

Visual images can help you to create new “organs of perception.” Repetition of certain images leads to familiarity. The more improbable the event, the more likely it is that you will create new patterns or new categories in your mind that may help you to think about outstanding achievement in ways beyond the ordinary concepts the culture permits. The images can take your mind along unfamiliar and nonlinear paths. By developing new patterns by which to experience the world, you can perceive aspects of reality that are uncommon and that you would not otherwise be able to perceive.

Visualization permits you to picture events in your mind before they occur. This imagery will enable you to make an end run around the verbal intellect in order to tap the hidden potential of your consciousness. Mental images provide templates for consciousness, concrete patterns that will enable you to observe yourself better in terms of some idealized standard without making unnecessary judgments about yourself. In this way, visualization can help lead to increased self-awareness; and that, in turn, will help you to maximize performance. By becoming an observer of your activities, you will be able to intensify your effort in the activity, lose your sense of self-consciousness, and perform beyond your current level.

A well-known study of three basketball teams confirmed the vital importance of mental attitude, or the relative ease with which a given performance can be accomplished once the inner picture of it has been carefully prepared. One basketball team was instructed to practice as usual for a game, one not to practice at all, and one to visualize practicing—each player picturing mentally what he planned to do physically on the court. The result? The team that visualized did as well as the team that actually practiced—while the team that did neither performed the most poorly.

Visual imagery rehearsal like this, in which you mentally rehearse the relevant elements of a performance until you have developed the correct “feel” for the coming event, can be a decisive way of programming yourself for success.

Of course, visualization works best when you concentrate on images of successful events or ideal forms. Seeing yourself winning is naturally better than seeing yourself losing, and visualization of positive images is preferable to allowing negative ones to intrude and dominate your consciousness. This may sound obvious, but you would be surprised at how frequently even top traders forget to visualize the positive and how frequently they concentrate on a poor past performance, thus allowing themselves to be overwhelmed by negative, self-defeating images.

Case Study on Visualization and Meditation

Here, Dylan and I have a conversation on how meditation has helped him trade less emotionally. Dylan has also discovered that using meditation during the day can be as beneficial as meditating in the morning. He is beginning to understand the benefits of visualizing certain scenarios to help him prepare for events.

Dylan: When emotions get involved, you make mistakes. With yoga practice, I am responding a lot less emotionally to what’s going on. I think to the extent I can do more of that, I will start seeing things more clearly. It doesn’t mean I am always going to make money. I am going to be wrong. I mean everybody is wrong, but when I am wrong; I can make a pretty good decision as to which way I want to go. The mistakes we continue to make are ones of emotion.

K: Can you take five minutes off in the middle of the day and meditate and then get back into trading? The trading environment is not conducive to those pure thoughts, and you can’t force that state.

D: I try to do that. It sometimes helps.

K: How long does the meditative state last?

D: It varies.

- K:** Is the master yogi able to meditate in the mix of the world?
- D:** Generally, it is in the moment; but for some people, it continues to persist. That is an ideal state. It does help maintain an even keel so that you react to things in a calmer way.
- K:** When you are getting off that even keel, can you notice it and bring yourself back?
- D:** I can think about it. It is hard to actually do it.
- K:** How about when you are getting very emotional about a trade? Can you catch yourself and get into a meditative state?
- D:** I have been trying. Every time I do, it usually helps.
- K:** Wouldn't it make sense then to do it everyday?
- D:** I try to do it. Even when I try to do it, sometimes it's hard to focus. I just started to try getting out of the office for fifteen minutes. There is a little place I can sit outside. I want to just sit there for ten minutes, to clear my head. That does help. I try to work out, sometimes half an hour to 45 minutes, between twelve and one o'clock. Sometimes I over-estimate my ability to trade in the middle of the day. Just getting away for an hour isn't going to kill me.
- K:** Sometimes it is particularly helpful if you are having difficulty and you can put yourself in the mindset of a successful trade.
- D:** Absolutely.
- K:** It enhances your performance. During that time of meditation you can prepare what-if scenarios. "What if it goes from seventeen to twenty-one? At seventeen I am going to buy a one hundred thousand. At eighteen I am going to buy another hundred thousand. At twenty I am going to start bailing out."
- D:** That's what we did this month.
-

As Dylan indicates, meditative exercises and visualization facilitate the concentration of effort, increase confidence and the courage to overcome inhibitions, and make it possible to achieve goals beyond conventional limits. Visual imagery exercises can also help you gain greater control over your thought processes and enable you to program desirable images and to eliminate negative ones.

Redefining a situation by seeing it in a new light, even before it happens, can eliminate self-fulfilling vicious circles that produce repetitive mistakes and can help improve your ability to make objective trading decisions without being burdened by restrictive habits and attitudes from the past. Visualization allows you to prepare more effectively so that you can more readily adapt to unexpected events or the rush of events in the middle of the trading day.

The central point to remember is that you are not at the mercy of your mind; you choose what you want to observe. Masters of yoga have known

and demonstrated this for centuries; and some Indian fakirs have taken the knowledge so far that it enables them to endure astonishing physical pain, simply because they don't choose to focus on the nails that are piercing their backs or the coals burning their feet. Most traders readily accept this idea once they stop to consider how intimately their visual thinking is linked to their behavior.

GAINING FOCUS

The human mind has an immense capacity for storing images and other bits of information, but it has a very limited capacity for focus. It can focus on only one bit or image at a time. Visualization enables you to become aware of the processes of your own thinking—to stand back and observe the flow of your own thoughts, to recognize their rhythm and intensity and the feelings associated with them, and to actually skirt your thoughts. You can, in essence, become conscious of your consciousness and therefore maintain some kind of awareness of whether you are focusing on a specific task appropriately.

Your mind can continually scan large quantities of information. It then selects a very small portion of that information on which to attend. If you choose, you can become very active in this scanning and selecting process. You can consciously focus on images and thoughts that will enable you to perform better, to live better, and to transcend yourself. There are layers and layers of mental images that influence your activities, and learning how to select among them wisely is a major step in learning how to control not only your thinking processes but also your behavior.

The more you can learn to control the focusing process, the more centered on the present you will become and the better able you will be to participate in the events of your own trading life without imposing a fixed or preferred order on them. There is an old dervish saying: “When it is time for stillness, stillness; in the time of companionship, companionship; at the place of effort, effort. In the time and place of anything, anything.” Understanding the truth of this maxim will make it easier for you to accept your own best efforts. When you do, it will be more likely that those efforts will mirror your “preplayed” image of how you want your efforts to be.

RELAXING TO GAIN FOCUS

The more relaxed you are during any visualization process, the more information you will be able to process, scan, and select from; that is,

you will more easily be able to make the proper selection for your own current situation.

Breathing smoothly and evenly with your eyes closed is an excellent way of entering into a calm and, therefore, optimally receptive frame of mind. This method has been tested time and time again in many cultures. The easy, unforced observation of your own breathing is a standard technique for relaxation in exercise systems from the Indian schools of yoga (where control of *prana*, or breath, is a foundation of all exercises) to the various Asian marital arts (where the regulation of *chi*, or vital forces, serves the same calming purpose). If the mind can be likened to a movie projector depicting pleasant or unpleasant images in your consciousness, then breath control is a way of oiling the gears of that projector and of making it easier for you to stop the film when and where you wish.

You can try this simple method on your own by following the steps shown in “Exercise Two: Relaxing to Gain Focus” at the end of this chapter—they are similar *but not identical* to those in “Exercise One: The Relaxation Response” in Chapter 4. You can apply “Exercise Two” specifically to trading by following the instructions in “Exercise Three: Focusing on Trades.”

The paradox of relaxation is that it actually makes you more, rather than less, alert. People who equate relaxation with sleepiness confuse this point. In fact, the relaxed person is far less likely than the tense person to act as if he were asleep.

Relaxed concentration in the process of learning facilitates memory storage and recall. So, if you want to increase the amount of information available to you at a given critical moment, it is essential to relax as you assimilate the information in the first place. That is why an easy, free-flowing approach to both practice and performance generally gets better results than an uptight win-at-all-costs approach.

Case Study on Visual Imagery and Focus

In this next conversation, Patrick compares his experiences with auto racing vehicles on the weekends to trading stocks. Consider how he consciously chooses the images on which he wants to focus and how this helps him accomplish the task at hand.

Patrick: I try to visualize the race beforehand. We have cameras in the car. At night, I take the cassette out of the car and watch it on my video. Then I can actually see the track and think it through. While I am in bed

at night, I try to drive laps. I visualize the track: Where am I going to go? Where will I be breaking, steering, shifting before I get to the turn?

Kiev: Can you describe a specific racing experience where you used visualization?

P: I had one hundred and two fever. I was sick as a dog. I didn't race on Saturday. So on Sunday, I am fifty-ninth in a field of fifty-nine because you start where you finish on Saturday. I am dead last in a field of fifty-nine cars. It's a narrow racetrack.

Still, I am competing with the guys in the front because I have a fast car, and I am a half a mile behind them at the start. So, I decided to focus on catching one guy up front. I began to focus on his silver car, which I knew was up there even though I couldn't see it. To everyone's amazement, I just went like a bat out of hell. I was passing cars left and right, two and three at a time. I got past fifteen cars in the first lap, going one hundred and forty miles per hour.

My guy on the radio is telling me where I am. On the third and fourth laps, he said I was in twenty-third place, then in eighteenth place. It was pure visualization until I saw the bumper of the silver car I was chasing.

I do the same visualization preparation in my trading. I try to analyze what I need to do. Trading is so emotional. It is always different. I try to go through the feeling of what it is like to be right. The market is tough. It keeps you from making money by emotionally challenging you. The racing experience translates to trading. In both, it is critical to stay in control.

K: Minute by minute?

P: Not minute by minute, every hour or every day. You have to stay in control and keep limiting your losers, adding to your winners, adjusting, controlling it. If you get lazy or sloppy or let your losers run, you get into trouble.

You want to be ahead of your portfolio, the same way you want to be ahead of the track; and you want your brain to keep up with your speed and not have the car or the markets get ahead of your thinking. I look at each position and review it. Is that the right position? I have a checklist and am constantly reviewing the list. That is control. If I get lazy or tired, I lose control.

K: Can you see configurations in the market, anticipate where people are going to move?

P: I try to stay ahead of the market.

K: It is a psychological skill that enhances trading.

P: It is patience, discipline, and confidence. I don't know if you can visualize these things if you are not confident of your assessment and analysis.

K: Staying centered improves your odds?

P: It is focus. There is a definite need to focus. You have to believe in the value of focus. If you don't believe in it, you can't be committed to staying focused. Reading the Standard & Poor's chart all day long requires intense focus. The greatest satisfaction comes from being centered, but you have to succeed.

K: What matters most: that you won the race or that you were engaged in the process?

P: I was engaged and enjoyed it. That counts more. It also increases your chances of winning. Winning is another moment in time. The process is the long-lasting emotion. I will remember the drive, and I succeed more often when I'm in that zone.

This dialogue with Patrick illustrates that you can prepare for events: rehearsing in your mind the steps you will take before you actually enter a particular situation. By doing this, you will be adequately prepared for any eventuality.

STAYING POSITIVE

This all sounds pretty simple so far, but I don't mean to suggest that visualization techniques are entirely without their problems. In fact, for many people—especially those for whom the techniques are new and unfamiliar—playing something out in the mind can serve as a trap rather than as a release. By this I mean it can allow the person who secretly wants to fail to have the perfect visual excuse of doing less than the best work possible.

The reason that failure sometimes results from visualization practices is that we ordinarily focus not just on any images but on images that hold some special, personal significance for us. If those images are linked in the mind to failure or poor performance, then the result can be very damaging to future efforts. What William James called the “associative principle of mental activity” can work against our best efforts as well as for them.

Take, for example, an extremely talented athlete who never seems to reach a certain level of success. This mediocrity may be the result of early childhood associations: the athlete sees victory not as success but as a means of propelling him into an unfamiliar and unwanted limelight. People who have been embarrassed by overzealous parents because of early successes occasionally have this problem, and it can cause further problems for them when they attempt to use visual imagery.

USING VISUALIZATION TO YOUR BEST ADVANTAGE

Why do some people use the associative principle so effectively and others use it to ruin their own best chances? The answer to that question will be different for each person, depending on individual psychology. But I believe the common thread is second-guessing or rationalization. It is refusing to let this mental movie play itself out to the most desirable end; it is “editing” the film while it is still in the camera, thus destroying the unity and flow.

To see how this works, try letting your awareness flow again by doing “Exercise Four: Visualizing to Your Best Advantage” at the end of this chapter. This exercise should help you see that your thoughts do not arise in a totally random fashion; there is a clearly discernible link between them. It’s important to understand that this link exists, because without it we could not make rational step-by-step connections between one idea and the next. The linkage of our thoughts, combined with the tendency to focus on those with special emotional significance, can be a source of distraction. This will happen especially if you customarily analyze your thinking and your actions with such questions as “What happened?” or “How can I do better?” or “Why did I make that mistake?” This type of rationalization can be a serious element of defensiveness and inhibition.

By asking yourself why something happened, you are automatically putting yourself on the defensive. While it is sometimes useful to analyze your progress, it is *never* desirable to dwell on your failures or to berate yourself for not doing “your best.” This is important enough to repeat. *While it is sometimes useful to analyze your progress, it is never desirable to dwell on your failures or to berate yourself for not doing “your best.”*

A risk manager might say to a trader, “Don’t forget to hedge your portfolio and balance your longs and shorts.” That statement in and of itself is innocuous enough and could actually be beneficial. However, if you begin to think so much about hedging that you forget your objective or fail to size your bets commensurate with your level of conviction, then it has become problematic. Or if you tend to panic when things go against you, you may mentally concentrate so much on the possibility of losing or calculating your potential loss that you become too paralyzed to reduce your positions as they go against you.

What I am talking about here is the old “Don’t think about a blue rabbit” routine. If someone counsels you *not* to do something, there is always a very good chance that subconsciously you will hear not only the injunction against that thing but also the hidden, or “imbedded,” message to do exactly what you are being advised not to do. “Don’t think of a blue rabbit” is the surface message; but what your subconscious may pick up on is simply the phrase “blue rabbit,” which is the imbedded message. If you record

that hidden message subconsciously, it will be very difficult for you to act on the surface message no matter how good your intentions are or how strong your will power.

So how do you get around this difficulty? How do you prepare yourself mentally for an event without tying yourself into knots trying not to think of past (or future) failures? How do you succeed in thinking about the positive images that will generate success, rather than the negative ones that will ensure failure? Again, the answer lies in the simple fact that you can only focus on one idea at a time. Since your mind can only muse over a single visual image at any given moment, your task is not to consciously try to drive out “bad” images but to implant “good” images that will, on their own accord, drive out those bad ones. The task, in other words, is not to stop thinking about the “blue rabbit” but to think consciously of a white one—so that the blue one automatically retires.

This is a critical facet to the proper use of visualization. You need to distinguish between thinking “away” from an undesirable image and thinking “toward” a positive one. Thinking “away” is almost never successful, while thinking “toward” (because of the mind’s peculiar inability to hold two conflicting thoughts in place at one time) is nearly always successful. The goal then is to become so centered on the present that there is literally no room in your mental apparatus for the self-defeating “blue rabbit” kind of image.

MASTERING NEGATIVITY THROUGH DESENSITIZATION

The goals of the visualization are to give you some experience in practicing events before you enter into them and to prepare yourself for the pleasurable aspects of the experience. Visualization practice can be especially helpful in mastering situations that trigger panic and anxiety and various defensive responses, such as compulsive rituals or obsessive thoughts. Because, as I stated earlier, you do not want to dwell on past losses or negative situations, it is imperative that you find a way to move beyond these.

So if you are reeling from past losses and negative emotions and finding yourself reluctant to trade or size positions appropriately, you can benefit from using visualization in a desensitization process. However, you want to begin this desensitization process in a step-by-step order so you can maximize the usefulness of the process and not have it backfire, developing an even more negative expectancy.

Progressive exposure to frightening situations involves breaking the task down to its smallest components and then slowly allowing yourself to

do a bit at a time until you are actually doing the thing that you feared so much. Follow the steps in “Exercise Five: Mastering Negativity” at the end of the chapter. There is no specific time frame for this exercise. You may get much satisfaction from the exercise and find that you can move to more frightening or upsetting or difficult situations that typically create problems for you and that you can handle these more rapidly than anticipated. If you can, do so by all means.

Once you have practiced this visualization, you will be ready to begin to expose yourself to the actual situations. It is important that you don’t rush to do this until you have practiced the visualization and that you begin by taking on no more than you can handle. There are benefits to even the smallest positive experiences; and in short order, you will be able to do a lot more than you imagined you were capable of doing.

It is possible to eliminate or modify habits by combining relaxation and visualization exercises with commitment to a new vision of yourself. Relaxation reduces anxiety and facilitates visualization, which will help you clarify your vision and prepare you for its realization.

DEFINING THE CONTEXT

When working toward mastery, you keep creating one moment, then the next, and the next, by simply acting the way you choose to act. Each moment ideally is a fresh one in which you can become fully engaged in the process of trading. It is not that you don’t rely on information from the past, but that you are independent of those considerations. You do not rely on your “identity”—how you look, what you are wearing, or other people’s opinion of you. As you begin to develop the ability to focus on the present moment, you can bring more of your resources to bear on a particular action.

You define the context of action to take; you define the result and then take action in the moment in terms of what steps you have decided on in line with the results. But you don’t keep focusing on the result or pressing too hard because of your concern about the outcome. You just keep course correcting and trading in terms of the results you want, taking positions of a size that are commensurate with the goals you intend to reach. While all of this may sound paradoxical, it is the only way to enter fully into the next moment, which is the only moment in which you can be. You need only express what is in your mind to create it. This is mastery. You don’t need to expect anything from outside yourself. Just design the template in line with your goals and then take action. Using the template, you will begin to see patterns emerging before you that can be linked to the visual images you have been working on.

Case Study in Visualizing the Future of Stocks

In the following discussion, you can see how visual imagery rehearsal becomes critical for anticipating the kinds of variables that are going to move stocks. Here, Mel is explaining his efforts to teach Anna to imagine a variety of scenarios, factoring in all kinds of sentiment, psychology, and perception to particular stocks. He is discussing his efforts to teach her how to build mental images of trades in the future based on past performances. The benefit of this is not so much that the trades will work out exactly as planned, but that it is possible to prepare for a variety of scenarios and plan alternative strategies.

Mel: Anna and I walked through two ideas. I went through the ideas and tried to break them down into three elements: perception, concern about the numbers, and reasons to buy on valuation only.

I said to her, "Should we be short this? The numbers look like they need to come down." So she went and did the work and said that, yes, the numbers needed to come down. That was her conclusion. Then she said, "Here is what the downside is." I think it was a fine analysis.

I told her that I need her to visualize a variety of possibilities and to make sure she clearly understands why we are doing what we are doing because I expect her to be able to replicate this in the future. I expect that in the future she will be able to reach conclusions by factoring in perception and expectations into the analysis. We are putting these charts and principles on a sheet so they are right in front of her desk, and she can look at them every day. I think she can replicate it. There is no reason why she can't.

Kiev: Did she understand there was a paradigm shift? Does she understand that you are trying to get her to see a different way of looking at things?

M: Yes. She is very well aware that this can be applied to different industries and different situations. I said, "If you just look at numbers, you are not going to be able to consistently make money. That game worked two years ago. It doesn't work today. We have to incorporate perception and sentiment; otherwise you are not going to be able to consistently make money."

The other day, she just wrote this paragraph saying, "Here is what I think is going to happen in the numbers." I wrote her back and said, "I want what you think is going to happen to the stock. I want you to make a recommendation on how we should play it." I didn't tell her if I was going to use it or not. The point was I wanted her to put herself on the line and go through the process of thinking through how she thought the events were going to play out.

A week later, after she did write out her recommendations, after the events played out, I was able to review and compare the real events with her predictions. Actually, that was all very good. Now she can replicate and do it again. She understands what went into this. If I had just told her how she should have approached it, I don't think the lesson would have been firmly planted.

She really wants to learn. What I need to do is to make sure she is keeping her eyes and ears open. I have always found that the best analysts are good listeners and that they are people who really take it in. I think that she is so eager to make an impact that she keeps reverting to what she knows how to do and is not open to exploring new ways. It just takes some time, but having that conversation was good.

K: It provides a visual for the next set of events. In other words, you can begin to extrapolate from the data your visualization of the stock trajectory. The value of looking at historical charts is to help you frame future projections, not that they are going to be exactly the same way, but at least you begin thinking that way. Then she can begin to see it and to chart that. So, you are saying, "Okay. It's been here? What is it likely to do?"

M: I think that's the benefit. Are people going to be afraid? How are they going to react? If they are afraid, is it played out? It's thinking through and visually imagining the scenarios, because you can only get so close on those, given the complexity of the businesses. Spend eighty-five percent of your time figuring out how people are going to react around those facts. In other words, spend a lot of time thinking about potential scenarios and the different ways in which they might play out.

K: Alternative scenarios.

M: I think she is good, in that she is thorough and willing to call people and get on the phone. That helps her assess where other people are. I think a lot of her work tends to be much more reporting, and I am trying to pressure her to concentrate on issues of perception and fear in the market and the reactions of traders. I am still trying to get her to amend how she is looking at the history. There are still questions that I want her to ask and she is not asking. I need her to have some ability to reflect on the ideas that she is presenting.

K: What's her resistance?

M: She thinks that looking at margins and growth rates and the historical stuff is the right way to do it. I am trying to tell her that the right way varies by the situation.

This discussion shows how a portfolio manager has incorporated the concept of visual imagery rehearsal into the work of a fundamental analyst who is being encouraged to play out a variety of potential scenarios so as

to determine what additional data needs to be gathered and to develop a number of different game plans. This is a key to mastery.

The communication issues discussed here with Anna are all major ones for imparting the visual imagery rehearsal skills to a new analyst. Always, it is important to understand how the person approaches the task and to ensure that she or he is relaxed and not too defensive.

Case Study in Using Visualization for Portfolio Management

Getting centered and then visualizing the action of your positions and preparing various scenarios regarding the actions to take when and if the stock reaches certain price targets are particularly useful skills for managing a portfolio. This was the case with Mitchell, a hedge fund manager who consulted me because of his increasing tendency to become paralyzed by the action of stocks.

Mitchell had been a successful trader who was now managing a large hedge fund. He was running into problems as he became increasingly reliant on his analysts and had less certainty about his stocks than he was doing the trading himself. We talked about the value of centering and detaching from the portfolio and then using visual imagery rehearsal as a way of planning his strategy so that when he was in the middle of the trading day, he would have more objectivity about what to do.

This case study demonstrates the use of visualization to help a portfolio manager handle his portfolio better so he can capture more of the profits in the market.

Mitchell: I need to be able to take more pain and to balance the short term and the long term. I can see where something is going to be painful for a while, and I probably need to cut my positions down and wait until the market is moving in a more favorable direction. I tend to justify my position and hold on to shorts that are working against me instead of cutting them down. I get paralyzed. What I need help with is learning how to detach myself, so I can move around more in my positions and not get paralyzed.

Kiev: Do you have a visual image or plan of how to handle various scenarios so that you are prepared either to short more as it moves up to sixteen or manage the risk by covering as it goes up—so that you can avoid the pain?

Ideally, you want to superimpose the plan or strategy on the market action so that you begin to take action when the stock reaches your stops. Then, all you have to do is implement one of your prepared game plans, rather than sit there stunned by the market action.

You want to decide in advance which of several steps you will take: whether you want to put on more risk, whether you have some additional perspective or confidence about the stock being overvalued or being run up in a short squeeze temporarily, or whether you want to reduce your risk by paring down your position.

You want to have a plan so you can be more objective as events unfold instead of being overwhelmed by your feelings. You are waiting to see what happens, and then you're in the middle of a snowstorm.

M: I still play in the middle. If I thought of how I should have been set up, I would have had a smaller position and not added to it until right before they reported earnings. I probably would have ended up being better averaged than where I am. You know, if I thought I was wrong on the announcement, I probably would have taken a third back regardless. I am not doing any of that. I am completely paralyzed.

K: Given that the market is somewhat unpredictable, the best you can do is impose some kind of order on it. Did you have a visual image before the trade happened? Did you visualize various scenarios and how you might react to them if they occurred?

M: No. I didn't have a plan. It's as if I am trading with almost no control.

K: A plan would give you the flexibility to be bigger or smaller depending on what happens in the market.

M: You're right. I probably spend too much time focusing on the moment. I should be spending more time taking a step back and thinking about how we run the position.

K: That's the value of having a visual image. You consider how you're going to trade depending on how the stock looks on the charts. If it goes up, you are going to short more. If it goes down, you are going to cover some. The key is to have a plan and then see how it trades out.

M: Like I said, I have some bad habits.

K: I don't know that I am hearing bad habits as much as uncertainty as to which style to follow.

M: Well, part of it is that I am not dedicated to one approach or the other. If I were clear, I wouldn't run into as many problems. You know the bad part is when you take a trade, and you justify keeping it even though you know it's a bad trade.

K: You're doing both the portfolio as a long-term portfolio manager as well as the short-term trade. You are trading stuff that you should be holding on to and not trading some stuff you need to get out of.

M: That's a perfect example. A lot of it is that I don't want to be wrong. That's why I am getting a bad performance. My problem is just cutting losers. It's like I don't know it anymore, or it's not possible. One of the problems is my tendency to make rationalizations.

K: Do you do that when you don't know a company?

M: Yes—or when something that shouldn't surprise me surprises me. Then, I am not that good at being decisive and cutting it loose.

K: Right, but if you don't know, then you can't be decisive. It sounds like you're most decisive when you're knowledgeable and have an intuitive sense about it.

M: Yeah. It's pretty simple. I am very into poker. I used to play it a lot. I played every weekend in Atlantic City. I would win almost every weekend. I just started playing again and getting back into the swing of things.

The reason people stink in poker is that they are playing like amateurs and letting the emotions drive them. When I'm at the top of my game, I know what the odds are and what strategy I am going to follow. I know when you're bluffing.

I think it's almost the same thing with the market. You know what the game is. The more you know, the more it is like a set probability. You know what the odds are. You know what the possible events are and the possible outcomes. So, you can play it in a very detached way.

K: It seems to me that, ideally, you want to move the game more toward that. What's keeping you from playing that game? You have to have a plan, and then you have to implement the plan. You are not waiting to see how it does.

M: I'm afraid of being wrong.

K: With a plan as your guide, you take it outside yourself. The only issue becomes implementing the plan. If you had a plan, do you think you would follow it?

M: Yeah.

K: I would take one of the companies that you know and map out a spreadsheet in terms of how you're going to size the position at various prices. For example, when the stock is at thirty four, are you going to have a two percent or a three percent position or more and why? Ask yourself what factors will determine position size—risk reward, liquidity, conviction, probability of being right? When you have answers to these questions, you can create a mosaic of how you want to be sized at various prices. All of this is, of course, subject to the fact that the world is changing, and the master trader is always assessing these factors and his position sizing.

Right now, you aren't planning. You want to play more to your strength. You want to play the companies you know in the way you know how to make money. This helps you to fund the longer-term positions.

The essence of this dialogue with Mitchell is the importance of, first, being centered and objective about what you intend to do before you ever get into the trading day; second, of having some kind of visual image or mental plan of your strategy in advance so that you are ready to take action when the market moves your stocks in particular directions. This is particularly true of someone like Mitchell, who has trading experience but has allowed himself to drift into passivity by excessive reliance on his analysts.

In other words, if you have two different functions, one as a trader and another as a portfolio manager, it is even more important to have carefully thought-out plans for how you are going to trade different stocks in your portfolio. In this way, you can avoid the trap of turning long-term positions into trades and short-term trades that are working against you into long-term investments, rationalizing such decisions on the basis of the analyses that your analysts have provided.

So, once again, visualization can help you gain greater control over your thoughts and prepare you for future trades. By using mental imagery techniques, you can choose to focus on different images for different situations. You can focus on specific visual images relevant to a specific activity so as to prepare mentally for the actual performance.

In doing this, you will soon learn how much your own mental images color your perception, experience, and behavior and will learn to program desirable images while eliminating negative ones. By inducing this relaxed state of mind, you can dispel anxiety and fatigue, increase your power to concentrate, and block out distracting memories and other external stimuli. Moreover, you can become much more receptive to new information and, thus, more effectively plan out future scenarios.

Visual imagery can also be effective in helping you to overcome physical pain (such as that associated with stressful events), to learn relaxation techniques, to increase endurance, to reduce your anxiety about performance, and to monitor your efforts so that you don't overexert yourself and increase the risk of error. Visual imagery facilitates the concentration of effort, increases confidence and the courage to overcome inhibitions, and makes it possible to achieve goals beyond conventional limits.

Visualization is also useful for reassessing events to correct errors and to reestablish correct procedures for performance. Again, in relating this to our movie analogy, you can review and edit the sequence of events as if it were a series of film clips. This editing procedure can then be a valuable learning tool when you go about reevaluating, restructuring, and repeating your performance. Visualization thus provides a feedback mechanism—a kind of instant replay—that can help you to adjust your goals and your performance.

If you are new to meditation, relaxation, or visual imagery, putting it

on your daily schedule might be an excellent way to integrate these exercises into your life. Plan to spend 15 minutes on an exercise at the same time each day. You might make it another signal that is high-teched into your trading platform, reminding you to take a break, to meditate, or even to go for a walk outside your office. Not only will this be calming, but it will also help you track your mood and temperament in the same way you track your good and bad trades. When you take time out periodically to tune down, you will find yourself returning to your desk feeling refreshed.

Through visualization, you can recognize how you are spending your time, assess where your efforts are leading, change nonproductive personality patterns and behaviors, clarify your goals, and manage others more efficiently. In this way, visualization is an important tool in helping you to build additional skills and behaviors to move your game forward.

EXERCISE TWO: RELAXING TO GAIN FOCUS

1. Close your eyes gently and breathe slowly, evenly, neither forcing nor holding back the natural flow of air. Your body knows how to breathe in a regular, easy fashion, and the only trick to practicing relaxed breathing is to listen to your body's own messages.
2. Once you have relaxed and regulated your breathing, focus on some pleasant place you have visited or visualized (it need not be a real place). Imagine you are there, taking in all its sights, smells, sounds, and feelings. Many people find that such an exercise is extremely calming. By practicing it on a regular basis for short periods, you can begin to see how your body reacts to external stress and how you can reduce this reaction by controlling first your breath and then your thoughts.
3. Then, learn to shift the mental images in your mind from what is happening externally to what is happening internally. This will help you to listen and to observe all that is going on. The closer you can get to a condition of "restful alertness," the more effectively you will be able to act.

EXERCISE THREE: FOCUSING ON TRADES

1. Try focusing on your immediate, external environment right now—what is going on with your trades.

2. Then shift your thoughts so that you are focusing on your physical sensations.
3. Now shift back and forth several times, each time focusing on your thoughts and seeing how they are changing.

Notice how your awareness flows and how you can key into that flow. Simply by concentrating on these sensations in a relaxed, unforced manner, you can make your inner “projector” play out scenes that are calming, positive, and productive.

EXERCISE FOUR: VISUALIZING TO YOUR BEST ADVANTAGE

1. Try to think about one specific subject.
2. Notice how long you stay with one thought or how often you move from one thought to another. Consider to what extent you linger on each thought.
3. Notice how you focus on some thoughts longer than others. Consider why you may have selected certain thoughts and rejected others.
4. Now, focus on a thought you had rejected. Consider the following:
 - Was it a pleasant or unpleasant thought?
 - Do you stay with pleasant thoughts for longer periods of time than you stay with unpleasant ones?
 - What is the sequential connection between your thoughts?

EXERCISE FIVE: MASTERING NEGATIVITY

1. Study situations where you typically get frightened out of trades.
2. Rank trading situations that trigger anxiety. At the top, list those trades that produced very little anxiety. Keep expanding the list to include memories of trades that produce considerable distress when you review them. Make the list as long as you can.
3. After you have listed everything, see if you want to revise the ranking of the items you have included. There may be some items that you take for granted and are reluctant to include or that you prefer not to acknowledge. Include those items on your list as well. You may have a list of 30 or more items, or your list may include only 5 items.

4. If there are several facets to a particular experience, separate them into discrete items and rank them as well. It is useful to do this in order to face your fears. Ranking your fears will help you objectify them and differentiate them from who you are. The more you do this, the more easily you will be able to master them. When you acknowledge your fears, you begin to see how much energy has gone into covering them up. The same principle applies to failures, inadequacies, obsessions, and compulsions. When you can name them, you can begin to process these experiences in a different way.
5. Begin spending 15 minutes a day visualizing yourself engaged in one of the frightening activities. Imagine doing it in a way without anxiety. If you experience anxiety during the visualization, stop it and practice your relaxation exercise. With practice, you will be able to visualize the frightening event with a minimum of anxiety and will begin to find pleasure in the experience.
6. When you master one situation, go to the next one on your list, until you have completed your entire list and can comfortably visualize yourself in each situation.

PART THREE

What's in the Way?

CHAPTER SIX

The Source of All Fears

Hamlet was right: “There is nothing either good or bad, but thinking makes it so.” Much of the meaning you attach to events and circumstances around you comes from a projection of your own unconscious thoughts and feelings on to those events. Your past experiences have created the thoughts, or Life Principles, that dominate and distort what you experience in the present. In effect, you derive the meaning not from the experience before you but from a replay of the past. For this reason, nothing is really as it seems to be. The theories you use to explain your experience are less valid than you suppose.

AUTOMATIC THOUGHTS AND REACTIONS

This can be a disquieting idea to swallow. Let me state it even more powerfully. You bring a set of Life Principles from the past to *all* situations. They color your expectations, perceptions, and reactions to events, so that what you see does not mean what you initially believe it means; in fact, what you see may actually be beyond your comprehension.

I realize this may strike you as a profoundly disconcerting idea, and I am not asking you to believe it just because I am saying it. What I do ask is that you give it a chance. Look at the world *as if this were true*, that what you see is colored by the lens of your past experiences and that you cannot see reality as it is until you are able to recognize the existence of this “lens.” If you adopt this new perspective, at least temporarily, you can begin to

recognize the impact of your thinking mechanism on your life and on what you experience, and you can begin to change the way you relate to the world in extremely powerful ways. You can start to be conscious of your consciousness and of the way in which you impose thought patterns and models from the past on your experiences in the here and now. When you can do this, you can bring even more power to the circumstances of your life and activities, and begin to function with greater self awareness, and be able to risk moving in new directions and to discover what accomplishments you want to pursue en route to trading mastery.

Here is an example of how a trader's Life Principles and automatic thoughts activated his fears. See if you can recall how often you have felt the same way and how much your thought processes have followed the same sequencing: Hayden, a trader who specializes in biotech, began to lose money one morning trading a medium-sized medical diagnostics company. He soon started to feel anxious "about losing money." His hands became sweaty. A headache began to creep into his temples. His heart was beating faster. He decided to sell, not based on any real work that he had done to determine whether there were good reasons for the price of the stock to fall, but on the fear and anxiety about the falling price, over which he had no control. This was compounded by his additional overreaction to his own anxiety. An hour before the close, the stock inched up again. By this time, Hayden's head was pounding and he was in a state of complete confusion and panic.

Unfortunately, the sale Hayden made exemplifies a dangerous but all-too common process that traders use to handle the emotionally difficult market environment. The physical manifestations of Hayden's nerve-racked state of mind led him to sell at the wrong time. He was acting on feelings rather than on objective data.

If Hayden talked about this incident and others to a psychiatrist in the traditional clinical context, the psychiatrist would listen to his complaints, try to explore his life, and seek an explanation for his suffering in the broader context of his past. In the process, he would reframe the distress to provide a better understanding of how Hayden could view the experience and ride out the distress. In this way, Hayden would learn a lot about his experience—how it came about and how to handle it differently and effectively.

The task of coaching a trader like Hayden in the context of mastery takes a somewhat similar tack, seeking consciously to create a larger framework for developing mastery from breakdown by teaching him how to observe and to cope with his feelings, especially when they interfere with his decisions.

The objective of the coaching was to get Hayden to learn to stand back

from his own emotional reaction, to think through the trade independently of his own emotionality and to consider the kind of work that he might do that would fortify his conviction to stay with the trade or to get out of the trade. The critical thing was to get him to learn to ride out the anxiety, not to view the trade through the lens of his own emotional reactivity. He would not be at the mercy of his need or Life Principles or be in total control of every fluctuation in the price of his stocks.

Despite what many traders may think, emotions and anxiety aren't necessarily bad. In fact, it is our *reactions* to our emotions, not the emotions themselves, that often generate the problems. Therefore, it is useful to learn where emotions originate, how to identify the emotions you are experiencing, how to ride them out, and how to gain motivation from them.

YOUR INTERNAL MAP

You'll recall that earlier in this book I introduced the concept of Life Principles, which can govern your actions and feelings without your being aware of them. For example, you may be the type of person who has a great need to "be helpful" or "be strong" in any given situation. These needs and associated behavioral patterns stem from your Life Principles. When you were a child, a parent may have hammered home the idea of being helpful or strong; so when you get anxious, your first thought is to follow those parental reminders from childhood. But Life Principles often prevent you from seeing the here and now. They steer your world in strange, often wrong directions. You may be living your life in terms of an internal conceptual system that diverts your attention from seeing the reality before you and acting appropriately in response to external stimuli. No matter where you go, you carry this internal map with you.

One trader with whom I work has a very strong need to be liked and appreciated. He is continually looking to management for approval. When it is not forthcoming or when he doesn't get the attention or resources that he believes he needs, he gets very hurt and pouts. Were he to identify and function independently of his Life Principle of needing to be appreciated, he might begin to find the resources within himself to accomplish his objectives and not spend so much time focusing on things outside himself. The answer is within and not outside himself, but he has a hard time recognizing this basic truth.

Let me elaborate on your internal map as it relates to anxiety and trading: You are never fearful for the reasons that you think. You may think you are upset because you are depressed about what the tape is showing or be-

cause you are angry about a decision you made. You also may have what you think is a good explanation or reason for being upset. This explanation is also incorrect. While you may attribute your anxiety to something that just happened, I am suggesting that you are already receptive to being upset and that this perceptual system existed long before the events that seem, on the surface, to be bothering you. In effect, the present experience reactivates an old experience, which itself represented a reactivation of a prior experience.

If the external situations are not the cause of your anxiety, then you need not be worried about them. You don't have to react to them. Instead, you can observe them or relate to them as they are, rather than in terms of your own automatic interpretations. Once you become aware that your explanations are not accurate, the situation you are experiencing will take on a more neutral meaning—and become less distressing.

We all have the power to disturb ourselves with our own thoughts. Are you afraid of flying, as many people are? If so, you are projecting your own thought—your fear of losing control—onto an external event. The real issue is your own thinking. In this chapter, I am going to help you deal with the source of your anxious thoughts, since that is a giant step in the road to mastery.

THINKING MAKES IT SO

As much as the Life Principle is created to protect you from anxiety, it also causes all your fears. It has been designed to minimize pain, tension, and other unpleasant feelings; but, in fact, it is the refusal to acknowledge those feelings that most contributes to their perpetuation. The Life Principle programs you to cover up your real feelings by projecting your “social self.”

I've observed that some people grow physically uncomfortable when I broach the subject of giving up their protective social self. As I explained in Chapter 2, that's the defensive side of you—the outer shell, the face that you present to the world while hiding your true self. When I asked Hayden about letting go of his social self, he was clearly upset. “My heart feels like it's ten times bigger than it is. I feel like my whole body is shaking. I'm on the spot. I need to give something more up, and I'm not ready to do it.”

“This is exactly what we are afraid to reveal,” I replied. It's not easy. It means letting go of the image of being in control. You don't want to acknowledge that you are human and that when you are human, you get scared. So your heart beats fast; you can't swallow; you can't get enough air. You don't want to share those reactions, just as you don't want to share your real feelings.

Please don't think it is just you who acts this way. Everyone does. You act like you are not afraid, envious, jealous, or angry and that you don't have all the feelings that you have. You try to control your emotions as if to be in control is the correct way to be. But that's not who you are.

I try to explain to traders that there's no big deal about feeling what you are feeling. Don't put a heavy interpretation on your feelings. Each feeling triggers emotions from the past, which trigger more meaning, which also doesn't mean anything.

You are just human, and to be human is to feel discomfort and to want to hide from your feelings. The more you can be in touch with this and not hide from yourself, the more in touch with yourself and with others you will be. You don't need to use your energy to hide from the world those things about yourself that make you human.

Hayden was getting even more discombobulated. "I'm scared," he admitted, "and I think I don't like to feel it." I told him how natural a reaction that was.

"We are all brought up to control our feelings," I said, "but you are not your feelings. The feelings are anxiety or adrenaline pumping through your blood. You don't need to cover that up with intellect or defensiveness. Whatever appears to scare you in the world really isn't there. You're making it up. You are living in the world out of the past impressions, which continue to color the way in which you see the world. If you can grasp that fact and can allow the feelings to pass and can correct for the misperceptions you have about the world, you need never again be overwhelmed by anxiety."

Finally, I tried to explain to Hayden that efforts to resist those uncomfortable feelings tend to intensify them. The more you deny feelings, the more persistent they become. Hiding your emotional reactions only creates more tension. When you act defensively to protect your self-image so others won't criticize you, you reinforce the misleading notion that you have something to cover up. It's hard work. And it's unnecessary. Feelings are part of life and are more readily tolerated by not suppressing them but flowing with them until they pass.

ADRENALINE, FEAR, AND THE STRESS RESPONSE

Why would someone become physically uncomfortable when confronting these issues? There is a biological component to fear that is worth knowing about: Fearful thoughts can ignite an explosion in your body called the adrenaline or stress response. It activates the adrenal glands, the pituitary gland, the thymus, the hypothalamus, and possibly the thyroid system. This

physical reaction is deeply rooted in our evolutionary background. It is a survival mechanism triggered by threat, which occurs in all animal species, including humankind. Often called the “fight or flight response,” the adrenaline charges us up when we need it most, thus enabling us, with the added hormonal energy that the response provokes, either to cope with a dangerous situation or to run away from it.

The adrenaline response can range from acute to mild. It might be protracted or brief. You can experience it totally, in which case all your adaptive mechanisms are brought into play; or you can experience it only partially, in which case you can still function normally on most levels. Nevertheless, despite its usefulness, the adrenaline response is not always entirely pleasant. Moreover the response is a drain on your system, the intensity and duration of external stressors determining the amount of wear and tear your body experiences.

The more often you experience this response and the greater the magnitude of the external stressors, the most vulnerable you are to negative reactions. Among external stressors, the market, which you face every day, is a huge example. If stress increases without a corresponding increase in your ability to control it, your adaptive mechanisms begin to break down, and you experience nervousness and decreased confidence. This negative aspect of the stress response is a factor in explaining poor performance.

On the positive side, the fight-or-flight response can be adaptive and even lifesaving. In the Nazi concentration camps, for example, some who survived the ordeal despite forbidding odds, as Viktor Frankel has taught us, did so because of their positive response to extreme stress—because they were able to make the appropriate physical and psychological adjustments to a situation that, by all objective standards, was utterly intolerable.

The stress response also works to your advantage in less extreme situations, enabling you to work faster under pressure and giving you extra physical and mental strength you need them. Your body pumps up adrenaline production, which increases blood flow to your muscles and brain, raises your metabolism, and heightens alertness. All of these physical responses have value in situations where some kind of action or performance is required.

But the response is also triggered by anxious, fearful thoughts. Here is where the peculiar nature of the human brain begins to wreak havoc on the fullest expression of your potential. If your physical responses are excessive or if they persist after the threatening events of childhood have passed, they lead to the development of self-protective Life Principles. They keep the original experience alive in memory and become the basis for self-

limiting responses to everyday events. These habits fan the flames of stress. They drain you, both emotionally and physically.

A SENSE OF INADEQUACY

Many traders' lives are built around hiding an imagined sense of inadequacy. Ryan, a talented young analyst, was eloquent on this subject. He wanted to be successful but struggled with whether he really deserved that success and how his conflicting feelings about it boxed him in.

To begin, I told him, "Your success has to do with your competency, not with how you appear to be. But you are using a lot of energy in the game of appearances. You are creating enormous stress for yourself because you are afraid you will be discovered to be afraid—and you will lose your power.

"You are run by a need to appear to be competent. As soon as someone addresses an inadequacy, you are afraid that your cover has been blown, since you think you have succeeded because of your act of looking good, not because of your competency. So even when you succeed, you aren't nurtured by your success. There is no integration between your core and self-esteem and your performance. Your success is linked to your image, which you feel is fraudulent. You believe you have to keep appearing a certain way lest you be found out. As you succeed without knowing who you are, the tension mounts. You've succeeded without feeling successful."

"I still feel I've cheated," Ryan replied stubbornly. "I feel I did not get the most out of my MBA. I'm very critical of myself. I beat myself continually for the fact that I'm not okay."

This attitude trapped him, I said. "You think to feel okay you've got to succeed and the more you try to succeed, the less good you feel about yourself."

Ryan tried to describe his dilemma. "I'm feeling completely defined by who I am at the firm, which makes me a prisoner of the firm, which makes me dependent on it and leads me to cover up more and more my feelings of inadequacy. It carries over to every situation."

I outlined for him how his sense of inadequacy was holding him back in all kinds of situations. "You are unable to use your limited time and energy in pursuit of your most important and meaningful goals that will tap your hidden potential. You are afraid to let go of the social self, the ego, the defense system, the script, the conversation, all the systems that are now using up your life.

"You fear letting go of all the illusory things you believe you need in

order to cover up your feelings of inadequacy. You are afraid to let go of your defenses, and your concerns like ‘What will my P.M. [portfolio manager] think of me?’ You are afraid to accept the fact that there is no good or bad, certain or uncertain. You are afraid to stand at the vortex of your own life so as to bring into fruition whatever it is you choose to commit yourself to do.”

His defense system allowed Ryan to be in the world in a predictable way. Based on the imposition of past models of himself onto his present self, the defense system gave him a handle on the world; he could know in advance how he would relate to people and how they would relate to him.

Nevertheless, however stabilizing these defenses are, do you see how they cheat Ryan, leaving him no room for being spontaneous, original, creative? Ryan’s defense system brings to the fore a sense of inadequacy based on memories—of his parents’ critical responses to him as a child, of people who once sat in judgment of him, or of business associates who rejected him in some way.

It is critical to recognize your own defense systems. Your social self is full of negative memories, many of which are likely to come into play whenever you are about to embark on a new project. It is these memories that appear as “conversations” in your thoughts, conversations that warn you about the “dangers ahead,” that groan “uh-oh!” at something you plan to do, and that keep you locked into patterns from the past.

If, like Ryan, you lack belief in yourself, then you rely on that negative conversation, on an outdated interpretation you have about yourself. You don’t yet understand how your mind works to dominate your life and to keep it going in terms of that self-fulfilling prophecy.

Stress batters Ryan, and others like him, in part because of a Life Principle of deprivation that overvalues what he expects to get from the world at the expense of what he could get from himself by focusing on his own goals and resources.

The reason Ryan is not able to sustain momentum in terms of his vision is that he is operating out of past beliefs and superstitions.

Do you find yourself always chasing after the bigger promotion, the fancier car, or more luxurious house? Can you see that pursuit of external symbols of power and success only reinforces the notion that you aren’t powerful enough to create your own life? The more you depend on outside sources as a guiding Life Principle, the more you are likely to perpetuate the same outlook—where the past manipulates the present—and the more stress you are going to have in your life. Stress comes from living in the vicious cycle of interpretation based on your Life Principles, which create the meaning that you attach to events. You react to events as if they had the same significance as past traumatic experiences. Thus, most of the

time, you are living life as a self-fulfilling prophecy of what you anticipate on the basis of these past experiences. Your reactions may have been appropriate in the past but they are not any longer. They just limit your freedom to choose your reaction in the present. You manufacture your own stress when you mask your feelings of inadequacy, when you listen to a conversation in which an internal voice whispers, “You are lacking something.”

Once again, let me emphasize my point: Your own thinking is the source of your anxiety.

“I MUST HAVE DONE SOMETHING WRONG”

Josh, a trader, once inadvertently illustrated the power of automatic, negative thoughts. “The boss was rather quiet one day, and I immediately thought, ‘What did I do?’ So I asked him why he was so quiet. I thought I was trying to communicate more.”

Interpreting this, I said, “In other words, something happened, and you wondered whether you did something wrong. The perception, ‘Did I do something wrong?’ is simply a thought in your own head. Your boss was quiet or withdrawn for his own reasons. But asking him if you did anything wrong gets you off the hook, in your own mind.”

Josh questioned his boss about his being quiet as an indirect way of finding out if he had done something wrong. He established a link between his own automatic thought about “wrong” and his behavior without recognizing that the two were not related.

Do you make the same kind of mental leaps, interpreting behavior by someone else as a reflection of your own negative thoughts? If Josh had noticed his own thought but kept quiet until it passed, he probably would have realized that there was no connection between anything he did and the boss’s quiet behavior. If you follow your own thoughts until they disappear, such a mistaken leap would not happen. Millions of thoughts come up and then float away. The brain cells keep churning out thoughts, but they don’t necessarily mean anything.

You, and you alone, attach a meaning to a thought by asking, as Josh did, “What did I do wrong?” You keep confusing your thoughts with something out there. Josh’s boss answered that he was okay, and Josh confused himself by thinking that his thoughts and the event “out there”—his boss’s quiet demeanor—were connected.

The Life Principle is a bundle of thoughts. Unconsciously, you let yourself be controlled by them. You consume plenty of energy that way. If you

can notice your own thinking and follow it to its end, then all the stuff “out there”—other people’s attitudes, demeanor, judgments (which can be so intimidating)—will disappear.

Did you identify with Josh’s anecdote? If so, ask yourself whether you may be replaying a continuous, damaging tape loop. Consider the extent to which you automatically assign meaning to events because of your emotional response to them and, in so doing, are led into an interpretation of events, which leads to certain decisions, which keep reinforcing the same Life Principle, which keeps you repetitively responding to present events in the same way you responded to events in the past.

Anxiety results from just such a sequence of events, responses, and interpretations, each of which adds to the cumulative impact of the original event and response. By reading this book and doing some of the exercises I suggest, you’ll be able to recognize the elements of this sequence. Once you can say to yourself, “Hmm, that’s the way I always react,” you can observe the sequence as merely a neutral event. Once you stop the loop and see that neutral event clearly, you can shift your responses to each of the elements—and reduce your anxiety.

FEAR LIVES IN THE PAST

The Life Principle fabricates apprehension by building a domain of “what ifs”—a domain of excessive thinking about the prospects of disaster, panic, and loss of control if certain events do or don’t take place. Those images of the future may be alarming, based on your negative assessment of past experiences. Fear lives in the past and in the future; it does not live in the present.

Think of anxiety as if you were locked in an attic labeled “the past” with a pile of old junk that you have not been able to throw out. What if you had to expend all your energy to keep everything in that attic hidden from others? You would be stuck protecting that junk, and you would not be able to get on with life.

Whether you know it or not, you hold onto “junk” thoughts from the past with a tenacity that would astound you. You cling to grievances toward those who injured you, and in the process, you do not allow in the sense of the abundance of the world that I discussed earlier. You intensify your resentments toward others by donning a mask of helpfulness. You feel guilty about hiding what’s in the attic, and so you live with the conviction that you’re inadequate and undeserving. Since you think you’re undeserving, you are reluctant to express your vision because you’re afraid others will not support it.

When you're locked in the past, you may hide things out of a mistaken belief that they make you unacceptable or "abnormal." Maybe you had no rapport with a parent or fought with your parents throughout your teen years. Perhaps you went through a painful breakup of a relationship.

STUCK IN THE PAST, PARALYZED IN THE PRESENT

A major source of tension stems from relating to the present as if it were the past. In effect, you don't see what is in front of you. You respond automatically in terms of past perceptions, and so your misinterpretations of everyday life keep activating fears and reactions from the past. In extreme situations, this may lead to regression and paralysis.

Images from the past can reduce your capacity to assess details accurately in the present. You may also lose emotional control and tend to freeze in high-pressure situations. Trying to live in terms of past expectations will also inhibit your capacity for making novel decisions and committing to the future.

From time to time, you may become totally dominated by a Life Principle and so become absorbed in fantasies of disaster, lose sight of your goals, and become thoroughly confused.

Fearful of failure, you may obsessively ruminate about it and so reinforce, rather than dispel, your fears. Alternatively, to avoid the uncertainty and risk of commitment, you may create too many solutions, thereby becoming paralyzed with plans and procedures. Or you may focus too much attention on ultimate, distant goals and ignore what can be done in the present.

I have seen all these behaviors firsthand in traders. For example, Christopher's father was an emotionally unstable man with an alcohol and drug problem, which led to the breakup of his marriage, the loss of numerous jobs, and even one episode of homelessness. It should come as no surprise that Christopher grew up afraid that he might have inherited some of those bad traits, that he might become too much like his father.

Outside of work, Christopher was somewhat impulsive and given to excessive drinking and risk-taking sports. He was trying to settle down, but he could not get away from fears about his genetic inheritance. So he struggled to contain himself—with considerable difficulty.

At 37, he was so stuck in the past and afraid of repeating his father's life that in the present, he remained afraid to commit. His Life Principle was to be perfect, to make no mistakes. Christopher thought and rethought every trade because he wanted to get things right. He was such a perfectionist

that he was reluctant to pull the trigger in his trades. He took little action and was always on the fence.

The Life Principle often leads to the avoidance of failure at any cost, especially among traders who are preoccupied with results. They believe that the results reflect who they are. Like Christopher, they become preoccupied with the possibility of errors and cannot tolerate the uncertainty of commitment to either immediate goals or a longer-term vision. They often depend excessively on the opinion of others. Unfortunately, that merely heightens their fear and the likelihood that they won't realize their objectives.

Fear of failure has a flip side—the fear of success. If you worry excessively about being isolated or rejected by peers as a result of success, you'll sabotage yourself so you do less than your best. If you are uncomfortable with success, you may unwittingly invite failure just as you're approaching a triumph. Or you may function at less than your capacity, totally avoiding *either* success or failure.

Here, fear of failure and fear of success coalesce. For some, the prospect of success intensifies fear of failing. So you reduce your effort, find yourself increasingly distracted, and wind up accepting a mental "ceiling" on your effort. You then use this ceiling to rationalize why you can't maximize your potential.

Sound familiar? This scenario was certainly one that rang true to Lee, a young trader. "When I feel I can hit a new high in my P&L [profit and loss], then I feel the possibility that it won't happen," he said. "I'm afraid it won't last. I'm afraid of the intensity of it; of the unknown, the success, the failure. No one ever prepared me in life to feel anything other than ecstasy or failure."

DEFEATED BY DENIAL

Two traders both refused to admit their own anxieties. The first, Robert, was dissatisfied working for someone else. He was convinced that he could run a hedge fund more successfully on his own. So he quit his job at a large firm in order to start his own.

Months went by as Robert kept talking about launching his fund. Yet he made no effort to formulate a plan of action or to take the steps necessary to get it off the ground. "I'm absolutely sure I can make a go of this," he declared, on more than one occasion. Yet he delayed, procrastinated, and hung back. Underneath his veneer of entrepreneurial fervor, Robert was just plain terrified. So he did nothing.

Barry, another would-be entrepreneur, confused his ability at finding

fault with others with his own ability to accomplish something. However, when he started to develop his own firm, he did to himself what he did to others—he became ultracritical. Frightened about the possibility of failing, he was able to point out all his own faults . . . and was unable to implement a program for getting his fledgling firm off the ground. Barry's critical perspective, which would accept nothing but perfection from the world, was the source of paralysis in his own efforts to make his projects work.

Denial of their own uncertainty blinded both Robert and Barry. They couldn't see that their critical opinions of others were projections of their own self-criticism. Their firms were destined to fail because negative Life Principles undermined their own projects.

Only by admitting to their uncertainty and anxiety, only by coming face-to-face with their own self doubts, could Robert and Barry free up the enormous energy that they were devoting to denial. Had they accepted their anxiety and acted in terms of their vision independently of those self-criticizing voices, they might have made it.

Denying the realities of such a situation, ignoring bodily responses—sweaty palms, rapid heart rate—*increase your risk of error*. Until you are willing to recognize your mistakes, you will not be able to improve your performance. While the denial of problems may temporarily reduce anxiety, it can also lead you to stop working toward your vision because you believe a result is locked in. You may pour your energy into maintaining a posture of competence rather than into the effort to perform. People in denial are often inflexible, so they don't learn from others or adjust their approach when an adjustment might be necessary for the best outcome.

REDUCED EFFORT OR AVOIDANCE

The Life Principle also may lead to avoidance or reduced effort in fulfilling your vision. When you are ruled by a need to repeat the past and are inclined to stay within the comfort zone of the familiar, you hold back, and give less than your best, because underneath it all you believe either that you can't succeed or that success will prove problematic.

Christopher, the trader who was afraid he would wind up like his father, had been an outstanding high school student. But once he got to college, he began to dawdle until he fell so far behind he could not complete the semester. He blamed his failure on the fact that he hadn't studied. But Christopher could not see that he had set himself up to fail because of an unconscious fear that he might not be able to duplicate his high school record.

Christopher was like many other college students who reduce their

study efforts as they approach a final or a midterm exam. A maneuver like this protected Christopher from the pain and agony of expected failure in the short run, but it reinforced a pattern of holding back, which ultimately led to real failure.

This pattern of avoidance has some basis in the human nervous system. It is wired to suppress negative emotions and to limit the extent of highs and lows. This neurological pattern may explain why the excitement of success often turns into a painful sense of withdrawal and disappointment. Many people resist success, believing that good feelings cannot be sustained. They are afraid that the only place to go after success is down.

THE PERNICIOUS STATUS QUO

The Life Principle encourages you to accept predictable odds for winning or losing and to adjust your behavior accordingly, so you maintain the status quo. That doesn't sound awful, but it is. Why? Because it means that no matter how much you prepare, you behave as if the future has been preordained by the past. That being the case, it's useless to try to buck the odds or to commit to producing great achievements. It is as if you don't believe in your vision and won't take committed action to bring it to fruition. You keep performing at the same level and never exceed it. You are afraid to go beyond the familiar; you are reluctant to pass the front-runners. In competitive situations, you accept the pecking order and act as if the number-one spot has been guaranteed—even before the event begins.

Experience shows that breaking into the inner circle of master traders is always a possibility. Unfortunately, most of us live out of the past, failing to recognize the possibility of changing the odds. We accept without question the existing pecking order.

Think about how the term *pecking order* originated. It's an arbitrary power hierarchy in which people are organized in terms of a predetermined order of priority over others like barnyard poultry, each one pecking the one lower in rank. Thus "A" invariably dominates "B" who dominates "C." In sports, the number-one player invariably remains number one, the next best remains number two, and so forth. That makes it difficult psychologically for newcomers to break into the Top 10, mainly because of belief about the inviolability of the order.

Happily, we are not poultry. But the pecking order supports past patterns and buttresses the notion that it's a waste to put forward any extra effort to make things happen as you want them to. Allowing the past to govern the Life Principle discourages the extra effort and faith needed to create the future.

By supporting the status quo, the Life Principle provides a rationalization for producing less than maximum results. After all, how can you feel you have failed if you have not put in your best efforts? In fact, acceptance of the pecking order is a self-defeating habit. It keeps you repeating the familiar patterns of the past, however unsatisfying they may be. In some measure, this pattern is linked to reducing the risk of failure. Rather than risk yourself by committing to the unknown and unpredictable, you keep acting within the constraints of the past. The Life Principle is based on the erroneous notion that it will hurt if you go all out or go beyond what is comfortable.

Will it be painful? Sometimes. However, failing after giving 100 percent effort will move you to a new space of being in the world where ultimate satisfaction comes from *striving*, not from succeeding per se. By not trying, or by giving up in a situation where losing appears inevitable, you do temporarily reduce the pain of defeat. But by not giving maximum effort, you also lose the satisfaction associated with expressing yourself. You squander the chance to experience a sense of your own competence. The trader who plays it safe doesn't get the jolt of confidence and sense of mastery that comes from fully participating.

Most traders initially are afraid to promise the future without any guarantees of the outcome. That's a shame. If you can't commit and then make an effort to live in terms of your commitment, you will not begin to see extraordinary things happen in your life, quite independent of what you believe or how you feel or how certain you are about the outcome. You will not create wondrous things because this kind of decision lives outside all the self-limiting concepts that hold you back in various areas of your life.

If you *don't* accept the status quo, if you *do* give 100 percent, the rewards can be huge.

RATIONALIZATION: A RECIPE FOR FAILURE

Yet another way the Life Principle handcuffs you is by leading you to rationalize, to justify yourself, and thus to minimize your responsibility for an action. Once again, there seems to be a payoff. The capacity to explain why things turned out the way they did gives you an illusory feeling of control over events and lessens the anxiety. But rationalization is just another distortion of reality.

One means of coping with a failure to make a real effort to reach your goals is to convince yourself that you don't really care how things turn out or that circumstances are to blame. You say to yourself, "There's nothing I

can do.” What you’re actually doing is preparing for failure. Rationalizing only sustains your sense of frustration and powerlessness.

Rationalization may take the form of special rituals or superstitions, where you try to control events by controlling the symbols of events. For example, for three weeks at a time, several times a year, there is an astronomical phenomenon called the Mercury retrograde, where the planet appears to move backward in the sky. Astrologists interpret these as times when communication gets fouled up and contracts shouldn’t be signed. One trader for 10 years wouldn’t trade during this time. He obviously missed out on a lot of opportunities because of his belief in this superstition.

One trader I know won’t trade until he cleans up any red ink on his desk. Another must straighten out all clutter on his desk so that all his papers are aligned before he gets down to work. This preparation takes the quality of a ritual. While it may reduce anxiety temporarily, you can get so caught up in your rituals that you neglect the work that actually must get done. Ritualistic behavior is no substitute for real effort and a willingness to be at risk.

An obsession with the details of the process rather than the end result was what Jane Addams called the “snare of preparation.” Do you fritter away too much time on irrelevant details and rationalize them as “strategic considerations”? If so, you, too, suffer from the snare of preparation. You are getting in your own way. By focusing all your attention on extraneous details, which are often given singular significance, you stifle your skills and never get to the point where you can tap your potential. At the same time, your obsessive activity fools you into thinking you are in control.

THE “WINNING” DILEMMA

“Winning isn’t everything; it’s the only thing.” You’ve probably heard football coach Vince Lombardi’s aphorism a thousand times. But famous lines are not always helpful. The Life Principle interferes with productivity by pushing people to become excessively attached to results, to success, to winning. You can wind up confusing your results with your identity, so you undermine your freedom to create. If you are driven by succeeding at all costs, you put so much pressure on yourself that you won’t get a whole lot of satisfaction from your efforts, and you’ll be dominated by concerns about your image in the eyes of others.

That’s what happened to Ken, a trader. Ken chased success in order to prove his masculinity. He needed to conceal his image of himself as a coward. The more he succeeded, the more he reinforced underlying feelings of

self-doubt, putting him at the mercy of that vicious circle I have described before. Driven by childhood fears of inadequacy, Ken never exposed his vulnerability to others. He never discovered who he was, nor could he be nurtured by his accomplishments. No sooner did he succeed than he had to prove again that he was worthy of his latest success, and he was caught up proving himself all over again.

John Brodie, the former San Francisco pro quarterback, formulated a sensible approach to winning that stands somewhere between Lombardi's "Winning is the only thing" philosophy and Grantland Rice's famous line, "It's not whether you win or lose, it's how you play the game." In his autobiography, *Open Field* (Houghton Mifflin, 1974), Brodie wrote:

You play to win. There's no doubt about that. But if winning is your first and only aim, you stand a good chance of losing. You have the greatest chance of winning when your first commitment is to a total and enthusiastic involvement in the game itself. Enthusiasm is what matters most. If I was enthusiastic about the game, enjoying it and doing my absolute best, then I had the best chance of winning it. But then I could also handle losing, because I had done my best. If you can't handle losing, you'll never be a big winner. It's never easy to lose. But if I know I had performed at the top of my ability, with total involvement, that would take care of the winning or the losing. (p. 207)

SUMMARY: THE SOURCE OF ALL YOUR FEARS

Your biggest obstacles to mastery are the inhibitions, fears, and fantasies about yourself that form the basis of your Life Principles. These concepts are like tapes from your past that replay themselves over and over in your mind, keeping you locked into repetitive responses, which, in turn, prevent you from empowering yourself. You cause conflict by reacting to events in terms of past interpretations or experiences.

A first step in shedding Life Principles is to acknowledge how vulnerable you are to these defensive reactions that reside in you. When you can admit your anxiety, your uncertainty, your mistakes, you have less need to hold fast to those defenses. You've relied on them to give you control, but they now stand between you and your commitment to mastery.

Once you bring these Life Principles to the surface, you can start to let go of them. Take notice when you're inclined to rationalize inaction or failure; when you retreat to obsessive, ritualistic thinking; or when you become too attached to results. As you detect Life Principles trying to

program you, you can move beyond them and begin to design your goals from an entirely new perspective.

You also keep anxiety alive by interpreting your feelings negatively. Remember, feelings are what they are. How you interpret them often comes from a perspective distorted by your past. Separate your old no-longer-useful thoughts from current events. Allow events to be, wait for those defensive thoughts and physical sensations to pass, and your reactions will fade. When something unpleasant happens, notice your thoughts, your opinions, your reflexive decisions, but don't let them get their hooks in you. Instead, consider the alternative way in which you can view the event or the problem. The more you do it, the more skilled you'll become and the less habit-ruled you will be.

Part of anxiety stems from being afraid to see things in a new light. You are moving into a realm of uncertainty. Embrace it. Don't let ghosts from the attic of your past scare you.

Although you cannot stop yourself from thinking, you *can* learn to stand apart from your Life Principles. You can observe them. You don't have to use up so much energy masking your fears. Nor need you feel compelled to retreat at the first signs of discomfort. Those signs are aspects of an exciting new realm of action.

Anxiety is not personal. It does not mean that there is something "wrong" with you or "bad" about you. It's just part of the human experience. Once you stop using energy to manage or hide anxiety, you can engage far more powerfully in the here and now.

In the next chapter, I'll suggest approaches for coping with your anxieties, your highs and lows, and the whole panoply of emotions.

CHAPTER SEVEN

Coping with Emotions

Anxiety is a normal result of trading large sums of money in a volatile and often unpredictable environment. Therefore, it is the most common emotion experienced in the day-to-day world of trading. However, like the pain factor in the human body, anxiety can prove to be helpful if viewed in the appropriate manner.

A person who does not experience pain can actually be in grave danger and never know it. Imagine a woman going into labor and not experiencing any contractions to indicate that it was time to head for the maternity ward; or consider the man who has a serious illness but never experiences any symptoms and therefore never seeks medical help.

Pain is an indicator that something needs attention. And while we always think of pain in a negative sense, it does not always indicate that something is wrong. For instance, the appropriate kind and amount of muscle soreness after physical exercise simply means that you have given your body a good workout—which was the intended result.

Anxiety, too, is a natural reaction to stress. Although it sometimes leads to trading errors—overcautiousness, impulsivity, perfectionism, withdrawal, and so on—you must recognize the anxiety and the resulting problematic trading reactions. You do this by learning to calm down, to reassess the trading situation, and to make the most objective decision possible. If you can cope with the anxiety inherent in your work, you can find your balance in the gap between where you are and where you wish to be, as well as take on the responsibility of the commitment without getting hung up with results. Another task of mastery, then, is to learn to ride out the emotions and to use them as signals as to what is going on in the marketplace.

The master trader uses his own emotional states to help gauge the nature of the markets and to determine what moves other traders are going to implement. He doesn't turn off his emotions but trains himself to handle them as indicators and context clues to help him reach his trading goal. In fact, the activation of emotions indicates that he is more fully engaged, is creating challenges for himself, and is putting himself at risk in terms of trying to discover what he must do to accomplish the task before him.

You can learn to do this, too. However, to do it successfully, you need to understand how to distinguish between your emotions and your reactions to them. You also need a larger framework for encapsulating them so they are part of the process and not a reason to stop pursuing your objectives.

FINDING AN ALLY IN ANXIETY

Typically, events in the marketplace trigger anxiety, reactivity, and negative thoughts that ultimately interfere with a trader's ability to process information, to make sound decisions, and to flexibly adjust to the circumstances.

Mastery, in part, refers to the ability to step past your negative thoughts and emotions, which are creating the conflict in your mind and keeping you from taking strategic action. You should be able to assess the situation, to make a choice, and then to step into the next moment.

My task is to help you learn to reframe your emotional experiences so that you see distress as no more than one in a series of responses. In fact, there is an interesting, three-part cycle response that moves you from the place of reactivity through interpretation and into the process of decision making.

The series begins with the emotional reaction to the event, leads to the interpretation of the event and the interpretation of the emotional reaction, and then moves to the decision in the moment of reactivity (such as "I'm not going to take it any more" or "I'm going to retaliate" or "I'm going to escape"). The final response in the series is consistent with those old Life Principles that began the whole process. During this cycle, you can see how your emotions begin to falsely guide the decisions you are making. Let's take a look at each of these responses in a little more detail:

- **Reactivity.** This is how you typically react to a stressful situation. You might ask yourself: What was my first response? What do I think? What physical sensations am I experiencing? These are the thoughts and feelings (both physical and mental) that you sense as a result of an event that has occurred.

- **Interpretation.** This is the stage at which you often move from fact into fiction. Here you take your actual responses to an event and make an interpretation based upon those thoughts and feelings. You say to yourself: What have I concluded as a result of the way I am feeling?
- **Decisions/Responses.** This is the action that you are ready to make based on the interpretation (accurate or not) you made as a result of how you reacted to an event. You would unconsciously think: What decision/response am I going to make as a result of how I felt about this event?

Notice that during this series, you progressively move away from the realm of fact—what actually is happening—and slowly move into the realm of belief—what you imagine to have been happening as a result of your feelings. Then, you base your decisions or responses to the initial event on that fictional idea. When you trade in this capacity, you are not really making your decisions based on what has occurred but on how you *felt* about the occurrence. For example, a bad trade may trigger a headache, sweaty palms and shortness of breath . . . and you decide to sell because your system is overwhelmed by anxiety you cannot control.

With an understanding of this series of responses, it is possible to begin acting from a new perspective, with a new frame of reference, thereby becoming more empowered in terms of trading decisions. It is possible to overcome cautious and fearful approaches that hold you back. Mastery entails giving 100 percent of yourself to your actions, reviewing what you have done, correcting your course, and then taking the next action. This is what produces breakthrough thinking and breakthrough results.

Therefore, the steps of mastery include three steps to counteract those previously listed. Let's look at the cycle again, this time considering what needs to be done to remedy the end result.

- **Process Instead of Reacting.** When an event takes place, the master trader will process the information related to the event rather than simply reacting to it. Instead of concentrating on what you are feeling as a result of the event, you make a conscious effort to record the actual facts of the event. You might ask yourself: What just happened? What were the underlying causes of this?
- **Observe Instead of Interpret.** The master trader refrains from making interpretations based on his feelings about the event. Because you have learned to observe your own reactions (and the reactions of those around you), you will use this information in a more analytical way. You will deal with events in terms of your vision in an effort to determine why you (and others) may be having such anxious feelings.

You will consider: Why am I feeling anxious? Are other traders feeling the same way? What have I concluded as a result of my observations? Is there any more data to be collected before a decision is made? What are my current options?

- **Decide/Respond.** At this point, the master trader is in a much more desirable place to make a decision. You will make a decision based on the facts behind the event, not on your emotional reactions to the event itself. You will ask: Based on the data I have collected, what will my next step be? What action do I need to pursue at this point to move one step closer to my goal?

By separating the event from the interpretation and the reaction to it, you can develop new Life Principles of possibility instead of the repetitive and perhaps negative outlooks from the past that color your perceptions of the world.

Consider this: If you can reframe the situation in terms of your larger objectives, so that the event and your reaction to it are just moments in time and have no special meaning, then you can learn to refocus and keep going in the face of the negative events and reactions around you. If you can stop attaching significance to the way you are feeling, if you can stop getting caught up in your emotional reactivity, you will be more empowered. You can create possibilities and results quite independently of your own reactions, as well as those of others. This is what mastery is ultimately about—a blueprint for focusing on the tasks around you, without putting any spin on them.

EXERCISE SIX: RIDING OUT ANXIETY

You need to learn techniques to recognize your anxiety, to realize that it is just a response to the stressful events of trading. You have to let it pass, to ride out the discomfort. How do you do this?

1. When you begin experiencing anxiety, make a note of it. This can be a mental note; but if you are having particular difficulty in this area, you may want to write it down in a small notebook. Jot down the day and time and what you are feeling and why. Then wait.
2. Next, make note of the time when those anxious feelings subside. By keeping a written log, you can document the changing nature of your experiences. You will also begin to understand the temporal nature

of your emotions in general. Emotions, regardless of whether they are pleasant or unpleasant, are always transient. Anxiety will abate over time.

Again, the key to mastery is learning to make your trading decisions irrespective of your emotional state, never allowing it to pull you out of your game or to unjustifiably distract you from your predetermined course of action. You can also train yourself to observe your anxiety and to use it when appropriate to interpret the emotions of others so that you can capitalize on the psychological mistakes that others may make in response to their feelings.

Case Study on Controlling Anxiety

Focusing on the steps necessary to reach the goal, the master trader is able to stay with a trade, even when his emotional impulse is to get out of it. Keeping the goal in mind helps him to ride out his anxiety so that he doesn't get so impatient that he cuts his profits too soon.

This is the obverse of the skill needed to cut losses. When traders are in a losing trade, they need to get out of the trade and cut their losses, despite the natural inclination to hold onto a loser in the hope that it will turn around. In both instances, whether it is holding winning trades longer or getting out of losing trades faster, the trader has to act in terms of the goal and not in terms of his own anxiety level.

Some traders get out of winning trades too fast because they are too anxious to ride out the profits. The following dialogue with Dan demonstrates how he needs to tolerate the anxiety that is prompting him to get out of trades too soon.

Kiev: Somehow or other, you are not calm enough to trust your analysis to stay longer in the trade. It is similar to the challenge of multiple-choice tests, where there are invariably five answers, three of which are obviously wrong. Two appear to be right, and one really looks right. That's the sucker answer. In the midst of the anxiety of a test, that's the one you take because it looks right. It has a little bit of the question in it.

The less comfortable answer is invariably the right answer, but you need to practice taking that answer until you get in a groove and are able to go for the answers that are a little less comfortable. It takes a little more risk. That is what you need to be doing here. It's a little more uncomfortable because you're putting at risk the profit that you have made.

Dan: I think that makes sense. But this is a very risk-averse culture. There is a cloud hanging over you. I guess I need to decide on the price I need to take to minimize that risk and then take it.

K: You need the courage to ride it out a little bit longer, to be able to get four or six points. That is mastery: experiencing and tolerating the discomfort associated with holding on to a winning trade. At that point, it's really a psychological skill that you need to practice. You need to take a deep breath, relax, and recognize that everything is in place, so that you can stay with your trade. If your thesis is right, don't quickly jump to take profits. Ride it out a little bit longer.

D: I think that's right. I just have to work on it.

K: You have to learn to allow yourself to be uncomfortable. Try this—when you get to the point where you are feeling anxiety, self-doubt, the urge to get out of your position and take your profits too quickly, make a note of the time. Write down, “I am getting the urge to take that trade.” Keep a diary of your experience. “This is really getting uncomfortable.” Keep noting it, and monitor that. The reason you are making these mistakes is that you are going for what's comfortable. It's not a question of stupidity. It's just a question of really being able to have the stomach, the patience, to ride out the discomfort. Eventually, you will be able to look at it and say, “It's been four hours, and I am still here. I haven't died.”

D: I know. You cut your losers, but you've got to let your winners ride.

K: Do you understand the importance of timing the feelings and tracking them? Feelings are very powerful, and it's obvious that you haven't learned to ride yours out. You don't even know how long it's going to last or how long it's going to take until that stock reaches its target. Your task is to try to take a deep breath, take a walk, meditate, and time it. Timing is good because you can say, “It took six hours last time, and then the anxiety went away” or “It took two days.”

This is agonizing, but it's something you can train yourself to do. It's going to get uncomfortable. You have to learn patience. To the extent that you absolutely can't stand it and want to take some profit, maybe take a little bit of a profit and then hold two thirds of the position. Do it in steps until you can deal with these emotions and can hold more.

The dialogue with Dan underscores the exercise highlighted earlier. There is value in actually timing anxiety or any other uncomfortable emotion or obsessive thought process. By timing it, you learn to put a frame around the experience. You learn that distressing emotions are time limited, and this can help you to relax when you next experience the distress. You will soon discover that the duration of distress is less and less each time from the time you first recorded it. This reframing technique is extra-

ordinarily powerful in helping you ride through many unpleasant moments with great equanimity.

EXPERIENCING EUPHORIA

You might think that euphoria is the best and most positive emotion to experience, but that is not true. Although euphoria is a common response to trading success, it often leads to disaster. Just as some traders panic out of winning positions for fear of losing their profits, others are influenced by euphoria to stay too long in a trade and act contrary to their best interest. In fact, euphoria tends to lead to greed and overconfidence.

How can euphoria work against your best interests? When you get too confident, you may double up on your positions instead of taking your profits, therefore running a greater risk of losing what you have made and then some. Euphoria may also foster complacency. If you become complacent, you may get bored, move away from your winning strategy, and lose your edge.

Often when traders are feeling euphoric, they confuse success with ability and overinflate their opinions about their own talent. According to Mannie, this is dangerous. Consider his observations about the markets in the fall of 2002, when we were still in a bear market and some traders were beginning to recognize that their results would never be as good as they had been in the bull market of the 1990s:

Euphoria is a bad thing because people think they earn it, that they deserve it. Most traders confuse the creation of wealth with intelligence. They are not that smart. It's not rocket science. It's under-standing stories, reacting to the market, and being in tune with the market. It's a matter of keeping the right perspective. You can't project results that are too out of line with what you did before. There is a maturity required. Everyone needs to learn to laugh at the bad days and enjoy the good days, then come back again and play tomorrow. I think being a professional and being good at what you do and being a success in this business requires you to adapt your game to the playing conditions. If you can't do that, you won't be successful. You will kill yourself. Those who learn how to ride out the emotions will be the ones who survive. They are the ones who are still doing it 10 or 15 years later.

As another trader expressed it, "Success is easy. The problem is if you become overzealous and think you can do no wrong. You feel overly com-

petent and make the same bets and think that things will keep happening the same way.”

When you win, you may develop an inflated sense of self that borders on grandiosity. You may experience a heightened sense of energy that manifests itself in the lack of need for sleep, compulsive overtalking, and a subjective sensation that you are on a high.

Unfortunately, far too often traders become addicted to these states of mind and ultimately make trading decisions based on maintaining these states of mind. Decisions made for that reason can at times have deleterious consequences for their performance. In general, euphoria commonly leads to bad decisions.

Case Study on the “Golden Dollar”

Blake is battling some of these very euphoria issues. He continues to add to his short positions when prices are starting to bottom, instead of starting to buy them. He continues to sell at the bottom instead of covering his positions, taking his profits, and starting to buy. As he explains, he is compelled by the satisfaction he gets for being the first to sell and wants to keep selling even after the opportunity is too risky. Because of the intellectual and emotional satisfaction associated with trading this way, he has come to put more value on adding to a short right before the bottom, to squeeze out the last dollar, than he does on the value of the early sale. Here he explains the concept of the “Golden Dollar”—the dollar made in a panic selling situation where he should have taken his profits, gotten out of the trade, and waited for another opportunity. This is a form of mental accounting where he puts more value on making money by being smarter than other traders.

Blake: There is a mental state I get into where things are starting to go my way and I feel intellectually validated: and it’s like, “This is fantastic.” I get into this slightly euphoric state. It’s exactly the wrong thing. For example, right now I am in a bear mood. I am selling more as it goes down further.

Kiev: Are you saying that you shouldn’t be selling any more down near the bottom of the move?

B: In the past, I sold a lot more at these times. I have improved somewhat. So far I am only selling a little here, but even that throws my rhythm way off.

K: Because you are starting to feel too good, and you are ignoring some measures or indicators?

B: I have to pay attention to my gut instinct. I have to know when that lit-

the guy in my head jumps up and says, "I am the greatest in the world." I have to kick him in the head. I have to throw him and do the opposite of what I feel I want to do. When I get up here, I am going to feel so fantastic about myself I will do a double. It's not the dollars I am going to miss. It's like these dollars between the low point and the lowest point are worth ten times the dollars from the top to the low point. I know that's not really so, but it feels that way.

K: It's the intellectual satisfaction.

B: The intellectual satisfaction is that now I am going to bask in the glory. I got there first, and I know it. I'm right, and they are wrong. Once I get to that point, every dollar I make beyond that it is like glory money. It's an experience I can't even describe, but it's my enemy because I always want this. I fear missing this. I am not thinking rationally. I desperately want this far more, and it's the same dollar. But I hit this acceleration point. This is where I feel totally giddy.

K: It's not easy. You say, "I know it's the wrong thing, but the heck with it."

B: It puts me in this framework of looking for that extra dollar. A panic is when I should liquidate. If you sat me down and said, "You are in the money, what do you do?" I would say, "Liquidate, because they all want my stuff. Whatever my position, long or short, they want it." I don't want to wait until the panic is over. Then people will realize they overdid it, and the panic created its own price. I don't logically want to be there; but when I am on the right side of the position, it's really hard to force myself out. On average if I give myself three months, six months, or a year, I will get many more times where this will happen or it bounces up, and I will get a better chance to re-enter the trade. As I said, this dollar is emotionally worth ten times more than any other dollar I make. So that's why I don't do it. Even though the probability is low, that dollar is the "Golden Dollar." I know, when I talk about it, I am a moron.

K: The more you talk about it, the more you are going to see it.

B: For me, that is going to be the biggest challenge. As I am getting better I am objectifying my own ideas. I have lost my love affair for structure. This is the last of the great things that control me. I get there. I get euphoric, and I feel really great, and I let it sweep me away. I have been doing this for a long time.

K: This is twenty years of undoing. You will get it. It's practice. You are building muscle memories.

Blake experiences euphoria and is seeking intellectual and first mover satisfaction, which is more important to him than P&L (profit and loss); but, as is apparent from the discussion, he is starting to have an increased amount of self-awareness and is willing to stand back and observe his own

behavior. This is the starting point of greater emotional control and the first step toward mastery.

DISCERNING DEPRESSION

Depression among traders is most commonly a result of losing, especially losing big or losing often. However, depression—and its close kin, sadness and fear—is not always related to losses. You are not exempt from the emotions experienced as a result of personal problems or disturbing world events. And, unfortunately, mastery does not inoculate you against such disturbing feelings. But while these emotions cannot be avoided any more than anxiety, you must handle them, too, in such a way that they do not interfere with your trading strategy.

Case Study on Recovering after 9/11

Sadness, fear, and depression were expected, normal reactions after the September 11, 2001, attacks on the World Trade Center. The effects of 9/11 had a tremendous impact on the mentality of traders. Although the market rather rapidly recovered and moved out of the V-bottom, which had been building, the sadness and the sense of trauma remained among many traders, some of whom lost friends. Lance's brother barely escaped the collapse of the second tower of the World Trade Center, and he knew many of the bond traders at Cantor Fitzgerald who died in the collapse of the Twin Towers. He was reluctant to take time off after the events; and two years later, his emotions were still catching up with him.

Kiev: Are you still reeling from the event?

Lance: I am definitely not okay with the whole thing. I know I am very angry about the whole thing. There is anger, denial. It's not like I cry about it.

K: Did you have some friends there?

L: I knew people but no close friends. There were business associates that I dealt with. It's sad just having four thousand people die and all the kids and that whole thing. I worked there for three and a half years on the thirty-second floor. My brother was on the twentieth floor, but he got out. He was walking up the stairs, and that's when the plane hit. He is fine. To me, it's just a mad destruction. The way it affects our lives . . . going forward . . . going on trips.

K: How about the anthrax and all that?

- L:** The odds of getting anthrax and the flu are nowhere near even. I try to put that into probability. This attack, on the other hand, affects how we travel, going on vacations, etcetera. I don't want to fly. I will stay home. It's that type of thing. I think it really has changed the way we do things.
- K:** Is it affecting your trading?
- L:** It did at first. I didn't much feel like trading, but you have to keep going and not let it get to you.
- K:** So, how did you handle it?
- L:** I tried not to let my anger affect my trading. From a trading perspective, I factored in the market's response to the event and began to trade as if it were just another macroevent that had to be considered in sizing up trading opportunities. I still think it is significant in reflecting the instability of the world, the impact of the Iraq war, and the threat of global terrorism that is on everyone's mind; but I am continuing to go about my business, weighing the significance of all kinds of events.
- K:** How about the feelings of rage and frustration that you experienced on nine eleven?
- L:** They are still there from time to time, but I basically put these feelings aside when I am in the middle of the trading day. I still have to worry about my P&L.
- K:** Do you think your perspective is similar to that of the other traders?
- L:** I do.
-

In the course of a year, you experience a range of emotional responses to trading experiences as well as other life and global events. You are not immune to personal tragedies and how world events impact your life or your trading.

To the extent that trading requires tremendous focus and is the kind of activity that itself generates a variety of emotional responses on a fairly intense basis, it is desirable for you to have an opportunity to talk about your feelings before they become intensified or bottled up. You should be in a position to express yourself, recognizing the value of communication as a way of sharing experiences and neutralizing the impact of emotional distress.

My general guidance is that you should talk about what you are feeling and experiencing. This has value not only in helping you deal with the difficult emotions but also in alleviating the additional tension (and resulting complications) that come from masking your feelings or projecting them onto your trading situation.

It is important to be able to notice your distressing thoughts and emo-

tions. The object is not to control the emotions or the events that are causing the emotions. Let them pass. Once you can relax with your thoughts, you will find that the world is less distressing. Remember, your thoughts reflect your thoughts, not reality. It is not necessary to *act* on your thoughts. Problems, difficulties, even tragedies are not a reflection of who you are; they are challenges. They test your ability to handle them.

Case Study on Monitoring Emotional Experiences

The following dialogue with Terry illustrates the impact of emotions on one trader's thought processes and underscores a number of ways to monitor emotional experiences. Terry has been trading for several years and has been plagued by mood swings directly related to his wins and losses. He sought my counseling after an unexpected loss of profits as the bear market of 2002 was giving way to what (at the time) seemed to be a bottoming of the markets and a resurgence of a bull market. To others, it was simply a short squeeze in a persistent bear market in the middle of October after the market had experienced the biggest four-day rally since 1933.

Terry was recounting a wide range of emotional responses to this rally. In this dialogue, I try to coach him to handle his emotions and to use them as indicators of how he might more successfully interact with the markets. This discussion also shows how intertwined euphoria can be with bouts of depression and anxiety and how much the markets trigger significant emotional responses, which impinge on the way traders perceive the market and then trade.

Terry: On the twenty-fourth, there was that open down twenty. Like it went down another ten, and my stuff—the fixed-income stuff—exploded up higher. I actually felt it physically.

Kiev: What did you feel?

T: I felt a rush on seeing the capitulation.

K: Could you describe the feeling?

T: Just like wow! I began to count the amount of money I made that day.

K: What you had been waiting for was actually happening.

T: It was the high point in my P&L. I made a million dollars that day, and I had it; and I said, "Gee, but what do I expect? As of right now, the stocks are pricing at a fifty percent probability of what I think is going to happen. I don't really think that is enough. I think it should be more like seventy-five percent probability, but I will take some stuff off so as to just ring the register." I took off a sixth or an eighth of my June positions. I figured I had some other stuff, and it would come back a little. So I kept on getting confirmation from the markets.

I thought if we invaded Iraq, the market could drop, and the central bank would cut. That would be good for stocks, but it would be good for me, too. That's what I expected them to do. I mean something has to happen to introduce liquidity into the system. There has to be new liquidity for the economy. But someone has got to turn on the taps. There is a crisis. There is a response, and there is wealth. So, I figured as long as there was no macrochange in oil prices or a policy response, there wasn't really that big of a change in sentiment. Oh, boy! I have been wrong. I just didn't really see how that could be wrong, and that was obviously stupid!

What I experienced on Thursday and Friday was just like a terrible physical attack. I had total anxiety. I was sweating. I thought, "There goes my career. There goes my job. How could I be so stupid? How could I risk that much?" I was down twenty-two percent. What was I doing? What could I have possibly been thinking, taking all that kind of personal risk? What was wrong with me that I would do something like that? Am I self-destructive? Why do I have to always be right? Why does it have to be my way? Why do I have to be so inflexible?

- K:** You have now talked about having the rush in July and now the despair that comes when it doesn't work your way.
- T:** It's like a thousand negative thoughts go through my head about stupidity. The anxiety was the self-critical tape playing. I tried not to let myself go there. I tried to be around other people and not in the house or alone in the dark. You know, I was out and trying to deal with it.
- K:** If you didn't react emotionally and you just stood back and looked at it and tried to assess it, what more could you have done, or what did you miss?
- T:** When I look back unemotionally, I think it was too large a bet to make for a binary bet. That's what I came up with. I failed to ring the register enough after those good days.
- K:** Could you have moved faster when it was starting? Let's say it was a good bet, but then the world started responding differently. Did you see it happening? Could you have been cutting it back? The first time you thought about paring back might have been the best time to do so, putting some value on that first impulse. If it's working, you are fine. If it's not working, there is an inclination not to pay enough attention and to take appropriate action.
- T:** You're right. I was acting on it but just not acting enough. I found it reckless risking that much money on that much bet. What was wrong with me that I didn't want that money? I find it frightening to me. Is that some kind of self-destructive thing?
- K:** Maybe it's just that you don't have the skill set to manage that kind of

situation. What rules would you have to add to your strategy to protect against it?

- T:** I guess on the big P&L days, the big P&L months, I should just force myself to take sixty-five percent as a rule. I would say, “Boom. Done. Out.” How happy would I be if I had said that on that day in July. That’s what the rule would be. It wasn’t so much greed, like I wanted the money, it was intellectual greed. It was, “See, I am right. See what I am saying is right.” It was over-confidence.
- K:** That’s human nature—the inclination to risk more to avoid a loss in order to prove that you are right, to take more risk in order to make a sure profit.
- T:** I was in a panic. I was afraid. I felt I would lose my year. I started thinking about whether I am really cut out for this. How could I be so dumb? Or, if I am so smart, why did I do this? Am I consciously self-destructive?
- K:** You just have to practice. Identify the problem. Then practice a solution.
- T:** I am not self-destructive or reckless. I have total control over my trading. I can make a difference next time. That’s what I came up with. I will learn from this experience. I will risk less on short-term binary events. I will take large profits when I feel great more often. Reducing some risk is not enough. I want the money. I would rather make the money than be right. Others can be right. I will use my talent more to focus on returning profits and minimizing losses than to necessarily be right for the sake of it.
- K:** This is the right way to reframe this experience. It’s the implementation of these principles that is critical going forward. I would suggest that you keep a diary for the next fifteen trades until you really get this down.
-

This dialogue is particularly useful in revealing the extreme emotional responses that a trader can experience in reaction to market fluctuations and how much his own desire to shine intellectually gets intertwined with these responses as well. Terry describes the rush of excitement when things are going his way as well as the despair and self-doubt that accompanies failed trades or his failure to respond as rapidly as he would have liked.

Much of my counseling was to get him to develop some objectivity about his own emotional responses so that they wouldn’t take him out of the game or lead him to make trading errors that could be avoided. Additionally, I encouraged him to sit back, to keep a diary of his experiences, and to keep learning from his own emotional responsiveness to trading events that could help him develop mastery over time.

It is also clear that Terry needs to learn additional strategies and to bet-

ter adapt to the markets instead of beating himself. These lessons are relevant to anyone who is trading and experiencing the emotional swings so commonly associated with success and failure in the markets.

Don't complicate matters by reacting to your feelings. Notice your mind-set and then consider what steps you can take to deal with the situation. Stop trying so hard to avoid becoming emotional.

Most important, keep noticing how your own thoughts about what you are doing and your judgments about yourself interfere with the process of being engaged in the actions before you. What is critical here is to make a distinction between your results and your identity.

Again, your results simply tell you about your strategy and whether you adhered to it. The results are not about you. As I explained in the previous chapter, you have millions of thoughts flitting across your mind every day. They are separate from the inner core that makes you the unique person you are. Focus on the challenge. Figure out what is needed and wanted, and then figure out a way of handling the issues.

CONCERNING CONFUSION, FRUSTRATION, AND UNCERTAINTY

Some of your frustration comes from being out of tune with the markets. When this happens, you cannot read its direction as well as when everything is clicking. Sometimes your data analysis is weak, or you lack good explanations for what is going on. However, this frustration may be part of the creative processes. In fact, dissatisfaction often leads you to more effort. When an experienced trader becomes confused, uncertain, and frustrated, he often digs in even more, puts in more work, finds new perspectives, and comes up with unique trades.

One thing to consider is whether your frustration reflects the early stages of a pattern-recognition—process before you discover when and where to put on the trade. This is especially true of the master traders, who are always processing information and perspectives.

Case Study on Dealing with Difficult Markets

Bear markets frustrate traders because they make it especially difficult to get a handle on the situation. At such times, fundamental analyses don't apply, and models don't fit the volatility characteristics of the marketplace. This was very true in 2002 when many people who had been successful in the bull market of the 1990s were experiencing considerable difficulty in making profits as they had in the past. This was exasperating for many, and

oftentimes there was much tension experienced on trading desks. Tempers flared. Traders got emotional and took out their annoyance on each other. Many complained on a regular basis about how this frustrating period was affecting the morale on the trading desk. Ed was one individual who expressed this sense of anxiety and frustration because of his inability to please his team leader.

Kiev: Are you experiencing much anxiety in this market?

Ed: Yeah, I think we are all anxious.

K: What is going on?

E: The markets are moving. I think sometimes if you miss opportunities that you saw and that you didn't focus on, it can be frustrating. I think I am wound up because of the environment we are in. Everyone is up-tight, and this is affecting my decision making.

K: You are considering how others are going to react to your ideas?

E: Yes. If the idea goes up, it's not big enough. If it goes down, why would I be in it? I'm making a decision based on how others are going to respond to how I trade.

That's exactly what you have been saying I shouldn't do. I should do it because I see it or I want to do it. I need to stop trading to fit someone else's expectations.

K: What you are saying is that the environment and interpersonal issues create additional tension than the actual stress secondary from being in the market?

E: The market starts it, and then it becomes a negative circle. The markets are tough. It's not easy.

K: Do you think the frustration and the turbulence adds to the creative process?

E: No. I think there is a creative process, but it's not a replicable process. Maybe it can keep you focused.

K: But you were saying that it really doesn't help other people.

E: I think at some point it can be used as a motivating factor.

K: If you were on someone else's team or at another firm, would you find the same turmoil?

E: Most teams and most funds are dysfunctional to some extent. Would it be the same type of criticism? I am not sure at this point. It might be a little different. There might be other pressures. They might just ignore you, and you don't want to be considered a moron among people that you think are intelligent. That's frustrating, but you are not going to get criticized.

K: Some people feel it more, and some people don't even notice it.

E: Some people aren't involved in it.

K: Different people react to the stresses differently, depending on how they have been programmed. I think there are a variety of responses.

The undertone in Ed's thought process is one of complaint, one of trying to get rid of the stress instead of realizing that the stress is part of the process. Ed has to learn to hear how much he is trying to accommodate his own annoyance. He is getting off his own game plan and veering away from trying to align himself with the firm's vision.

Unless you can acknowledge the obstacles and anxieties that block progress, it is likely that you will never see what is interfering with your participation in the process toward mastery.

MASTERING YOUR EMOTIONS

Mastery is preparing yourself to be uncomfortable with uncertainty—and with anxiety, fear, sadness, and any other emotion that may accompany uncertainty during a trading day. There is always tension building up as you seek answers to what is going on in the market, but you must be willing to experience discomfort by putting yourself at risk. We know from the world of behavioral economics that people are inclined to take more risk in holding on to losers than they are willing to take in holding on to winners. To develop mastery, you need to function counterintuitively—cut losses and hold on to winners. Some traders, as the next dialogue illustrates, may ride out the pain of losing for good fundamental reasons, only to anxiously get out of the same trade when it is starting to work for them.

Case Study on Mastering the Emotions of Active Trading

Sometimes you tolerate the pain of losing for good reason, as in taking the pain of a short, because you have an analytical edge and anticipate that the short, which is going up, will eventually go down. Unfortunately, the less experienced trader, who hasn't mastered the counterintuitive functions, may hold on to the short, take the pain, and then, when it is finally working, be so relieved that he gets out too soon before the short goes down, therefore not taking advantage of the trade he has been lining up. This is so common that it is worthwhile to consider the following case of a portfolio manager knowledgeable about fundamentals who was trying to develop mastery in actively trading the positions in his portfolio.

Damion: I feel like I am on a plateau. I am not pulling the trigger on decisions I feel are right. I don't know if it's because I am in a protective mode. I did the same thing again by shorting a movie production company. I took a tremendous amount of pain on expectations of a new film that was coming out.

Kiev: Why did you short it?

D: Investors typically price in the value of a new film before it opens, and then reality sets in the following week, when people realize that expectations were excessive, and the stock price will usually come down. I shorted it at the point of maximum optimism.

K: What happened?

D: I had shorted ten million dollars worth of stock. It had gone from fifty-four to sixty. As soon as the film was released, the stock went down two bucks to fifty-eight. I covered a third. It went to fifty-five. I had a third of my position on. It's down a buck and a half. Of the one-point-two-million-dollar loss I suffered as the stock was going up into the opening weekend as I had anticipated, I only made back four hundred thousand. I kept covering because I took so much pain on the way up.

K: So, as it is coming down, you start covering your position instead of holding on longer and profiting from the move down.

D: Exactly! Why am I more than happy to take pain when it's going against me; but as soon as it's going for me, I am willing to book a profit instead of riding it out and maximizing my profit?

K: What were you thinking?

D: I was afraid it was going to hurt me again, and I wanted to get out of the way. Even though the story hasn't fundamentally changed, I am not able to stick with my original thesis. I am deviating from it in order to protect myself from losing more money.

K: To protect yourself from losing more money or from feeling more pain? You seemed to be able to handle the pain when it was moving against you.

D: I was tolerating it, but I was so thankful that it was going down finally that I thought we could cover some. I was playing for it, yet I didn't want to lose money. I just thought I was getting a governor's pardon. I thought the pain was coming again.

K: Had you formulated your plan—that you were going to take the pain because you knew eventually it was going back down to fifty-two?

D: One of the guys on the team said, "We're lucky it's down. Why don't we take some in? This stock has been killing us."

K: Sounds like that threw you off your plan. Did you ever plan to increase your short position when it started working?

D: It would have been uncomfortable to get bigger as it was going down. Instead, it felt better when we were taking the risk off the sheets.

K: I understand, but that is pain relief. The counterintuitive thing to do would have been to benefit from the trade when the risks were in your favor by staying with it, especially after you had tolerated so much discomfort when it was going against you.

- D:** I went to relieve the pain as opposed to sticking with it. It cost us a tremendous amount of money.
- K:** What I find most interesting is how easy it is to go for relief after the pain, especially when the trade was working.
- D:** I know. Why is it that now that it's working I am taking the position off? I do this a lot actually. I take the pain, and as soon as it starts working I go for pain relief.
- K:** It looks like getting out was the comfortable thing to do, even though it was contrary to your original plan.
- D:** I knew I was the sucker.
- K:** You've got to play what you believe. This is more than your P&L. This has to do with your character and becoming a master trader, which means acting counterintuitively, taking more risk in winning trades than risks in losing trades. It means playing according to your strategy regardless of your emotional baggage.
- D:** I am very concerned because I don't have the ability to sit through the pain. I have gone into a mentally defensive posture where I don't have the next great idea. All I have is these things that burned me, and I am very concerned about losing money. I don't have anything to offset it.
- K:** Is there more work you can do?
- D:** On the ones that worked out huge, there is a quality of work that kept me in it regardless of what the market did. Like I told you, most of my shorts are tired. These are more touchy-feely shorts that I can't really defend. I think they feel right and I want to go with my gut.
- K:** Again, is there more work that could be done?
- D:** Of course. That is really the answer.
- K:** You are thinking P&L and emotion. You are not thinking strategy. You're not thinking, "How do I bolster my short position by bolstering my conviction?" You are getting emotional.
- D:** I know it. It's totally an emotional decision. It has nothing to do with anything. Staying with it is the game that separates the men from the boys. We are just trying to get away from the pain.
-

This informative dialogue with Damion touches on what I would call a generic discussion related to mastery. He expresses some of the frustration experienced by the trader who recognizes that he is a captive of his emotions. Damion knows he is no longer trading in a proactive way when he tries to get out of a trade that is working because he is afraid the short will "revert back to going up in his face." He cannot tolerate reexperiencing the pain of a trade that is not working, even though he has just demonstrated that he could ride out such pain. The memory of past experiences is so strong that it overrides his desire for maximizing his profits.

Fortunately, he also recognizes how much he is governed by his fear of the recurrent trauma and is willing to keep talking about this experience. This will help him stay conscious of the process the next time this situation occurs so that we can talk about it again. Hopefully, he can allow himself to be coached through the anxiety rather than impulsively reducing his position and taking premature profits.

This is what the road to mastery starts to sound like. It is not easy. It requires constant vigilance and a lot of attention until you are able to master anxiety and endure it on the profit-making side of the trade. When you face your emotions rather than minimize them, you earn the power that comes from owning your fears and all the other feelings that you want to control.

CHAPTER EIGHT

Overcoming Obstacles

Some might think that as a psychiatrist I am interested in why traders trade the way they do and that if I can get at the motivational roots of their behavior, I can help them. For example, if I can understand why a person has to gamble, or self-destructs, or goes for broke, I can help him to change his behavior. In actual fact, with traders, most of the time I function more as a *coach* than as a psychiatrist.

THE STOPPING POINT

Just as the role of Tiger Woods's swing coach is not to probe Woods's psyche but to deal with how he acts on the golf course, I am less concerned with traders' motives or unconscious intentions than with understanding the "what" of their trading behavior. What are they doing to improve their decisions? What behaviors must be introduced into the process to control their losses?

For this reason, the stopping point—the point where you are blocked or run into obstacles—is of paramount interest to me. Obstacles block your view of your goal. When you reach a stopping point, you must consciously clarify what you want, focus your energies on what is needed, and recommit to your vision. If you want to become a master trader, you must tap inner reserves of emotional strength in order to overcome adversity, pain, and self-doubt during trades. This involves the capacity to shift the focus of attention away from anything that reinforces self-doubt and pain.

Master traders have developed psychological skills for hurdling the stress of trading. They modify their own behavioral responses to capitalize on the situation rather than to be thrown by it. That is the only way they can tolerate the enormous stress levels. At the highest levels, they are able to achieve greater feats of self-mastery and self-transcendence. Some have worked out visualization techniques in advance of the event in order to deal with anxiety responses. Thus, their visual imagery rehearsal neutralizes the stress. Others call on relaxation exercises to reduce the tension.

Whatever the technique, it is clear that psychological skills make the difference in whether a trader achieves success or failure. To be a master, you have to relinquish your ego, face the truth, and stomach the psychological discomfort of trading against the grain. You must let go of preconceptions, busywork, and trying to look good. You need to be ready to measure results rather than react emotionally to events. Most of all, you must be willing to see things as they are, rather than always comparing them to what you already know.

Mastery is about uncovering the hidden potential within you by chipping away at the obstacles in your path. You identify the obstacles in your trading world and learn to stand outside them.

The biggest roadblocks to achievement in all walks of life are the inhibitions, fears, and fantasies that you have about your ability. These long-standing fears, coupled with the pressure of the tasks before you, trigger the stress reaction, which in turn magnifies the difficulties of the task. Your physiological response to the task increases tension, which then increases the likelihood of error.

Therefore, the progress you make in any activity depends ultimately on your capacity to conquer this stress response. Mastery entails the ability to be flexible, focused, and disciplined.

Case Study on Issues of Resistance

As you have seen, many of the questions I pose to traders revolve around what prevents them from reducing losses and increasing profits.

- What behaviors must traders adopt in order to reach the goals they have set for themselves?
- What behaviors are they engaged in at the moment that are getting them out of their routine and increasing their risk?
- What are the steps toward mastery that must be undertaken to ensure success, change, and the reaching of goals?
- What self-generated solutions are creating more of the problem?

Given these questions, my conversations with traders invariably focus intensely on issues of resistance, the need for greater communication, and the need for them to clarify their goals. The dialogue also addresses the question of whether the people managed by the trader are actually receptive to his requests. In these discussions, traders reveal that they bump up against resistance in a lot of ways. A trader may meet resistance by:

- Getting away from what he has been successful at—giving up a strategy of trading price action and trends based on technical analysis and winding up trying to morph into a portfolio manager, relying on fundamental analysis in a sector that is new.
- Failing to set goals and to review his performance in order to correct for errors and leaving incomplete other elements necessary for successful trading.
- Refusing to accept coaching to improve his ability to bring all his resources into play.
- Continuing to engage in nonproductive steps because of a belief in the correctness of his perspective, no matter what results he produces.

Listen to the following discussion with Malcolm, a highly motivated portfolio manager who is learning to overcome issues of resistance in an effort to become a master. We started this conversation by talking about the miraculous gold medal performance of figure skater Sarah Hughes at the 2002 Winter Olympics in Salt Lake City and the question of commitment to a goal.

Kiev: If you don't get the gold or reach the goal to which you have committed, it is probably because you weren't really committed to getting it, not that you failed miserably. You did what you prepared to do. The outcome is the result of what you put in. If it doesn't come, then you didn't prepare for it. That's the way to look at it, not that you failed. You have to rethink it. Maybe you got off focus. Maybe you started thinking about other things and weren't thinking about what you were supposed to be thinking about.

Malcolm: The guy who does five and commits to ten, how do you reconcile that?

K: You have to keep playing the game that will get you to ten without blowing up. So, it's not about taking undue risk. It may be that you are at one million and are probably not going to get to ten million. On the other hand, you never know. It may be that if you keep playing, if you keep staying focused, if you stay in the game, then you can do it.

If Sarah Hughes had given up when she was in fourth place after the first round of the figure skating competition in Salt Lake City in

March 2002, she would never have achieved the gold medal. It seems that she was very focused at the time and able to pull out of herself even more capability.

- M:** She had an interview on *Dateline* last night. She said that her goal wasn't to get the gold medal. It was just to have the skate of her life, and she vowed to have fun and do the best that she could.
- K:** That's probably the way to get the gold. You have to do the preparation. You have to do the triple; triple jump in your practice sessions. You have to have a program that is going to make you outstanding; and then having prepared, you have to be spontaneous and go deliver it. All the practice is geared toward the goal. During the performance, you don't want to be thinking about that. You want to let it go. You have to take the risk, to have that spontaneity to do it.
- M:** So, how does that work? Is it doing work on the weekends and the nights and then, when you are in the trade, just letting it go?
- K:** The preparation gets you to a point; and when you see the opportunity, you can really play it. Preparation gets you ready to play. Then you can make decisions very rapidly. You need to always be looking for the opportunity.
- M:** Something has definitely changed over the past four or five months. I have got a foundation in place that prepares me. Over the last month, I have actually been spending less time working and spending more productive time when I am working, and that has been great, particularly after getting back from vacation. I know I was too tightly wound when I left. I am going to the gym more. I am leaving earlier and doing some work on the weekends, just a couple of hours instead of spending the whole day. I am generally not watching my screens all day. I have gotten a lot more confident in my ability to trade the market, and that has just been so helpful. I don't get concerned when something is not acting like I thought it would. I feel like I can identify when the group is not in favor for the day.
- K:** You are able to read the market?
- M:** I am getting better. I am getting confident.
- K:** You don't take the fluctuation in the stock as reflective of some mistake that you have made?
- M:** I think I am getting better at determining if it's a mistake I have made or am about to make, as opposed to if it's just the wrong day. It doesn't mean I am wrong in my thesis. It doesn't mean that I have to get out. That's why I think having a fundamental background and learning how to trade really work together synergistically, in contrast to a guy who is just a trader and sees something he liked on Monday, and when it's down on Tuesday and Wednesday, he is getting out.

It's just down with the market. That allows me to not get bigger

or to just wait for it to rebound or to get out because I don't like it. Last month we had two mistakes that cost us three hundred grand. I can live with looking at the sheet and saying, "These two things, I really didn't know why I was there. I should have cut my losses earlier." Then we had one other position where we lost a half a million dollars. We made a bet, and we were wrong. That's the fact of life, and I can live with it. In a business where the best traders are right only sixty percent of the time, being wrong is part of the game. However, I learned a well-thought-out and valuable lesson from that loss, and my trading is better for it.

The element that has changed is that I have gotten more confidence in the trading. I have the framework of preparation that allows me to fall back on efforts to cut down on wasting emotional energy. I just stay focused on things that I can control. I am comfortable with them and don't get agitated during the day or at night; try not to get mad and frustrated.

K: About . . . ?

M: About stocks not working.

K: One master trader makes the useful point that if the stock is not acting the way he hoped it would or has expected it would, it really means there is something that he doesn't know that somebody out there does know.

M: The only thing that has changed my game is that I am not fighting to be the first person to develop information. I felt like the game was trying to be the quickest guy, the first person to develop something that might be new. That is a very overplayed game, and you wind up psyching yourself out. What I have tried to focus on is putting it all together; and within that framework, I have found that I am increasing every day, or trying to. I feel like I can win the game. I am not fighting for a piece of information that I know someone else wants. I can play another game that is really working well for me right now, and that doesn't make me constantly concerned about what I am missing. I don't worry about whether there is someone out there who knows something more than I do. That can create a lot of negative energy and a lot of frustration. I just focus on the stuff that I feel like I can have more control over.

K: We had a conversation a few times about dealing with the unknown. Are you still expanding that?

M: Yeah, I am trying to just pick the battles, the ones that I feel like I can get my arms around.

K: What you are saying is that you are discovering something about the markets that you didn't know you could discover. There is a piece of the world or a piece of the reality that you are able to see that you

hadn't been looking for. There is a paradigm shift in your thinking, which is what I would call mastery; and I think that is what we have been discussing today, a realm of the universe you cannot know about until you begin to challenge yourself and your way of looking at things.

It doesn't always have to be right. Your vision is really a lens to see. So you start looking for it, and you may find that the market is actually a little bit different than that; but it gives you something to look for or, better yet, a way of looking at the markets that may give you some added insight into how things are working.

M: I call it a toolbox or a hat rack. In aggregate, the tools create a benchmark or a lens for us to examine opportunities within the market. By continuing to add to our toolbox, by learning from our mistakes, we can continually expand the lens and the potential opportunity sets. As we expand our toolbox, we see exponentially more opportunities.

K: If you have a strategy, this is what you are going to do. Now the world comes at you somewhat differently, and you are somewhat prepared; but then you have to adapt and adjust the model to the world. Then you find some piece of reality that you might not have seen if you hadn't prepared for it.

This dialogue with Malcolm underscores a number of the components of a strategy for mastery. These include (but are not limited to) commitment to a stretch goal or target, preparation in advance of the actual event, continual creation of a foundation consistent with the results, and regular review of statistical results so as to improve the quality of preparation and performance. This strategy also considers the importance of having a relaxed, almost philosophical, attitude. In this way, you are psychologically more attuned to the markets and available to learn more about what you didn't know you didn't know before. You are expanding your understanding of the arena in which you are trading.

Just as Malcolm discovered in this conversation, one aspect of mastery is problem solving in terms of second-order change. Instead of focusing on "solving" problems in what appears to be common-sense ways—trying to do more of something (e.g., trade more to make more or trade less to reduce losses or change what they are trading by way of finding new instruments to trade)—master traders recognize that many problems are generated by efforts to change what they are doing, rather than to choose from what they have and get more focused on the here and now. They recognize that much of their effort to force change actually adds to the problem. For example, avoiding certain trades because you have lost money previously may be sound advice; but if you take yourself out of the

game entirely, you are not likely to reach your targets. If you try too hard to control losses, you may find yourself becoming paralyzed. So, mastery requires a gentle approach rather than a drastic one.

Remember, mastery is not freedom from mistakes, but the ability to learn from mistakes and to move on, empowered by experience. The master may glean most of his profit from 3 percent of his trades. Losses or break-even situations make up the remainder of the trades; but it is through those trades that the master refines his information, produces better ideas, and keeps working at his technique until he is able to accomplish what he has set out to do.

It is with this in mind that this chapter outlines several common obstacles that traders are likely to experience in pursuit of their goals. By understanding these obstacles, you can prepare for them and be better equipped to overcome them when you face them in your trading experiences.

While there are no pat solutions, the information included here should make you aware of the possible obstacles. As you recognize these obstacles, you can then take the appropriate steps to stay on track toward your vision. Again, you cannot avoid all of these potential potholes, and that is not the objective. Your efforts should be aimed at recognizing your problems and then not allowing them to interfere with your strategy.

PERFECTIONISM, OR THE EXCESSIVE NEED TO WIN

A perfectionist has difficulty recognizing that while winning is the object of the game, attachment to the end result will only be cumbersome. An excessive desire to be “number one” can, in fact, be dangerous.

The perfectionist trader may direct so much attention to victory that he loses sight of the pleasures of playing and ends up losing in the bargain. The self-induced pressure of thinking, “I’ve got to hit this one or else!” is never conducive to good performance.

By focusing on the end result, the perfectionist actually impedes his progress. Often, you can be paralyzed by your fear of failure and are afraid to take action, or you may become burdened by your methodology and are unable to move forward to realize your vision.

Actually, the psychological pressure to win at all costs can make it impossible for you to enjoy your profession. This is especially true of perfectionists who typically establish unachievable standards and become so preoccupied with results that they can’t concentrate on what is in front of them or even take the necessary steps to realize their goals.

An excessive need to win can lead to an inability to relax and let go sufficiently to be able to reach higher than previous levels of performance. Because you are so preoccupied with winning, you may direct attention away

from the here and now and the critical steps to take and thus impair your performance.

Concerned with winning at all costs, you may have difficulty in asserting yourself freely within the framework of the rules of the game and in line with internalized standards. You may also have difficulty in accepting personal limitations or the vagaries of events where chance factors interfere with ideal functioning.

The perfectionist tends to be fearful of failure and thus of facing penalties, criticism, or guilt from not measuring up to his own high standards. These concerns foster a sense of pessimism that further ensures failure. So, you then are not satisfied with failure *or* achievement. Failure confirms your sense of inadequacy, and success may be viewed as unmerited, therefore setting the stage in your mind for failure the next time. Your fundamental problem is that you would rather prepare for the *perfect* event than experience the one at hand and recognize its transient nature.

This preoccupation with end results diverts attention from more important tasks, uses up energy, and produces tension. At the same time, preoccupation with details may prevent you from allowing the “perfect performer” within to come out.

Case Study on Overintellectualizing

Overintellectualization is a variation of perfectionism and is manifested by excessive preoccupation about being right about a trade to the exclusion of concerns about taking action and making a profit in it. The following dialogue with Blake, the trader I introduced earlier in this book, points up this phenomenon. My objective was to teach him to be more focused and instinctive and not so caught up in his intellectual investment in his ideas. In this dialogue, he is talking about a sudden, dramatic shift in the direction of the tape and how he handled his risk better than he might have in the past.

Blake: Now I am trading with greater regard for managing my risk. I am pretty calm now because the risk is lower, which is good. If your stride is right, you are doing your exercises, and you know you are doing it all, you may have a terrible outing, but somehow you are not a terrible athlete. You are just going through one of those down phases, and you will have another up phase.

Kiev: You have not done this before?

B: I don't think so, not as willingly. I think I could have responded faster to the tape. I would like to get still better at that. I found that I was able to divorce the part of me saying, “We should be buying. How can you sell at this level because we know we are right?” from the better risk

management view that says, “This isn’t working well. We need to bring that down.” I got pretty aggressive in reducing my positions.

K: Are you responding to reality in a better way? Do you understand that the tape is telling you the truth and that successful trading has nothing to do with you and how smart you are? You are here to steer the ship in the face of the storm.

B: I am actually trying to do more of that kind of thinking.

K: In the past, you may have taken the changes in the market too personally and held on too tightly, trying to justify your original choices by staying with losing trades.

B: In the past, I was trapped by thinking, “These are my ideas. How can I sell? I am the person who discovered this big rally and everything.” I want to make it less personal rather than more personal. I mean, I would love to be totally dispassionate. If I were, I would could cut my risk down faster and manage things better. I know there is room for improvement.

K: That’s a new bit of behavior.

B: Yeah.

K: All right. So you want to pay attention to that. This is consistent. It’s a different set of events. It’s consistent with what we have been talking about. Theoretically, if you had held on in the old way, you would have lost more money. You wouldn’t be lining up to make money. It sounds like there is much less ego involved in it.

B: There is less. Could I do my stride better? Yeah, I would like to come in the next time and say, “I know I did it all right, and this is how I would rate my performance.” Today it was like, wow! I turned right when the signal said to turn left.

K: It doesn’t feel so bad?

B: I don’t feel as bad as I should or would normally.

K: This is because you are taking action. If you are passive, you are more likely to feel as if you are getting killed. Then you would say, “Oh my, I am getting killed. I don’t know what is going to happen tomorrow.” Now it doesn’t matter what happens tomorrow. You can adjust.

B: Now it is less of a monster.

This dialogue picks up on the progress that one intellectually driven trader was making in managing his positions from a risk management viewpoint rather than from an egotistical viewpoint. This is another key to mastery—learning to separate your own emotional responses from the strategic and tactical tasks at hand to increase your levels of P&L (profit and loss).

Again, mastery means allowing yourself to make mistakes and to learn from them.

AVOIDANCE AND DENIAL

Avoidance or denial is sometimes rationalized as going slow or being cautious, when in fact it is more often the fear of facing reality, appearing weak, or seeming incompetent. Since stress always threatens your composure, it often leads to such defensiveness.

However, while the denial of stress may temporarily contain your anxiety, it can also lead you to stop working toward a goal because the result is locked in. Once you've accepted a given outcome, your performance may then decline, and you may use more defensive energy to maintain a posture of competence.

Regardless of the reasons behind denial, in all walks of life, it prevents maximum performance and consumes energy that might be used more effectively in action. It also builds habits of restraint that may continue to operate when you finally try to let out the stops to achieve a goal.

Denial may also reduce your willingness to admit vulnerability and learn from others. You may ignore the advice of others about improving your performance. This can take place even during a trade when critical steps must be taken if you are to maximize profits and minimize losses. If denial takes over, you may feel unable to change your game strategy. Of course, denying the stress of a situation and minimizing or ignoring bodily responses to a trade only increases the risk of failure and inaccuracy. If you practice this kind of denial, you will not learn from your mistakes, and you will not improve your performance because you are unwilling to recognize and correct whatever diminished it.

However, another form of denial can be seen in the expectation that you will win no matter what. This leads to cockiness, laziness, and a misinterpretation of what is needed to actually achieve success. For example, some years ago at the Pan Am Games, I spoke at length with a world-class high jumper from the United States. As I watched him clear the bar with ease, it was clear that he had a shot at the Olympic medals. I assumed he would be pushing himself for the gold; but when I asked him about his plans, he gave a surprising answer. With great confidence, he said, "I plan to take it easy between now and the Olympics. I want to break the world record, and I'm pacing myself until then so I don't burn out beforehand."

His reasoning amazed me. How could he be so confident as to keep himself from doing the best job possible each time he competed? Was his strategy of pacing a reasonable approach to his goal or an example of denial?

After discussions with a number of coaches, I concluded that this high jumper's effort to avoid peaking too soon was a type of positive thinking found often in athletic circles. Few coaches had anything good to say about

it. They realized that such thinking denied reality by creating illusory self-support images that did help to keep anxiety levels down but did not enhance performance or ensure record-breaking achievements.

In actual fact, for reasons over which he had not control, the plan to pace himself for the final race never could be tested. The U.S. boycott of the 1980 Olympics put an end to this well-developed strategy and the dreams of many fine young athletes who ended up not competing at all.

Still, such a practice of holding back from full effort is worth considering because it can be seen with similar negative outcomes in many areas of life. You may see it in the politician so far ahead in the polls that he stops campaigning and loses the election, in the student who doesn't need to study for the final, in the husband who deals with a troubled relationship by putting on a brave front and denying that there's a problem, and, as you'll see in the following dialogue, in the trader who fails to maximize profits in winning trades.

Case Study on Avoiding Trades

This conversation offers an example of a trader who is not reaching mastery because he avoids trades when he doesn't have an edge. In addition, he fails to get bigger in situations where he *does* have an edge. His task then is to learn to maximize that three percent of trades where he is making his greatest profits. He tends not to recognize that this is a critical phenomenon—he *must* get bigger when he has confidence. In fact, he seems to be rationalizing his inaction, attributing it to the fact that the market has been dominated by emotion and sentiment.

Ernie: This was not a great year. I learned that my game has a weakness. My weakness is that I rely on fundamentals. I can't make money when the fundamentals don't make sense. Instead of building my skill sets, I refuse to adapt. Right now I am waiting for the type of market in which you get paid by getting the fundamentals right. This year, for three or four months, I saw scant opportunities to make money. I refused to play. So, it became an eight-month year. For the first four months, it was the environment I liked. I was up three million dollars in the first four months.

Kiev: Once the market goes in the direction of the fundamentals, you do well?

E: I do well in markets where you can get paid for getting the fundamentals right. When the market is totally emotional, I can't do it. I don't make market bets. I can read the market but not as well as when it is trading on fundamentals.

- K:** What do you need to do to become more masterful in terms of correcting for this tendency? What skills do you need to learn so as to combine fundamentals and trading savvy so that you can trade around such things as news flow, catalysts, and Street upgrades—all of which may be quite independent of the market moves? Do you know what else you could be doing? Where you are stopping yourself? Are you looking more closely at what you are doing and then practicing so as to develop yourself into a more rounded trader? Are there other kinds of edges that you can develop or that you are missing? You are waiting for the fundamental edge when you know it, and the market is responding to what you know, which puts you there with many other hedge fund guys.
- E:** When the market is skewed to sixty-five percent fundamentals, that's when I make a lot of money. When the market is thirty-five percent fundamentals and sixty-five percent sentiment, I don't do well. I am stubborn. I don't want to trade it until it gets back to higher probability of making money. It goes against my principles of making money. I have difficulty foot bobbing, changing my style. I have trouble with that. I am not a complete player. It frustrates me. It is like a fear. I play to that crowd. I chop around unless I have a reason. The solution is to be paired, to do my chip company short but buy another chip company against it in case the market rips or trade futures. We were short the computer company today, and Jon bought Spiders against it to take the market out. The futures were up a dollar ten and IBM was up thirty cents. That could be one solution.
- K:** You think the thing is going up. You buy it. It goes up and then turns around. The answer is to get out instead of holding and feeling stupid. The market is telling you what to do, and you need to be able to read the market action as a critical variable in understanding how to trade. You play, get out, and short it. It's being flexible and not getting attached to your view. You are invested in your own understanding of the company. That's only a piece.

Until you get comfortable, listen to the different kinds of questions that might be asked. Consider different kinds of trades that you can do—index ads, deletions, analyst upgrades. Trade into earnings releases. Use this as a catalyst. Consider all the kinds of questions you can ask about your data so as to get an even greater edge than you are getting now, to increase your confidence about the trade.

- Are the expectations realistic?
- How has the company done relative to expectations over the past few quarters?

- Will people be surprised if estimates are lowered?
- Did any sell side firms make positive or negative calls going into the release?
- Have any competitors, suppliers, or customers communicated business trends?
- Is this influencing current sentiment?
- Is the reason for being short based on current valuations, even though this is a good business?
- Can you get a sense of whether the shorts are short term or longer term?
- Can you get a sense of whether the longs are short term or longer term?

All of these questions relate to detecting shifts in sentiment and the consensus expectation. These will help you to improve your trading savvy.

E: These are great questions. Others may be: Are you in a buying- or a selling-on-the-news environment or type of market? What is your fundamental catalyst in the stock? Then I will know what we are looking for and when to take the next big bet.

In this dialogue, I am pushing Ernie to force him out of his sense of complacency, his belief that he is not likely to get the kind of support from the Street that is available to him, and to get him to do more to elevate his game. I challenged him with a list of questions that I hoped would get him to think about how he could dig more deeply into understanding the complexity of events and factors that might have some impact on mispricings and ultimately on stock-trading opportunities. I was less interested in teaching him how to trade than in getting him to recognize how much more work there was that he could do in order to jar him away from his sense of avoidance or denial. His response to my challenge suggested to me that I was having the impact that I wanted and that he was beginning to see that there was a bigger game that he could play.

In essence, I was trying to coach Ernie toward mastery. He has a distinct style but was obviously missing a considerable number of trades. From my understanding of the short-term, catalyst-driven game, I was trying to challenge him to expand his horizons, to be better prepared for opportunities that might appear before him. The coaching challenge is to help him move beyond the limited notions he has about his own trading and his own cautious constraints. I was prodding him to think outside the box, beyond the level of his rationalizations.

ACCEPTING THE ODDS

In the preceding dialogue, there are elements of resignation in Ernie's views about what is possible. This kind of thinking sometimes becomes the predominant obstacle to trading mastery. Accepting the odds is adopting an overly cautious approach to competition, giving a half-hearted effort where a full-fledged effort might give you the opportunity for success. This is similar to avoiding events because of the fear of failure or the reluctance to experience the anxiety of competition. Anxious to retreat, you nevertheless go through the motions so as not to appear to be quitting.

The rationale behind this particular negative habit is that one should not shoot too high, that giving one's full effort constitutes "unfair behavior, that one should "slow down and give the other fellow a chance." This idea, which seems so generous on the surface, is actually a kind of self-criticism and encourages people to make less effort at just the moment when they are beginning to reach their stride. It is another way of ensuring failure for those who are afraid of their success.

Have you ever noticed that some traders always perform at the same level? Though well-prepared, these traders accept the generally recognized odds of winning or losing and adjust their performance accordingly. They do so in the quite mistaken belief that someone else is already "the best" and that they cannot get any better anyway. They build a rationalization, or excuse, for less-than-maximum efforts and less-than-maximum results. What these traders do not understand is that failing after giving 100 percent effort can still give you a good deal of pride, since ultimately satisfaction comes from striving.

Case Study on the Reluctance to Get Bigger

A variation of accepting the odds shows up in a common pattern among traders who are reluctant to get bigger, even though statistics demonstrate that they would double their profitability if they doubled their size. The status quo was fine for Ira, who has been improving over time without using more of his capital or making bigger bets. Despite his success, he is still somewhat cautious, rationalizing his reluctance to get bigger by citing the illiquidity of his stocks and his qualms about an analyst who works with him.

Although Ira appears coachable, it is sometimes difficult to press him. He argues that he is trading in a risk-controlled way and is profitable. To develop mastery, Ira must get past his constraint and his inclination to project responsibility onto the analyst. He must develop a willingness to take more risk.

Kiev: What is the stopping point in your own trading that is an obstacle to mastery?

Ira: Maybe I am lying to myself about the illliquidity and uncertainty of the market and the fact that the valuations aren't necessarily warranting the bigger positions. Maybe I just have to force myself to be bigger in every single position.

K: To the extent that your statistics demonstrate that you are having more winning days than losing days and that you are making more money in your winning trades than you are losing in your losing trades, you will increase your profitability, if you stick to the same methodology and you increase your position size.

I: Oh, absolutely! I mean, it's been a tough market, and I have made money every month this year.

K: If you were fifty percent bigger in your positions and you played it the same way, would you do just as well?

I: I think that at some point if I am fifty percent bigger, I would probably be doing thirty-five percent better. I keep saying to myself, "Once this summer is over, things are going to start humming again, and I will really push the pedal to the metal."

K: How big will you get when you push the pedal?

I: Some of the stuff is very illiquid, and I don't think that my positions are awful. I think my biggest position is a quarter of a million shares.

K: What's your average position size?

I: It's tough because some of the names are low beta or low volatility with plenty of liquidity, and some of the names are high beta, up and down a dollar, and there is no liquidity. My average long is seventy-five thousand shares, and my average short is probably twenty-five thousand.

K: When you have seventy-five thousand, is it generally because you have good conviction or you have done good work?

I: I think that's an area that I can improve upon. I think I am learning the liquidity and stuff and am sizing my positions as much as I can based on the conviction level we have. One of the things that I think I need from my analyst is for him to convey to me that this is a great idea. I would need to feel strongly about so-and-so.

K: You don't get that conviction from him?

I: Ours is a tough group to follow. The one thing that I would like from him would be to have more conviction on some things.

K: So, you don't get the conviction, and then you are worried that the liquidity isn't too good? As a result you tend to put on smaller positions than your capital allocation would allow?

I: Yeah, and a lot of the stuff that we have is not really catalyst oriented. It's when to not put it on or take it off. Again, it's not an exact science. I think that my performance year to date has been pretty good.

- K:** Is that enough to encourage you to get bigger now that you have an analyst?
- I:** I just think that I need to do it.
- K:** We had this conversation two years ago, three years ago.
- I:** Right, but then it was getting from five thousand to six thousand, from ten thousand to twenty thousand. So, it's not like it's falling on deaf ears. I think that part of this game is that as you improve, you are always looking to get bigger.
- K:** It's always the same thing that holds you back. Your success can be used to prove that you have got the capacity to do it.
- I:** I know—just do it. I think that getting the increased capital was a little bit of a kick in the butt to get things jump-started.
- K:** Yeah, because they are not just handing out more capital. I mean, you have to earn it.
- I:** I am really cognizant of what I need to do and what needs to be done, and I think I can do it. Maybe I am just a little too cautious in terms of waiting for the right opportunity, waiting for all the stars to line up before actually doing it. You know that is something that I am going to correct.
-

This dialogue is typical of successful journeyman traders who are reluctant to take the controlled risks necessary to step up the level of their game. There is no urge to attain mastery. Despite statistics that demonstrate their consistent profitability, they seem to be steadfast in looking at things in a very cautious way, believing that over time they will eventually get where they want without having to take any more risk than is necessary. They have trouble understanding that the statistics demonstrate that they are taking less risk than would be appropriate even in the eyes of the quantitatively oriented risk managers.

These cautious traders need to have similar kinds of conversations, to gradually find additional ways to raise their level of conviction by adding analysts, and to be encouraged to gather more and more information and to be continually reminded of the possibilities and opportunities that await them.

RATIONALIZATION

Because acknowledging concerns about the achievement of goals and the possibility of failure can be psychologically overwhelming, many people convince themselves that they are above the situation and that they don't

mind losing. Unfortunately, that merely sets them up for mediocrity or even failure. One way of coping with impending defeat is to minimize the significance of the event, to convince yourself that you really don't care how things turn out. In this way, you pull back so that if you are doing poorly, you become less sensitive to the possible pain of failure.

Another maladaptive defense to stress is providing yourself with excuses for why things "haven't worked out." In this way, you defend against the feelings of helplessness and loss that often accompany life experiences. Rationalization of this sort can minimize distress and anxiety because it provides a system for controlling events that gives you a feeling of security.

But rationalization is most elaborately developed in those traders who use a complicated system of "checks and balances" to give them a sense of control over uncertainty and anxiety. Such system building always becomes a source of anxiety itself when you can't put all the pieces together.

Case Study on Rationalizing Failure

Some traders rationalize their failure to perform by focusing on past successes and on the fact that the challenges before them are less than the ones with which they were accustomed to dealing in the past. This was the case with Earl, a fixed-income trader who claimed to have enormous success trading many multiples of what he was trading at present. According to Earl, it was easier to handle \$5 million profits than smaller \$18,000 profits, which he didn't think much about.

Basically, Earl was stuck in the past, unable to adapt to present circumstances. He was having trouble adjusting to a shorter time frame, smaller capital usage, and smaller profits. He kept trying to do what he did before. Therefore, he kept repeating his mistakes by holding his positions too long, only to have the profits decline, taking him back to flat. Consider how much his personality and habitual way of trading will continue to keep him from being profitable unless he can take the steps necessary to master the trading requirements of a new market, a new firm and a new trading style.

Earl: The first month, I was down three hundred thousand dollars. The second month I was up six hundred thousand dollars. This month I am up a few hundred. It is four steps forward, three steps back. Yesterday, I put on a small position because the environment is tricky. I made two hundred thousand dollars the first day. I walked in today, and it was up two hundred thousand dollars again. Larry said, "Take a little profit." I

said, "Why do that?" There was plenty of room to make five hundred thousand dollars. I said, "Let's treat it like a long-term position." Three hours later, there was zero profit for the day. It went back to yesterday's mark.

K: You had no inkling that it might do that?

E: Larry had the right idea. Who cares about the long term? Take some profit when you have the chance to do so. There are a million opportunities all the time around a long-term trend. Why do I keep falling back into the same pattern of expecting the long-term profits and losing the short-term ones while waiting for the long-term trend to play out?

K: Do you have a target?

E: I made a decision to get out of the position if it reached a certain level before all these numbers come out tomorrow and before the Federal Reserve meets next week. It was there, and I didn't do it.

K: Do you have a profit target?

E: I had a chart point for this size, and I didn't do it.

K: Do you typically have one and not do it?

E: In the past, I didn't have a target and didn't do it. Now I have a target, and I don't do it. Larry was saying I should take some off, and I didn't do it. I am really upset with myself.

K: What keeps you from doing it? What could you do to ensure that you would do it?

E: Better preparation.

K: It sounds like you had the preparation. Do you need to tell someone to do it for you or have someone tell you to do it?

E: I'll get the machine to beep and remind me to do it.

K: Will you do it then?

E: Yes.

K: You have to develop the muscle memory to get out early. Since you seem to be a long-term fundamentalist, it will take some conscious effort to learn a new set of skills.

E: I used to be a big trader in the bond market. It is a lot easier to take a five-million-dollar profit than a fifty-thousand dollar profit. There is a tendency to say fifty-thousand is too small. I am tending to overstay my welcome because I am getting too greedy.

K: You have to keep practicing it. Keep a diary of your trades so that you can assess why you don't take the trades and begin to correct for the behavior.

E: I am going to take the profits. I have to teach myself to take profits even if I leave opportunity costs on the table, not profits.

K: Track it. Keep a chart of it. You could take profits in the past?

- E:** Psychologically, it is easy to take eight million dollars of profits in a day. Taking eighteen thousand dollars at the end of the day doesn't feel like much of an accomplishment.
- K:** You have to start with smaller targets. Do layups and then move backward. It looks easier than it is. It takes focus and attention.
-

Earl is clearly caught up in a romanticized view of his past successes and is making rationalizations about his current failures. But he has not adapted to the current situation. He must learn certain elementary steps, such as to take profits on a short-term basis to build up his P&L and his confidence. He is forever being caught in the emotion of the moment and what might be viewed as unrealistic expectations fueled by his eagerness to make more profits rather than to make consistent small profits to build a track record.

COMPULSIVITY

Just as some baseball players compulsively swing at anything just to get on base and get over the anxiety of having to stand in the batter's box, some traders act too fast in an effort to get rid of their anxiety. They compulsively rush into trades too soon and rush out of them too soon as well. This rush to action as a way of dealing with stress is another problematic pattern that must be identified and handled in order to move toward greater trading mastery.

Case Study on Reacting Compulsively

Some analysts or portfolio managers are so diligent that they get information early and then compulsively get into trades too early, before the information has been disseminated to the Street and has begun to influence the price action. This was the case with Dennis. His familiarity with the companies in his sector often helped him to make analyses, estimates, and forecasts long before his perspective had relevance to the Street or before what he had anticipated came to fruition and influenced the price of stocks. Dennis was getting into positions before the information turned into actionable trades.

- Kiev:** An actionable idea is only actionable if the world is going to respond to it. Do you have a way of checking your views with sell-side

analysts to determine the relevance of your information to the Street and when the Street will respond.

Dennis: It makes total sense. I should be asking these questions. I am not taking it to that second step. I want to make sure my data is correct. I am trying to figure out why we are right and those guys are wrong, rather than when are those guys going to come over to our side and our way of thinking. It's a timing issue.

K: You have to build that into your analytic process.

D: I think there is a gut check that works, and sometimes I am kidding myself. A lot of times it is very casual. I think I know when someone can get scared away from trading a stock even though on some level I can't be sure. I don't check the trader feel. I rely more on the analytics, and then I am wrong for the first five trading days.

K: Get someone to check on that. There has to be more data that you could be mining. The actionable idea is actionable only to the extent that the world is going to respond to the information set that you are developing. Do you have a way of determining whether the world will respond to the data you have? Are you getting data on how others are thinking about your positions to assess the timing of your ideas?

The psychological and behavioral challenge for you is to learn to relax, to think through your ideas, to assess them in a larger context of the trading environment, and to consider how others are likely to interpret your ideas and when they are likely to act. You do not need to act so rapidly and compulsively to put positions on; you can wait until the ideas have ripened. This involves experience and is a mastery skill, which over time you can develop so that you can function with greater wisdom as, the master traders do.

Dennis was too eager to get involved and needed to become aware of the value of taking his time to gain more perspective before putting a trade on. In fact, over time, he became aware that his apparent ease of putting on a trade was in fact reflective of some compulsivity brought on by anxiety. He had to learn to relax and dig deeper to get more perspective on his ideas and only then take decisive action.

Compulsivity is often associated with other obstacles. So, I further explored Dennis's psychology and encountered another dimension of compulsiveness, which also reflected his basic underlying anxiety.

Dennis: I am still being swayed by that incremental piece of data, and it takes away from the core thesis and prevents me from playing as big as I should play. This is the theme of distractibility . . . being distracted by noise, daily fluctuations in stock prices, the P&L, etcetera.

Kiev: What are you doing to correct for this?

D: I have gotten a little bit better. I am not as focused on the P&L because this is like a fundamental period now, when people release earnings. I have a sense of what earnings should be. Now, you know, it's always like this kind of push and pull. When you are not losing money, you are making money. Then, when you are making money, why aren't we making more money? That's the kind of set I am in. Why are we not making more money, and what did we miss?

K: Are you missing it, or do you just not trust it when you have it?

D: I'm not missing it. I don't trust it when I have it.

K: What do you need to have to build your sense of trust? Do you need confirmation from some other angle? Or is there some other data you could get?

D: Maybe I need to do more work to determine why certain numbers are expected. Maybe I could have gone deeper and managed my time more efficiently. That's what I think, but right now I am covering a little too much space. This always happens during earnings season when you have seventeen companies a day that are reporting, and there are only twenty-four hours in a day.

K: So, you aren't digging deeply enough even though you often sense that there is something wrong with the numbers and that the company is not likely to meet expectations. As such, with a little more work, you can have the confidence to short more.

It may very well be that you have reached a level where you are too comfortable. Reaching the next level is going to take more work so that you can take more discomfort. It's like climbing mountains at twenty-five thousand feet where you are going to need oxygen. You have to start at a lower altitude and go higher gradually. What's it going to take to do that? What other work can you do to build your conviction?

D: I think it's going to take more work.

K: Do you know the kind of work you have to do?

D: I am going to focus on that this week.

K: What is missing? What can your team of analysts do? What more can you do? If you had unlimited resources, what would you do?

D: Let's increase the conviction levels.

K: You are not going to do that by prayer but by doing a little bit more work that is really focused. I mean, you probably don't have all the work.

D: No, you're right. We are short on time all the time.

K: So what would you focus on if you had the time and the staff? What would give you that extra bit of confidence?

D: I think it would probably require me to sit down with my analysts and take their work apart and see if I could find a flaw. That one last final

comment of telling them “why this idea is the worst idea I have ever heard” type of thing.

K: And get them to defend it?

D: Exactly! It's literally been more of a time constraint with so many companies reporting. I just said, “Look, let's just focus on the ones that we care about.”

I seemed to be pushing Dennis to get an answer, and he was taking some time to really catch on to what I was getting at. But finally, after repetitive questioning, he seemed to have gotten it, and this was demonstrated in the weeks and months afterward when he clearly began to push his team of analysts to question the validity of their theses and to find more supportive data for them.

Dennis didn't want to get bigger because the risk and the reward were equivalent. He didn't feel that justified getting bigger, even though in his heart he believed it was going up. He was playing cautiously and not doing the kinds of things he really knew he should be, which would raise the performance of his team of analysts. To get bigger, he needed to expose himself to more discomfort and overcome his inclination to be resistant to risk taking.

This failure to dig deeper, to gain more conviction, is consistent with Dennis's compulsive inclination to get into trades too soon. This is the easy way out. Putting on smaller positions enables him to be there without really making a high-conviction bet.

So, he is rushing into trades too fast and is also reluctant to do as much in-depth analysis as he needs to do to reach the level of conviction that will enable him to enlarge the size of his trades. These are perhaps two aspects of the same impetuous personality that makes him so good in his networking relationships with companies. He obviously needs to slow down his pace.

Mastery involves a willingness to stretch and to take on more risk in a well-controlled way. The purpose of this dialogue, therefore, is to encourage the compulsive trader to think about what more he can do to raise his level of conviction and what additional work he and his team can do to understand more about the stocks they are trading. Mastery is ultimately about learning from experience and continually upgrading the quality of work and stretching the performance to levels previously not considered or contemplated.

The key to much of this is the questions asked that push the envelope and lead the portfolio manager or trader to consider what is missing or

what more he or his team could do. From this dialogue comes change, a conversation for possibility and growth and ever expanding horizons.

MAGICAL THINKING

Anthropologists have long believed that a characteristic element of primitive thinking is the belief that a prescribed performance of a given event can affect the outcome of other events that seemingly have no connection with the first. For example, they may believe that the eating of a certain plant at a certain hour of a given day will ensure good crops for the following year. While we scoff readily at the “foolishness” of primitive people who don’t understand cause and effect, we employ structure and pattern in our own lives in much the same way, often with the same lack of awareness about what we are doing.

In fact, some people react to stress with an obsessive need to control events or the symbols of events in order to reduce anxiety, even though this has nothing to do with achieving the goal. Instead of focusing their attention on the clear-cut task at hand, they focus on some extraneous detail to which they have attached magical significance. It is another version of superstitious repetition and “the snare of preparation” that I discussed in Chapter 6.

Baseball players are especially known for this ritualistic inattention. Dick Stuart, the former major league slugger, always bit off a piece of gum of designated size and threw it on home plate before he stepped into the batter’s box. Other batters will hit the plate a certain number of times or hike up their socks before stepping into the box. The variety of rituals is endless.

While there is nothing inherently wrong with this kind of patterned behavior, the trouble arises when you stop thinking of these rituals as harmless tics and start believing that unless you perform them in the prescribed manner, you are setting yourself up for failure. For example, unless you get out of bed on the “right side” or get to work in Elevator Number 3, you will have a bad day.

Rituals can only be a symbolic addition to the real work needed for success. Too much focus on irrelevant details may interfere with performance by preventing involvement, rationalizing away poor performance, ignoring what is really going on in a trade, and/or creating an illusory feeling that you are in control when you are not.

By controlling anxiety through focusing on irrelevant details, you may stifle your intuitive skills and decrease your ability to adapt. Sometimes you

rationalize circular, obsessive ruminations as “strategic considerations” and delude yourself into thinking that you are doing something constructive. In fact, you need to learn to identify the defensive functions of any of these “magical” actions.

Remember that while the use of “special game plans” or “good luck charms” may reduce anxiety temporarily, the use of such measures eventually may lead you to neglect the skills that you actually have to perform in order to succeed at a given task. Magical thinking, in other words, is no substitute for a realistic appraisal of strategy.

Case Study on Magical Thinking

One purpose of visualization is to create a positive expectancy so that you can tune in to opportunities around you and be more available to data that support your viewpoint. Sometimes, this may even seem magical, as is suggested by the following dialogue with a trader who was getting value from his yoga instructor even though he was questioning the positive impact of this instruction on his trading success.

Nick: Others are doing better than we are, but my yoga instructor tells me not to worry, that we will make money back over the next week. It then seems to happen. Is there any predictive value in what he is saying? Is there a role of intention in influencing my trading? Does this guy have real power, or am I projecting something on to the trading?

Kiev: He reassures you.

N: How much does your intent matter in the market?

K: I would say your intent matters a lot.

N: From a mystical viewpoint?

K: Yes. It matters not in terms of influencing the market but in terms of receiving information. When you are in a meditative and confident state, you are more receptive to reading the signals in the marketplace. You are in tune with the market.

N: I am trading systems. I am not influencing the market. And he is not influencing my way of thinking. So how can my telling him that we are losing money be transformed into success?

K: Did you allow that encouragement to influence you to stay centered and relaxed and to trust your system and not violate your system?

N: I never violate my system. What is the power of prayer, and is it of any use?

K: It is not unrelated to my notion of commitment to a goal. I have an idea of how big you can get based on my experience in helping others to reach outsized targets. If you visualize a goal and commit to it and then

are helped by prayer and meditation to stay with your commitment, you can eventually realize your goals, especially if you design a strategy consistent with it. The limiting factor in all of this is belief, the concept you have, as to what is possible.

It is an affirmation that there is nothing wrong with your thinking. You have to stay the course. This is the power of meditation and visualization. You have to stay the course and keep building the model that is consistent with the goals. You build the model that accommodates that large number. I see prayer and meditation as tools in line with the commitment to the vision to enable you to find the needles in the haystack. You are implementing a methodology that is consistent with what I am saying.

N: That makes sense. Use the vision as a magnet for the material aspect of the vision. Without changing the systems, after talking to my instructor, somehow we make money.

K: I think the value of his intention is in influencing your intuition so that *you* can see things, can ride through the pain, to have faith and courage in the face of difficulties.

(I followed up with Nick six months later to explore further the impact of his discussions with his yogi. He continued to benefit from the interaction but gained some further insight as to why it was helpful. I asked him what had happened since we talked and what further thoughts he had about it.)

N: While I previously wondered whether the power of prayer was actually influencing events, I now see that my contact with the yogi has impact because of its influence on my own thinking.

K: How does it help?

N: Talking to him helps me focus on the longer-term perspective and to ride out the bottoms of my trades. I call him at moments when I feel like giving up, and those moments are generally turnaround points for selected stocks going down. In fact, I would say my “give up” points are system bottoms.

Clearly, after much thought, Nick was ready to admit that instead of some magical influence, it was actually his inclination to call the yogi whenever he was getting nervous that led to enough reassurance to keep him in the markets just as his system was bottoming and the market was turning around in his favor. While Nick wasn’t inclined to violate the rules of his automatic trading system, he did at times feel like panicking out, and the reassurance kept him in. A slight bit of encouragement was enough to keep him balanced and willing to continue to invest in his previously established trading system.

This conversation has some broad value insofar as it underscores the kinds of support that are available from a variety of methodologies. In a sense the content of the support program may be less important than the fact that it serves to build up a set of positive expectations that set in motion a positive self-fulfilling prophecy. The trader who believes that he is getting support and encouragement to believe in himself begins to act in a more proactive way and starts trusting his intuition more. At times, the belief that you are being supported and the confidence you gain from that has more value than any specific instructions that someone gives you.

REACTING TO STRESS

Many of the obstacles outlined in this chapter are a result of the stress and the fear associated with reliving prior experiences. These reactions, although they have no real bearing on the immediate situation, add to your anxiety and uncertainty in terms of how you perceive the present situation. Overwhelmed by such fears, you may regress and become like a frightened and paralyzed child who feels incapable of taking charge of the situation. This reaction is self-propelling. When you begin to feel overwhelmed by a situation, you may begin to rely even more on old, maladaptive ways of adjusting, which may make it even more difficult for you to relax and excel.

As you experience stress, your internal programming starts demanding perfection and success. This puts additional pressure on you. Then, as fears and misperceptions from the past intrude on consciousness and interfere with the clear apprehension of a situation, the present becomes a symbolic battlefield of past experiences. When you react habitually, the reactivation of old memories flood your consciousness and get in the way of your full adaptation to the situation at hand.

Stress interferes with your capacity to bring to bear in the present all that you have learned in preparing for the event. You perceive the present situation in terms of past perceptions and act accordingly, not in terms of perceptions relating to the activities at hand. It is particularly difficult during such times to understand what is going on and to stand back long enough to understand how stress is producing this regression.

This “stuck in the past” syndrome sometimes borders on panic. It can lead you to focus on past failures and feelings of inadequacy that magnify the obstacles before you. You may be exaggeratedly fearful of failure, may anticipate ridicule or rejection, and may begin to act as if failure is inevitable. Negative expectations generated in the past set in motion a self-fulfilling prophecy that often brings about the feared result. In extreme cases, you may even become absorbed in fantasies of disaster, lose sight of

your goals, and become totally confused. You may forget how to relax under pressure, and you may continue to feel uncomfortable until you discover a new way of adapting.

Under stress, you are also likely to give up too soon and to kaleidoscope information in such a way as to be unable to accurately evaluate situations before you. You may have difficulty relying effectively on your own resources to work out the best strategy for dealing with a particular situation. You are likely to feel anxious and frightened, and you might be inclined to exaggerate your weaknesses, targeting all your attention on problems rather than on solutions. You may also lose emotional control and tend to freeze in high-pressure situations.

Being aware of the helplessness associated with stress sometimes leads to an intensification of the helplessness, a lack of energy, an impulse to end the activity, and sometimes to expressions of anger. This is all intensified by such factors as physical symptoms of depression and hypochondriac concerns about your health, as well as fatigue, fear of injury, and proximity to the goal. When stress leads to one or more of these problems, you can experience anxiety, panic, and a decrease in the ability to concentrate. You may become more distractible by the noises around you, which leads to an increased risk of error, paralysis, confusion, and a variety of other discomforting physical symptoms. All of these things can be intensified by the unwelcome burden of the past.

The obstacles discussed in this chapter can intensify the difficulties associated with stress. In particular, perfectionism, avoidance/denial, magical thinking, accepting the odds, and habitual patterns of response built on past failures can make it easy for you to lose sight of your goals and can undermine your own preparation. But how do you get beyond this? How can you adapt to stress better? How do you develop mastery?

Efforts to solve a problem by willpower, by manipulation of others, or by doing more or less of something tend to inhibit your vision and produce more oscillation between solving and not solving. Your efforts seem to be solving the problem, but, in fact, they are avoiding the larger issue of reframing the problem in terms of the vision and then doing what it takes to produce it. Focusing on symptoms does not solve the problem.

Mastery is a proactive view of stress as an opportunity to test yourself and to maneuver past many of the obstacles that may occur in subsequent events. By mastering stress, you gain a much greater confidence and ability to perform.

To reach mastery, you have to notice and relinquish any negative notions about yourself, which take you out of the game. It is worth nothing that far too often people think it is a positive thing to be self-critical and that it is virtuous to be negative about yourself. In fact, the masterful thing is to be positive about yourself and to learn from your mistakes.

If you make mistakes repeatedly, it is worthwhile to consider to what extent you are invested in the negativity. It is possible, using a positive approach, to reframe past experiences. You may have had some trades that were negative experiences, or you may remember certain events in your life that were negative. It is possible to review these experiences from a new, more positive light from a framework of mastery so you can begin to see the past and the future in a more empowered way.

Just remember, the master trader doesn't define himself by obstacles or losses. He learns from his experiences. As I have continually pointed out in this book, the master continues to view his experiences in relation to his pursuit of the goal. He continues to ask himself what he is missing to complete his strategy. He keeps doing what it will take to produce results consistent with his larger, expanded vision. He chooses to learn from obstacles.

Coming from abundance, thinking positively about yourself, and granting yourself the freedom to become all that you can be are hallmarks of mastery. So, it is incumbent on you to recognize that there is a master trader within yourself even if you are not yet there.

PART FOUR

What Comes Next?

CHAPTER 9

Making the Commitment, Taking the Risks

Until Roger Bannister broke the invisible barrier by running a mile in less than four minutes, no one believed it was possible. In his book, *The Four-Minute Mile* (Lyons Press, 1981) Bannister observed that it had become “rather like an Everest—a challenge to the human spirit. It was a barrier that seemed to defy all attempts to break it—an awesome reminder that man’s striving might be in vain” (p. 188).

When Bannister ran the first four-minute mile on May 6, 1954, that belief immediately changed. Once the obstacle had been conquered, the notion of possibility was dramatically extended. Breaking the four-minute mile was no longer a vain, exaggerated dream but a goal that could be reached by a runner capable of overcoming the pain, adversity, and anxiety involved. After Bannister’s feat, the event itself became suddenly relatively easy. Within 25 years, several hundred runners had run sub-four-minute miles. Nothing could more vividly depict the power of belief in a favorable outcome to produce a result that for so long had eluded the runners of the world.

COMMITMENT—THE KEY ATTITUDE

The pivotal attitude needed to reach mastery is commitment. As Bannister demonstrated, commitment entails a willingness to choose a vision and then to take action in the world consistent with the vision.

Commitment is an example of what Joe Greenstein, known as the

“Mighty Atom,” called “impossibility thinking.” Greenstein was a famous performer in the early years of the twentieth century who believed you could do almost anything if you applied your mind and body to the task with enough diligence. The Mighty Atom frequently demonstrated the power of his mind and muscle over matter. At 145 pounds, he competed in fears of strength against men weighing 350 pounds; he pulled a 32-ton-truck with his hair; he held back a roaring airplane going at full power.

How did he do it? Greenstein believed in a “Life Force” that we all have but fail to activate because we think “impossible thoughts” from the time we’re born. We are constantly thinking, “I can’t do that; I’ll hurt myself.” According to Greenstein, the little voice in you—that instinct for preservation—does not give you an accurate picture of your capabilities. We all have abilities beyond our own estimation; but to realize them, the mind must be deconditioned from “impossibility thinking.” Only then does it become possible to do what you will. (Ed Spielman, *The Spiritual Journey of Joseph L. Greenstein: The Mighty Atom* (Viking Press, 1979).)

By establishing a vision, you have promised to achieve something. The promise means you are giving yourself permission to begin to act in the realm of the impossible, to create all kinds of openings. In that one promise, you begin to abandon self-doubt and the need for approval. You announce that you plan to act in the world in terms of your own dreams. This way of being in the world lets loose huge reserves of energy and creates enormous possibilities. Yet none of this can happen until you take the first step forward in pursuit of a goal with no guarantee of outcome.

I am not suggesting that you pull a 32-ton truck with your hair. Nor am I saying you should stand in front of a mirror and repeat the phrase “I can leap buildings with a single bound” 50 times each morning. What I am saying is, armed with new, positive images of your goal, you can train your attention on those goals that you might have found impossible to believe beforehand. Once you discover that you can influence events by shifting your thoughts away from old ideas of the past and toward ones you believe in, you not only can commit to your new objectives, but you can live by your resolve. You are able now to engage in the step-by-step processes that are necessary for producing the results you want.

If you focus on an outcome, whether it be running a four-minute mile, pulling trucks with your hair, or reaching a certain level of profitability every month, you’re concentrating on the wrong thing and are likely to become discouraged and give up a lot sooner. What I’m urging you to do is to focus on what *actions* you can take immediately before you, all the while keeping the end result in mind.

To function in the realm of commitment, you must become comfortable with knowing that you can operate without certainty. The master trader is very committed to the future, in that he knows where he wants to

be, yet he operates in the here and now. He knows that he is swimming in a sea of uncertainty, and he is willing to recognize when he needs to get out of the water and when he needs to remain in it. Emerson wrote of some dimension of yourself that flows effortlessly and without friction.

When you commit, you transcend your concerns, your self-image, and your need to “look good.” You begin to be in the world in a more authentic way as soon as you commit, without evidence or proof, merely because you have the courage to be who you are and to become what you are capable of becoming. You allow the present to unfold without knowing how, to live in a realm of uncertainty where nothing is known beforehand, in line with the Sanskrit wisdom “He who knows that he doesn’t know, knows.”

When you are committed, the trading world will look differently, since at this level you are always arriving at a new place, always seeing something that wasn’t there before. Each day, you have an opportunity to further extend the expression of your personal power and creative mastery.

Once you have committed to a goal, you determine what you can do on a daily basis to reach that goal, and then begin moving toward it. You are drawn into the future by the objective until you are functioning quite outside and beyond your own self-doubts.

That’s what I’m trying to convey when I say your life is immediately before you. You cannot dwell on yesterday, nor can you gaze far ahead into a future that you cannot attain and that looks so unreachable that you are left with feelings of inadequacy. The only thing you have are the immediate events before you.

You need to concentrate on selecting the tasks, building the key team, doing the work to get the flywheel moving and to ultimately produce the result. Concentration is a phase in building your strategy so that you can move toward the goal. It deals with shorter-term steps, more-discrete decisions. Commitment is a steady, longer-term progression. Your commitment lets you be fearless in the face of obstacles and enables you to turn obstacles into opportunities. It’s like the electric field in which you’re operating that conducts your energy and allows you to bypass your concerns and anxieties. The energy comes from being focused on the steps in front of you today that are related to the future vision and from allowing the laws of the universe to work to support you.

Commitment supports your creative vision—an expanded vision you have of yourself, something bigger and greater than your identity—to make a difference in the world or to look for opportunities to support others. This vision may not even appear to make sense at first, other than that you are drawn to it and get energy from it. It may be a larger-than-life context or project or cause that can frame your life and provide new meaning far beyond the petty pace of your everyday concerns.

Commitment to a future vision does not look like an answer or a solu-

tion to your problems. Rather it is a new design for your life, a unique design that will lead you to tap into your unexpressed human potential. If you commit to this larger vision you create a space for opportunity. Events start happening in your life that you previously might not have contemplated. In that space, in that new context, lies personal growth, room for incredible performance. It is a psychological express lane where you can bypass habits and routine and create a new reality, a fresh set of responses.

WHAT DO YOU LOOK LIKE WHEN YOU ARE COMMITTED?

Most people are unfamiliar, and thus initially uncomfortable, with the concept of commitment to the unknown. Very little of our normal vocabulary deals with this phenomenon. Therefore, I'd like to spend some time exploring it: How can you tell when you are committed? What are you able to do that you cannot do ordinarily?

To begin with, when you are living out of commitment, you awaken each morning with single-minded purpose, which gives you a sense of direction and forward motion. As you carry out your tasks, you have a greater capacity to persist even when the odds seem against you or when you encounter resistance to change in yourself and others. You can let go of the need to preserve your image and can risk internal chaos without slipping back into the status quo ante.

Whatever kind of commitment you have made, you are able to continually adjust and not slip back into old ways of behaving. You can recognize when you are veering from the goal and slipping back into routine modes of acting and when you are responding to the resistance of the people around you. As you begin to live out of your commitment, you become revitalized. The results you produce can be astonishing—the equivalent of the Mighty Atom holding back an airplane. Moreover, creating positive responses in those around you can also add exponentially to the achievement of your vision. You and others feel the difference that living from the center makes. You are less likely to be envious of others and less concerned about your past achievements to justify yourself or prove your adequacy. You can make your stand in the face of uncertainty with the knowledge that you will master the situation and accomplish your goals because you were able to do so before.

Stan, a portfolio manager I worked with, is a model of what commitment looks like in a trader. Once he envisioned what numbers he wanted to reach, he began to make dramatic changes in his office and started to share his objectives with others.

"I feel excited, stressed, scared—and can't stop thinking about the office," Stan said at one stage. "I begin to see that the incredible things you speak of are possible and I want to move forward, but I am very uncomfortable. How can I get rid of this stressed feeling?"

My answer was that maybe the stress isn't from the work. "Maybe it's from your holding back and not saying what you want. Maybe you aren't telling people what you want because you are afraid of their reaction. So you feel excitement because things are beginning to move, but you feel stressed and frustrated because you are not completely honest and direct. What's missing is the complete expression of self."

As Stan discovered, it's exhilarating to step out and make something happen. Do you recall what it felt like when you passed an important test in school, finished your first semester in college, made your first successful trade? When you have made something happen, you see how exciting life gets as you keep expanding your horizons, as you keep raising the stakes of the challenge for yourself.

This is when you can begin to be comfortable with anxiety. If, like Stan, you experience anxiety, the feeling is not something from which to flee but a reflection of the fact that you are on the cutting edge of your life. You keep facing the unknown and then devising new responses to events as they come up. All the while, you resist the compulsion to revert to one of your defensive responses out of a need to protect yourself from fear. Until you really start acting on your commitment, you live in a realm of concepts from the past. In that realm, your imagination takes over, distorting anticipated events with old ideas that let those defensive reactions such as avoidance, rationalization, and denial slide into your consciousness. You know you're on the new track, not the old, when you create an entirely unanticipated experience. It's novel because it's based solely on your actions and what is possible in the realm of action and experience.

Once you're committed, you set in motion a whole train of events based on nothing but your decision to act. In this way, you carve out an opening for action simply by committing, with no certainty about the outcome, only a sense of what it is that you are going to do and what it is that you want to happen.

Most of us tend to react negatively to poor results. This only serves to intensify distress. A more appropriate response is to accept the results as reflective of what is, without becoming too attached to them. This is a more personally empowering approach that enables you to sustain momentum in the face of both success and failure. Otherwise, you can easily be thrown off track. The model of future fulfillment covers up the feeling "I'm not okay" so when you achieve the goal you may feel don't deserve it.

What if you were already okay? What if you were, in fact, already the person you wanted to be some day? Could you live in the world as if you al-

ready were the person you wanted to become? What would that mean? How would it look?

Can you go right to your center and start living in the world in as powerful and effective way as is possible? I believe you can. Indeed, if you start living in the world creatively in terms of your vision, your orientation will shift and you will begin to be empowered.

The expressions in the box blow are shorthand for the path to commitment. If you are a list maker, you might want to copy them onto a card that you can put in your wallet so when you hit a rough patch, you can refer to them as a kind of mantra.

A LIST OF COMMITMENT REMINDERS

- Stop trying to look like you have it together.
 - Don't attempt to control things.
 - Accept your discomfort.
 - Focus on your efforts.
 - Live in terms of your efforts, and results will follow.
 - Stop worrying about results, outcomes, critics.
 - Keep working on your projects.
 - Produce one project after another.
 - Finish one project, then begin on the next.
 - Avoid attitudes of angry, dependent people.
 - Stay active despite anxiety, which doesn't mean anything.
 - "Just do it"; just keep working.
-

SAYING GOODBYE TO THE FAMILIAR

It takes commitment to let go of the controls and to allow yourself to act spontaneously, relying basically on your instincts. Your commitment enables you to function without trying to force your actions or to obtain specific results. This is especially true as you get close to your objectives, since that's when you are likely to become anxious about the outcome. It requires commitment to keep calm in pressure situations. You'll need a strong belief in your vision, too, as fatigue begins to erode motivation and impinge on your concentration.

Commitment does not mean blind fury or unnecessary risk taking. And

it most certainly does not mean pursuit of routine objectives with little effort or little possible loss. You need to consciously choose a larger goal based on faith. Ask yourself how ready you are to accept responsibility for actively shaping your life through the vehicle of projects, commitments, or goals.

As you might already have found, it's not easy to say goodbye to old thinking. Your defense system may seem to you a bit like a security blanket—a familiar, comforting relic of childhood. It is so much a part of who you are that you may not even distinguish it as a reaction that can be modified. Moreover, to let go of the familiar—to throw away the blanket—in favor of being in the world with uncertainty and insecurity takes not just courage but also self-acceptance.

Ultimately, the change hinges on your willingness to stretch yourself. It won't come from other people, nor will it come from simply wanting it to happen. It will only come if you make the necessary effort to move past your own stopping points—and then keep going in the face of failure and defeat. You'll need to call on all your inner strength to be able to sustain momentum. What's more, you will need to practice self-monitoring.

HOW TO MONITOR YOURSELF

Make a conscious effort daily to review your commitment to your vision. This helps you detect signs that you might be slipping back or trying to manage yourself and others by manipulation rather than by staying focused.

Awareness of the obstacles that you create when you begin to encounter frustration and failure or when you begin to overreact and hit the “negative” button will help you to ride out the desire to retreat as you get nearer to your goal. Habitual reactions are like weeds; they tend to spring up when you're not keeping a watchful eye on your garden, or, in this case, your goals. By confronting resistance from the past, by plucking out those weeds, you develop new habits, new ways to live out of your commitment.

Self-monitoring can be simply spending a few minutes at the start of each day thinking about how you might trade in reaction to daily events. You might jot ideas down in a diary or program them into a trading platform. It may be troubling to observe your own resistance, but do it anyway.

From observing your thoughts in these self-monitoring sessions, you will develop a larger frame of reference. You may soon discover that the opportunity for growth is greatest in the face of resistance and that on the

other side of resistance or breakdown is a breakthrough. As you learn to do this, you will be increasingly able to accept breakdown and resistance, not as something to avoid, deny, or cover up but as part and parcel of life.

Why, you may ask, should you monitor yourself, or confront your inner resistance? Why change your style now and measure the tangible results of your efforts? The answer to these questions is simple. When you commit to a vision—even one that appears impossible at first—you come face-to-face with your own internal stop signs. You unveil all those attitudes of negativity that keep you from becoming a master trader. In other words, you face all the elements that prevent you from transforming the commitment into a reality.

When you can stare down those negative dimensions of yourself and others and still love them, you enter into a realm of miraculous achievement, of Olympic gold, of the Holy Grail.

APPROACHING THE GOAL

Since you are not accustomed to this strange new realm of commitment, it's common to tense up, to slow down, and to interfere with the effort needed to produce concrete results, particularly as you get close to your goal. Look at how Barry Bonds's slugging slowed down in the days before he reached the 660 career-home-run total of his godfather, Willie Mays. According to newspaper accounts, it took Bond five games between 659 and 660—"a relative drought" for him. Bonds was quoted as saying: "I was hitting them out this year, and then when I got to 600 and 610, I started changing my approach at the plate. Like let's do something different. I was trying to hit balls into the ground."

The tension is temporary. Once Bonds hit that 660th home run, it was clear he had overcome his stopping point. His hitting accelerated from that day onward. "It was like a weight was just lifted off my shoulders," Bonds said after tying Mays at 660. You can learn to relax when you feel that same kind of anxiety and thus control both the urge to succeed and the inhibiting inner voice that demands perfection. The exercises in centering, visualizing, and concentrating do work. So does self-monitoring.

Conversely, there's always the chance that you will do better than you expect as you approach your goal, and that can make you afraid of subsequently disappointing yourself. But you can't rest on your laurels. Repeated success usually goes to those who have learned to focus on improving, rather than to those who make an all-out effort on one occasion and then plateau. Mastery means putting out maximum effort every time. This is another reason to focus on the quality of your efforts, not on whether you win or lose.

Still another obstacle is envy—a concern for what others are doing. Here is where it becomes critical to be open, to look for opportunities to do the best that *you* can. As George Sheehan, the philosopher of road running, wrote in his book: “What I do is for me, no one else. In a race, my performance is my concern, not yours. I wish you well. In fact, the better you do, the better I will do as well. . . . Competition is simply each of us seeking our absolute best with the help of each other. What we do magnifies each other, inspires each of us.” (George Sheehan, *The Running Life*, Simon & Schuster, 1980)

It is important to remember that commitment means living by your word. Warning against giving up in the last stages of a race, Sheehan wrote: “It is the oath that makes the difference. It makes me resist the tendency to cheat on myself, to trim the least bit, to slow down before the finish. . . . When along with everyone else I am wondering why, I remember I have given my word of honor.” (Sheehan, pp. 240–241)

PATIENCE AND PACING

Many traders are so dependent on gaining approval for reaching their goals that they cannot tolerate the pain of failure and may even fall prey to depression if they don’t succeed.

You may have an excessive need to excel to prove you are worthwhile. If so, you are likely to get caught in the vicious cycle of trying to look good from your successes, which makes you a prisoner of your automatic thinking. Because you may feel even worse if you lose, you can unconsciously be drawn to lose again as a form of self-punishment.

This pattern shows up for everyone who is run by a need to look successful rather than by the challenge of living in the realm of commitment. Keep in mind that any goal is merely designed to help you to tap your hidden potential. It has no inherent meaning in and of itself. As Nick the Greek, a famous gambler once said, “The next best thing to gambling and winning is gambling and losing.”

In time, you will become familiar with the feelings of failure, know how long they last, and recognize that they eventually will diminish. Slowly, perhaps, you’ll teach yourself not to give them much credence. The feelings are a natural accompaniment of being in committed action. Recognize that being upset over losing is really a reflection of your old ways of thinking. This awareness is important so that you don’t shun the effort to succeed in order to avoid such negative thoughts. Instead of trying to justify your mistakes or pulling back, you need to find ways to continually tweak your methods.

Case Study on How to React to a Breakdown

Here is a discussion that focuses directly on reacting to a failure or a breakdown. This trader makes an effort to improve aspects of his trading that can benefit from continued tweaking. In this dialogue, I talk to a trader named Donald about building momentum. I explore with him ways in which he takes himself out of the action by too eagerly getting out of his winners instead of building momentum by adding to his winning positions. I discuss how his trading can benefit from continued tweaking.

Kiev: Another component of mastery is containing the inclination to beat yourself after you are out of a position. That's usually seller's remorse. It's good to be critical of yourself when you have done something wrong. It is something good to learn, but it shouldn't be a focus.

Donald: You can buy it back today. So what's the big deal, right?

K: The moment you catch yourself going into a song-and-dance routine, notice it and stop it. It's a behavioral routine that has been programmed into your response patterns earlier in your life and is now interfering with your trading. You have to recognize it and stop it.

D: Right. That's where I have one of my big problems. I see the short that I should have sold on Thursday go up twenty percent. How do I *not* react to that?

K: Recognize that when you start to act that way, you are taking yourself out of the game. It is better to get back into the trade if you think it still has legs. You really lost faith in the possibility of succeeding, and you need to be single-minded in focusing on it. When recovering momentum, there is no place for that kind of thinking.

D: I think that's the only thing limiting me in my trading. It's a shtick. I know it is, but how do I not think that way?

K: You notice your thoughts. Then you take a deep breath and get back on focus. Keep doing it until it becomes a routine.

D: It's an act.

K: Your behavior is learned. It feels real, but it's debilitating.

D: I can't make the next decision because I think I have already missed it.

K: Right. You have to take a deep breath and start focusing on the next pitch in order to regain the momentum.

D: When you say it like that, it makes a lot of sense.

K: All that matters is that you're in the game and building on your successes.

Donald is beginning to see how his self-recriminations for getting out of a trade too soon only serve to keep him from maximizing his performance. While it is useful to review your past mistakes to improve the quality of your trading, there is no virtue in excessive chest beating. The development of mastery comes when you can become aware of how such limiting concepts distort your perceptions and decrease your chances of success. Seeing this, you will be motivated to catch yourself at the moment these thoughts become too distracting or influence your behavior. Then you can put in play new behaviors. These course corrections build commitment and nudge your concentration back into the present moment.

Patience really is a virtue as you approach your goals. You will need to pace yourself, remain centered, and function at optimal capacity when you near the finish line.

The opposite of patience—racing until you are out of control—is undoubtedly familiar to you. You may feel like picking up the pace, but the danger is that you will fly beyond controls you have put in place. If you are good at self-monitoring, you know that this is the spot where you need to slow down in order to install new procedures to handle your increased output.

Another danger awaits when you come up with an idea so exciting that it spawns still more ideas, until you are going in all kinds of directions without recognizing that each project or idea must progress through carefully thought-out phases.

The first phase is formulating the vision that puts a plan into action. In trading, this phase usually takes a lot longer than you calculated. This phase calls for a lot of input with only little output, at the beginning. In the first phase, you have to watch out that the planning doesn't create grandiosity and distractibility. You have to be patient with how little you have to show for your efforts. You have to be mindful of Murphy's Law—whatever can go wrong will go wrong.

The second phase is developing a blueprint with milestones so that you can measure your progress along the way. Beyond that, you need to keep devising newer versions of the blueprint as you make more distinctions and understand more about the process.

If you try to grow too fast, you may outdistance those with whom you are working and that presages trouble. It takes time to find analysts whom you can train to give you the analyses you need. You have to be clear in spelling out to the new people who come on board what is expected. When you don't, you may blow up at them, then back off and tolerate too much independence.

There are subtleties in leading people, pointing out what you want, giving reinforcement for good work, and criticizing bad or irrelevant work. Pacing enables you and your team to monitor anxiety, to overcome the tendency to restrain yourself, to slow down to avoid peaking too soon, to delay fatigue, and to sustain motivation when fatigue does set in.

Master traders have the patience to allow themselves and those who work with them the time to complete the gathering of the data they need. They can wait milliseconds before impulsively acting. Patience involves knowing when to act and then acting with the self-assurance that you are going to be on target. When you are feeling confident, you can reach into yourself to find extra energy and enthusiasm to achieve your goal. The bedrock of effort is your poise in staying focused long enough to complete the total action.

This requires experience and practice. You cannot develop confidence simply by thinking positively. You must actually think of what to do, and know how to do it. Once you know what to do, you can learn to delay your responses until the time is right. Pacing means building slowly—not pushing yourself beyond your limits, but keeping a steady tempo.

When you commit to a vision, you experience the world as intense and immediate. You bring more vitality and energy to bear in any given moment. You are less plagued by concerns about the past or future “what ifs” that might deplete you rather than nourish you. In this realm of action, your days will be more filled and time will stretch out.

However, this is a continuous process—a marathon, not a sprint. As you trade in a more committed way, you increasingly choose not to be run by your self-protective patterns of thought and behavior. More will be happening during each day, so you will probably also have more anxiety and perhaps even pain and discomfort. After all, your approach is not the same as it was before. It will be full of changes, and you will have a greater sense of options.

CREATIVE THINKING AND RISK

As your sense of mastery progresses, you'll get used to the idea that you cannot know what the future will bring nor what you can create in the future. Yet, as I have said throughout this book, there is power in creating from the future. You become an artist, building a context and then responding to events imaginatively, creating the path as you move toward your vision. As the German mathematician Karl Friedrich Gauss said, “I have had my solutions for a long time, but I do not yet know how I am to arrive at them.”

Creative thinking is Einstein's formula $E = MC^2$, which he devised long before he had done the necessary mathematics to prove his theory. Creative thinking moves you into an uncharted future, based on your willingness to take a risk.

Are you ready to give up playing it safe? Ready to tap a potential within yourself? Ready to scrap your worn-out rationalizations? If your answer to such questions is yes, you are ready to face a new set of risks.

Risk Number One: Uneasiness When Living "in the Gap"

There's no denying it: Living in the gap makes you vulnerable. Once you're out there, on the cutting edge, you'll suffer breakdowns as well as breakthroughs. Although it will not always be comfortable, living in the gap between where you are and where you want to be will make your days far more interesting and action packed than if you traded with the intention of avoiding pain and discomfort.

As you work toward goals consistent with your vision, you come face-to-face with unresolved issues from the past. They never completely recede. They keep surfacing in the form of resistance. The more risks you take, the more you are likely to bump up against such resistance. You are also likely to become more attentive to other areas in your life where you are not committed, and you may begin to look back over the past with regret that you could have accomplished more if you had only known what you know now.

These are all variations of your automatic thinking. Notice these self-critical thoughts and move on. Be prepared, too, to incur a new variant of anxiety. It is a natural precursor of conscious action, triggered by living in the gap between your vision of the future and where you are now.

The fact is that anxiety is part of life. When you can learn not to over-react to it and not to interpret it as something bad, then your anxious feelings become similar to the feelings of excitement. *It is the same adrenaline response.* The only difference is the interpretation—you begin to say to yourself, "This is exciting and good," instead of, "Uh-oh, this is frightening and bad."

Risk Number Two: Speaking the Truth

Perhaps the most powerful tool available to you once you are committed is to speak the truth. I mean this not just figuratively but also literally—whether you speak it out loud or softly, to your loved ones, friends, business associates, or strangers.

It can be simple to speak the truth, but that does not mean it is effortless. You have to risk showing the world who you really are, despite your nervousness about the dangers of doing so.

You take a risk when you say what you want to accomplish and when you acknowledge your anxiety. But when you do, you enter the immediacy of the moment. Sharing your pain, distress, dreams, and wishes with others without holding back can be incredibly revitalizing. It's a critical step in dismantling the idea that something bad will happen if you open up.

To speak the truth means placing your trust in the world without certainty of the responses of others. It means you are attempting to create the future from nothing, rather than backpedaling into a rerun of your past.

Risk Number Three: The “Empty” Feeling

When you speak the truth and live in the “now,” you experience a peculiar dimension of being that may startle you at first. All of a sudden, you may feel intensely involved in the moment, in such a way that your perception of the world will seem strange.

When you feel “strange and empty,” you may be tempted to think: “Something is wrong.” Don’t be surprised by this. Your uneasiness is nothing more than the recurring intrusion of the automatic thinking, which is still making judgments about your experience. The difference is that the longer you live at risk, the easier it will be to notice those intrusions and to discard them. You will get more adept at staying with the present.

At the end of this chapter is a checklist of attitudes that form the philosophical basis for living at risk, living in the “now.” I have covered them earlier; the summary is simply a refresher course.

Living at risk is equivalent to the Buddhist concept of nirvana, a psychological state of mind where there is no fear or desire, making it possible to live in the world with all its sorrow and suffering. From the state of nirvana, Buddhists recognize and accept suffering as an aspect of life. In the acceptance of pain comes the capacity to transcend it.

Imagine what it will be like once you subscribe to the notion that you are at the source of all that happens to you, that you are the owner of your actions, and that nothing occurs without good reason, although you might not have any idea of what those reasons are.

If you can do this, you become a master trader and, indeed, master of your life, since all you have to do is deal with what comes up. This is very much akin to Nietzsche’s concept of *amor fati* (“love of your fate”)—the idea of declining to say “no” to a single aspect of your life lest you unravel your whole life. According to Joseph Campbell’s *The Power of Myth* (with Bill Moyers, Doubleday, 1988), the more challenging the situation to be affirmed, the greater the stature of the person who can assimilate it. “The

demon that you can swallow gives you its power, and the greater life's pain, the greater life's reply." (p. 161)

Indeed, when you live at risk, you enter the state of mind sought after by all mystical activities—the state of “no mind.” It is a state of emptiness that I mentioned earlier, a stillness from which all is created.

When you live at risk, you give up your ego and begin to live your life in terms of your visions and commitments. In effect, it means to live out of your potentiality (what Jesus called the Kingdom of Heaven within you) not in terms of your own self-centered concerns. You are in touch with your pure potential for becoming, which is beyond what is known. Being at risk revolves around change—becoming what you are capable of becoming.

Risk Number Four: Asserting Yourself

To live at risk, you need to get rid of your feelings of guilt about assertiveness. You can do this by concentrating on the details of specific activities instead of your speculating about the responses of others.

Assertiveness is a natural expression of energy, stripped of constraints or dependence on others. To be assertive, you must overcome not just worrying about the approval of others but ignoring the restrictions you place on self-expression. The upside is that as you shed your self-criticism, you let loose an extra amount of confidence in your ability to master enormous obstacles.

Nervousness about asserting yourself may lurk in the back of your mind. You may, for example, pay lip service to winning, but you may not dare to put in the requisite effort to win. This inhibition is usually articulated in phrases such as “Try hard, but don't look like you're trying too hard”; “Don't be a grind”; “Be well-rounded.” The hidden message here is that you shouldn't verbalize your intention of winning. The deleterious effects that this can have on risk are obvious.

Practice expressing your opinions. If you used to view yourself as an uncommunicative person, you can take a step forward by asking for more data or by stating your requirements whenever you think someone isn't working hard enough, even if this seems out of character for you. Are you afraid you will offend someone? Do it anyway. You will learn that people are interested in hearing what you have to say, and communication gives you an opportunity to move toward the cutting edge. Questioning is one of the most common steps in the direction of assertiveness.

More to the point, you have to learn to act at risk without fear of the consequences, and without certainty. Our culture emphasizes winning, not 100 percent participation. Winning is an interpretation that unfortunately is so highly valued that it has become an end in itself. It leads people to avoid participation for fear of losing or of looking bad.

I have stated repeatedly that the key is to live and play at 100 percent capability. As I hope I've made clear, the object of playing the game is not so much winning as it is playing all-out. If you play to avoid losing, you are likely to play small and will not get the full value of the experience nor detect the dimensions of yourself that are going untapped. Playing at 100 percent produces a centered state and links you to other participants; 100 percent gives you a chance to break through whatever it is that is holding you back. The bigger the vision, the greater is the opportunity to stretch past the constraints you think you need to maintain a certain image. The greater the challenge, the more likely you will produce results beyond expectations.

Yes, it is possible to play so that *everyone* wins—or no one wins. Win-win strategies teach cooperation rather than competition. The real task is to keep advancing toward new challenges in the arena you have chosen. Although as a human being you are likely to want to keep slipping back into the same self-protective routines, as long as you live in terms of a larger vision, you will be able to stay out there, on the edge.

Risk Number Five: Dispensing with Your Withholding “Social Self”

To live at risk means to reveal your true identity. You need to remove your private mask, which keeps you separate from others. To do this, you must let go of what you are withholding, what you believe is your “identity,” the “social” self I talked about earlier.

Withholding supports the illusory notion of a “social” self and keeps you behaving in a way that preserves that part of you, rather than permitting you to live at the cutting edge. On the one hand, the more you withhold, the more hostile the world appears and the more inclined you are to continue to withhold in order to protect yourself from the imagined consequences of being open. On the other hand, the more you share yourself openly, the more accepting and loving the world becomes.

Since much of what you are withholding is unconscious, you can only get at the withholds indirectly. You can start by making a list of all the things in your life that you regret, beginning as far back as you can go. I realize this is a tall order; but I promise you, it will be worthwhile. Ask yourself what specific events or actions you regret and see if you can discern patterns: Do you consistently hold back, try to avoid failure, take the easy way out, tell “white” lies, compromise, or fail to speak up for what you believe?

Now it's time to draw up a list that may upset you even more. Write down all the people and experiences in your life toward whom you still har-

bor resentments. Consider which ones you are still holding on to and which may be causing emotional distress for you.

It may be very useful to review the actual experiences you dredge up from your memory, to look at what really happened, from a detached objective perspective. If you do this honestly, you will be amazed at what you didn't remember because of the distortions created by your emotional response at the time. In general, these traumatic events last for only a few seconds. If you can see them with a fresh eye, you can release yourself from your memory.

Any relationship that is free of withholding involves substantial risk because it obligates you to keep sharing information, feelings, and viewpoints despite the impulse to close yourself off and to protect yourself from the anticipated responses of others.

Still, one element in risk taking is faith—a trust in your own intuition and a readiness to act on it. You can't be ruled by the fear of being rejected.

Since ultimately it is impossible to know for sure how others feel about you, you've often got to take the leap of faith in such situations. The creative risk in relationships has to do with a trust—acting in a committed way without certainty about the other person's response. The power comes from your own commitment and not from the acceptance of others.

Risk Number Six: Sharing

Every single time you share, you incur a risk because sharing involves communicating something without knowing what the response will be. This open approach to communication can be wonderful, but it's also the most anxiety-provoking experience of all. Nevertheless, it is the gateway to personal growth and freedom.

The power of sharing experiences is in discovering that *what* you are withholding is less significant than the *fact* of withholding and that the withholding itself saps so much of your life's energy.

Why does sharing seem so risky? This may sound hard to believe, but one reason is that most people feel unlovable. Therefore, they use up immense reserves of energy trying to appear adequate or lovable so no one will know how they feel about themselves. In addition, they expend still more energy trying to acquire those objects or symbols of success that will give them the appearance of completeness. The whole set of behaviors is a sham. The sense of inadequacy is illusory, yet people work so hard to mask it that the energy they waste is feeding the illusion, rather than fueling a chance to become the person they choose to be.

Neither approach deals with the issue head on—specifically the accep-

tance of your vulnerability and the need to distinguish between your basic humanity and your interpretation of it.

The invitation to openly communicate is an invitation to speak the truth about yourself. Think of all the emotional feeling you will then be able to use not to protect yourself, but to pour into the full engagement in your life from now on. Isn't it worth it to notice how your early life traumas, which led you to withhold yourself, keep you from being nurtured by your experiences? Isn't it worth it if it grants you the willingness to live your life at risk? Won't it all be an extraordinary relief to start living in the now, rather than in the past?

One of the more powerful means of becoming present to your life experience is to stop holding back and to risk yourself publicly by divulging information about yourself that you have been hiding. Here, the critical thing is not what you reveal but that you discover the withholding mechanism itself—and, along with that discovery, the power of revealing the truth about yourself.

Risk taking ultimately requires involvement in the actual processes of events. You can judge whether your actions have a risk-taking dimension by how you feel. When your impulse is to avoid acting because it stirs anxiety or because it conflicts with the demands of social expectations, you are probably in the realm of risk. The adrenaline rush you experience in situations of personal growth is evidence that you are on the cutting edge of change, on the path to self-discovery.

THE REWARDS OF RISK

Opening Up

At the moment of risk, when the ego has been transcended, you generate a remarkable sense of freedom and excitement. This freedom comes from letting go of self-protective habits and defensive reactions. This is when you begin living fully in the now and creating your life in the present by committing to a vision.

Risk taking frees you from fixed notions about the world. Suddenly, you comprehend a new world of possibility, a context in which you give yourself over to new circumstances and events with a boldness you might never have known you had.

With the loss of self comes a sense of unity with others. As you begin to express yourself openly, speaking your truth without fear of the reactions of others, feelings that you have long suppressed while you were separated from others by your ego awaken and flower. By sharing your dreams

and emotions, you draw closer to others, and you begin to perceive the universal experiences you share with them.

Opening up to others simultaneously lets you shed your ego so you can tap even further into your capacity for love of others, a significant dimension of the centered state. Accompanying this is a heightened awareness of a desire to surrender the self still further to something larger—whether it be a loved one, a spiritual guide, or the service of a worthy cause.

Another aspect of this openness is a sense of completeness. You can feel that you are fine the way you are. You no longer feel the urgent need to possess certain things or to do certain things or to be any other place. You no longer are caught in the trap of performance, the need to show off achievements.

“I don’t feel the same urgency about making money,” confessed one master trader. “I enjoy my work, but I seem to be approaching it in a more relaxed way, as if I know it will work out because I’m good at it. I don’t have to try so hard so that I’m exhausted and drained at the end of the day. I seem to be able to enjoy the opportunities before me and don’t have to manage things so compulsively.”

This freedom from the need to prove your worth is one of the many liberating features of opening up. Once you let your authentic self shine through, you start living in the present tense. You’re already okay.

The objective of this transformational process is to make it possible for you to be as fully engaged in the world as possible, exactly as you are, without expending energy to become someone you believe you need to become and without having to cover up your feelings of insecurity. By accepting the uncomfortable feelings and the negative aspects of yourself, you unwind. You reduce the tension caused by trying to hide these feelings, and you experience a greater sense of wholeness. You’re no longer at war with yourself.

Letting go of compulsive wishes and urgent desires, just allowing them to be, is a critical step on the path to freedom and allows for integration of the self on a higher level. I use “integration” in the sense of a greater acceptance of the diverse aspects of the self so that you can function more holistically.

Risk taking means to become absorbed in activity without holding back or being concerned with your image or the opinion of others. When you do this, you are able to recognize how much you are stopped and what is stopping you—usually ego and a concern for preserving an image of competence. Total absorption thrusts you beyond your self-limitations and reveals to you what is possible once you start practicing living in the gap.

Risk taking means to become fully engaged in the next moment through committed action to your vision and committed action to support

others. By risking yourself, you are present in the world with no thoughts, no images. From that place, you can begin to create your life anew.

Nonjudgmental Listening

When you live at risk, you hear things as they are, listening to others non-judgmentally, not in terms of your own preconceived notions. What one person says and what another hears often are two different things.

In time, you will be able to hear what people actually are saying and not merely be responding to your own preconceptions. The more you do this, the more you can recognize that what is happening may have nothing to do with you. By listening to others with an empathetic rather than a critical mind-set, you let go of your self-absorption and self-consciousness; and the conversation becomes yet another way of discovering the world.

Turning Anger into Opportunity

Sometimes when you don't get the results you want, you may vent your frustration and be ill-tempered. The resentment you feel stems not from commitment but from the fact that you hold on to the result as if it were obligation, not an opportunity. Rather than live in the context created by your vision, you think too much about your failure to achieve the end result.

Risk taking occurs in the moment when you live outside your history, your opinion, your view of yourself, as well as outside the interpretations and opinions of others. You are free to speak and to listen in a manner that is not bogged down in self-assessment, grading, or scorekeeping. All that matters is the action you take and your response.

It is useful to note when an activity becomes tedious, dull, and routine and leads to withdrawal and avoidance. This is the time to consider whether you are facing obstacles and are retreating behind your survival needs—your Life Principle of looking good—or whether these feelings signal that you have reached your goal and now need to raise the stakes. If you decide that you must create a greater challenge for yourself, that's another form of risk taking; it is raising the bar.

Sometimes, especially if you are good at self-monitoring, you know when you need to raise the bar, to challenge yourself further. Sometimes you need others—a coach, perhaps—to point the moment out to you. If you lift weights, you may know that the growth of a muscle is caused by the last repetition—when you exert the muscle to point of exhaustion. But if you do the reps without a coach or a spotter, you won't make that last repetition. You need a coach saying "Lift, *LIFT!*" That's what I am urging when I sug-

gest increasing your positions in stocks in which you have high conviction. It sounds perfectly obvious, but it is not.

COMMITMENT IS AN ONGOING PROCESS

There are many traders with whom I have continued to work with for months and years as they struggle to stick with their ideas. Others continue to work on mastery on their own.

A fortunate few gradually become self-reliant. They become so adroit at self-monitoring that they are able to recognize the warning signs when euphoria that comes with too quick a success interrupts their flow or when complacency threatens their progress.

My point is, mastery is not simply a declaration. All the lessons I've been describing need to be reviewed, refreshed, and revised continually. Commitment doesn't happen in an instant. It doesn't strike you like lightning. It takes work and constant reminders, which you can uncover either with the help of a coach or within yourself.

What I counsel people to do *each day* is to consider what best expresses their vision: Look into the future to establish what you want your life to express, and live from that perspective. Act in the moment as if you already were the person you wish to become, and you will most surely become that person.

Deciding to take responsibility for being the person you want to be and acting accordingly, even when that makes you anxious, takes constant vigilance. Get in the habit of reviewing your notes, looking back over the reminder lists in this book, and rereading passages when you feel you might be slipping.

As you stretch yourself and take more risks, you may observe that your nervousness actually diminishes. You will have had plenty of practice, for one thing. You are familiar with the sensations that accompany the action. You may notice physiological responses—the rapid heartbeat, the drops of sweat on your forehead—but you have learned to experience these physiological responses as normal. You don't attach any special interpretation to them.

Fighter-jet pilots blasting off the deck of an aircraft carrier feel the adrenaline flowing, but they experience it as excitement, not apprehension. The pilots have learned to simply observe the biological reaction while shutting off fearful emotions. They know they'll be fine. In an analogous situation, you'll know you will be fine, too.

When you live out of your vision, responding more immediately and

completely to events rather than simply reacting habitually, events that might have seemed to be crises appear as opportunities for personal empowerment. The anxiety that comes with this new uncharted territory can be readily handled as another aspect of the experience. By approaching events from the perspective of the future, you reframe them; even a frightening moment becomes part of living life creatively, not something to be eliminated.

Freedom is not doing more, or doing something on a bigger scale, or outdoing others, but carving out the space to express yourself as completely as possible.

TAKING ADVICE FROM OTHERS

How do you know when it is time to seek coaching? Although it is best to march to the beat of your own drum, sometimes it's helpful to have an outsider listen to your rhythms, point out when you may be missing a beat, and suggest alternatives. One reason you may stumble is because you may tend to select people in your life who will keep reinforcing negative views about what is possible, rather than finding people who promote positive views. Here, you need a coach who can help you through this process.

Good coaches are empathetic listeners; they help you support your own self-discovery. A coach can identify your strengths, remind you to stay true to your talents, jettison old myths about yourself, and spot the moments when you are not staying true to your dream—all without making you feel guilty about it.

However, you need to choose a coach cautiously. Many people give advice based on an after-the-fact assessment of their own history. Thus, the advice lives in the realm of storytelling, not coaching. It is analogous to journalistic accounts of sporting events, which have little relationship to the actual behavior of the athletes in the previous day's game. In the game, the most creative performances come in response to the events of the game itself. These performances are based in part on coaching that gives the athletes not only specific skills, but also the ability to respond freely and spontaneously. A good coach can tune into the skills of the athlete and help him deal instinctively with a variety of contingencies.

You should apply the same caution to gratuitous advice. Often, it is not based on a real understanding of where you are in relationship to your vision. It may fail to make critical distinctions in terms of your history and what you need to do to evolve toward your vision.

Freedom is the ability to respond naturally to events, always moving toward your objectives. Good coaching supports this kind of effort. A good coach recognizes where you are and how much you need to do to get past

your resistance or inhibitions and past your own fearful expectations about risk-taking behavior.

BECOMING A COACH

You may not realize that you possess the qualities that would make you a terrific coach for others. But you may need some coaching yourself to get to that point. Some years ago, I was working with the manager of a firm to help him become a better coach for his own team members. Benjamin had been successful as a portfolio manager; but now, as manager of a billion dollar hedge fund, he needed to learn to manage the expectations of others, and to organize their activities in terms of his needs and the firm's objectives.

For some time, he was frustrated by his analysts. Their work did not give him the confidence to trade bigger, nor did it prepare him to exit positions when they were working against him.

"Have you given them a template of critical points of inquiry that you want them to prepare in presenting their analyses to you?" I asked.

"No," he said. "I don't want to put pressure on them. I don't want to disturb the creative process. That's not the kind of guy I am."

"Given that you're more experienced than they are, given that you know what you need to put the positions on, and given that you are the risk taker in the firm, the one who pulls the trigger, your job is to define the parameters of the task for them and then hold them to the task," I suggested.

Moreover, I suggested that he needed to require his analysts to deliver write-ups to him on a regular basis, probably daily, rather than leave them on a catch-as-catch-can basis.

"You need to manage the process," I explained. "You have to make these requests, get their agreement to do this, and then ensure that they follow up. You are running a business, not an eleemosynary organization for the benefit of the analysts' growth."

My thought was that he should outline what he wanted, when he wanted it, and at the level of frequency that ensured that he had the material he needed to leverage their ideas in his investment portfolio.

In numerous situations, my coaching centers on getting traders past their own sense of their personalities—being nice guys, not wanting to challenge others, accepting mediocre and less-than-satisfactory work. Instead, it is imperative that as leaders, they set high standards, clarifying as much as possible what is wanted and needed and then holding people to these standards. The standards then become yardsticks for tracking the performance of team members.

Good coaching involves continually asking what is missing from the task or the presentation or the performance. What more needs to be added in?

If things have been going well and complacency has set in or if the work has reached a plateau, you need to consider what has dropped out. Then you must speak the truth to get everyone aligned on the tasks necessary to reach the goals.

You also have to keep monitoring performance with statistics in order to acknowledge those who are creating momentum and breakthroughs and to coach those who have slipped and are not contributing to the results of which everyone can be proud.

Far too often, highly successful managers succeed because of their own risk-taking abilities, but still need coaching in how to make demands of others. My role is to help these leaders recognize when to cajole their troops, when to criticize them, when to motivate them, when to celebrate with them.

Coaching others can be extremely satisfying; but if you're the coach, you must first diagnose your own limiting notions. Next, you have to pinpoint the task demands, which is often best done by establishing goals and then reverse-engineering the steps needed to reach those goals.

To coach others is to help reinforce for you, the coach, the same lessons that you must always be teaching others. You need others just as they need you, to help you see this enlarged dimension of yourself.

CHECKLIST: DEVELOPING AN OBSERVING MIND

- Become aware of the conversation in your head where you resist instructions, requests, and compliance with the rules; where you enlist others in your anti-establishment attitudes, where you cop an attitude instead of listening to what people are asking you to do.
- Monitor your thoughts. How much energy do you use to maintain an attitude from the past, rather than being open to experience, listening to others, and standing outside your defensive attitudes and conditioned responses?
- Maintain consciousness in everyday situations. The world is not necessarily a safe place. It is essential if you are engaged in it that you watch the trail when you are skiing, watch the road when you are driving. Pay attention to the lights.
- Pay attention to your thought processes. How often are you anxious because of old attitudes and expectations and because you are not listening to "reality" as it really is?

- Monitor your “problems.” Are you waiting for them to be solved before you take on your life as the opportunity it is?
 - Appreciate reality. Notice your bodily responses as just that, without reacting to them.
 - Take on new challenges. Do things that you don’t know you can do and monitor your responses to these as you watch yourself grow.
 - Monitor the people around you. Are you willing to find people to support you? Do you think you are supportable? Do you think no one cares?
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SUMMARY OF REMINDERS: BEING IN THE “NOW”

- Allow yourself to be totally engaged in the activity before you.
 - Participate honestly and completely in the activity without ulterior motive and without focusing on a future goal to complete you.
 - Recognize that the more you can engage in the activity before you, the more you will engage in your life in the future as well as the present.
 - This moment is your life. How engrossed are you in it? How much are you trapped by a belief that “This isn’t it” and that your life will begin at some time in the future when you are more prepared?
 - You are already there. This is it. This is the way it turned out.
 - Start regarding each day as precious, savoring the moments as opportunities for expressing yourself.
 - You are already okay. There is nothing you need to obtain to complete yourself.
 - If you get what you are seeking, you may feel better for a time; but this is not likely to last. If you pursue something to correct for a deficiency, you will end up reinforcing the deficiency.
 - Just notice your discomfort. Own it. Don’t suppress it or try to get rid of it.
 - Become aware of how much of your life is designed to correct for this illusory deficiency when all you need to do is notice your discomfort about it and let it pass.
 - Beware of the trap of thinking that acquisitions, money, or fame make others feel serene.
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CHAPTER TEN

Becoming a Master

This book has focused on the psychological and behavioral underpinnings of trading and investing activity—what it is that you can and must do to improve your overall performance. In addressing these issues, I have spent most of my time pinpointing what you are doing in order to make you conscious of certain automatic, unconscious habits and attitudes that may be acting as obstacles to maximum performance. I have asked you to ask yourself:

- What actions are you taking?
- What must you do to control losses?
- What steps do you need to take to maximize your profitability?
- What must you do to increase the number of winning days over losing days, to increase the ratio of winners over losers, and to ensure that your profits on winning days are greater than your losses on losing days?
- What do you need to do to obtain an informational, analytical, or technical edge so that you can press your bets with confidence?

Mastery entails the deliberate effort to adapt your strengths and talents to the trading tasks at hand to create greater results in the framework of your trading vision or, for that matter, in any activity in which you engage.

In teaching mastery, I accept as a given that there have been certain experiences that influenced you. Rather than making them the subject of

your interactions, however, I merely identify these to help you understand more about them. Hopefully, you have gained insight into what it is that you must concentrate on to maximize your efforts and what you must relinquish in order to trade in terms of a more visionary and proactive model of trading.

To develop mastery, you must continually self-examine and adjust your behavior to adapt to the markets to raise the level of your game. You must constantly consider how the markets have changed and what steps must be taken to master the game under the new circumstances. Here psychological motivation is relevant from the perspective of identifying habitual patterns and attitudes that must be modified in order to learn new ways of behaving.

The tension created by focusing on stretch goals is the mainspring of the dynamic that leads to outsized results. But for some, this tension is too uncomfortable. Instead of mastering processes, they resist the processes and retreat by lowering expectations and reducing the challenge. I urge them to stay in the gap and find new solutions to narrow the gap while keeping the vision intact.

If most of your efforts to change things focus on strategies for making more money but do not alter the underlying structures used to do that, you remain in an area of tolerable conflict where you avoid or postpone critical decisions or attempt to manipulate conflicts by double-talking, will power, or manipulation. This is a response to change that inhibits vision and produces oscillation. You solve one problem, and another one pops up. Then you solve that one, and another problem pops up. The issue is to figure out where you want to go and what you have to do to get to where you want to go and then how to proceed, all the while being willing to keep the tension of being in the gap alive.

What are some of the psychological principles that help sustain that tension and the discrepancy between where you are and where you want to be? Since I have discussed these in greater length throughout the book, I will only list some of the critical principles here:

- Self-observation and the ability to ride out emotions.
- Becoming conscious of consciousness.
- Letting go of self or ego by letting go of preconceptions, judgments, and the illusory sense of self or ego that keeps you from being fully engaged in the moment before you.
- Meta-analysis or reframing—thinking outside the box.
- Being present-centered and focused on the now, not on the past or the future.
- Choosing what you have, which is another way of saying, “Deal with reality.”

Ultimately, you build a sense of mastery by learning to function in the realm of commitment beyond rationality and limiting notions. You have to choose what you want and then do what it takes to produce the results.

Most traders are reluctant to examine who they are and how they behave. They don't recognize how critical a role their Life Principles have in their daily lives and in their performance.

But the point of mastery is to recognize that you *are* fearful and to learn to function in the world in the face of that fear, producing results, because you are willing to do what it will take to produce them. While I have discussed many of these steps throughout this book, in this chapter I want to reexamine a few of the more subtle points of mastery and to emphasize their importance.

FINDING DIRECTION

Unfortunately, most people fail to connect the dots. To become a master trader, you cannot be distracted by the environment in which you work. You cannot be led astray by your own need to be liked or to be all things to all people. Rather, your motivation should be to realize the goals you have established.

Case Study on Regaining Focus

The ultimate challenge of mastery is to focus on specific tasks related to well-defined, concrete goals. Here Phillip talks about changing his strategy from being short technology companies to being long, thinking that they had reached a bottom. As a result he lost a lot of money. It took a while for Phillip to realize the importance of sticking with his strategy and experiencing the pain of the shorts going against him. Once he had done this, he needed to learn how to ride out the urge to cover his shorts when they finally reversed and were going down in the direction he had anticipated. He had to avoid getting so anxious that he covered them too soon.

Kiev: What happened to your original plan?

Phillip: I changed my game. I didn't have faith in my strategy. I went long in these stocks that I knew were going to zero. I had made a lot of money by going short at the end of last year; and instead of holding on to my shorts or covering them, I was influenced by the opinions of others. I came to believe that they couldn't go any lower. So, I went long, and I got killed in the bear market rally of the past several weeks.

K: Why did you buy them?

P: I thought we were at the bottom. I was led to believe that they couldn't go any lower. I have been trying to figure out why I did it.

K: Had you been looking to change your perspective?

P: I had been looking to change it since January. I thought we were getting toward the bottom.

K: What led you to believe that?

P: Everything that happened back in November. I thought the move back in November and December had some validity to it but was way too early. So when they brought the market back to early-November levels and we got closer to an economic recovery, I thought that it was time to buy things. But trying to do that on any one-day basis is idiotic. I listened to my analyst too much.

K: Was that a change in your strategy or just a change in your positions?

P: It was a change in strategy, because my strategy has been basically to be short, to wait for bankruptcies, to wait for distress. Here. I decided to get long, which then put me in a difficult position since I wasn't comfortable reacting positively to these companies. It took me out of my game at the worst possible moment.

K: It had been working, and finally you thought it wasn't going to work anymore?

P: Just because they went down so much. But then they went down more, and I was long, and I got killed.

K: If your strategy was to be short, and you thought you were reaching the bottom, why didn't you cover instead of going long? Going long was a little bit too much of an extreme shift in strategy that wasn't entirely justified. There was no evidence that these stocks were going to go up. That wasn't the game you were playing, and there was really no reason to start playing a new game.

P: I didn't react too well. I obviously hadn't consolidated my results and was too quick to change direction.

K: After you set a goal, there is a period of consolidation during which time you digest your results and then prepare for the next goal. Ideally, you set up the next target before you reach the goal so that you can maintain the same level of intensity toward your targets. Does this apply to your trading?

P: It is so psychological.

K: You got off track as opposed to recognizing that your strategy was still working. You didn't appreciate that your psychology was working. Get out of the trade. Don't reverse.

P: Do nothing. Be more patient. My stocks are so liquid. It is hard to be patient.

- K:** Is this a question of reframing? If you are looking at just one company, you may not see that macropicture.
- P:** You need to be able to see the forest. It helps dramatically.
- K:** Did you make a conscious effort to see that?
- P:** You have to make a conscious effort. The natural tendency would be to see a single stock instead of seeing the stock as part of a larger portfolio.
-

The dialogue with Phillip is of interest in pointing to the importance of thinking about what you are doing, rather than trying to shift directions wholesale or overhauling your strategy too dramatically. More often than not, the key to mastery is to be able to stand back and gain some objectivity so that you can make slight shifts in emphasis, all the while remaining conscious of what is going on. Otherwise, what you produce are dramatic oscillations that come from trying to change your strategy drastically. The dialogue with Phillip can be considered one of focusing on what has been called “second-order change.”

Instead of trying to get a trader like Philip to solve problems in what appears to be common-sense ways—to trade more to make more, or to trade less to reduce losses, or to find new instruments to trade—the key is to help him see that many of his problems are being generated by his efforts to change. I am trying to help him to choose what he has, getting into the here and now and recognizing that much of his efforts to force change actually create more of the problem.

The development of mastery is, in a sense, an existential and experiential methodology, directed at what is and what can be. You invent your own future through commitment to a goal, identifying what is necessary to produce specific results, and learning how to handle the unknown.

Case Study on Reverse Engineering

I find a discussion such as the one that follows most helpful in getting traders and portfolio managers to think more carefully about doing the kind of work necessary to size their positions in line with their goals. This is the conversation for reverse engineering the portfolio so that the position sizes are selected in terms of expected price targets within a specified time period—say one month or three months—and in line with the overall profit goal. Factoring the ultimate result into the decision to size a position increases the chance that the portfolio will reflect goals and that the work necessary to ensure that the trader’s level of conviction is high. It also en-

courages the trader to eliminate low-conviction ideas and to control his trading decisions based on more than emotional responses.

Kiev: You need to look at your goals and find the discrepancy between your goals and your strategy. What do you need to put in place in order to reach your goals? How do you trade bigger? What do you need to do to be more decisive?

Mel: I am not aggressive enough or trading as big as I should at the extremes.

K: On the turns that you're calling?

M: Yes. On the extremes, playing big. It probably should be more like seventy percent on the turn and then thirty percent during the middle of the move, as opposed to the other way around, which is thirty percent on the turn and then seventy.

K: You have done the work, and you see the turn coming, but you don't put on big enough positions?

M: Yeah.

K: Are you thinking about sizing it, or you don't realize you should have sized until after the fact?

M: I am thinking about it.

K: What additional work do you need to do or have your team of analysts do to give you the conviction to enable you to size it?

M: As we do more work, we get more confident; but we must continually deal with the fear of the unknown, the fear that something can go wrong that can be very costly. I have a problem cutting off a bad investment, getting rid of it and moving on. I have this thing about being wrong.

K: So you don't want to get bigger into the unknown, and you don't want to acknowledge your loss when it's not working and get out?

M: It's kind of like a mental block, an inability to be decisive and just move on.

K: Both issues are creating problems for you. You have done the work, but you don't trust it and you don't trust the unknown? Have you ever reviewed the trades and gone back over the past six months?

M: Yeah. Most of the profits are in a few big trades.

K: If you look at the situations where you should have gotten bigger, how much money did you leave on the table?

M: Quite a bit.

K: So it's a recurrent theme?

M: I would say on my high conviction bets, they almost all work out.

K: How big are the positions in your portfolio? Do you have eight or ten percent positions?

M: No. I would say the largest long positions probably get up to two and a half percent.

K: Percent of the total capital?

M: Yeah, and the biggest shorts are about one and a half to two percent.

K: Is your portfolio in any way strategically developed? Do you have some kind of a spreadsheet for sizing your positions?

M: No.

K: Any reason why not?

M: No.

K: Do you understand what I am asking?

M: Yeah. You are talking about a very methodical approach to sizing the big bets.

K: There might be some value in reviewing your positions. Do you have a sheet that shows your positions?

M: Yeah.

K: But you don't have any criteria that allow you to translate a high-conviction idea into at least a seven percent position?

M: No. I just never thought about it. I have always been more a seat-of-the-pants kind of trader.

K: Well, you're obviously a smart guy, but there are a couple of things to consider. First, you can raise the percent of your high-conviction bets. Then you may be able to raise your level of conviction by doing more work. Then the question to consider is how big you can be and yet remain comfortable.

M: This sounds obvious. I don't know why I don't do it.

K: Because it's not so obvious. It's obvious to a trading coach like myself who is standing on the sidelines watching you. You're taking the first step by letting me coach you in doing what you do well. It's very hard to do it yourself. Do you ever lift weights?

M: Yeah.

K: Do you lift them with a spotter or a trainer?

M: Not usually, but I know that when I do use a trainer, I can lift a lot more.

K: That's the point. When you lift weights, your muscles grow with the last weight lifting repetition; but most people are not likely to do the last repetition without a trainer pushing them to get past their own self-imposed limiting thoughts. The same thing applies to trading. When you have someone helping you to see what you are doing and how you are approaching your trading, you can more easily stretch yourself.

What I am saying is that you set a monthly goal, for example, two percent of your total capital, which would mean twenty-four percent

a year. You need to sit down and say, “OK, if that’s my target for the month, where am I going to make this money?” You do the calculations so that by the time you add all this up, it comes out to two percent. Or you take two percent a month, and you back into all your positions. You try to figure out where you’re going to pick up those points based on how many points you are going to get in the month in that stock if everything works out. So you start designing your portfolio with your individual price targets and overall goals factored into your sizing decisions.

M: I need to be able to put the plan together.

K: It sounds compatible with what you’re doing, but it’s putting a little more order on it. Your approach ought to be more proactive, given your knowledge base. You aren’t doing it because you aren’t planning for it. You can tweak this, but you’re going to have to fill in the numbers. The question is, based on your level of conviction, “Can you get bigger?” Can you get to three or four percent? Based on given numbers, maybe you might even want to go to five percent, particularly if you’re really confident about it.

Once you see this methodology is working, you can go even higher, to ten percent in some of these. Think about it, you can always increase the percentage for a couple of days. If it’s not working, you can cut back or get out. It doesn’t sound like you factored this in or broke it down. I am not saying anything that sounds outrageous.

M: I think it makes a lot of sense. Considering the knowledge that we have and the amount of effort that we put in, we should be doing better.

K: The reason you are not doing better is because you aren’t designing it. It’s all arithmetic. It’s not even calculus. You ought to have a chart of the actions you plan to take given the movement of the stock toward the anticipated target.

M: I pretty much trade with a general, not a specific, plan. I am not focusing enough and putting the apparatus in place to be able to efficiently make these decisions. I should have these things outlined so that when it happens, I can basically move without having to rethink over and over.

K: Have a checklist at the beginning of the week. What are you looking for in each of these stocks? Go through each one and determine what your expectations are. Map it out, and have your analysts thinking that way. At the same time, be thinking about how much each one might contribute to your monthly P&L [profit and loss]. It’s a question of looking at the way you’re doing it and trying to tweak it in terms of your strengths. You have the assets and the resources. You’re just not playing the game as fully as you can.

This dialogue is the kind of discussion that I like to have with a lot of portfolio managers who somehow have gotten too dependent on their analysts and have forgotten the trading skills they originally developed when they first entered the business. Mel needs to begin to set goals and then size his positions according to his profit expectations, factoring in at the same time his level of conviction and getting the kind of data analysis support from his team of analysts that will help him produce the results he wants.

Mastery is about being more mindful of the processes you are engaged in and looking for ways of elevating your performance. There is no virtue in taking pain. You don't have to pick a bottom, and you must have some respect for the market. When you don't know why something is going on, you are well advised to reduce your risk and to wait for the fat pitch. On a regular basis, review your portfolio. Have someone else review it as well. Be open, and don't hide behind the need to "look good."

Build in some oversight. What are some of the high-risk trades in your portfolio, which can hurt you? Identify them and take them out of your portfolio. If you have no real edge in your shorts or have selected them as "valuation shorts" rather than in anticipation of selected catalysts likely to push the stocks downward, you may want to rethink your selections and trim them down. All of this also involves taking profits, building a cushion of profitability and recognizing the importance of keeping losses down, because when you are down, you get profit back much more slowly than you lost it.

LEARNING TO BE FLEXIBLE

The master trader is continually self-examining and changing his behavior to adapt to the markets. He is consciously asking what the game requires, how the markets are different, and what steps must be taken to master the game under the new circumstances.

Flexibility, therefore, is a huge attribute that master traders possess. They are adaptable, have respect for the markets, are willing to do the work, and most important, are willing to be patient while waiting for real opportunities. You must learn to stick with your strategy at the same time that you are minding your risk management principles and keeping your losses down. Mastery means looking for opportunities so that when they appear, you will be ready to play them.

You must respect what is happening to a stock in the marketplace irrespective of what you believe about the stock, and you can't allow your attachment to your ideas to influence what you do. You must assume there are other traders or investors who know more than you do and, therefore, must always be prepared to move out of a stock if it is acting suspiciously.

“When you don’t know what is going wrong, reduce risk,” said one master trader. “The point is you are sitting there, and you are playing cards, and you are getting a bad hand. Do you get bigger, or do you get smaller? You get smaller, or you get out and wait until the odds are more favorable, and things are clearer for you. What you don’t do is operate at full steam when things aren’t working. It’s easy to say, but hard to do. You have to know that there is a time to go for a home run, and there is a time to play defense. Every day you take a step and think, ‘What am I doing? Where was the opportunity? Why am I doing this? What am I playing for? Is this a really good bet?’ It’s harder to sit on your hands and do nothing. It’s a lot harder to be patient.”

Being flexible requires that you assess the climate of trading at any given time and adjust to the market and the tape. This requires caution and thoughtfulness and not acting at all times when you have the impulse to act.

Another trader put it this way, “Mastery is the ability to respond to data points, know when to move, know when to get big and ‘load the boat.’ Most people are waiting for more data and waiting to see how the stock reacts to events. The master is already in and out of the trade before others get into them.”

This is the way that experience itself becomes the source of learning. You learn from each and every new event, rather than simply getting confirmation of what you already know. This allows you to experience the familiar in new ways. So, how is this done? What are some strategies that the master trader uses to remain flexible and adaptable?

Review Your Positions

Make sure that you are concentrating on high-probability bets. If you don’t have any reason to be in a stock, then get out of it or, at the very least, cut down the size of your positions. Realize the tendency to want to “look good” and, therefore, the inclination to hold on to “stub ends” of trades in the event that dropping stocks finally turn around and you want to be there so that it appears you have gotten it right. Holding on to these stub ends or staying in positions with no real reason is a recipe for disaster.

Learn to Trust Your Work

If you know something and have done the work on a company, hold on to your positions, even when it is temporarily going against you. Trust your work and the work of your analysts, and don’t be frightened out of positions because of price action and daily volatility. More and more you have to rely on understanding the fundamentals and the reasons why stocks are

moving the way they are moving. To be more certain, trade around catalysts—real events that are likely to move the stocks you are trading. Understand mergers and acquisitions, new product announcements, reports from the Food and Drug Administration (FDA) about the likelihood of product approval. Know your space and the significance of events in your companies as related to events in other companies. The times call for greater understanding of companies and the factors that move stocks.

Understand the Companies

Know your companies, and don't trade impatiently because you are unwilling to wait for something better to employ your capital. Having a reason to be in a stock means understanding something about a company and being able to articulate these reasons to others who understand what you are doing.

Watch Your Aggressiveness

Don't get too aggressive on the short side and have the risk manager on your case because you are losing money. You will dig yourself a big hole, which is hard to recover from. If the risk manager tells you to pare down your position, you may think that he is a market indicator and that things will reverse after he gets you out of a position, but remember that losses represent opportunity costs and keep you from getting into better positions that may be more profitable. It is better to take your losses than to run the risk of building bigger losses.

Know Your Sectors

Concentrate on a single sector of stocks so that you know all the companies in the sector and the relationships between companies and can adapt your trades to the market dynamics and the corporate developments in that sector. When you develop greater knowledge in a sector, you increase your probability of being right in your bets. You can time your bets so you don't ramp up too aggressively until the time is right. When you have certain profitability targets, you can size your bets accordingly and can dig in and learn more about your companies and wait for the most propitious time to place your bets. When you know the strong and the weak companies in your sector, you can apportion balanced amounts of capital to the longs and the shorts. Moreover, knowing more about the stocks will help you to run a more balanced portfolio. That is especially important in a market where it is next to impossible to read the direction.

Know the Risk/Reward

Know the risk/reward involved in the selection of stocks based on understanding the implication of specific events, for example, the chances of winning a patent lawsuit and how favorable that will be to a drug company's product. The analysis of data points is critical for handicapping the pricing of a stock and determining how big to play a stock in terms of the amount of profitability you are looking for. How much can you anticipate what earnings will be if a patent lawsuit is won? Can you determine why a company should trade at an industry multiple? Unless you consider these and many other relevant variables, you are playing in the dark and are reducing your chances of making significant profits.

Ask Questions to Develop a Thought Process

I could write several chapters about the way a master trader thinks about events related to stocks, but I will keep it to one example. Suppose you are a master trader and you learn that a CEO has sold \$2 million of shares of the company. Does this mean the company is in trouble, or does the CEO have personal reasons for cashing in his stocks? Are the fundamentals good? Is the company buying back shares because it is positive about itself? Ask these and other questions to understand what actions to take. It is not enough that the company has a good reputation or that it has a salable product. You need to know the meaning of a lot of minor details in order to master the trading art.

Modify Slowly

Slowly modify your basic strategy when necessary. The master trader sticks to his game and does not allow himself to be too readily influenced by what is going on around him. Losing patience or trying to change your style too rapidly is destined to be problematic.

It is important to make sure you trade the number of stocks that you can handle. One master trader told me he could trade about 45 stocks with the help of a team of assistants, execution traders, and analysts. Bruce, on the other hand, was trading and executing his trades by himself and was trading about 35 stocks a day; he obviously couldn't know all there was to know about these stocks and trade them successfully. Marco, who was trading 35 stocks and losing money, was relying on technical analysis and some fundamentals but was trading in a wide range of companies and obviously not getting the kind of support that he needed or the kind of information about his companies that would enable him to capitalize on movements in the stocks.

Traders who are able to adjust to the changes, to cut their losses, to reduce their exposures when they are losing and to preserve capital, to dig in further and understand more about the companies they are trading—those traders are able to adapt to the new game.

Again, as you work toward mastery, concentrate on what is going on rather than asking, “Why?” It is far more useful to examine what you are doing in the here and now than it is to look into your motives and reasons for trading in a particular way that may have historical significance but may not actually help you in modifying your behavior going forward.

Mastery is about continuity, staying in touch with your discipline and adapting as well as you can to changes in the market when that is possible. Change will come about only after you are comfortable with what you are doing. It is the ability to reinvent yourself, to factor in all the things that are influencing the markets, and then to do something that captures their essence without being swayed by what others are doing.

BUILDING FORCE AND MOMENTUM

Momentum relates to creating what is essentially the “flywheel effect.” A flywheel is a device that builds momentum and energy by the gradual application of force to a spinning wheel. As the speed and force pick up, less effort or energy is needed to propel the flywheel forward. Eventually, momentum builds and produces acceleration from the momentum itself. A little bit of force begins to produce results.

Initially, for every 10 outputs, you will get one return. But gradually, momentum picks up, and you have to put less in to get more out, until you produce a breakthrough effect. Then the energy and acceleration created by the flywheel effect produce exponential results.

One smart young analyst discussed a good example of the flywheel effect in the trading arena and the way he was applying it to sustain momentum in the middle of 2003: “When I first started building models, it took me four days to do it,” said Gil. “The next time took me two days. The next time took me a day. Soon, it was taking just a half day. Not only was I able to do it easily and efficiently, but it also created its own momentum, so that the actual yield from that model made it a necessity of my life and enabled me to invest and screen ideas better. Instead of being a challenge, it became a tool to use on other things. By giving back to me and creating its own benefit, it was a positive contributor.

“Beyond a certain breakeven point, I achieved momentum. I was putting in less effort and producing results in excess of the efforts I was making. That’s when I no longer had to put my hand on the flywheel, so to

speak. When an object has momentum, it carries its own energy. You finally get momentum.”

A critical aspect of producing the flywheel effect and the breakthroughs that are possible from it depend on self-examination and working through obstacles to performance. Therefore, review your own style to see if you already take the following steps that develop and sustain momentum:

- Become more self-observant about how you are spending your time.
- Assess whether you are getting into a routine of doing more and more of the same thing rather than expanding on the work you have already done.
- Change personality patterns or repetitive behaviors that are nonproductive.
- Add additional behaviors to move your game forward (including delegation of some of the functions to others).
- Manage others by being clearer about your goals.

One way that you can be aware of these aspects of your trading is to print charts of your trades so that you can keep track of your expectations and reasons for making decisions. By documenting your experiences, you can review what you had previously thought and how you have or have not adhered to your strategy.

In order to build momentum, you need to find a way to avoid allowing your emotions to control your trades. By looking at the data, you can begin to see what has worked for you. You can plan to experience the discomfort in advance. You can put the chart in your notebook so that you have a visual memory of how the stock traded and how you handled it over time. This may also help you to see how the stock might move in the future. In a glance, you can see patterns. Reviewing the chart will trigger memories. This will minimize the loss of information in the retrieval process.

Since the markets keep getting more crowded, you also have to keep expanding the breadth and depth of data you examine and the kinds of distinctions you can make about trading opportunities. And, remember, while mastery is certainly not panicking, it doesn't mean that you are unable to change your strategy when needed.

As one trader said, “Mastery involves changing your strategy when it is not working. This is what the best traders do. The master is always adjusting his strategy to reflect changes in the marketplace and changes in what works out there. When I am in the zone and momentum is building, I am not reacting to noise.”

Another factor in sustaining momentum is being able to separate someone's conviction about an idea from the quality of the data itself. If you open up and tune into the opinions of others as you gather impressions

and data, you have to be careful that you are not too influenced by the someone else's opinion. Consider that as much as the value of the data. While you want people to have conviction, you also want to consider their natural bias so that you can understand the information in the context in which it is delivered. This is particularly so if you are impressed with someone's performance.

Case Study on Regaining Momentum after Loss

A case in point was a technical trader named Bob. Bob began to run more capital and started to morph into a portfolio manager, copying the trading approaches of other portfolio managers and trying to build his book with size. In the process, Bob started to ignore the technical chart reviews that had proven the key to his success in the past.

I talked to him in early September 2003 after he had failed to produce satisfactory P&L for several months in a row. This conversation is relevant to the subject of momentum in that it underscores how easily an individual can lose sight of the factors producing momentum and how important it is to get back to basics to recreate original successes.

Bob: Every time I put a trade on, I make a longer-term chart and a thirty day intraday chart. It is a constant reminder of levels, where breakouts are, and it's a way for me to collate the information and compare it historically.

Kiev: Sounds like this provides a visual image that you can use as a planning tool and a diary of your trades, which can help you integrate your fundamental analysis with the technical patterns that you are assessing.

B: It is very useful. It can act as a spur to the thought process of considering what prevented me from making a trade. I have the information in front of me and know what my risk parameters are.

K: So why did you stop relying on charts, which were a critical part of your game in the past?

B: I was just thinking too fundamentally.

K: But you didn't have a reference in terms of how the stock behaves, which would allow you to get bigger when it was moving in your favor and use good risk management principles to cut back when things weren't working, irrespective of the fundamental understanding of the companies that you had.

B: I look at it all day long.

K: Does keeping this chart condense the thinking to make it more clear for you?

- B:** It is a forced way for me to collate my technical viewpoint and have it documented when I write down why I am buying. I was using these charts, but I failed to relate to particular points. I wasn't preparing a game plan and then keeping myself honest by tracking it and recording my reasons.
- K:** It's a more active process.
- B:** It gets me more engaged in the whole risk analysis. For example, using this tool, I write down thirty-eight as a stop. When it gets through that, I have to make a sale.
- K:** It's a way of building momentum.
- B:** If it breaks a certain level, I have to make a sale. That is a way for me to be proactive in my risk management as opposed to sitting with a portfolio of stocks hoping that at the end of the day I will be up.
- K:** This is a game plan.
- B:** This is implementing a game plan, not just visualizing one. I do the same thing on the short side. Technically, I have made a lot of money using these tools. I have to stick with them. I have to go with the game plan. I have let a lot of stuff go, thinking that I know more than what the market is telling me.
- K:** Can you integrate the fundamentals with this approach in order to create and then maintain momentum?
- B:** I think I can. I need to get back on the right thought process and P&L path. This is a good game plan for me. I just have to maintain the same thing day in and day out. I always did it before. I let it go, trying to be something different than who I am.
- K:** Is it possible that you are doing something based on the chart and the announcement to do something? Can you add in a sizing component to your plan? How big should the long or short be? How many points do you see yourself making? Can you project the amount of profitability?
- B:** That's the next step, calculating the exit point. I have to figure out how to rank ideas so I can size them correctly.
- K:** You need criteria. For example, a "high" is something that is absolutely going to happen, but the industry doesn't yet know about it.
- B:** I need to build a model for conviction and size. I need to determine criteria for the confidence level and then use the analysis for determining the position size.
- K:** You want to use the fundamentals to size your positions. Factor all these things into your decision making so that sizing is based on a plan. Keep evaluating your sources of information. Do additional pieces of work to give you more confidence to size it. Build the whole thing on top of what you know and the feel that you have. Let the information feed the model so that you can become even better at your original game.

Tell me, how did you lose the momentum when you were doing this before? What happened that you stopped following the technicals and chart patterns?

B: I think I got a bit complacent and perhaps a bit distracted. I might have been looking for help from other guys instead of doing my own stuff. I talked to them, and the positions seemed right. I wasn't doing my usual work. I was distracted by phone calls and e-mails from non-work-related stuff and not focusing on these technicals and making money every day. I didn't have a goal to achieve on a daily basis. I let myself veer from my usual game plan.

Bob's account of getting off his strategy, becoming distracted by personal issues, and listening to the views of other portfolio managers to the neglect of his own, usually successful, technical chart review of price points underscores one of the critical elements of regaining momentum—defining a strategy, discovering what works, and tweaking what doesn't.

Again, this is the value of having a vision and a strategy to reach that vision. The more you map out your strategy, the more you have a chance to measure reality against your boot print and see what you want to adjust. It may go down two points, but you know you just got a call that said, "Ignore it, this is just a rumor." So you would adjust the strategy against your plan, which gives you a little bit more power. Without a plan, you are flying blind.

"This really makes you accountable," explained another trader, Randy. "There are so many positives that come from this. This allows time management. It allows you to assess whether you are really making the bets that are big enough to get you to where your goals are. When you break it down into these pieces, there is nothing that looks unachievable."

Laying out your plan mentally prepares you to be able to do it when you are starting to see it. It's almost like simulating the trade in advance so that when it happens, you are prepared to immediately take action. If you have never seen it in your mind before, and you have never prepared for it, and you didn't outline it, it's not likely you are going to recognize or respond to it at the time.

What you think governs how you perform. If you think and act like a champion, eschewing preoccupation with the results, you'll play like one. You can break negative images by shifting your focus of attention to the tasks before you and by not projecting negative expectations onto your actions. Simultaneously, by only focusing on the present, you can decrease the anxiety associated with changing yourself.

In order to sustain momentum, you must make a decision to face the truth; to deal with reality; to own up to mistakes; to become a bigger person than you are inclined to be by habit, emotional inclination, and the like. You must decide to make choices based on your strategy for mastery, achieve-

ment, and excellence rather than simply react emotionally. This takes character and discipline.

The most difficult thing is to face the truth, to accept responsibility for your results, to review what you are doing, and to admit that you don't have all the answers. All these things take effort and willingness to do what it takes to grow.

Case Study on Sizing Positions to Sustain Momentum

In this dialogue, notice the kinds of questions that a trader must consider in building and sustaining momentum. One consideration is using targets to help size positions and then doing the kind of in-depth work necessary to raise levels of conviction. This is a process that Terry has been following.

Kiev: What are you doing differently this year that has led to an improvement in your trading?

Terry: I am really focused on the risk management side, cutting positions in which I was losing money and being more proactive instead of standing still the way I did last year. Now I am getting out of bad positions and reevaluating the risk. That way if I have a catalyst, I will stay in things. If not, I am not waiting around, even if it's a fundamental idea that is going to play out. Then I cut the risk and revisit it in a week or two.

K: That's been the key?

T: That's been the key—not being attached. I also have done a lot better just focusing on fundamental research and talking to companies. Last year was a very big learning experience for me—learning how to trade, learning about the markets, learning how to watch economic indicators where those are playing out. I found it is important to have a market view and then use that for position sizing. The other thing that has helped is focusing on my best ideas and putting more capital on those ideas where I have high conviction.

K: Do you find that focusing on a target helps?

T: Yes. At the beginning of the year, I decided how I wanted to run the portfolio and what my goals were. Now, I want to make one hundred fifty thousand dollars in every position for each month or time period. Once I get to one hundred fifty thousand dollars, I focus on not giving back more than fifty thousand. So when I get to one hundred fifty thousand, I don't necessarily have to take the whole amount off, but I don't want to have a position where I lose it all. I just evaluate and see how things play out. That has saved me a ton of money.

K: In the past, would you have held it?

T: In the past, I would hold it, and then slowly it would just fade away.

K: Once you make one hundred fifty thousand dollars, you don't have another target at that point?

T: Usually I will have a price target for the stock; but if I have been trading it well and somehow made one hundred fifty thousand dollars before it reaches the target, I still keep it on. What's been happening lately is the market has been going so far so fast that I am blowing through price targets quickly. The market is moving, and momentum is building for those stocks. So I don't necessarily want to get out of the position. I see there could be a further up-side. So I have been holding on to them with a thought in the back of my mind that if it starts coming back and I lose more than fifty thousand then I get out. Are you saying that once I reach one hundred fifty thousand dollars, I should reevaluate and put another target on?

K: You could do that; or if it's one hundred fifty thousand you could take your money and wait until it goes down. Then reassess it, and buy it again. What you are currently doing is basically changing your goal from making one hundred fifty thousand to not losing fifty thousand. There is a difference.

T: I should focus on the positive side.

K: When you reach your target, take it and figure out what you know and what's the next price target and what's the next thing you want to make. Currently you are moving into a defensive mode after you meet your target. Thinking that way is not a proactive approach. You are changing the way you think and act once you reach your target.

T: I understand. Once I reach my target, I need to come up with a process that determines whether I need to sell or work through the price target again. I need to determine if there is a catalyst left, to reevaluate at that point and see if I can reach another five percent or ten percent return. If so, then I can stay with it. If not, then I need to get out of it and either watch it for a future time to reenter or move on to the next position.

K: Keeping your losses down is a fine thing to do, but really you shouldn't even be thinking about how to avoid losing fifty thousand dollars. When you have that mentality, it is as if you are saying, "I can hold it until I go down one hundred fifty thousand dollars." This is opposed to the idea that if it's starting to go down, you should just take your profit. It's a slightly different thought process. You need to make a slight shift in the way you think about it.

I have included this dialogue with Terry because it illustrates a common problem that traders must become aware of so they can move into a more proactive mind-set after they have reached their target. Terry clearly had decided to hold onto his profits and to risk losing \$50,000; and as I pointed out, this was a defensive strategy rather than the proactive one that had gotten him to his profit targets. His remarks underscore how easy it is to slip into a defensive mode and thus put yourself at risk of actually producing a self-fulfilling prophecy, whereby you would run the risk of losing \$50,000 of profit by setting that up as a number that you are willing to lose.

What I was emphasizing to Terry was that it is critical that once you have accomplished the goal, you set up a structure to sustain your momentum. Momentum is the development of all the aspects of your trading into a natural flow. Once you have reached one goal, you need to start working on the next project. In this way, you are picking up momentum from the last trade and are working to sustain drive, intensity, and focus as you move toward your next goal.

A SENSE OF COMPETENCE

As you approach your goal, anxiety levels will rise, and there is a tendency for the speed of effort to increase, the risk of panic to set in, the loss of control to occur, and earlier-learned defenses to come into play. As I said before, all of these defenses may progressively interfere with the effort to reach the goal. A critical aspect of achieving goals, therefore, pertains to self-mastery. And self-mastery is basically a sense of competence from past achievement and self-control based on the capacity to delay your responses and to function on automatic pilot during the immediate action before you.

Mastery requires that you learn to focus on what works and what constitutes flow. To be a champion, you must change the way you think about the way you trade, what you think you can do, your potential, and the performance you expect from yourself. As your concept of yourself changes, so will your performance. To the extent that you do this repeatedly, your performance will improve.

Additional awareness of the ways in which you've been conditioned to think, act, or react can be helpful in overcoming obstacles to change so that you can break out of past failure patterns and move forward.

Learning to become masterful requires that you be willing to enter into the realm of anxiety, become more self-observant, and undertake new actions even if they feel awkward initially. You have to learn an approach, do

the work consistent with that approach, and then stick to your strategy, adjusting it as the market changes. Mastery then is doing what is consistent with your personality, what works for you, what you can improve on, and what works in the marketplace.

Let's review the basic steps toward mastery:

1. Change your perspective on reality by becoming present-centered. This means learning to recognize and let go of old patterns of behavior and old notions about yourself. Be present to the moment. Monitor your feelings and thoughts so as to learn to detach from them or ride them out; and, at the same time, learn to let go of concerns about the future.
2. Design your vision and plan your strategy—the steps to take to implement the vision. See the vision. Think about the possibility of the vision without regard to negative concerns of uncertainty, and gradually manifest the vision by seeing it in the world and responding to events that are relevant to the realization of the vision, putting in place what is necessary for its actualization. Mastery is not about asking “Why?” but asking “Why not?” and then initiating the steps necessary for realizing the vision.
3. Do not try to manipulate results. This doesn't require constant fixing and correcting as much as it involves trusting and having faith, staying single-minded about your vision so that it can eventually be realized.

You can become a leader in your life by relinquishing the past and your preoccupation with your mistakes or your limitations. You can really become a visionary, and much of what I have focused on in this book is how to nurture the vision, how to avoid stumbling blocks that interfere with the expression of the vision. Ask yourself:

- What is it that I want that I can't accomplish by the way things are now set up?
- Do I remember the past as it actually happened?
- Am I holding on to views of my experiences based on limiting views of what happened?
- How limiting has this been?
- How much do I still live in a remembered interpretation of what happened, rather than in terms of reality?
- How much do I superimpose past interpretations on the past as well as on the present so that I don't see reality for what it is and the possibilities in the reality before me? What benefits am I gaining from trading based on your interpretation rather than on reality?
- What have I learned about the world that I can now apply going forward?

All these questions open the door to examining what is possible—how you can create outsized visions and then strategies to accomplish what you have set out to do.

Are you trading as successfully as you can? Are you fulfilling your promise, your potential? Are you impacting others?

You can't think about past errors; they drain your energy and enthusiasm. What you realize will be the external manifestation of what you believe. See only what you want to experience. Don't strain. Remember, this is about belief and not about struggle; it is about seeing what you want to accomplish.

Make a conscious effort to see everyone in a positive light. Don't spend time trying to explain yourself to others. Don't build up resentment or negativity toward them, which will only impede your evolution. Control your thinking, and keep it focused on your vision.

An attitude of abundance, of gratefulness, of appreciation for what you have and what is unfolding is a critical mental attitude to develop so as to be able to embrace extraordinary possibilities. The more you believe in the outcome and what must be done to realize it, the more you will get what you want.

This does not mean that wishing things to happen will make them so. It means starting to understand how your own limiting notions keep you from having what you want. Then you begin to act consistently with the vision until you see glimmerings of it in your life and can do what is necessary to realize your goals.

The conversation for mastery is about embracing unlimited possibility and change and taking on incredible challenges that fire you up. It is ultimately about living in the here and now, living fully in the now without regard to the past or the future.

Moreover, when you find yourself preoccupied with worries about the future, notice it as a signal that you are not fully present in the now and that it is time to refocus your energies in the actions in front of you and to become more engaged in the immediacy of your life at this moment.

Facts are finite. A situation occurs and ends. Once an event has occurred, let it pass. It was what it was. When it is over, it is over. You simply have to make sure that you learn from experience so that the next time you have an opportunity to guide an action, you will take the necessary steps to build in corrections in the course of the process.

There is nothing to fear. Just experience the event. Build what was missing into the next event. Always review and double review before something is released. If it is wrong, don't get ballistic. Notice what was missing and install it for the next round of efforts. This is how you keep the process

moving forward. You are ultimately responsible for what you conceive and generate, and you have to keep monitoring what more you can do. The vital sequence is to:

1. Create the vision.
2. Establish the practical steps to organize activities in line with the vision.
3. Listen and look for opportunities related to the vision.
4. Act on those opportunities without too much regard for what others think.

The true master learns to roll with the punches, to go with the flow, and to not make a mountain out of a molehill. He doesn't worry about other people's reactivity to him. He is in touch with the law of abundance; with a sense that all that he needs to realize his visions will be forthcoming, that others are out there ready to help (particularly if he can find ways to align his interests with their interests and doesn't approach situations in any way that might exploit others).

As you build your mental image of your goal, practice centering and visual imagery rehearsal. Wait for opportunities consistent with the vision. When the opportunity presents itself, enter into the gap between where you are and where you wish to be and then create from that place. It is more exciting, more challenging, and more likely to stimulate growth than to stay passively on the sidelines or keep endlessly repeating the habits of the past.

Play with all your intensity and focus. Don't hold back. At the same time, pace yourself so that you don't burn out. Keep going in the face of stress, obstacles, envy, humiliation, defeat, and other things that normally stop people and lead them to retreat. Recognize that in every adversity is an equal or greater opportunity. Keep looking for the silver lining. It is from your inward thoughts that you will gain the courage and the energy to realize the vision.

A final question I will ask is, "How are you holding back?"

- How are you avoiding commitment to a vision in order to protect yourself from loss, humiliation, or any of those other negative emotions we discussed throughout this book?
- What risks are you not taking?
- What are you afraid of?
- What fearful thoughts do you have?
- Where do you stop?

If you are not moving forward, perhaps you have not tuned into your own intuition, to the central thought processes at the heart of your being, to find new ways to approach, expand, and express your vision.

Ultimately, your thoughts create your life, and the world reflects back to you what you reflect on and what you think about. If you have conflicting thoughts, your life is conflicted. If you are single-minded and eliminate distractions, the world soon welcomes your visions of possibility. You need only believe in your thoughts and stay focused on them. As you should know by now, none of this excuses you from work. But there is a difference between working and struggling, trying to force something. So, do the work; and when you run into obstacles, factor them in, make adjustments, and keep pursuing the goal.

Above all, recognize the power of your own thoughts and imagery, the power of faith, the belief in your vision, and what it takes to make it a reality. It is like creating a poem or a painting or any work of art. It requires an image of what you expect to produce and then taking the actions consistent with the image, noticing all along how your own limiting Life Principles or the views of others gets you off the track.

You cannot have two contradictory thoughts at the same time. You cannot be thinking about possibility and creating the future if at the same time you are thinking of obstacles. So, focus on what you want, and tune out what you do not want. Your vision enables you to get outside yourself, to expend your energy on something bigger than yourself; and that is the ultimate expression of your core being.

The key to all of this is to be able to live in the present, to see every situation as an opportunity to hit a home run, to give it your best shot, to keep focusing on immediate targets relating to the broader objective.

I cannot reiterate this thought enough: *You are what you have the courage to be.* There is a larger reality, a whole, of which each life is a part. When you are centered, when you are at one with the world around you, you get to realize this larger dimension of yourself, your connection to the universe and to all life within the cosmos.

Only by letting go of your ego can you be part of this larger dimension. This is the power of living your life in terms of a vision larger than your own petty grievances and concerns.

Each moment will be packed with opportunity for challenge and growth. Time slows. Each day becomes an expanse that separates one day from another. Indeed, time seems to expand, and last week seems like last month.

The road to becoming a master is not easy, but it is revitalizing. Why wait to start such a thrilling journey? Start right now—and begin to infuse your life with empowerment.

In the next moment lies your first step toward mastery.

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TRIP

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